Bank of India (BANKINDIA)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

R9'1-47 Date:12/05/2023.
Scrip Code: 532149
The Vice-President — Listing Department,
BSE Ltd.,
25, P.J. Towers, Dalal Street,
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7174 W. Ref. No.:HO:IRC:SVM:2023-24: 67
Scrip Code: BANKINDIA
The Vice President — Listing
Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra East,
Mumbai 400 051.
Sub: Q4/year ended 31.03.2023 Earnings conference call
with Ananlysts! Investors — Transcript.
Ref : Our Letter HO/IRC/SVM/2023-24157 dated 04.05.2023
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
conference call Q4/year ended 31.03.2023 held on 06.05.2023.
The transcript of Q4/year ended 31.03.2023 Earnings conference call is
uploaded on Bank's website and the same can be accessed through below link:
https://bankofindia.co.in/analvst-conference-call-transcript
This is for your information and records.
'417417 Yours faithfully,
(Rajesh V Upadhya)
4 .jrflTI-R1- Company Secretary
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“Bank of India
Q4 FY’23 Earnings Conference Call”
May 06 , 202 3

MANAGEMENT : MR. RAJNEESH KARNATAK – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – BANK OF INDIA
MR. P. R. RAJAGOPAL – EXECUTIVE DIRECTOR –
BANK OF INDIA
MR. SWARUP DASGUPTA – EXECUTIVE DIRECTOR –
BANK OF INDIA
MR. M. KARTHIKEYAN – EXECUTIVE DIRECTOR –
BANK OF INDIA
MR. SUBRAT KUMAR – EXECUTIVE DIRECTOR –
BANK OF INDIA

Moderator:
Good evening, ladies and gentlemen. On behalf of the Bank of India, I extend a warm welcome to the esteemed members of the Analyst fraternity who have joined us today. We are pleased to announce Bank of India's Financial Results for Q4 F Y 23. Bank of India has reported a stellar result with a net profit of Rs.1, 350 crores for Q4 , which is up by 123 % YoY. I would like to thank the Management of Bank of India for being here with us today to address all of you. Shri Rajneesh Karnatak, MD and CEO , Shri P R Rajagopal, Executive Director , Shri Swarup Dasgupta, Executive Director, Shri Subrat Kumar, Executive Director, Shri M. Karthi keyan, Executive Director and Shri Sankar Sen, CFO of the bank. Thank you, gentlemen, for being with us here on the stage today. We will now begin the A nalyst briefing. To start, I would like to invite Shri Rajneesh Karnatak to address this gathering. After which, we will open the floor for a Q&A session. Over to you, Sir.
Shri Rajneesh Karnatak, MD& CEO:
Thank you, Ma dam. Good evening, everyone. First of all, thank you to all the Analysts for coming here today in physical and also in the virtual mode. Bank of India is a 117 years of successful journey , founded on 7th September 1906 by a group of eminent businessmen fr om Bombay, beginning with one office in Bombay with a paid up capital of Rs.50 lakhs and 50 employees. The bank has made rapid growth over the years and blossomed into a mighty institution with a strong national presence and sizable international operation s. In business volume, the bank occupies a premier position among the nationalised banks.
The Bank has 5129 branches in India spread over all states/ union territories including specialized branches. These branches are controlled through 69 Zonal Offices and 13 NBG Offices. The Bank has Staff strength of 52,000+ as on Mar’23.
Presently Bank has overseas presence in 15 foreign countries spread over 5 continents – with 4 5 branches/offices including 4 Subsidiaries, 1 Representative Office and 1 Joint Venture, at key banking and financial centers viz., Tokyo, Singapore, Hong Kong, London, Paris, New York and DIFC Dubai.
So you already have seen the numbers which have been up loaded. Just a key numbers which I would like to share over here . As far as the business growth is concerned, global business has increased by 9 .27% year on year from Rs.10,84, 910 crores in March 22 to Rs.11, 85, 438 crores as on March 23.
Global deposits h ave increased by 6 .64% year on year from Rs.6,27, 896 crores in March 22 to Rs.6,69, 586 crores as on March 23. As far as global advances are

concerned, they have increased by 12.87% year on year from Rs.4,57,014 crores in March 22 to Rs.5,15, 852 in March 23. As far as the deposit is concerned, domestic CASA went up by 2.72 % year on year from Rs.2,45, 464 crores in March 22 to Rs.2,52, 149 crores in March 23 with a v ery healthy CASA ratio of 44.73 %. Domestic advances increased by 9.56% year on year and they have touched Rs.4,31, 637 crores in March 23. Overseas deposits increased by 33 .04% from Rs.77,063 crores to Rs.1,02,523 crores in March 23. As far as t he asset quality is concerned, G ross NP As declined from Rs.45,605 crores to Rs.37,686 crores in March 23, a year on year reduction of Rs.7,919 crores , 17.37 % reduction. Sequentially also, Gross NPA

s have
reduced by Rs.1,199 crores from Rs.38,885 crores . Net NP As have also come down from Rs.9852 crores in March 22 to Rs.8054 crores in March 23, a year on year reduction of 18.25 %. As far as the profitability is concerned, operating profit improved by 69 .68% from Rs.2,466 crores in Q4 FY22 to Rs.4,184 crores in Q4 FY 23. On sequential basis, it improved by 14 .56% from Rs.3,652 crore s in Q3 FY 23. Net profit improved by 123 % from Rs.606 crores to Rs.1350 crores in Q4 FY23, a sequential net profit improvement of 17 %. For the full year, operating profit improved by 34 .09% from Rs.9,988 crores in FY22 to 13,3 93 crores in FY 23. Net pro fit improved by 18 .16% on year basis from Rs.3,405 crores to Rs.4,023 crores in FY 23.
As far as the key ratios are concerned, NIM improved by 65 basis points from 2.36 % in FY22 to 3.01% in FY 23. Capital Adequacy Ratio is stood at 16.28 % in March 2 3. Provision coverage ratio is 89.68 % in March 23 as against 87.76 % in March 22. Cost to income ratio has improved by 340 basis points year on year from 54.48 % to 51.08% in FY 23. R OE has improved by 6 basis points from 0.43% to 0.49%. R OE stood at 10.31% i n FY 23 as against 10.55%. So with th ese key ratios, I open the field for any questions or observations. Thank you so much.

Moderator:
Thank you so much, S ir, for those wonderful insights and congratulations on the stellar results. We request our teams and analysts here to raise their hand. One of our representatives will hand over a mic to you. We kindly request you that you restrict your questions to two at a time, allowing other attendees to interact with the management. For any further questions, if tim e permits, we will come back to you.
Shri Ashok Ajmera, Ajcon Global
Thank you, Sir, and compliments to the entire team for very good overall annual results for the whole year for the bank. I got a couple of observations and questions and they should not b e taken as one question or two questions because it can be some discussion also on that. I request to permit me to ask those questions and make some observations also. One is that on the quarter, if you look quarter to quarter, the third quarter and fourth quarter, our credit growth is muted almost. The overall credit of the

bank also, if you take the loan book, it is on the lower side as compared to many of the other peer banks. So going forward, are we giving a target of 14%, 15%, 16%? And how are we goin g to grow our credit book? This is one observation and a question. If you come on the digital. This thing is separate segment now started giving in the segment w ise reporting. Whereas other banks are giving as the total capital employed on digit alisation a nd the assets created and the liability created. In our case, we have not given the capi tal employed on the total digita lisation, only given about the loss o r profit of Rs.32 crores or Rs.80 crores of that business done.
So a separate segment requirement b y RBI is basically to give the colour that how much total capital you have employed on the digitalisation, which is a separate segment. Going forward, this segment is going to be developed like anything, and it will have l akhs of crores of business through digital media, and the profit loss and everything can be calculated. So on that, though we have been hearing that so much of amount has been allocated, budgeted, spent on digital, but in your capital employed, you're not mentioned that how much is capital employed on this business. This is something which needs some discussion and some clarification. On the slippage side also, the slippage in this quarter has increased to Rs.2,541 crores from Rs.818 crores in the last time. So if some color can be given on that, some highlights of that. And if you look at the cost side, the employee's cost has gone up by almost about Rs.1,100 crores as com

pared to the last quarter. You know Rs.1,783 crores to Rs.2,867 crores .
Even if you take the extra pension, additional pension and also the wage revision, this together comes to only Rs.400 crores . So still the total cost on the employees has gone up by another Rs.600 crores .
So what is the reason for that? And going forward , how much figure we should take on quarter on quarter basis considering the standard quarterly results with this wage revision and additional pension allocation. And the last one in this round is about the additional provision which the bank is holding be cause if you look at the note number 12, RBI circular 7 June 2019, we have exposure of Rs.7,910 crores on which the provision is only Rs.2,078 crores . Similarly, on other assets also, there is a outstanding is more whether IBC or this as compared to the pr ovision. OK. As per the RBI norms and standard s, these figures have been provided for. But how much COVID buffer we have in the provision and how much overall buffer we have in the provision so as to arrive at some figures in the future quarters to come .
These are my some of the observations and some questions and I may come back again if time permits. Thank you Sir and welcome to you Sir, as the MD and CEO of Bank of India. Karnatak Sir, we have seen you in Union Bank doing wonders in the credit portfol io also there you are heading it and we hope that you will take the bank of India to further glorious heights.

Shri Rajneesh Karnatak, MD& CEO:
Thank you Ajmera ji. You have asked 6 questions. We will take it one by one.
So I'll start with the credit one, advances one. So as far as the global credit growth is concerned , we have grown by 12.87%. As far as the domestic credit growth is concerned , we have grown at 9.56%. So that is I think an adequate growth which is

there. As far as the guidance is conc erned for credit growth we are giving a guidance of 11.27% on the global side and on the domestic side it will be 12.83%.

So it will range from 11% to 12%. So if you will ask then why it is a muted growth say 11% to 12% and now why not 15% to 16% of growt h. So the simple reason is that now the base of all the banks has increased on the credit side , not only in Bank of India but all the banks in the banking system. So the credit growth, I do not think that it will be as robust and as high as it was in FY22-23, when it will happen in FY23-24. So that is one reason why we are giving our growth, which is around 11% to 12% and we are very confident that we'll be able to achieve with a good mix of RAM advances of around 55% and corporate advances of around 45% an d also the international book also within that. So I think that is a good enough advances. Another thing which is very important here is that if you see the data of Reserve Bank of India and the historical data, credit growth is normally two times (2 X) of the GDP growth. So when RBI is saying there will be a GDP growth as per March 23 numbers of 5.5%. Based on the historical data, the growth can be 10% to 11% only if it is a 2 X. So FY 22 -23 was an aberration as far as the credit growth was concerned for t he simple reason that we were coming out of COVID and March 21 base was very low.

That is why the base of March 22 -23 looked high as far as the credit is concerned. But now it will moderate to the levels which are there for the cycle, for the GDP growth also. So this is the reason why we have taken it at 11% to 12%.

So now the next question was on the digital side. I would request our ED Rajgopalji to please take it.

Shri P R Rajagopal, Executive Director

Thank you, Sir. Ajmeraji. We have been talking about this one. If you see, I have given one slide on the amount of loans that have been dis bursed.

Assets created out of digital and the liabilities also created out of digital. We have around Rs.65 0 crores in Agri

and Gold loans. It is in slide n o. 37. If you see that these are all some numbers that we have created in digital. One thing that I would like to clarify is that digital we have started. This is the proof of what w e have done in digital . In MSME small loans , we have already completely digitiz ed. We are the first bank to do an STP till Disbursement and we have also digitized personal loans till Disbursement . We are also the first bank to digitize KCC till the end , till Disbursement stage. Agri Gold is also digitized . SB account is another thing that we have digitized , doing very well. Now the numbers will start coming in. That is one part of the question.

We'll cover it separately from next time onwards once the numbers improve . We'll do that as a part of segment rep orting. Under AS -21, we have not recognized that as a segment as of now. That is a good suggestion. I am taking it. We'll examine that. And if possible, we'll do that. At present, Treasury and the banking is what we have to report. We'll do that separate ly. That's a good thing. But anyway, with respect to the question that you asked, whether we report what is the assets created, liability created. This is what we have started now. It will start improving . IndAS is purely digital. That is one point. Anoth er point in terms of the capital outlay the capital outlay doesn't happen. Basically, it is an expenditure outlay in so far as the IT expenditure is concerned. The budget outlay, to be very precise. For next five years , we already shared with you long long time back. That Rs.5,000 crores is the budget outlay for IT. In so far as we are concerned, we have already spent around Rs.2,000 crores. We have got L OS already in place Lending Origination System which is robust till disbursement . We have got a Lead M anagement System in place which is end to end and live , In terms of customer , he can just see whether his stat us is done or not. Status is available to him on real time basis. This we have already done.

Yeah. It is already taken. It is accounted for fu lly. It is accounted for fully because it comes as a part of Opex. The Capex Pa rt is very very small in the IT expenditure . It is not a big number only hardware comes under C apex . Most of it is all O pex for us. Even our ATMs are Opex so it is absorbed as a part of Opex expenditure . That is another answer for you where our Opex goes up because our Opex goes naturally, our expense also goes up.

The third question, you ha ve asked about the provisions. Yes you are right that Rs.202 two crores have been made and 183 crores plus has been made with respect to staff family pension area. Apart from that, staff expenditure has gone up by Rs.600 crores you have said. This is basically what you see. Last two years there was no much travel in terms of COVID and all. So there was a subdued expenditure in terms of travel. Now really travel has started very well. So TA is another expenditure that has come up and we have also increased certain expenditure and certain perks to the award staff as well as the officers . In terms of their perks for their drivers and all that. That expenditure also gets coming. So this is the final number because normally that kind of perks get revised once in three years. So it is not an issue. This will be there. This Opex expenditure for IT also will remain standard.

Shri M. Karthikeyan, Executive Director

As regards just to supplement Mr. Rajgopal's point of view , the CRM next is one area where we are con centrating much granularly . Earlier, i t was all independe nt, i.e, whatever leads come in , it falls in different places. Now we have integrated t he entire thing. Whatever leads comes through the BC points whether from the social media

and other BC centres all that gets percolated to the branch level and we ar

e mo nitoring
that. So that will take care of the lead generation. Especially under the MSME segment.

Second , coming to the slippage point , your point is well taken. You should see that our slippage ratio has come down from 2.15 % to 1.93 %. That's one good poi nt happening every year, every quarter on quarter. You are right that there's a spike because you should know that agriculturists had some issues in the COVID times and a lot of problems had occurred. So there are some pain points. It was in much higher numbers. But due to our continuous engageme nt with the field , we were able to bring that down . Some Agr i KCC accounts were renewed . Some of them could not renew and as you know rightly the I RAC norms are set in auto mode. So th ere is spike in Agr i. That's about Rs.1,400 crores in the last quarter . It is not a problem and pain point . What is happening is now we have put up task force t eams in each zone to monitor these account s branch -wise for renewal. Once the renewal takes place , then these accounts will come out. Upgradation of those assets will happen. That's about the slippages.

Ashok Ajmera
You said you are there on the S ecurity Receipt (SR) . There is some incremental listing also. Is there any NARCL SRs now?
Shri M Karthikeyan, Executive Director:
Yes you should know that NARCL we had identified two accounts, one in paper and one in sugar industry but we have not had any transactions happening because th e renewal of guarantee for NARCL is expected .
Ashok Ajmera
They have provided on that NARCL SR also 100% . Just thinking whether you also had any such thing where NARCL SR you have received and you have provided for.
Shri P R Rajagopal , Executive Director:
SRs are either in the MTM or in the NPI . In both cases , it is provided 100% . Rs.2500 crore plus are provided for this. Additionally the slippage ratio also we are giving a guidance of roughly 1.4 % for the current fiscal. So the improvement will be on continuous basis in this regard.

Moderator

Thank you, Mr. Ajme ra. We'd like to move on to the next question. A humble request. If you could please introduce yourself and your organization. In addition, it'll be great if we take two questions. It'll make it easy for the management to answer them and ensure that we do not miss out on any important d etails.
Shri Himanshu , Adith ya Birlla Sun life AMC Limited.
First couple of clarifications since your exit margins is around 3.15 %. Last quarter it was 3.28%. I think if I recollect, in last quarter there was interest o n income tax refund of around Rs.250 crores . What was this quarter interest on income tax refund? And if we exclude the

impacts of such item, what is the like to like comparison? That is the first part.
Mr. Sankar Sen, CFO
Last quarter we included Rs.262 crores and in this particular quarter it was Rs.52 crores . So if you remove the element of interest on income tax refund from both the si des, definitely it is almost on the same level . Hence, there would have been no significant aberrations .
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Second is , since you closed the year with a 3% margins and I need the outlook . How one should see your margins for FY24 and what are the levers to attain the same , like what is MCLR book yet to reprice? Secondly, since you have stated in the past as well that you have done l ot of lending to the Government G uaranteed advances. So although that proportion has come down from 12% last year to 10%, how this is going to be incrementally going forward ? Ideally it is to understand how your margins will likely to be and wha t are the levers.
Shri Swarup Dasgupta, Executive Director.
For the financial year 2024, t he guiding number is 3.16 %. That is what we are planning. Then we are again telling that Government Guaranteed Advances we are no

w leveraging .
The thing what had happened earlier, we are more confined to the risk weight. And in this Government Guaranteed Advances , the risk weight is 20%. And because of some issues we are focusing on that. But now what had happened because of that , in some State Government s there is a concentration. So we prudently decide that in some State where we are already reached our threshold level , we are not going to increase our exposure. Coupled with that , the Government Guaranteed A dvance - though the market liability side is demanding no wadays - for one year loan , they are expecting 7.8 % - 7.9%. Whereas if you raise similar type of liability it's very difficult to get. So it will take some time. They also should know that at those rates it's not available. Because of that reason we are no w

shifting towards mid corporate segment. And wherever the quality assets are there we are definitely going to take those assets and protect our market share .
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Sir, thirdly, how much cost of deposits you expect to incre ase from the current level s?
Shri P R Rajagopal, Executive Director .
See, as of now, cost of deposits, 50 b ps is something that we are expecting . It is already factored and rep ricing has already happened with respect to 50 b ps. We don't expect more than this because there is a tapering that we are expecting with respect to rates. If the tapering happens, correspondingly the marginal cost of deposit, so 50 bps has already been factored .
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Sure. Another clarification if you can just give . Your provisions on the investments is around Rs.1130 crores , if you can just give an explanation what led to this .
Shri P R Rajagopal, Executive Director
See, what has happened is there are Security Receipts which were actually held in MTM basis. Their tenor has already crossed the eight years threshold. So they have been reclassified as non performing investments. So whatever was held as depreciation in the investment book has shifted to provisions book.
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Just few more. Last quarte r we made a provision of Rs.806 c rores on your standard loans because if I believe there are five accounts towards which you have provided . What is the current view on those accounts? And do you expect any reversal or write backs on such accounts .
Shri P R Rajagopal, Executive Director
If you see the presentation , you just look at those numbers . Already Rs.850 crores has been reversed and has been accounted for as a provision for NP As. It has been taken into NPL provisioning. The remaining has been kept as a part of 7th June 2019 circular provisioning and additional provision of around Rs.700 crores has been made in 7 June circular in terms of RB I guidelines because of the resolution issu es. So that continues to be there. So these five big accounts , already Rs.800 course reversal has already taken place. Only thi ng is it is adjusted against NPAs instead of reversing it to P and L. So we did not reverse to P and L. We have taken it as addi tional provisioning for NPA. Those

accounts have been in order and there is no default as per 7th June circular . Once there is no default in 180 days, then we can .
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Sure. And the last question . Since you closed the year with a 0.49% R OA, what are your next target for FY 24?
Shri P R Rajagopal, Executive Director
We are looking at 0.75% as our R OA.
Shri Himanshu , Adithya Birlla Sun life AMC Limited.
Okay. Now what is your credit cost guidance for the coming year ?
Shri P R Rajagopal, Executive Director
Guidance will be 0.75%.
Moderator
Thank you so much. Requesting again to please stick to two questions so that everybody get

s a chance to engage .
Mr.Ramesh B hojwani from Me hta and Vakil.
First and foremost, many congratulations on being appointed as the MD and CEO of such an esteemed and such a large bank . It has been an exceptional ly performance year on all parameters. Wherever you look, whichever angle, whichever aspect you look. The bank has per formed extremely well. And I was looking at your non-interest income. Slide 20. There is an observation . Your recovery in written off accounts have crossed Rs.1,073 crores . Plus there is a profit on sale to A RCs. All the heads . Even here you see it has been an outstanding performance. The thought which comes to my mind going forward will we maintain this or we will even outdo this?
Shri M Karthikeyan, Executive Director:
Absolutely. This time what we have done is , we have identified a large number of accounts of small values . We have a very robust non-discriminatory and non-discretionary OTS policies of the bank which has fired and we are able to resolve about 2.5 0 lakh accounts amounting to Rs.5000 crores . That's why these numbers are good. And I don't think this traction will stop. It will keep going and it will further get good benefits in the quarters to come.

ShriRamesh B hojwani from Me hta and Vakil.
Because I felt that your guidance was little conservative which is a very very wise thing to do that you under commit and over perform. That was the thought which I was carrying looking at this I was pleasantly surprised that all barometers the performance has been outstanding. So going forward we maintain this at least. Thank you. All the best.
Shri Sushil Choksey, Indus Equity.
Congratulations on a very stable result. So, first is we have consolidated very well between 2015 to now with various challenges which emerged at that time. The balance sheet and the performance in last two, three years indicate that we can outsmart the industry in very many aspects. So Credit Guide on Growth is one, what kind of initiatives are we taking to garner back our old gl ory?
Shri P R Rajagopal, Executive Director
See, two, three things. If you remember, first of all, MSME, we have lost heavily during that PC A days. Because we said that we cannot have BBB- and BB- accounts. So RWA was an issue at that point in time. So we had to shed a lot of mid corporate accounts and BBB- accounts. So what we have done, we have actually done a very marginal growth in BBB- and BB- account. If you see, our RWA has gone up by almost Rs.30,000 crores compared to the last year RW A. So, the density has also increased. Because I'm today comfortable in capital position . I'm able to grow that portfolio also. So if you see my portfolio AAA and AA portfolio has come down a little but whereas my BBB portfolio has gone up so that is one thing. So I am open to taking risk now dep ending upon my capital position. My position is okay. So I'll continue to take risk. That is the idea with respect to my medium and small industry approach . With respec t to large industry approach, we have not been doing much last year because rates were very fine. What has happened was our liability franchise of course was very good but NIM s were very low . The margins , we had a margin of almost 2.1 %- 2.2%. That kind of margins we had in FY 21-22. So we said that this is not how we should be having our assets . We should actually be shedding our government accounts and other accounts where margins are not at all there. So there was a time when people were le nding at 4.50% and 5% and all . We consciously decide d, we will not do that. That was the time when we actually did a consolidation of our R AM book. Our R AM book

used to be around 50%. We have taken it to 56 % today. So almost 6% growth we have shown over a period of two and a half years in R AM book. Especially our Retail and Agriculture we have grown . Retail very very ag

gressively. We have also grown our MSME reasonably. So this is what is the situation is. So we are again open to corporates . for a very sim ple reason , corporate book is again getting repriced because of the rate hikes. So 450 bps increase in rate hike. Naturally I am getting good margins over there . Still corporate bond market is not alive to that fact that they have to reprice their bond cou pons. So once the corporate bond market comes back and reprice their coupons and if I'm able

to get good pricing on corporates , I'll be open to that. So they will all come back to me for a very simple reason. I am a two pronged approach. One is the digitization , services, ecosystem, banking, all that IC ICI does, I am also doing , all of them. Rollout will happen by September withou t any problem. there was a delay. There was no doubt about it. For a very simple reason. I was suffering the effect of COVID and lack of resources from the IT sector that they did not provide me. There was a consolidation of other banks. I T resources were diverted to consolidating banks and similarly there was COVID . Resources were diverted elsewhere where there was margins for I T industry. So I was not getting IT resources . Now, again IT is coming back to me and giving me services. So I am able to get that . So I'll be able to roll out that. That is one point. Another point is , this is how my book will get rebalanced. So we continue to actually project our R AM to corporate book at 56 to 44. This is what of course we have given our guidance around 58. But in this 58 there will be a lot of medium advances where margins will be there. So because they will also be governed, because MSME definition has changed. So even a mid corporate book will come into MSME. That's why we have given guidance of 58.

Shri Sushil Choksey, Indus Equity.

Every bank may implement all digital initiatives. Maybe the large bank does it first and you do it later. That doesn't matter. But all this initiative needs lot of empowerment where your resources on the ground is concerned. Be it branches or H ead Office or Zonal Office , whatever you want to take it. And that is the real strength of bank, which is visible in the past, it is visible today. But as seniors retire and new talent comes in the bank, I suppose with the kind of initiative w hich you are programming, what will you do that you engage in a better terms to rega rner those customers back?

Shri P R Rajagopal, Executive Director

See, basically what is happening is see almost 80% plus of our asset book is built by the branch and the Zonal office staff. Okay, so still there is a lot of engagement over there and of course ca rporate book is built through our L arge Corporate Branches even today. So there what we are trying to do is we are digitizing the processes and giving more time to our people to actually get into relationship banking, have more RSMs, get connect and form teams and go and meet them and then garner new busin ess. So this is what we are planning. So because of the process not being digitized, this could not be achieved in the last two years. Once process gets digitized fully till STP basis, we'll be able to do that. So many of the staff that we have in large co rporate as well as in the branches and Zonal offices, they'll get freed for sales and service. We'll be able to do a lot of sales and service and getting to engagements. So there will be a lot of engagement from central office also going forward. Because w e are only consolidating, as you rightly said. So we'll again start to do a very extensive outreach this year and we'll meet a lot of clients and then try to get the business.

Shri Rajneesh Karnatak, MD& CEO:

Just to supplement, Rajgopalji, I would like to say here is that we have decided now to have town hall meetings. With our staff , pan India so as to te

ll them what the Top Management wants, what the Board wants and what kind of growth we want now for this year. So there will be lot of en gagement with the staff this year through Town Hall meetings just to engage the entire staff of that NBG and that zone to make them understand what is the thrust area for the bank. Like R AM credit, C ASA advances, retail term deposit that is one thing. The other thing would be that lot of Customer Meets which we will be doing . Customer Meet as far as the MSME advances are concerned, Exporters and Importers

Meet we would be doing , Corporate C redit Meets we would be doing also. So that is another thing with en gaging with the customers so that the customer connect happens and we engage more customers. What we found was that our corporate credit book is holding only 500 to 550 corporate clients which is typically Rs.50 crores and above clients. So that number is quite low. We need to improve that number that will also broadbase our customer clients. Number one, corporate credit also derisk ourselves rather than concentrating on a few corporate clients we will be derisking by making more corporates on our book. So that is another strategy we want to do this year. So there will be Town Hall Meetings connecting with the staff and Customer Meets also wherein we will be meeting the MSME customers, mid corporate customers typically between Rs.50 crores to Rs.250 crores of lending and then the large corporates and importers and exporters meet also. So all these things together which will be helping us. And another thing would be that like we said, that 10% of guidance we are giving on the deposit side and 11% to 12% on the credit side. So that is a moderate guidance, not a very high guidance. But within that what we are more optimistic about is improving our operating profit and net profit. So any business we want to do is a business which gives us profit to the bank and wh ich is profitable for the bank. So that is how we want to approach this FY 23 24, so that we have better margins, better profitability, even though the business may be 11% to 12% of growth. So this is how we want to approach it.

Shri Sushil Choksey, Indus Equity.

So based on the replies what I heard from you , the rates be it in your global book , have peaked. The Fed is more or less indicative. Domestic RBI has indicated the rates have peaked more or less. Maybe this quarter. The MCLR would h ave p eaked. And the domestic G -Sec is clearly indicating it may p ierce 7% and some banks Treasuries in the Con Call have also guided that we may get 6.75% at the year end . In view of that pricing, where corporate book or retail products are concerned and where your Treasury is concerned, how are we positioning?

Shri P R Rajagopal, Executive Director

Today if you see my weighted average yield and the segment wise weighted average yield , we have around 9.10 % in MSME and retail book . Very substantial pricing we are getting today and those debt never gets repr iced unless the RBLR comes up. See some our friend there he is also asked about the composition of the book. 35% of m y book is in MCLR, 50% of the book is in RBLR. Remaining of course are a t higher rate of interest . So this 50% of the book that we are talking about w ill get repriced only much later when RB I actually comes out with a RBLR cut . I don't think that will hap pen in the near to medium term. That is not going to happen. So my margins in that segment are protected as of now. That is one thing . In so far as MCLR repricing is concerned .only a very small portion of MCLR book has been repriced. So that will get rep riced very fast because I've already passed on. So they are coming up for reset. So I'll get my interest income and my margins will continue to be protected over here. So we have a good margins over there. If you see my spread also, when I say spread, I me

an the difference between yield on advances, and the cost of deposits , it is around 5%. So we have a good spread today. So I'll be able to protect my margins. I'll be able to grow. Also, in so far as the rate peaking that we are talking about , rate peaks, no doubt. But at this current rate so I have used to lend at 5.50% , 6%. Sometimes it was like that. It was below even the Call Money Rates. So that was the situation that point in time. So that will not happen. The average lending rate today , even the biggest corporates that I'm giving overnight MCLR or even at RBLR . I am better off . Even at RBLR , 7.90%, I'm giving even without markup . So there even a small markup, people are willing to keep a small markup of 50 b ps. There also I am getting ar ound 8.4 0% - 8.50%. There is no problem there. That is one point . Another point is with respect to MCLR book . Even if I give at overnight MCLR, I am getting around 8% today. So margins are very good so at that rate I am com fortable. Why I was not doing e arlier was because I was not getting this kind of rates . Today I am getting the rates. I will do it.

Shri Subrat Kumar, Executive Director:

I will just supplement what he said. Se e there are two things . One, we are talking about our loan book getting repriced so please also understand, keep ing in mind that deposit will also get repriced with lag, right? So over a period of time that will also normalize. This is point number one. Point number two , if you see our efficiency in raising deposits , deposit cost has come down as well , if you see the cost of fund , the yield on fund and the margin . So efficiently we are raising the resources to fund the trade growth. So that also matters a lot. Going forward Treasury will also follow the same kind of thing. The y will raise the resources based on the liquidity requirement by the internal system very efficiently. So we'll try to minimize our cost of raising resources there and whatever repricing happens , in case it happens , on downward side , this will also take ca re and deposit will also get repriced because we are never aggressive in raising deposit at a very high rate you would have seen in the market. Treasury , going forward , they have taken a call. I think we are having a very m oderate duration at this point of time and we have built our books also over a period of last 2 to 3 months and going forward we will continue with the same trend and

the view is same. Whatever you said, it has peaked out because it is in the public domain. It's not a big thing and it's a matter of time when it happens, maybe from October on wards this will start happening. So at that time we'll take a call. So as it is we are comfortable we are having 4% excess SLR . We can always do the arbitrage based on the market borrowing and all that , so Treasury is doing that job and interest income will always move up in this context .

Shri P R Rajagopal, Executive Director

So far as the yield is concerned. If you are very particular about our yields and MTMs in AFS and H TM Portfolio, I can tell you that we are in a unique position that we hold a good amount of floating rate bonds. So the repricing has happened on the upside in floating rate bonds for us. So therefore our yields are also protected very well in our AFS and H TM portfolio. So there also we don't have pr oblem that some many other bank ’s face. Our MTM l oss are very minimal .

Shri Sushil Choksey, Indus Equity.

So you have passed an enabling resolution for Tier one, Tier two, equity and all. Any kind of thought process on this - during the year. I' m not saying at front end, but, during the year.

Shri Rajneesh Karnatak, MD& CEO:

Already the board has approved that fund raising plan of Rs.6,500 crores . Out of which Rs.4,500 crores would be equity and / or AT -1 bonds and Rs.2,000 crores would be Tier 2 bond. S

o that is already there. So in the quarter coming up, definitely we will be coming to the market and raising some funds. Maybe in the form of bonds also.

Shri Jay Mundhra

Sir, I have a couple of questions on slippages. Last two quarters , we had Rs.1,200 crores slippages. This quarter slippages have increased and even net of recovery upgrades. Last two quarters we had negative slippages. And this quarter is positive net slippages. This is actually in divergent versus the broader sectoral trend where the slippages have been improving. So just wanted to understand what has happened.

Shri M Karthikeyan, Executive Director

As I told you earlier also , you're, right . The spike has happened in the last quarter. In this total of Rs.2, 800 crores , Rs.1400 crores is only because of agricultural advances. These agricultural advances were during the COVID times moratoriums were given and there are some se gment of agriculturalists who could able to renew their KCC advances. So some of the farmers who could not do it , and you know that the bank has already from 2021

onwards , the IRAC automation has been put in place . So the se accounts , because of the non-renewal on time has fallen. But nevertheless, what we are doing is how do we mitigate this? We have already started that in the month of February itself. Specific task force teams have been formed in the Zonal offices and they are given account specific targets to meet the farmers per se , to ensure that they come back and re new th e advances . If that rene wal happens, which is very aggressively happening , in the last month itself , we were able to upgrade about Rs.450 crores . So that renewal if we continuously engage with the Agriculturists , as our MD & CEO has said that meetings with customers will be held more frequently . So the se task force will be meeting the agriculturits in the village camps. That's what we intend to do. We have already started doing in various zones, mostly it is in U P, Madhya Pradesh, Jharkhand , Chattis garh. These are the segments where there is a lot of pain points, where we'll engage more closely with them. And I'm sure that will not cause any problems. Once their renewal takes place, they're going to get interest subvention for prompt payment and incentiv e in future . They will openly adhere to that . That's the roadmap for this quarter .

Shri Jay Mundhra

At least in Q1, we should be seeing as this KCC renewal progress steps up, there should be a reasonable amount of recovery from the account s which have already slipped, right?
Shri P R Rajagopal, Executive Director
Yes, sure.
Shri Jay Mundhra
Secondly, sir, I think this question was asked earlier. There is a spike in the non performing investment provisions and there is a treasury gain spike, right. So I think the provisions which now earlier were standard SR, they have now recognized as NPI. The similar offse t has been in the treasury gains also, right? Is that right?
Shri P R Rajagopal, Executive Director
Yes. It has moved from depreciation to provision.
Shri Jay Mundhra
And lastly, on capital raise, S ir. So now we are in decent position . Earlier also there . As you said that we are targeting 11 % to 12% kind of a loan growth. What could be the timeline for capital raise if you have in your mind equity capital issue , Sir?
Shri Rajneesh Karnatak, MD & CEO

Yeah. So presently we have not thought of . We are wait ing. We'll talk to the analysts and others and then understand what is the best right time to go for th e equity raise ? And another important thing is we may not go for Rs.4,500 crores immediately. Totally. Maybe we will go in one tranche, two tranche, three, depending on the market situation and scenario.
Participant:
Can you highlight our liability mix and how do we improve our Cost to Income R atio

?
Shri Rajneesh Karnatak, MD & CEO
The entire thing is retail. We have got only 1 0% in terms of bulk deposits. 44% is our CASA in the total liability side. The remaining is the term deposit. Out of that, only 10% is bulk. Remaining is all retail term deposit up to Rs. 2 crores . So, Bank of India has a very strong retail franchise. We have 5 ,100 plus branches and then we have seven crores plus customers. So the retail franchise is one of the core domain area and the strength for the bank.
Participant
Do you see challenge in gathering the deposits? I mean, system wise, the credit offtake is going up. Many banks have challenges in deposit gathering to the tune of credit off -take, which is happening. So do you see any challenges there in this month?
Shri P R Rajagopal, Executive Director
We have not seen. See, for example, 31 March 2023 , Financial Year is over. Now, we have done business for one month. It's already April and May started. We have grown reasonably well in deposits this month . Month on month growth , if you envisage, whatever guidance that we have given for deposits will be actually surpassing it if we continue to achieve this. So I see a lot of traction in my retail deposit growth. Our retail term deposit to total term deposit is 82%. Our intention is to take it to 85%. It was 80%. We have increased it to 82%. That means we are able to get the deposits. Resource renewal happened there very well.
Participant
Do you see any cost to Income Ratio improvement?
Shri P R Rajagopal, Executive Director
Naturally . See our yields are improving substantially. Once yield improves, the denominator effect will happen. So Cost to Income Ratio, our cost has happened mostly

because of IT investments and the staff cost because of the settlement that is due since Nov.22 with staff biparti te settlement and other family pension and other provisions that we have made under AS 15 . So these things have actually done and dusted now. And added to that, we are also going to get a good deno minator effect into the good yields that we will get. So our Cost to Income Ratio will be as projected 47%.
Participant
And do you find any sector vulnerable, which you worry that this sector might be more careful going for next one year?
Shri P R Rajagopal, Executive Director

It is actually an ongoing process . We do it on a continuous basis. We don't take a call in the beginning of the year and say that this sector is vulnerable. You don't know. So you'll have to continuously keep on assessing it and continue to do it. But basically our exposure is based on the credentials and credit risk is something completely different. It has nothing to do with the equity risk. Equity risk is taken completely differently. Credit risk is rated completely dif ferent. Even a sector may be bad for equity, but it may be good for credit risk point of view because it has collateral, it has tangible networ th, we have cash flows. There are a lot of factors that come in. So rating takes into consideration a lot of metr ics on the ways o n which we take credit risk. So no sector is untouchable for us. But there are certain sectors wh ich continue to be stressed based on the impaired assets ratio to the total exposure that we have. We'll continue to monitor them, that's all.

Participant

Sir. Exposure to airlines and real estate as a segment. What perce ntage of the book will be there?

Shri P R Rajagopal, Executive Director

We don't have any exposure to airlines except Air India which is now Tata , to small extent. So we have around Rs.3,000 crores exposure in CRE. So , it's a very small exposure.

Participant

If you see that real estate is Rs.86,000 crores .

Shri P R Rajagopal, Executive Director

Within that there is residential mortgage. Home loan, loan against property, small loans. All those things are there.

Participant

The credit cost will be sub 0.50%?

Shri P R Rajagopal, Executive Director

Credit cost guidance is 0.75% .

Participant

Thank you. You basically talked about the R OA expanding by about almost 25 basis point in this year, whereas basically you talked about that the margins will only stabilize. So barring the credit cost coming off on a Y oY basis, is there any other lever that you see, you talked about cost ratios comin g down. I mean, every year we would have some o r the other stu ff which would come via family pension. We will have something else. Obviously the salary hikes also will happen. Your new staff addition will happen as I think you try to grow your book. So wha t could be those levers that you feel so not only talk about the Cost to Income Ratio, if you can talk about in terms of the N et income to assets, cost to assets, how basically a DuPont will really flow for this 25 basis point expansion?

Shri P R Rajagopal, Executive Director

That's a very good question. Basically what we have done is to a great extent we are front loading our staff cost. You see, we have already is we have already provided for almost 33%. So we have a substantial cushion in terms of the rise in the staff cost going forward. That is one point. So we are not looking at costs going very, very high. Because if you see the numerator , I am not very worried about numerator of the cost in all aspects. If you take entire expenses, whe ther it is in the interest expenses or in the Opex, I am not looking at huge increase in the numerator. So increase will be there nevertheless but not in a very significant increase that will affect the cost to assets, cost to other things. So my credit c ost apart from credit cost to assets are going to be severely impacted. That is one point. Another point that we are talking about is insofar as the Denominator is concerned, my cost assets fairly stabilized and continue to be there. So I have become very c ompetitive in terms of my credit c ost, my cost of credit to be very precise. So naturally I'll be able to actually garner better yields so once I garner better yields I'll be able to do that. That's what the idea is. So the levers as you said is going to come from major part of it will come from mid corporate book and corporate book and apart from that there is RAM book. Anyway, we are growing very robustly . Even today , my retail loans are giving good yields. So if you see the home loans have also reached around 9.25% plus so that is one advantage we have and apart from that personal loans have also gone . Once upon a time it was given at 10.75% . We are already seeing it around 15% being given. So delinquencies will be there in that, no doubt. But we have t o choose, we have to actually underwrite properly and ensure that we don't grow very very aggressively because another advantage we have is our base is very small so we have a huge opportunity to grow. If you see our home loan base, it's small. We see a pe rsonal loan base, it is small vehicle loan base, it is small. We don't hold huge market share in these segments so we have a lot of opportunity in terms of increasing market share without compromising on the margins, without compromising on the quality . That's what our outlook is.

Participant

But then basically if you look at mathematically your asset book is going to grow at somewhere about 11 % to 12% broadly . In line with the loans, your Opex will grow at about 10% to 11%, right? So then basically your cost to assets really doesn't improve . If you look at your NI to assets whatever said and done, we know that .

Shri Swarup Dasgupta , Executive Director

A lot of things we are automating . The moment we automate the th ings for micro segment, that will make huge difference. If my entire micro segment , majority of it is addressed by online things, then automa

tically those tasks will be free.

Participant

Your cost will increase by 11 %, 12% or so this year. That's what we can't be sub 10%, right? All along.

Shri P R Rajagopal, Executive Director

From mathematically also, I am not looking at that kind of increase . Because, see, you are looking at a corresponding increase of say for example, I am looking at 12% increase in the credit or even in the asset book. You are saying that my cost is definitely will go up . Cost has got two components . I have already told you . One is basically interest expenses component. Another is an Opex component. I have said my Op ex is already a bsorbed. I have front loaded lot of my Opex so there is hardly any increase in the Opex that will happen going forward. Of course staff costs are there . The staff cost already front load ed. In other Opex costs , mostly 600 crores we have already taken so it is actually it will be stable insofar as the apex cost is concerned interest expenses are not going to increase. That's what I see because lot of repricing has already happened. If you see my repricing of my liability franchise, almost 70% of my liabili ty franchise is repriced and it is almost on par with what the industry liability rates are. So that is one point. So 30% has to be repriced . If there is a rate hike then there will be repricing of the deposits . So I don't foresee a rate increase there. S o if rate increase is not there, my liability need not be repriced. So there I find stability over there. There is a reason why I'm saying . I am not looking at 11% increase in the expenses . Last five, six years I've been looking at overheads . I'll give you another number that you'd be interesting to you. Overheads number is around 1.5% by we look at

for the purpose of fixing MCLR, it has not gone up for quite some time . In so far as I am concerned, despite all these provisions and also my ove rheads continues to be hovering around 1. 5%, 1.6%. So as long as it hovers around 1.5 % to 1.6 %, I will not have any problem in terms of my cost to assets. If that overheads goes up, there is a problem . That's what I already told you . Overheads will not go up because my Opex has stabilized. So interest expenses are not likely to go up because the external environment, the rate has stabilized. So these are the levers on the basis of which I am actually projecting my growth .

Shri Rajneesh Karnatak, MD & CE O

Present C ost to Income Ratio is 51%. The guidance we have given is around 47.5 0%. So that is another thing where it will come. And another important thing is the non interest income which will be driving this year very strongly. So Rs.7,000 crores plus we had a non interest income this year for the full twelve months. So this year definitely we'll try to get it as high as possible.

Participant

Secondly, the question is to MD and CEO. So basically you've come from Union Bank where we have seen some kind of cultural shift or some tightening that we have seen over there, which obviously the investors have liked. We have seen that reflecting into the stock price as well. But you believe that kind of thing need to be done in Bank of India. Number one. I know it's been not many days that you've been over here. Secondly is from the cultural shift. Second is that basically what are the weaknesses that you see in Bank of India when you were there in Union Bank ? Right? I'm sure that peer comparison always there in terms of that. This is a portfolio where they are strong. This is a portfolio where they're not that strong. Underwriting needs to be strengthened, risk management needs to be strengthened. So any gaps that you basically identified and that you would want to

address at least in the first year of your job.
Shri Rajneesh Karnatak, MD & CEO
The second question I will a nswer first. See it is too early for me to do a comparison. So

both have different star ting points. There was amalgamation which happened in Union Bank. In Bank of India there has been no amalgamation. So that is the basic point. Another thing, starting point for both the banks are different and it is too early for me to give what are the st rong points and weak points. It is just one week that I have joined over here. As far as the cultural shift which you are saying which happened in Union Bank, which the market is taking it very positively . Here also I would like to say is that in today's Board Meeting I also said that we will also go through certain transformational journeys. Whether it is on the I T side, digital side, structural side and also on the HR side. So these are the things which will change the mindset of the staff and also the clients. So what I was say ing earlier that there will be T own Hall Meetings with the staff, there will be customer outreach.

All these things wil l not only help the credit to grow, but also the recovery to happen once we go and outreach to the defaulters. Also all that kind of thing will help. And Union Bank, if you compare with one point on the C ASA side, Bank of India is very strong. So 44% of CASA with a seven crores deposit franchise, that is big. So there are already very strong points which are clearly evident on the slides itself. So definitely the starting points are different. But with the transformational journeys that will be taking place , which will be taking over the next twelve months, definitely the things will change for the better.
Participant
Best wishes sir. Thank you.
Moderator
This is one last question from the digital attendee. The question is what is the impact of RBI consultation paper proposal for ECL for next year? How much impact on capital adequacy will be there? What's BOI's position ?
Shri B. Kumar , General Manager
With respect to the ECL is concerned , we have already provided the feedback we have to give to IBA which they will consolidate and give to RB I. Internally we have assessed also . I think , our additional provision requirement will be in the range of Rs.20,000 to Rs.25,000 crores and will be stagger ed in a period of five years. Based on that projection , this year when we are going for our capital plan , we are projecting around Rs.4,500 crores raising of the equity capital. We have already given a suggestion to spread it for next five years. I think we are in a comfortable position. That is not much is going to affect as far as doing the business is concerned as we are planning from the very beginning of the guidance note. We are also planning to engage a consultant for guiding us f rom the very beginning to whole approach of ECL . That is also in the pip eline. And you all know very well since last two , three years we are presenting the projected numbers with regard to ECL numbers, Ind AS numbers to RBI. So no problem as we know our figures. Hence, we can migrate to it very smoothly. That is not a concern for us as for the time being, as we are having a well-planned strategy in place.
Moderator
Thank you. I hope that answers your question, Shri Manoj. That will be all from the analyst meet. Thank you Shri Rajneesh Karnatak and the Bank of India 's Management team. We will now conclude this gathering .

Call: Aug 2023

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Sub: Q1 FY 2023-24 Earnings conference call
with Analysts/ Investors - Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
conference call Q1 FY 23-24 held on 31.07.2023.
The transcript of Q1 FY23-24 Earnings conference call is uploaded on Bank's
website and the same can be accessed through below link :
https://www.bankofindia.co.in/AnalystConferenceCallTranscript
This is for your information and records.
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“Bank of India
Q1 FY’24 Earnings Conference Call”
July 31, 2023

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P R Rajagopal, Executive Director
Shri Swarup Dasgupta, Executive Director
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director

Ladies and Gentlemen,
Good evening and welcome to BANK OF INDIA Q1 FY24 Conference Call. I would
like to thank you all for taking out time and joining us today.

We have with us Shri Rajneesh Karnatak, MD & CEO, Shri P R Rajagopal, Executive Director, Shri Swarup Dasgupta, Executive Director, Shri M. Karthikeyan, Executive Director, Shri Subrat Kumar, Executive Director and other Top Management team from Bank of India.
Participants, we have placed all microphones on mute. At the end, during the Q&A session we will be sending you a request to unmute yourself in order to ask questions. I will take you through this process before the Q&A Session. However, the management wil l continue to remain unmuted throughout the session. I would now request Shri Rajneesh Karnatak to address the gathering. Thank you & over to you, Sir.
Shri Rajneesh Karnatak, MD& CEO:
Thank you so much. Good afternoon to all the Analysts present over her e.
Ladies and gentlemen, I extend a very warm welcome to each one of you for today's interaction and share with you the financial results of Bank of India for Q1 23-24.
The global economy has shown resilience and is recovering slowly led by the services sector amid persisting challenges and widening divergences among economic sectors and regions. The tighter financial conditions with hawkish monetary policy stance & lull manufacturing and investment has stalled global growth momentum. Though the global he adline inflation has moderated but the core inflation is still stubborn hurting the economy. The global economic weakness is also reflected in trade forecast of IMF with expectation of decline in growth in world trade volume from 5.2% in 2022 to 2% in 2023 .
IMF, in its latest World Economic Outlook of July has projected a decline in global output growth rate from an estimated 3.5% in 2022 to 3.0% in both 2023 and 2024. The Emerging market and developing economies are expected to grow at a better rate, i.e., 4.0% in 2023 and 4.1% in 2024. Global headline inflation is expected to fall from 8.7% in 2022 to 6.8% in 2023 and 5.2% in 2024.
Despite potential headwinds from weak global macroeconomic conditions, Indian economy is poised to be the fastest growing major economy in the world. Several high frequency indicators point towards a strong rebound in the industry sector. There has been pi ck up in capital formation in the economy due to significant increase in production of capital goods and infrastructure and construction goods. The economy

is having twin balance sheet advantage with strong balance sheets of banks and corporate sector. The GDP growth rate for FY 23 has been estimated at 6.5% by the RBI on account of high capacity utilization, strong growth in services sector, growing manufacturing sector and high growth in agriculture sector. There has been a comfortable forex reserves. Hea dline inflation is also within RBI tolerance level at 4.8% in June 2023.
I am happy to announce that the Bank's Net Profits for Q1 FY24 stood at Rs.1551 Cr up by 176% YOY from Rs.561Cr in Q1 FY 23. There has been improvement in NIM by 49 bps from 2.54% in Q1FY23 to 3.03% in Q1 FY24. Domestic NIM also improved by 50 bps from 2.87% in Q1FY23 to 3.37% in Q1 FY 24.
Asset quality further improved with reduction in Gross NPAs, both amount wise and percentage wise. The Gross NPA Ratio was brought down to 6.67% in Ju

ne'2023
from 9.30% in June'22 and Net NPAs to 1.65% in June'23 from 2.21% in June'22.
Slippage ratio improved from 0.69% in Q1 FY23 to 0.53% in Q1 FY24.
During this quarter, the Bank has expanded its global credit growth to 8.48% YOY, with increase in RAM advances share to 55%. We expect credit growth of 11 -12% during the current year. To enhance yield on Advances and NIM, the Bank continues to align its assets growth to high yielding areas with focus on RAM advances and Mid Corporate advances . With the Bank's continuous drive for managing asset quality, we expect Gross NPA ratio to be contained below 6% and credit cost between 60 bps to 70 bps. We aim at maintaining NIM above 3.0%, thus ensuring a sustainable growth in profits. I would also agai n thank you for all your continued support. And now the floor is open for discussion and question and answer. Thank you.
Moderator:
Thank you S ir.
Participants, we would now like to open the Analyst Meet for Question and Answer. All of you will notice a s mall icon on the screen, a hand sign. Once you press it, it will alert us that you would like to ask a question. We will go around one by one. The

analyst asking the questions will be unmuted. You will get a notification on your screen to unmute yourself. Kindly click on Unmute and identify yourself before asking the question. Each participants will be allowed to ask three questions. If they have more questions, they are requested to join the queue again. As soon as someone presses a hand icon to ask a que stion , we will enter the participant in the questioning queue. The first question is from the line of Mr. Ashok Ajmera . Sir, you may proceed. Mr. Ajmera, you may proceed. We will move to the next participant . Next in line , we have Mr. Ajay . Sir, you may proceed.

Mr. Ajay Verma
Thank you for the opportunity. This is Ajay Verma. Sir, NII has increased on absolute basis on QoQ basis . But our NIM i s down during same p eriod. So any reason for that, Sir?
Shri Rajneesh Karnatak, MD& CEO:
You are right that N II has improved . Net Interest Income which was Rs.4,072 crores in Q1 FY23 has improved to Rs.5,915 crores. In th e Q1 FY 24 there is an increase, healthy increase of 45%. However, our NIM has been at 3. 03% in June. But if you see the Q 1 FY 2 3, it has improve d from 2.5 4% to 3. 03%. This is the improvement which is there as far as NIM is concerned. So, otherwise the NIM was for entire financial year was 3.01%. So in that way, the NIM has been protected by us. And for the guidance sake also, the NIM will be prote cted at 3. 03%, at this level only , for this Financial Year 2024.

Mr. Ajay Verma
Sir, any interest we earned during the quarter from Income Tax Refund?

B. Kumar, CFO
Yes, Sir. We got Rs.472 crores income tax refund.
Shri Rajneesh Karnatak, MD& CEO:
This was our CFO Mr. Kumar who was responding to the question.

Just one more clarification, Mr.Ajay. On the NIM side, if you see our domestic NIM that we have given in the presentation also. So our domestic NIM has improved to 3.37% in Q1 FY 24 as against 2.87% in Q1 FY23. And the overall NIM has come down because there was some stress in the NIM which was there in the overseas NIM, though it has improved from 0.97% in Q1 FY23 to 1.36%, though the expansion has not been much because of the overall stress in the Overseas book, because of the hardening of rates in the European and the American markets. So otherwise, overall the NIM is quite healthy at 3. 03% in Q1 .
Mr. Ajay Verma
Okay, one thing on this ECL guideline. Suppose if RBI implementing on a full swing ECL guideline, then what would be the position of CET 1 and overall CRA R by this Q 1? And in order to improve the position of CET 1, when we are l ikely to take a suitable

steps like fund

raise by equity or any other mean to support the impact for both on account of ECL?

Shri Rajneesh Karnatak, MD& CEO:
So as far as our capital adequacy is concerned, Ajay, we have a very healthy CRA R which is at 15.6 0% presently . Out of which , the Ti er 2 is 1.8 0% and Ti er1 is 13.8 0% overall at 15.6 0%. So, as far as raising of capital is concerned, our Board has already approved raising of capital of Rs.6,500 crores in this F inancial Year. Out of which , Tier 1 will be around Rs.4,500 crores and Ti er 2 will be Rs.2,000 crores. As far as Ti er one is co ncerned , for the capital part we will be looking at an opportune timing of the market to come out with whatever QIP or whatever we decide. But our Tier II bonds will be coming in the next three to four months. This is what we have decided as far

as the ECL is concerned. See, ECL is a draft guideline which has been circulated by Reserve Bank of India presently to all the banks , scheduled commercial banks. So we are also seized with those guidelines and those back paper calculations have been done by all the banks including us also. So we are awaiting the final guideline from Reserve Bank of India and they are cognizant with the issue that once the ECL kicks in and if they do not provide any dispensation to the banks there will be some issue as far as the CRAR is concerned for all the banks. So let us wait for the RBI guidelines to come out and then we can give you a clarity on what the numbers would be.
Ajay Verma
That's it from my side. Thank you sir. I'll just move.
Ashok Ajmera
Compliments to you , Sir. You are fully now settled here. Because in the last meeting you had just joined as the MD & CEO . Sir, compliments for the fantastic performance. If you look at the operating profit , in fact it is looking lower than last quarter in numbers. But if you remove the one off component of last quarter's Rs.1,646 crores for SRs classified to NPI , then your operating profit has gone up by almost about Rs.1,200 crore s in this quarter. Now this Rs.1,200 crore s, how it went up in just one quarter so high. So it is becaus e the employee cost has gone down by Rs.610 crore s in this quarter and the overall expenditure has gone by Rs.200 crore s and the net interest Rs.400 crore s benefit. So this Rs.1,200 crore s additional has come. So my question, sir and I would like to seek a guidance here. This thing that whether this trend of Rs.3,752 crore s operating profit will continue with some more growth and whether the employee cost will remain down to Rs.2,251 odd crores with some minor increase and the expenditure also will be on control. Because your actual profit , operating profit is much higher than the last quarter. If that one off item is taken out.

Shri Rajneesh Karnatak, MD& CEO:
Ajmiraji, as far as our operating profit is concerned , you will see that in Q 1 FY 23 our operating profit was Rs.2,183 crores. So for the Q 4 FY 23 it had shot up to Rs.4,184 crore s because of the one single item of Rs.1,646 crore s which pertained to the SR provisions and the classification to NP I. So if we net it off, remove that item from there , our operating profit still was Rs.2,538 crores in Q 4 quarter. So now it has improved to Rs.3,752 crore s. You can clearly see our interest income , YoY basis , now it has touched total interest income Rs.14,359 crores . If you closely see our numbers , the growth in interest income of the bank alone has been 44% YoY basis. If you see the interest expenses, bank's interest expenses have touched Rs.8,444 crores and the YoY growth is 43%. The N II which is there , we have put it at Rs.5,914 crores with a growth of 45% and other income has grown by 27% to Rs.1,462 crores and operating expenses, as you know, they have grown by only 19% as you rightly said. Our operating profit could finally make i

t to a figure of Rs.3,752 crores. But we are very
sure and confident that our operating profit will continue to grow and we are giving a guidance of having an operating profit growth of around 30% YoY basis i n March 24 numbers.

Ashok Ajmera
Here also we can go almost up to say Rs.4,500 to Rs.5,000 crores per quarter in the next three quarters ?.
Shri Rajneesh Karnatak, MD& CEO:
No, I would not say in that manner. See if you see our operating profit it was Rs.13,393 crores. So on that if you take a markup of 30% that is the guidance we are giving for the market for March 24 .
Ashok Ajmera
Operating profit looks little conservative. But anyway Sir, in your major announcement, the policy thing when you came in the last meeting you said we are developing a concept of T own Hall Meetings with the staff and this thing and then simultaneously we are also going to have a lot of customer deliberation, cu stomer meets and this thing. So whether those things have come in place and have started yielding the results and what is the roadmap for that sir?
Shri Rajneesh Karnatak, MD& CEO:
Ajmeraji, we have already started that. T o just give you a sense , myself a s MD , I am

also moving into the market an d we have 13 NB Gs which are hand led by the field General Managers. I have already done five customer meet s and town hall meeting s, out of the 13 NBGs which are there pan India. Apart from that , the four Executive

Directors with us in Bank of India, all the CGMs at Head O ffice, all the General Managers at Head Office, they have also been assigned guardian role for the NBGs and the Zonal Offices which are our 82 offices. So , they have also started moving into the fiel d. So pres ently there is no NBG or Zonal O ffice which is left unturned by the Top Executives at Head Office during the last three months . We have visited all the zones, we have visited all the NBGs . We are conducting cus tomer meets, we are conducting Town Hall Meetings and the results are already showing. We have a pipeline in corporate credit of nearly Rs.40,000 crores as I told the TV channels today and as far as the fresh sanctions are concerned , during this financial year from 1st April onwards , we hav e sanctioned fresh enhancements to the tune of nearly Rs.30,000 crores , as we speak.

So definitely there is lot of traction even in the R AM sector, whether it is Retail, MSME, Agriculture . MSME also has started picking up. Once our numbers come for September 23, definitely you will see them in the Balance Sheet.

Ashok Ajmera

Sir, one question is on the investment. The profit on the sale of investment has come down drastically to Rs.297 cro res as compared to the last quarter of Rs.1,700 crore s and overall Treasury , if you see segment wise , alpha has come down little bit by about Rs.200 crores. So on the Treasury front, how are we placed and what is the status of our AFS book with the Modifie d Duration and how do we plan to reap the benefits now in the Treasury going forward? Sir?

Shri Rajneesh Karnatak, MD& CEO:

Ajmeraji. Our treasury head, Mr Sasidaran, will be responding to this.

Sasidharan – GM Treasury :

Yes, good afternoon Sir. The figu res which you talked about the T reasury income from Rs.1,717 crores for Q 4 FY 23 and it has moved to Rs.297 crores. And if you see the subtext below it, there is a Rs.1,646 crore s which has accrued on account of provision of shifting of Security Receipts w hich has been classified as NP I which was a standard asset earlier. So taking that out , I think the profits are slightly more than what has been achieved last year. Now , coming to the specific question as to how we are placed with respect to the market dyn amics , I would like to say that Sir, as on 31 .03.23, the Modified Duration of our portfolio of SLR was 1.2 which has moved to 2.3. If you see the non

SLR investments, this is slide number 14. The AFS M Duration has moved from 2.77 to 2.67 totally. The port folio size also has gone up from Rs.44,669 crores to Rs.47,616 crores . The total AFS Modified Duration for us is 2.40 % and we are sitting at a PV 01 of 11 and we expect that the interest rates have neared the peak or it has more or less peaked out.

But the only thing is that we are waiting for the Fed and others to come out with their actions. The expectation is that the higher for longer , as far as Indian markets are concerned , the repo rates will be staying here at around 6.50 and we are well place d in terms of MTM. We don't have any MTM as far as our SLR securities are concerned and as things move down , we expect there's going to be good gains on the Treasury book.

Ashok Ajmera

Thanks a lot for such an elaborate listing. Last question in this rou nd on tax angle . On the taxation our provision is Rs.1,376 crore s on a profit of Rs.3,000 crore s which comparatively seems to be very high and at the same time just to bring in that in other income we have got the interest on the income tax of Rs.471 cror es. So on the tax front what is the tax calculation for the entire year because in just one quarter itself we are providing Rs.1,376 crore. So what is the DTA effect and what is the M AT effect that has been taken into it?

Shri Rajneesh Karnatak, MD& CEO:
Ashokji, our CFO will be responding to this.
B. Kumar , GM & CFO :
Sir, actually correctly pointed out that our tax rate has been high when compared to 35% normal t ax rate . Actually the Bank make provision for tax based on the overall estimated pro fit to the Bank during the year . It is estimated during the beginning of the year and provided on a quarter ly basis. And now this time what we have taken our call is that due to higher allowable deduction and tax provision there is a tax loss due to which the bank is not able to claim credit for the taxes paid abroad. According ly, the bank has chosen not to create the DTA on the tax losses . As a result , the effective tax rate is higher to that extent. Since it is calculated at the beginning of the year , it looks higher. It will be even ed out when coming to th e whole year . But our tax rate as of now is only 35 %. That will be averaged out during the course of the year. And coming to your other point , yes there is a Rs.472 crore s, we got interest from income tax refund that is already booked in our income.
Ashok Ajmera
This is just one of f income I mean once in a year.
B. Kumar , GM & CFO :
Yes sir, correct.
Ashok Ajmera

This tax, w hether the provision on the standard asset some of these provisions domesticall y also you said about global, some domestic provisions are also not allowed. So how much that component is there in that?
B. Kumar , GM & CFO :
Sir, it is not that . Overall we take for the year ass essed and estimated , maybe going on, every quarter , we maybe able to give the details.
Ashok Ajmera
Problem these were some of my questions in this round if time permits I'll come back again. Thank you sir, thank you and all the best.
Moderator:
Thank you next in line we have Mr Chintan Shah . Chintan, you may proceed . We'll come back to Chintan . Next we see is Mr Suraj Das.
Suraj Das :
Thanks for the opportunity. Again the question is on the income tax refund . I mean your NIM if I see on the reported basis it has declined only by 12 bps but if I exclude this income tax refund of Rs. 472 crores , then roughly I think it has something like 20 - 25 bps impact on the NIM. So the NIM, if I exclude this , then NIMS have fallen more sharply on a Q-o-Q basis , while if I see the other PSU banks , there they have reported broadly stable kind of NIMs on a Q-o-Q basis . So jus

t I wanted to know your view on
the core NIMs going ahead in coming quarters as well as for FY 24 perspective and a consequent question would be you have given in your presentation that one third of the book is roughly MCLR link ed. So I mean how much of that book has been already repriced and how much is yet to be repriced or do you find any challenge in rate pass on the MCLR side in the corporate book? That is my first question.
Shri Rajneesh Karnatak, MD& CEO:
As far as the impact of this Income Tax refund on the NIM is concerned, let me explain again. Our NIM is 3.03% as on Q 1 FY 2 4 and it has improved from 2.54% which was there in Q1 FY 23. So it has improved definitely from 2.54 % to 3.03 %. However the overall for FY 23 was 3. 01%. But if you break up the NIM, our domestic NIM has closed at 3.37% as against 2.87% in Q 1 FY 23 and overseas NIM also has improved from 0.97% to 1.36%. But if you factor in that income tax refund definite ly there will be some erosion of that NIM but nonetheless overall it is protected and as far as Bank of India is concerned our guidance is that the NIM will be protected in FY 24 also and we will be above 3% in FY 24.

Suraj Das :
Okay understood. So basically if I see the core NIMs this quarter is around 2.8 - 2.9% if I ex clude this Income Tax refund so that you were saying that probably 3% would be your protected NIMs for the FY 24 level which seems like in next couple of quarters there would be rise in the core NIMs part… Understood.
Shri Rajneesh Karnatak, MD& CEO:
On the MCLR I will be responding just the CFO would clarify much further.

B. Kumar , GM & CFO :
Sir with regard to the NIM, just I want to clarify that we have not taken that I ncome Tax refund when we were computing th e NIM at 3.03%. If you a dd that one , our NIM is additional 20 bps. So we have not taken that Income Tax refund when we are working out the NIM. Otherwise my NIM is around 3.23 %, entire global NIM. This is for clarifica tion S ir.
Suraj Das :
Okay that is very clear.
Shri Rajneesh Karnatak, MD& CEO:
So on the second part regarding the MCLR, if you see our breakup of advances, only 6% of our advances are fixed rate. So , 94% of our total loan book is flo ating which is either MCLR or EBLR linked which is R BLR. As per RBI guidelines wherein we give it to MSMEs and Retail loans and some corporate book is on the E BLR side w hich is linked to the R epo Rate and others are Base R ate. The old ones which also get repriced. As far as the yield on advances are concerned, not much pressure will be there because as per the RBI circular we are resetting our MCLR also on a regular basis once the marginal cost of funds increase s. So last time also we had increased our MCLR by 5 bps last month. And this month also we will be increasing the MCLR by another 5 bps post the A LCO meeting. So ALCO meeting has already happened. So we'll be announ cing that also.
Suraj Das :
Okay. And most of the MCLR book has already been repriced. Would th at be a fair assumption?

Shri Rajneesh Karnatak, MD& CEO:
So as far as the MCLR is concerned 47% of our MCLR book has already been repriced. The remaining 53% will get repriced in the next four to five months.

Suraj Das :
Okay. Understood. Now moving on to the second question. So if you look at the staff cost on a Q oQ basis , it has declined. So just wanted to check if there is any kind of retirement provision r eversal or there is something else. That is why I wanted to check.
B. Kumar , GM & CFO :
Sir, it is only a minor reduction. It is not some major reduction. So , over a course of period , certain provisions are added / delet ed, there is not much of a variation. Whatever we are providing for family pension , if you see, we have giv

en clearly in our
Notes to A ccount s. As against Rs.32 crore s we have provided Rs.50 crore s as well as we are also providing for wage revision of around Rs.186 crore s. These are all provisions we are continuing and th ere is only few other expenses which may come during year ending time. Which may not happen during quarter ending time . That is why you may be seeing some aberrations.
Suraj Das :
Okay, understood. And the last quest ion would be sir, on your slide 18 you have shown for Q 1 FY 23 Yield on Advanced is 6.5 3%. Yield on investment is 6.4 0% but the overall yield on fund s is 5.46 %. Just wanted to check this 5.46 %. Is there any printing error or am I missing something else.

B. Kumar , GM & CFO :
Yes Sir. That is correct Sir.
Suraj Das :
Okay, Thanks Sir.

Moderator :
Thank you. Over to you Mr. Chintan.
Chintan :
Thank you for the opportunity, Sir. Two, three questions from my end. Firstly, we had a strong deposit growth during the quarter of roughly four percentage & odd , QoQ. So is there any strategic changes behind it which led to this growth in this competitive scenario? Just one thing on that. And secondly, relating to that, we have also seen a dip of roughly 27 % QoQ in the borrowings. So is it the strategy of raising deposits and offloading the high cost borrowings? Is it something like that? If you could just highlight on that.

Shri Rajneesh Karnatak, MD& CEO:
Chintan, you rig htly noticed that there has been an improvement in as far as our retail deposits and overall deposit is concerned. Just to give you a sense, bank of India has a very strong franchise and we have 5200 branches. We have nearly eleven crores of customer base against which we have a very strong 44% of C ASA base. And our CASA which has grown and touched Rs.2,60,000 crores in June 23 as against Rs.2,42,000 crores as on June 22. So the growth in C ASA has been Rs.18,000 crores in the Y-o-Y. So that has been a very good number as far as the C ASA is concerned. If you see further in the liability side of the book , only 12% of our total liability is bulk deposits. The remaining 88% liability is retail term deposits and CASA . So that is the strength of the Bank and this is what we are riding on and this is what we are trying to enforce through our franchisee. A lot of initiatives have been taken by the bank for improvement in customer service and delivery of the products. That is now resulting in better numbers for the Bank. As you said, that for the deposit and the borrowing side, reduction in the borrowing ha s been a conscious call by the M anagement to reduce the borrowing and optimize the overall returns.
Chintan :
Sure, S ir. So I think, Sir, we had a deposit growth guidance of 10% for FY 24 as per the last analyst call. So would we like to up the guidance on deposit and advance growth or would we continue with the current guidance?
Shri Rajneesh Karnatak, MD& CEO:
Chintan, our guidance for March 24 for both deposit and advances remains the same, which had been said earlier. So deposit will be growing at around 10% to 11% and for credit, 11% to 12% for March 24.
Chintan :
Sure. So if I'm not wrong, just one thing to clarify on the margins p art, I think earlier we had a guidance of roughly around 3.1 0% on margin. So now it is more than 3% for FY 24, right?
Shri Rajneesh Karnatak, MD& CEO:
No, it was always three plus. So presently like we have shown a 3. 03%, we are saying that our margins and NIMs will be protected.
Chintan :
Okay, sure. And so sir, have you mentioned any guidance, the guidance on this Ro A and Cost to Income Ratio also remains unchanged. Right, Ro A 0.75 and Cost to Income of around 47 %.

Shri Rajneesh Karnatak, MD& CEO:
Yeah, that guidance remains the same.

Chintan

:
If you could just help me with the book breakup in terms of fixed and floating and how much would be MCLR linked and EBLR link ed that would be helpful.
Shri Rajneesh Karnatak, MD& CEO:
Yeah, that is slide number 12. To give you a sense , Our R BLR is 42% out of which corporate credit E BLR is 16%, MCLR is 35%, fixed rate is 6.31% BPLR which is very small, insignificant at 0.23% and others is 9.81% and base rate is 6.26%. This is how

our loan book is broken up. S o floating is 9 4% and fixed is 6%.
Chintan :
Sure, sir. So I actually missed that slide and one thing on the deposit cost . This quarter we had a deposit cost rise of 31 b ps QoQ. But this should now slowdown from here on. Right, since now already we have grown four percentage and we are guiding for 10% – 11% deposit growth. So the deposit cost should kind of more or less peak around in Q 2 or so. Can that be assumed?
Shri Rajneesh Karnatak, MD& CEO:
Yeah, there will be some uptick in the deposit cost but it will peak in the next coming one or two quarters as you rightly said.
Chintan :
Sure. And so one thing just to clarify on the tax regime so currently we are on the old tax regime, if I'm not wrong and is there any vi ew as to when are we shifting to the new tax regime or would we be comfortable with the old only as of now?

B. Kumar, CFO
At present we don't have any plans to migrate to new tax regime but we'll be taking a call at an appropriate time, sir.
Chintan :
Okay, I think that's it from my side in this round. I'll come back in the queue for follow.

Moderator :

Thank you. Next in line we have is Mr. Sushi l C. Choks ey. Over to you, sir.
Mr. Sushi l C. Choks ey
Good evening to Bank of India team. Congratulations for very stable and good numbers and very positive guidance which you have given . What would be our CD ratio and credit cost at FY 24?
Shri Rajneesh Karnatak, MD& CEO:
Sushilji as far as the CD ratio is concerned , presently our CD ratio is 74.41 %. If we knock off the CRR and SLR which is required as per the regulatory guidelines we can go as high as 77.5%. So with the growth of 10% which we are saying for deposit and guidance of 1 1% to 12% for credit , we are anticipating our CD ratio should be around 76% - 77% for March 24 . .

Mr. Sushil C. Choksey
The credit cost which have been at 0.75 and 0.79 for last two years and 0.67 for current quarter. Will it be lower than them or will you maintain here?
Shri Rajneesh Karnatak, MD& CEO:
Our credit cost has improved significantly from 1.21% in Q 1 FY 23 to now 0.64% in Q1 this year. But we are giving a guidance of 60 to 70 b PS only in this range for credit cost.

Mr. Sushi l C. Choks ey
That's excellent number. Related to that, your guidance on Q 1 you have achieved 14.90% on Ro E and Ro A is 0.7 0%. Will you improve from here or it will be remaining stable here?
Shri Rajneesh Karnatak, MD& CEO:
Definitely it will improve. Already we have touched the RoA of 0.71% and Return on Equity of 14.90 %. So definitely we would be improving on this number for March 24.

Mr. Sushi l C. Choksey
Sir, very clearly visible that Bank of India is coming out of slumber or consolidation, whatever word you want to use in last two, three years or maybe a little longer . What kind of business mix are you likely to see that these numbers would beat your

guidance? How much of public sector and private sector are we holding in our books where credit is concerned? Can you break up that divide?

Shri Rajneesh Karnatak, MD& CEO:
As far as the book is concerned , we have taken a conscious call that in FY 24 our loan book would look like 55% of that would be in RAM and 45% of that would be in Corporate. As far as the granularity of that is concerned, in this year number pres

entation you must have seen our state government advances. They have gone down by 15% YoY basis. And that is a conscious decision we have taken. So we want to build our R AM book which is Agriculture, Retail and MSME book. And also on the Corporate side it will be a balanced growth wherein we will be giving push to infrastructure and to industry. Also i n industry there is textile , there is iron and steel, there is food processi ng, there is pharma and traders are also there and export is also there. So the growth would also be totally balanced as far as the Corporate book is also concerned. So we have robust ten Large Corporate Branches and we are also planning to restart our Mid Corporate Branches with 18 new M id Corporate Branches will be opened up this quarter subject to the approval of the committee that also we are trying to do.
So the thrust will be on mid corporate advances Rs.50 to Rs.200 crore s and also large corporate ad vances from the ten existing large corporate branches. Another thing which I would like to say Sushilji over here is that we are trying to give Corporate advances where we are finding some commercial sense. This is what we are trying to do. And our main th rust is improving the Net Interest Income, the Net I nterest Margins, finally the operating profit and the net profit and also reducing the Cost to Income Ratio. So overall the package is for improving the profitability, improving productivity and operational efficiency in the system.
Mr. Sushi l C. Choksey
Any outlook on international book? And one question to Mr. Raj agopal on digital spend. He's been answering that question for last four or six quarters. So I would like to hear his voice on the sam e. International book first. Sir, if you can.
Shri Rajneesh Karnatak, MD& CEO:
So international book see presently our International book is 16% of the total global book. And our guidance is that it will continue to be maintained in spite of the headwinds the global economy is facing, especially in the USA, Europe and other parts with the rising interest rate by Fed and other central banks. So in spite of that, we continue to give the guidance of 16% of our total book will be the International book.

Shri Rajagopal , E.D. :
Digital we have spent around Rs.800 crores and business also generated as good as that. And then we'll actually roll out by the end of this year all the end to end journeys. Three journeys have been rolled out end to end and the remaining we are planning actually 20 journeys. We'll do it by end of this month. We'd like to take it to a good number next year.
Shri Rajneesh Karnatak, MD& CEO:
To supplement our E.D. Rajagopal ji, I would like to say that recently we have hired a CTO f rom outside. So he has already joined the bank. So he will be strengthening the hands of our CGM IT Mr. Su dhiranjan Padhi ji. So that will also help the bank in transformation of the IT and Digital journeys. As Raj agopal ji has already said that some of th e journeys we have already started and in the next six months we will be starting the KCC journey above Rs.1.6 lakhs. Then Kisan Wahan . We are starting the KCC renewal. We will be starting food agro . Will be starting loan against FDR , pre-approved personal loan. We will be starting home loan , top up loan, working capital above Rs.10 lakhs also and up to Rs.2 crores , that also through digital . We will be starting working capital review and also pre approved business loans. All these journeys will b e starting in the next six months for the bank. So once all these things scale up, definitely the digital book of the bank will also start growing.
Mr. Sushi l C. Choksey
My last reply to all your positive guidance is please do not consider a QIP at curren t market prices. There is good news for AT1 bond s which I've just shared and possibly your guidance w

ill lead to a betterment. So please consider a rights issue to existing shareholder over a QIP if you're doing it in next two quarters.

Shri Rajneesh Karnatak, MD& CEO:
Noted.

Mr. Sushi l C. Choksey
Thank you sir.
Moderator
Thank you. Next in line we have Mr. Jay Mundra. Over to you sir.

Jay Mundra :
Yes sir. On the operating profit guidance that you shared of around 30% YoY. Now if you see the component individually , you are seeing loan growth of 11 to12%, stable margins YoY and then staff cost. Ideally at this point of time , where in the yields in the G-Sec have been lower , so retirement liability will be a bit higher and then you have the wage revision which was there only for five months. This year it will be for twelve months full. So how are you projecting that 30% growth? That looks if you can elaborate that.
Shri Rajne esh Karnatak, MD& CEO:
Yeah rightly said Jay . But one thing which you have not taken into account is our NPA book that is the gold mine with the bank. So th is is where we are trying to get some recoveries, good recoveries through OTS and other kinds of tools which are available as per the RBI guidelines. So if you see 90% already we have achieved our provision coverage ratio so most of the assets majority of th e NPA book is already provided . so whatever the 10% is left for the recent NP As which will be provided as per the ag eing as per the IRAC guidelines. So we want to go aggressively for the recoveries both on the OTS side and also on the other settlement sid e. So once that happens , definitely some profit will be coming to the Bank and operating profit will be protected because of that.
Jay Mundra :
I agree sir, that operating profit should be protected. Maybe it will be grow at 10% in line with the advances growth. But for it to grow at 30% is the question , Sir. Last year our recovery in written off account has been the lowest within all PSU Bank s at Rs.100 crores, Rs.66 crore s, Rs.183 crores. So what can change so dramatically that operating profit increases by 30%.
Shri Rajneesh Karnatak, MD& CEO:
Yeah, if you see our NPA book and see this total slippage and other things , so last year, in the entire year we had a total reduction of Rs.15,888 crores , against which a total addition in the NPA is of Rs.7,900 crores. So this year we are targeting to keep this total addition in NPA at the level of Rs.8,000 crores only and we are targeting a cash recovery and upgradation of Rs.12,000 crores apart from the write off which will happen. So the numbers will be coming and the profit will be coming . We are going to the board for some OTS scheme s, very aggressive OTS schemes so presently there was no OTS scheme for written of f accounts. Let me tell you, two strategies are there apart from the other things which w e are doing. So there was no OTS scheme for the written of accounts for that also we are going to the board shortly for a special

OTS scheme in written of accounts . There the entire money which is recovered will be going to the profit.
Apart from that, what we are doing is that the other two schemes also we will be pushing hard for the recovery and the OTS that will help us reduce the numbers. And finally , we have also opened n ew Zonal Collection Centres at all the 6 9 Zonal Offices which will help us red ucing the SMA and fresh slippages. So that will also help us reducing the overall slippages and the overall gross NPA number.
Jay Mundra :
So Sir, this Rs.12,000 crore s of recovery and upgrade that you said is comparable to Rs.7,000 crore that we did la st year, right? Rs.7,000 crores plus Rs.1,000 crore s of

recovery in write -off account s. So Rs.8,000 crore s like to like number that you are saying that it should increase sharply, right? Because of

new schemes and another thing.

Shri Rajneesh Karnatak, MD& CEO:

That we have done just to keep you more updated is that we have shifted all our large NPA accounts, substandard accounts to the ARBs. Presently all Rs.50 lakh and above accounts, the entire Pan India we have shifted to our ARB branches. From there on ly all these accounts will be monitored. Earlier what was happening was that these large accounts, even NCLT accounts and corporate NP As were parked in the large corporate branches and other big branches - AGM branches. Now they all have been shifted at th ese ARB branches which are dedicated NPA branches. All Rs.50 lakh s and a bove book will be there and another 18 ARB branches we are opening shortly in the next six months. So with these kind of a strategy there will be lot of pressure and focus from the Top Management side from the whole time Directors to the CGMs and GMs on the recovery. And with this recovery , definitely the operating profit and the overall profitability should improve for the Bank. See as you rightly said, there will be lot of pressure on the margins as far as the NIM is concerned and also as far as the Treasury income is concerned. So the differentiator would be the recovery in the NPA accounts and if you are able to crack that for this financial year, definitely the operating profit whic h we are giving a guidance will not be far away.

Jai Mundra :

Okay. And sir, then I noticed that you have a gross slippages and net slippages in one slide. The difference is that the account or amount which would have been recovered during the quarter itself, right? The Rs.4,000 crore s and Rs.2,500 crore s difference is the same quarter recovery. Okay. I think sir, most of the banks have shifted to gross slippages only . You and SBI report the net slippages. All other banks have now shifted to reporting gross slippages and showing that recovery as a part of recovery. But

anyway so that is good. And lastly sir, if operating profit increases the way as per your guidance then and your credit cost is of course your asset quality continues to improve in the way that you see then your RoA of 70 b ps or 75 bps again does not seem fair. I don't know. Are you building some Prudent non NPA provisions in anticipation of I nd AS?

Shri Rajneesh Karnatak, MD& CEO:

Jay, in the guidance we do not want to give a guidance which we are not able to achie ve. So I agree with you that RoA guidance which we have given is a conservative one. But definitely whatever the number has been gi ven we will achieve it.

Jay Mundra :

And sir, basis information that we have, some of the Banks have calculated the ECL provisions. Of course that is subject to the draft guideline. What would be your ballpark number? I hear you that of course the guidelines have not been finalized but you have done your initial working. So what would be the extra credit provisions that you need to make if the guidelines were to be implemented today?

Shri Rajneesh Karnatak, MD& CEO:

Our CRO will be responding to tha t.

Shri Harikishan Pinapala, CRO :

The incremental provisions that would be required to be made under the ECL regime would be roughly around Rs.15,000 crores. But I must add here that in the present regime , apart from the p rovisions that we make as per IR AC norms, there is incremental provision done on various items based on RB I guidance and our own Prudential requirements. So if you knock off that the incremental provision requirement would be around Rs.10,000 crores.

Jay Mundra :

Okay sir.

Moderator :

Apologies Jay, we will have to come back to you later. Request you to join back the queue. Next in line we have Mr. Himanshu Tal oja over to you.

Himanshu Taloja :

Hi sir, thanks for the opportunity. Most of the questions ha ve been answered. Just a few ones . Since you mentioned alrea

dy that since you have a pressure on the margins
delivery, although looks to be optimism. Sir, what's your outlook on this Government Guaranteed Advances which is a low yielding portfolio although we are seeing a

decline. So how we are going to trend in the coming quarters? And if the declining trend remains, do we see a gradual sort of a decline or there will be a possibility of a sharp decline in this portfolio? That's my first question.

Shri Rajneesh Karnatak, M D& CEO:

So as far as this Government Guaranteed Advances is concerned, if you see our page 7 of the slide , it has come down from Rs.48,000 crore in June 2022 to Rs.41,000 crores in June 23 which I said that it was a conscious call taken by the Management to prune down those advances. Basically the issue is that it is not any issue of the State government Advances but it is more of an issue of the guidance which we had all the banks received from RB I regarding the funding to the S tate Government and their entities. So that was the issue. So we have segregated these State Governments into certain categories - Red, Amber and Green. So wherever our exposure is in Red, immediately we are trying to prune down and getting the payments off. So this is the strategy or the States which are Green states, which are healthy S tates as far as their fiscal deficit and overall debt is concerned, there we will continue to fund.

Himanshu Taloja :

Okay, so broadly overall, sir, if you have to give some g uidance, how do we see this book from Rs.41,000 crores to run down in the coming quarters. Can w e keep it at Rs.41,000 Cr?

Shri Rajneesh Karnatak, MD& CEO:

We have not thought about it much. There are some accounts in Red category where we have reduced ou r expos ure. Some of the categories in Amber also we have reduced so even if the number stays at 40%, it is well within our threshold. See our loan book , it is at Rs.5,15,000 crores as on June. So Rs.41,000 crores out of that Rs.5,15,000 is not even 10%. So we are within a reasonable number within 10% of the total overall loan book. So Rs.41,000 crore s number seems to be okay as far as the guidance is concerned.

Himanshu Taloja :

Yeah. The second question is on the capital only. Since yo u have a Tier-1 of more than 13%, you broadly looks very much comfortable from a growth standpoint. But I just wanted to reiterate as well from the earlier participants. In order t o reduce the Government holding, if you want to go for a n equity route, just would request to go for a rights issue rather than a QIP. And thirdly, if you raise the capital, what sort of amount shall we look out around?

Shri Rajneesh Karnatak, MD& CEO:

So as far as that is concerned, we have not yet decided. As I told you that we have a Board approved plan. As per t his approval , we can raise Rs.4,500 crores in Tier-1 which includes raising of equity capital plus AT-1 bonds. So we have still yet to decide what the amount is and the number and what would be the timing. So it will all depend how the market is there and how the banking index and other things perform. There are a host multiple of things which are beyond our control. So looking into that only we will decide the a mount and the timing of the issue.

Himanshu Taloja :

Sure, sir. Thanks.

Moderator :

Thank you. Next in line we have Mr. Rakesh Kumar. Sir, you may accept the unmute and proceed.

Rakesh Kumar :

Thank you. So the first question, Sir, is with respect to th e guideline which you mentioned just now, the RBI guideline for the Government Guaranteed loan. So what about the SDLs that Banks are holding for the States which are in Red category?

Shri Rajneesh Karnatak, MD& CEO:
So for that also it is the same guideline basically. So Red, Green and Amber is the same thing whic

h is there for all the states. This is a generic guideline from RBI to the Banks. Normally that guidance is predominantly on the credit side, not on the S DL side.

Rakesh Kumar :
But we keep credit or we keep credit substitutes. The difference is not much . We have to make the provision for loan or the investment, it doesn't matter actually. So I'm just trying to understand which are those States, S ir?
Shri Rajneesh Karnatak, MD& CEO:
So that is an internal not e for us. That is an internal metrics which we have formulated within the Bank. That is something which is for the internal document of the Bank.

Rakesh Kumar :

Okay, so out of the total Government Guaranteed L oan that we had before this guideline and after Pruning so what percentage we have pruned of the original number.

Shri Rajneesh Karnatak, MD& CEO:
So it is there in the slide . We have reduced our exposure by 15%. Slide 7.
Rakesh Kumar :
Okay, understood sir. And the second question that I had with respect to your slide number 13 where we have given this RBLR thing . So the corporate loan out of which it is 16.31 % so is it this mid corporate or this is MSME? So which are the corporates where we are giving loan on the RBLR instead.
Shri Rajneesh Karnatak, MD& CEO:
This is E BLR lending as per the RBI guideline. So in B ank of India we h ave taken the benchmark as the R epo Rate. So these are all large corporates, Rs. 50 crores and above where we have given, typically these accounts are AA A and AA rated. So RWA up to 30 %. These are those accounts.
Rakesh Kumar :
So why are we not taking it on the MCLR?
Shri Rajneesh Karnatak, MD& CEO:
See, the simple thing is the market . AA rated corporates, they are getting funds at a very cheap rate. So other banks have also started doing the E BLR linked so some of the banks have linked it to G -Sec, some to T bill, some to EBLR R epo Rate. So in Bank of India we have linked it to the R epo Rate. So this is how we are giving to the AAA and AA rated corporates , typically who are public sector enterprises like oil companies, HPCL, BPCL, IOCL, all AA A rated or Gas Authority of India Limited or other kind of corporates who are AAA rated. So thi s is that kind of lending.
Rakesh Kumar :
No, but I'm not able to understand, instead of taking interest rate risk, why don't we give credit substitutes instead of taking credit exposure to these companies? So if we take like say bond , NCD instead of taking the Repo Rate exposure because if the repo Rate is coming down, we will have to either curtail this exposure or we have to take the interest rate risk. So why did not we go for Credit substitute .

Shri Rajneesh Karnatak, MD& CEO:
Credit substitutes also we are giving in the sanctions. Typically it is the NBFCs which are taking a combo offer wherein we are giving them some NCDs , etc. So that also we are doing but as far as that is concerned presently what we are doing is these Repo exposures are all short term. We are not giving any exposure on the Repo link EBLR more than twelve months.
Rakesh Kumar :

But the twelve month is quite high. Sir, like suppose from March 24 if the Repo Rate is being cut then what will you do about the 16.3%? Either we curtail this exposure and reduce the credit growth or we take the credit risk on the book.
Shri Rajneesh Karnatak, MD& CEO:
No, see this is not only R epo, there is a markup over the Repo. Business Strategy Spread.

Rakesh Kumar :
Spread y ou cannot change, sir, for a given kind of client, you cannot change the spread. Spread will remain the same but the Repo will be reduced. And you will have to reduce the rate.
Shri Rajneesh Karnatak, MD& CEO:
Automatically whenever the Repo will come down . You are right. The rate will come down definitel

y. But these are all predominantly short term exposures. Only within a year. Within twelve months?
Rakesh Kumar :
Even if it is for six months Sir, I am saying that even six months it can take away your good amount of margin or you reduce the exposure. That is the only two ways you can do the things.
Shri Rajneesh Karnatak, MD& CEO:
So our CRO will further elaborate in this R akesh?
Harikishan Pinapala, CRO :
Rakesh, you seem to be suggesting that the interest rates will definitely fall. See, as a Bank we hold a view on interest rates. And our view is that the Repo Rate will remain at the same level until the first quarter of the next year. That is until August . This is a

conscious call we are taking. And if you have observed over the last four quarters banks have made windfall profits on account of the rise in interest rates, right? To assume that the interest rates are definitely going to fall would be a kind of wrong estimate of the direction the market might move.
See, you are suggesting that we replace loans with a credit substitute which is investment. See, investment in fixed rate instruments carry their own risk, right? In case the inflation shoots up and the interest rates do not move down and they in fact go up there'll be diminution in the value of investment. So it's a very conscious call. We manage our books in a very dynamic way and we balance it out. If you look at our book, advance book only 41% is linked to RBLR. Balance is linked to MCLR where the transmission is not immediate. This is something we do dynamically and the book is managed in such a way that the volatility in earnings is actually managed well.

Moderator :
Thank you Sir. I would lik e to hand over the conference to Sri Rajneesh Karnatak for closing comments . Over to you, sir.
Shri Rajneesh Karnatak, MD& CEO:
So thank you so much for the entire fruitful discussion. So I think we have taken most of the questions and most of the slides a re also very clear and transparent enough. So we'll be happy to take any questions later on through email or any other way. Thank you so much for joining.

Moderator :
Thank you, Sir. On behalf of Bank of India, I now announce that this Conference is concluded. You may log out. Good evening. Have a good day.

Call: Nov 2023

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Bank of India EP
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R9tT Date:17/11/2023.
Scrip Code: BANKINDIA Scrip Code: 532149
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Exchange Plaza,
Bandra Kurla Complex, Bandra East,
Mumbai 400 051 The Vice-President — Listing Department,
BSE Ltd.,
25, P.J. Towers, Dalal Street,
Mumbai 400 001.
Sub:2nd Quarter & Half Year ended 30th September, 2023
Earnings conference call with Analysts/ Investors — Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
conference call for 2nd Quarter & Half Year ended 30th September, 2023 held on Thursday, 9th
November, 2023.
The transcript of 2nd Quarter & Half Year ended 30th September, 2023 Earnings
conference call is uploaded on Bank's website and the same can be accessed through below
link :
https://www.bankofindia.co.in/AnalystConferenceCallTranscript
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(Rajesh V Upadhya)
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"Bank of India
Q2 FY'24 Earnings Conference Call"
November 09, 2023

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P R Rajagopal, Executive Director
Shri Swarup Dasgupta, Executive Director
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director

Ladies and Gentlemen,

Good evening and welcome to Bank of India's Q2 FY 24 Conference Call. I would like to thank all of you for taking out time today and joining us. We have with us Shri Rajneesh Karnatak, MD and CEO, Shri P R Rajagopal, Executive Director. Shri Swar up Dasgupta, Executive Director, Shri M Karthikeyan, Executive Director , Shri Subrat Kumar, Executive D irector and other Top Management team from Bank of India. For now, we have placed all microphones on mute . At the end , during the Q&A session, we will be sending you a request to unmute yourself in order to ask questions. I wil l take you through this process before the Q&A session. However, please note the Management will continue to remain unmute throughout the session. I would now request Shr i Rajneesh Karnat ak to address this gathering. Thank you. And over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO :

Good afternoon to all the dignitaries , ladies and gentleme n, present in today's Analyst Meet. It is my pleasure to welcome you all for the interaction , post publication of the financial results of the Bank for Q2 of FY 23 -24.

Amidst different uncertainties grappling the global economy, another turbulence surfaced in the form of Israel -Hamas war in the Middle East . A rare trinity of factors i.e. soaring crude oil prices, surging US bond yields and hardening US interest ra tes have emerged as proximate risks to the global growth and stability posing significant macroeconomic challenges to the emerging markets. Global trade conditions to face significant headwinds, with expectation of th e decline in growth in world trade volu me from 5.1% in 2022 to 0.90% in 2023, as reflected in the IMF recent projections.

However, India’s macroeconomic outlook for FY 24 is bright due to resilience in economic activity , on the back of strong domestic demand, increased government spending, improved industrial capacity utilization, and moderation in headline inflation. Buoyancy in credit growth continues, whereas deposits are seen growing at a lesser pace than credit in the system.

Against this prevalent optimism, the Bank is focusing on sustainable advance growth and garnering low cost deposits along with retail term deposits. The aim is new customer acquisition and retention of existing customers. The maintenance of Asset Quality and NPA management is of paramount importance with

containment of slippages and reduction in SM A. On digit alization front, a new mobile app under the name BOI MOBILE OMNI NEO APP has been launched with attractive features. A new credit card varian t under RuPay scheme - “RuPay Select ” has been introduced. A new innovative debit card made from 100% recycled plastic, named “BOI Earth Smart Debit Card ” has been launched. Pre - Approved Personal Loan – BOI PAPL - to existing customers has also been started .

Other new initiatives taken are in the formation of 18 Emerging Corporate Credit Branches to cater to corporate needs in their specific area of operation , MOU with REC Ltd., to co -finance Rs.30,000 crore s worth of projects in power, infra structure and logistics sectors over the next five years, Star Channel Finance Scheme has been revamped at par with the peer banks . MoU with WDR for financing e-NWR and to boost the growth of agriculture sector , integration of our Loan M anagement System (LMS)

E-platform with Jansamart portal , WhatsApp
Banking introduced to provide additional channel to the customers and accessing different banking service , launching of NPA Management Solution - a dashboard made available to branches to f acilitate better management of NPA portfolio, besides many more other initiatives.

We have published and shared the financial results of the Bank for Q2, FY 24 on

04.11.2023 . I am not repeating the numbers for brevity sake. I understand that you must have all seen our analyst pres entation, which is already there i n the public domain. We expect credit growth of 11 % to 12% during the current year. Though there will be pressure on N IM in the subsequent quarters , but by increasing yield on advances through R AM and Corporate, we aim to maintain the NIM above 3% . With the bank's consistent focus on improving asset quality via better underwriting and containing fresh slippages , we expect Gross NPA ratio to be contained below 6% level and credit costs to be around 0.60%. We will continue to strive towards better customer experience, asset quality, sustainable growth and a strong bottom line. Thank you so much. The floor is now open for questions and answers.

Ms. Kejal Tolia, moderator:

Thank you , Sir. As mentioned, we would now like to open the floor for the Question and Answer session. Participants , you will notice a small icon on your screen , a hand sign. Once you press this, it will alert us that you would like to ask a question. We will go around one by one. The ana lysts asking the questions will be unmuted. You will get a notification on your screen to unmute yourself. Kindly click on unmute. Identify yourself before asking the question. Just a humble

request. Each participant if you could restrict to three question s. If we have more time, we will come back to you. Once you join back the queue, as soon as someone presses a hand sign to ask a question, we will enter the conference and announce the participant in this way.

The first question we have from Mr. Ashok Ajmera. Over to you, sir.

Shri Ashok Ajmera:

Good afternoon to you all, Sir. And compliments for a good quarter because there were certain headwinds. And as you also narrated that so many problems, global turmoi l, war and everything, in spit e of that, our results are good, Operating Profit is almost equal to the last quarter only. Net profit has slipped a little bit. But then on the whole, it's a good result. My first question is on, Sir, a little bit of clarif ication. Last time also we had discussed that our net profit, you know, it is as compared to the profit before tax becomes very low because of the higher tax element which is provided in P&L . I'm not talking about actual tax payment, but because of may be DTL or DTA or whatever it is. But if you look at the total profit, it is Rs.5,865 crore s in the six months, and the provision is Rs.2,855 crore s total. So it eats away our actual book profit. So some explanation on that, why this tax amount is so high as c ompared to the profit , which is almost, I think, more than 50% of the profit.

You had launched the Town hall concept and the outreach, and I think you said in the last meeting that 13 N GBs and all the ED s and, you know, GMs were asked to go out i n the field, and it has brought some good results also because our credit growth is good in the last quarter. So going forward, are we keeping the same target of 11 % 12% or you feel that, you said last time that your corporate pipeline was Rs.40,000 crore s, you are sanctioned for Rs.30,000 crore s. So all these are resulting into better credit growth. So would you like to revisit that or we stand there only. This is something on credit growth . On Treasury , like as you sa id that because of the international problems and everything , now the yields are g

oing to
be hardened there and it may have the impact here also. So how much cushion do we have in our AFS Treasury books. And are we how much are we insulated or are we going to get any shock on that front. This is the third thing a nd then if time permits, I've got some specific questions.

Shri Rajneesh Karnatak, MD & CEO :

Thank you , Ashok ji. To begin with, your first question with regarding to net profit. So as you rightly said, our pre -tax net profit this time is Rs.2,937 crores .

If you see our numbers for June, it was Rs.2,928 crores . In a way it is flat. But if you see our final net profit, which was Rs.1,551 crores in June, it is now at Rs.1,458 crores . So the reason for the reduction in net profit is also, as you rightly observed, was the taxation. So what we have done in this quarter is that we have shifted to the new tax regime . Because of the shifting to the new tax regime , there has been some accounting treatment because of which the taxation number is higher in this quarter. So in this quarter, the total tax which we have done is Rs.1,479 crores , which is nearly 50% of the pre -tax profit of Rs.2,937 crores . So that is the simple reason, now that we have shifted to the new tax regime, we will be like charging taxation at the 25% rate instead of the 35% rate which was there earlier. So that benefit Bank will get . That is one big change which we have come to for shifting to the new tax regime. So if you see the September 22 numbers, our pre -tax profit was Rs.1,462 crores and our net profit was Rs.960 crores. So if you see the YoY growth in the net profit, it is 52%. And if you see the YoY growth on the profi t before tax, it is 101%. So these are the basic numbers. And furth er, if you compare the H1 of FY 23 with H1 of FY24, the increase in pre -tax profit is 152% and the increase in net profit is 98% on the H1 basis. So this is the number which we have. So the profitability part, we are quite comfortable. And with shifting to the new tax regime , this will help in the final overall profit for the Bank.

Shri Ashok Ajmera:
Sorry to interrupt you , Sir. But in the next two quarters of the financial year, is it going to be the mean , because we are looking at the whole year for income tax. So, whether this high tax impact will be there in the remaining two quarter also.

Shri Rajneesh Karnatak, MD & CEO :

No, no, that will not be there as I've told you. In the ensuing quarters of December and March, we will not be at the high tax regime. So as regards our credit growth and other initiatives which we have taken , for the credit growth, our Town Hall meeting concept remains . Already the Zones and our NB Gs, which are NBG field office, have been allocated to the Executive Directors, to all the Chief General Managers and the General Managers. And we are regularly moving to the field, all of us together . General Manager s, CGMs, EDs and myself, we are all moving towards the field simultaneously. We are visiting Zonal Offices. We are visiting the NBG field offices and meeting not only the staff, but the customers also and trying to understand their problems, taking some feedbacks and also making some policy and procedural changes wherever they are required. So as far that is concerned, in this interim quarter, what we have done is we have also opened three Start-Up branches, we have also now opened 18 Emerging Corporate Credit

Branche s, which are in Centres other than the LCB Centres . Our focus is Rs. 10 crores and above fresh advances up to Rs.250 crores. And if any other advance above that is there also these Emerging Corporate Credit Branches can take care of that. So that is another initiative we have taken in this quarter.

Apart from that few initiative, others I have already

read out in my opening
speech . As regards the credit growth number, the guidance which we have given earlier is 11 % to 12% of overall credit growth. That number continues for the simple reason is that we want to protect our N IM in this increasing interest rate scenario. So we are, as I told you earlier, also, leaving certain transactions which are Repo based for long term because they will not be yield ing much on the NIM side and Net I nterest Income we need to protect. So for that simple basic reason, we want to keep our guidance at 11 % to 12%. And we are confident that the

credit guidance of 11 % to 12% of credit growth we will achieve.

To give you j ust one more number, we have our credit pipeline of nearly Rs.70,000 crore s as we speak today . Out of which around Rs.14,000 crore s is the RAM pipeline, which is Retail, Agriculture and MSME. We have certain pipeline in the international book also, and th e remaining is the corporate credit pipeline, which we have of around Rs.50,000 crores , as we speak. The pipeline includes, number one, the sanctions, which we have already given, where the documentation is executed and where the drawdown has started takin g place. Number two, where sanction is given, where the documentation is yet to take place. And third is the numbers pipeline, where we have given the in -principle approvals and where the proposals are in different stages of preparation and sanction. So ov erall, we are very confident that there will be credit growth and with the busy season now kicking in for this quarter, Q3 . So, the numbers will definitely be looking better in the quarter end ing December o n the credit side. So as regards the Treasury, I would request our General Manager, Treasury, Shashi, to take this question.

Shri M Sasidharan, GM, Treasury :

Good afternoon. Your question is that what kind of cushion we have in our AFS portfolio . I wou ld like to say that for the month of September, our portfolio did not have any losses. It was in fact positive. So up to 7.25% levels we do not have any issues because the closing of September was 7.21 %. So we were plus and the Modified Duration as shown i n the slide, is 2.87 for the portfolio of Rs.47,001 crores . That translates to PV01 of 13.5, and we do not expect much of a hit, even if it goes to around 7 .45% or 7. 50% levels. But practically speaking, we expect

the yields to moderate at these levels. S omewhere between 7 .20% to 7.30% should be the level which we should be seeing by 31st of December.

Shri Ashok Ajmera:

Is there any specific reason for the Modified Duration to go up to 2.87 as compared to 2.37 in the past?

Shri M Sasidharan, GM, Treasury :

Yes. The reason for that is , internally, we have held a view that the interest rates are nearing peak or more or less reached the peak. So this is the time for us to increase the duration. And that is why you are seeing the Duration moving up from 2.37 to 2.87. So it's a conscious call. And we would like to encash once the rates come down.

Shri Ashok Ajmera:

So if you permit me , I can take one question on recovery , Sir. We have a smart recovery in this quarter in the written off account, as well as the cash recovery also of Rs.1,455 crore s. So, Sir, a little more light. If we can get on the entire process of the recovery through NARCL, NCLT and what is going to be the next two quarters scenario as far as the overall recovery are concerned?

Shri Rajneesh Karnatak, MD & CEO :

So on the recovery side, if you see the data. We have done ca sh recovery and upgradation in this quarter of Rs.1,638 crores. So if you include the written off also to the total , reduction in the book was Rs.2,876 crores against which our fresh slippage plus debits in the existing NPA , that is , the total addition was only Rs.1,650 crores. So we were able

to reduce our NPA by nearly Rs.1,200 crore net
net. So that is one number which we already have. So as rega rds N ARCL and NCLT is concerned, in NARCL two accounts were given to the NARCL. A nd as

regards NCLT accounts , two three accounts was there in N CLT wherein the recovery took place in this quarter , in the Q2 of FY 24. So that is the number. And for the field we have given a target, th at whatever the fresh slippage we have , of that, the double, we should do the recovery and the upgradation that is the number we have given to the field as a target. So that is the number we are chasing for the H2 of FY 24. So another important point on the Asset Quality I just would like to state is that our SMA (Special Mention Accounts) numbers if you see our slide. So number has come down . The above Rs.5 Crore SMA, from Rs.14,000

crore s plus to Rs.5,700 crores. So that is a substantial reduction in the SMA book we have had. So as far as Asset Quality, percentage of Standard A dvances to above Rs.5 crore s is concerned, it is only 1. 12%. And further if you see granular. So the SMA 2 number is only 0.24% of the total Standard Book. So that is number wherein we are very confident that we will be able to maintain our Asset Quality. And the overall SMA numbers in this ensuing half year will be coming down substantially. And this is in the backdrop of the fact that we have started our Zonal Collection Centres in the 69 Zones, wherein the Z onal staff is now moving to the Branches and also meeting the customers for collection. So , overall efficiency in the system , collection efficiency , has improved. Number one and number two, what we have started in this quarter is the eNACH mandates. So , eNACH mandates, especially in the retail loans, has helped the Bank substantially. And with this , we see that there is a substa ntial reduction as far as the SMA number in the retail book is concerned. So these two things will help the Bank in maintaining the Asset Quality and further reducing the slippages in the coming quarter of December and March.

Shri Ashok Ajmera:

Sir, w e made good profit on selling to ARC. Are we continuing with that sale to ARC rather than, you know, relying on the other thing like going to NCLT and all that?

Shri Rajneesh Karnatak, MD & CEO :

Considering the NPA book we have , it's a holistic thing which we are doing. We are trying to do some transactions through A RCs. If it is making any sense to us where the sacrifice is low through the sale, definitely we will sell those assets to ARC. NCLT is another option which is always there wherever the reso lution under N CLT comes. And we have also launched 4 very aggressive OTS scheme s in the Bank, which includes for the accounts which we already have written off. So all these things put together, we are very confident that the recovery in the ensuing half y ear H2 of FY 24 will be quite robust.

Shri Ashok Ajmera:
Thank you very much, Sir, for giving very elaborate, satisfying answers. I'll come back again and all the best to you.

Ms. Kejal Tolia, Moderator:

Moving up next we have a query from Shizuo. Over to you.

Mr.Shizuo:

Hi. Thanks so much. Sorry. I Joined in late. Just want to double check. We move to a new tax regime. And this new tax regime, 25% tax from the next quarter onwards.

Shri Rajneesh Karnatak, MD & CEO:

From next quarter onwards our tax rate will be only 25%. In the new tax regime, we will be getting taxed at the rate of 25% as against 35%, which is there presently.

Mr. Shizuo:

We have done all the adjustments in the Deferred Tax A ssets. And next quarte r we can expect 25% tax rate. Is that right, Sir?

Shri Rajneesh Karnatak, MD & CEO:

Yes. The accounting treatment on the Deferred Tax Asse

ts w e have given in this quarter . So as on 30th September, we have already done. This has been confirm ed by the CFO. That is, the tax implication of DTA has already been done on 30th September. We have given in our Notes to Accounts in point no. 24.

Mr. Shizuo:

So if I adjust for if I look at this quarter's numbers. A nd then if I use a 25% tax rate, the Return on A ssets is somewhere close to be 1%. So just wondering, going forward, you know, what kind of ROA should we expect? Do we think that we can sustain this kind of near 1% RO A with a new tax rate?

Shri Rajneesh Karnatak, MD & CEO:

Yes. As far as R eturn on Asset is concerned, if you see our numbers, our RO A was 0.47% in September 22, which has now improved to 0.67% in September 23. If you see on a half year basis, it was 0.38 % in September, FY23 and now for the half year it is 0.68 % in FY24 . So both ways it has improved by 30 basis points in half year numbers and by another 30 points similarly on the half year of this Y - o-Y number. So that is there. So as regards the guidance on the RO A, it should be at around 0.70% annualized basis in FY24.

Mr. Shizuo:

Good. So you know, that 0.7 0% annualised basis , that's assuming the new tax rate or, you know, does that adjust for new taxes? So what am I trying to get at is, you know, if I look at this quarter's number, you know, if I just change the tax rate, it seems to be close to 1%. But our guidance is, you know, somewhere closer to 0.7 0%. Just wondering, what's the pressure on the ROA from here?

Shri Rajneesh Karnatak, MD & CEO:

Yes. It will be at least 0.70 %. This is what we are saying from the Management side. So it would be minimum 0.70%. This is what we are saying , today .

Mr. Shizuo:

That's all fr om me. Thanks so much. Thank you.

Kejal Tolia, Moderator:

Next in line we have Mr. Sushil C Choks ey. Over to you , Sir.

Shri Sushil Choksey:

So you have answered most of my questions, but I would refer to your opening statement where you had a little doubt on the Treasury outlook. But looking at the Fed statement in the current week and the bond market today. Don't you think that India rates also will have a different outlook in coming days?

Shri Rajneesh Karnatak, MD & CEO:

No, it was not a negative outlook. On the Treasury side, only we tend to clarify the market situation which is there. See the hardening of interest rate which has taken p lace in US and Europe, number one, and the tight liquidity position which is there in India. So even today, if you see the data, the liquidity was negative by around Rs.75,000 crores, right? Shashi. That was the number yesterday. So that there is always ti ghtness here presently in the market. So that is what we are trying to say. If you see the T-bill rate, if you compare the T-bill rate in India one year to the US bill rate. So if the differential as on March 22 was 3%, it has come down to 1.75% as on 31 M arch 23. And if you see the differential between the Repo Rate and the Fed rate , in September 22 , it was 242 basis point s. Now it has come

down to 117 basis point only. So this differential coming down, what it will do is that the margins on the forex arbi trage that have reduced significantly for all the Banks in India. So the incomes which the banks were making by forex arbitrage, that arbitrage is not much there as on date with the books of the Treasuries. So that is one indication which I wanted to give in my opening statement, because of the tightening liquidity situations here in India and the lowering of the gap between the Fed rates and the Indian rates.

Shri Sushil Choksey:

Noted, Sir. Secondly, Sir, based on all your recoveries and measures for credit, your performance is not exactly conservative,

based on number of sanctions you have done. Th e retail business you are putting a lot of thrust so that growth happens. Digitalization , you've already initiated and the current management has already spent six months of time together. So based on all the fundamental factors which are being put in place, are we being conservative or you would rather beat the guidance with a better performance?

Shri Rajneesh Karnatak, MD & CEO:

Sushil ji, it is always better to beat the guidance. See fundamentally why we are saying 11 % to 12% is that we are very much cognizant, as have been telling in all my A nalysts Meet, that we want to protect our margins, we want to protect our Net Interest Income. So as I told earlier also, we are losing or we are leaving some of the deals wherein the rates are Repo rate or where the margins are very low. So we are trying to shift our book towards the mid corporate section . AAA rated borrowers where the margi ns are low , we are shedding some of the advances . Because of the repayment happening more, we are just able to get accretion in the credit and the credit growth we are targeting at 11 % to 12%, which we are giving. So this is the kind of scenario which is t here because of the protection of the N IM, which we want to give. So as you are already aware, the one year T-bill is at 7.15% , OIS of one year is also at 6.84% , C.D is going at 7.70%. If you see the CP for NBFCs, for the 1 year, it is more than 8%. In thi s scenario, some of the AAA corporate still are asking at interest rate, which is around 7.25%, 7.5 0%. That is a rate which we do not want to give. So we are leaving some of the transactions which are there in the market in AAA , which are very fine rate an d which may create negative margins in the coming years , in the long run. So that is why we are giving a guidance which is 11 % to 12%, w ith a healthy N IM and a good asset quality.

Shri Sushil Choksey:

Noted. Second thing , Sir, on credit costs. What is your outlook? By the year end?

Shri Rajneesh Karnatak, MD & CEO:

If you see our credit costs, which was at 0.6 0% in September 22, it had gone up to 0.79 % in March 23. So in Q1, we had brought it down to 0.64 %. Now in this quart er, it is 0.54 % only. If you see the half year , now it has improved to 0.58 %. This is the credit cost which is there at present as far as the guidance is concerned. So we would be keeping it within 0.60 % levels.

Shri Sushil Choksey:

So my last question in current round, would you raise equity in current year or you'll wait based on your current forecast?

Shri Rajneesh Karnatak, MD & CEO:

As far as the equity is concerned, we will be raising equity of around Rs.2,500 crores in this quarter itself. So that process is already on. We have already taken Board approval, as I had told last time, for Rs.4,500 crores to bring down the Government of India equity level to within 75%, which is the SEBI requirement also, for w hich our date is 1st August 2024. In this quarter , we'll be raising Rs.2,500 crores.

Shri Sushil Choksey:

Thank you and all tha nk you.

Ms. Kejal Tolia, Moderator:

Sir. Next in line we have Preeti. Ma'am, over to you.

Ms. Preeti

My question is on Opex for retail loans. Would you please share the steps taken to decrease the OPE X.

Shri Rajneesh Karnatak, MD & CEO:

We have centralized many of the activities which are there on the asset side and the liability side, and also on the control system side. So this is some very significant activity which we have done to contain the Opex. As far as on the asset side, if you s ee our credit underwriting in Retail and Agriculture, there are now credit underwriting centres where the entire underwriting is taking place. So branche

s are only sourcing now the applications to these underwriting centres and these underwriting centres where compact team of credit officers is there, they are doing the underwriting, because of which there more volume is happening with few Credit Officers over there. The Op ex has improved as far as the credit is concerned with this, typically Retail, Agricu lture and MSME . If you see the Corporates, the re are also we have concentrated the number of branches. So we have 10 Large Corporate Branches and 18 Emerging Corporate Credit Branches, where our proposals with respect to Corporate Credit will be handled. So there also we have created a specific team who will be handling the entire corporate credit book in these 28 branches.

As regards the NPA, we already have 18 A sset Recovery Branches (ARBs) where we have transferred the entire b ook of Rs.50 lakhs and above NPAs . Another 10 branches we will be opening in this quarter, so there will be to tal 28 ARB s which will be now concentrating on around 80 to 85% of the NPA book of the Bank. So with all these measures, the most of the underwri ting, number one and most of the recovery actions which we are now concentrating at around 400 offices in the bank, rather than 5,100 branches. With this , lot of Opex conservation of expenses we foeersee.

And as regards to the Retail side also , similarly on the liability side, we are taking care of that also. And earlier, most of the branches were accepting bulk deposits. Now , we have reduced the number of bulk deposit taking branches to only around 100 plus. So that also we have reduced. As regards to th e Audit side also , the number of audit offices which are there, the number of Officers who are doing Audit, we have centralized and kept at one place through whic h we are trying to control the O pex. That is one part. The next part is with respect to the digitalization . A lot of journeys with respect to the asset and liability now we are taking through the digitalization process. Fresh sanctions are happening through the digitalization process. Number one . Saving accounts are also getting open ed through the digital channel. Number two . And number three , on the asset side, the renewals in case of Mudra loans and other loans, MSME loans and even the Agri loans that is taking place through the digital channel. So a lot of Staff at the field level is gettin g freed because of this digitalization exercise. And a lot of

Opex is getting freed and a lot of Opex in the ensuing quarters will be coming down because of all these actions, which we have taken in the last six months.

Ms. Preeti:

Okay. Thank you sir.

Moderator:
To take the question from the line of Mr. Marsal .

Shri Marsal :

So my first question, while continuing this last question itself, it's like a very good action taken regarding this cost optimization and centralizing effor ts, but we need to see it in terms of saving. Unfortunately, in the PPT, there is no slide which shows about about our headcount. Generally all big corporates , and banks give. How is the headcount faring? We have only one slide which says about branches. So I can see that during this quarter five branches we have added . We all understand that employee cost is going up. We all understand that we have made growth and because of the employee increment whatever coming as per the Agreement to be entered with the Union. I'm not saying this one. We cannot just reduce salary. I'm not asking you reducing salary, what we must do, considering the centralizing , good centralized effort already taken by your bank, plus digitalization . I think we need t o utilize this free employee for the new assignment. Like whenever you open any branch or like in our subsidiary or joint venture, we need to depute them there so that our cost reduce s because we can see tha

t our employee cost has drastically increased. Si milarly , our other expense also increased by Rs.70 crore as compared to the corresponding part of last year. So can you please explain on this one that going forward can we have this slide on the headcount also in the PPT and also that like how effectively or how many headcount we already utilize for other jobs or for other assignment during the quarter?

Shri Rajneesh Karnatak, MD & CEO:

As regards the increase in the staff cost, let me clarify that there has been no drastic increase in the staff cost. Number one . If you see whatever the increase in the staff cost is there for Bank of India , that is in line with the industry numbers. Typically, if you see the public sector numbers and the increase in staff costs in the public sector banks, it is in line with that. It is not beyond that. It is well within that. That is number one , which I would like to clarify over here. Number two, as

regards the wage revision, which is there. So the last 11th Bi-partite settlement which happened was at a load factor of 1 5%. Against that load factor , we have already started making provisions in each quarter. So we are making a provision keeping that base at 15%. That is the second part. Number three, if you see that the channels for delivery for us, for customer service an d otherwise, 5 ,157 is only the number of branches. Beyond that, we have 8 ,000 plus ATM and CRM machines and also 18,000 plus Business Corresponden ts. So these are the total points from where we are giving the customer service. So when we say that we have done centralization of many of our activities, both on the asset side, the liability side and also on the control and the support side, the staff, which is getting freed at the branches and other offices. They are now being getting utilized for marketing m ore products. Number one . For garnering more saving accounts , for more current accounts , for retail term deposits. If you see the overall balance sheet of the Bank and see the total, the liability side of the bank, only 12% of our total deposits is bulk de posit and 88% of our total deposit is retail deposit. That is the biggest asset for the bank. And this is the strength of Bank of India, out of which 44% of our deposit is CASA deposit. So the staff at the branches are giving customer service, the staff wh ich is free at the branches because of the underwriting, they are giving better customer service. They are marketing all kinds of products, which includes loan products, which includes deposit products , which include third party products like selling of mu tual fund , insurance and other things. And we are very cognizant of the fact that we have to improve the customer service, increase our customer base. Already we have a 11 crore customer base in the B ank. So for catering to this large customer base which w e have, these number of staff are required at these branches and all these channels are there for utilizing those services. Thank you .

Shri Ma rsal:

Sir, thank you for this reply and what I am requesting and what it should be ideally, as a professional co rporate approach, we need to see this thing in terms of delta, that how many staff were relieved from their existing job and like which new job they were reassigned and how many hiring of new headcount was avoided because of this internal reshuffling of th e team. So if we can see this otherwise, Sir, like you are sitting at the helm of the affairs . At the ground level, recently I had visited one of the bran ch of Bank of India , like so I could see that how many staff were there and what kind of service I wa s there and, literally I have to tell you . So I'm not going to this detail. I'm only requesting that in the PPT if you could kindly include a slide in the next time showing the number of headcount and all o

ur like delivery channels, all this ATM and other plus hiring of how many new headcount was avoided because of this shifting of - like

centralizing and so . By this , we can see that this is the operational efficiency. Otherwise it becomes a generic statement. Sir, this is number one.

Shri Rajneesh Karn atak, MD & CEO:

Okay. Yes. To reply specifically, we have noted your suggestion. It is a very good suggestion. In the December Analyst presentation , we will put one slide specifically on th is. The numbers on the H.R, which we have as regards the specific allocation to the zones. And you can directly get in touch with our CGM H.R. Mr. Rajesh Ingle for further details, he will be giving you the specific details of the staff which has been deployed at the zones and the branches, and also the Zonal Offices , NB G offices .

Shri Ma rsal:

Thank you , Sir. Let me supplement here. We have also worked in the corporate for so many number of years. And we could see that every year we have to make , each department was supposed to make , one slide on the operational efficiency, including this point where we have to really crystallize the number and put the number there so that the Management can see it. So this is what I'm saying we do not want like general thing in the PPT. Because S ir like your comm entary was fantastic, fabulous and we really appreciate but like on the expenses part, what I can say from my own experience is that each Branch has to nominate the service. Like, th e saving we have done in the operational efficiency and in t he Bank, the main cost is employee and the rent. Rent is stable like we cannot do much employee we cannot fire, but employee we can utilize better. So in terms of that , it has to be translated into numbers. That's my only request. It can take one month or, two but we still have three months to go for our next A nalyst Meet . So if our Mr. Rajesh can take some proactive action or some action giving the accountability to each branch in terms of that. Like they have to save this much on for example operations in cluding employee. So I think this will really help us to reduce our cost or to avoid the new hirings.

Shri Rajneesh Karnatak, MD & CEO:

Yes. your point is well -taken. So let me just clarify from the Bank side again that whatever details that you are saying, these details we already do and make a presentation to our Board on a regular basis on a quarterly basis. Beyond that, we have a Strategy Meet of the Board twice a year. In that also we make a detailed presentation . Only the thing is t hat we don't place this to the Analyst presentation

because of the paucity of the slides, because in one slide you cannot capture all these things. It needs at least 5 to 10 slides for to understand the entire gamut of the thing. But your point is well -taken. We'll try to put some specific slide in the next quarter.

Shri M arsal :

Thank you Sir. My second question was regarding this Income Tax rate. So Income T ax rate like during this previous question it was clarified that we have made provision of Rs.1,460 crores DTA reversal we have done in this quarter. So because of that, our tax rate is 50%. It is well understood S ir. We will fully agree. But something is still there because in the Q1 also our tax rate was 48%. So if I take my half yearly rate, my half yearly rate is coming in 49%. So then if we have taken DTA full in this quarter, as the note says, so then why in the Q1 our tax rate was 48%.

Shri Rajneesh Karnatak, MD & CEO:

So in the Q1 and Q2. See, we had already started making up our mind that we will go for the new tax regime in this financial year. So for that reason, in Q1 also, we had taken a higher tax number. As you rightly calculated, it is

around
47% of the pre -tax profit . This quarter. It is nearly 50% of that. So let me further clarify to you. Had we not gone to the new tax regime in this quarter, our profit would have been around Rs.2,150 crore. So since we went to the new tax regime, it has come down to Rs.1,458 crores. Otherwise, we would have shown a profit of around Rs.2,150 crore s in this quarter itself.

Shri Ma rsal:
And regarding NIM , like a 3% NIM overall is fine. But Sir, I just noticed one

point in our overseas NIM . Sir, in the overseas market, our NIM is currently 1.22%. Let me give a humble input here. This kind of NIM used to be there two years before. Before the Fed started to increase this rate and so on. But like now, since the US F ed has increased the rate to 5% plus and so on. Now Sir, no commer cial bank is doing business in 1% because we also have some colleague working overseas who give us this kind of general discussion that the banks are charging 8% plus there which was never the rate before, for example. So my second point is that the main reason for our lower NIM is just because of the Overseas NIM which is only 1.22 % during the September quarter. So what action we are taking like to increase the NIM of overseas advances.

Shri Rajneesh Karnatak, MD & CEO:

We are also charging at healthy rate. But overall NIM if you see on the quarter two is 1.22%. But if you see on a half year basis it is 1.29% the overseas NIM . Because as you are already aware, because of the hardening of rates in the international markets and the resources which we are able to raise from the international markets also has gone up because of which the NIM s have gone down. This is not a situation for Bank of India alone. It is for other banks also. The NIM has gone down substantially in over seas numbers.

Moderator:

Next in line we have Mr. Mundra. So you may now proceed.

Shri Jay M undhra:

Hi, Sir. Good afternoon, and thanks for the opportunity. And congratulations on good set of numbers. I have a few questions, Sir. First is on Yield on Advances, which has gone up from 8.1 0% to 8.54 %, which is like 44 basis point increase. I don't understand , how the yields can move up by 44 basis point in one quarter. So if you can explain.

Shri Rajneesh Karnatak, MD & CEO:

As regards Yield o n Advances, if you see that our Yield on Advances was 7.21 % in September 22, which improved to 8.10 % in June 23. And you rightly said it is now 8.54% in September 23. If you see the half year number, it was 6.9 0% in September, half year of 22. It has improved to 8.32 % in half year of FY 2 3. So if you see the MCLR of the Bank, on September 22 , our 1 year MCLR was 7.70%, so it has increased to 8.75% as on September 23. So the increase in MCLR is 1.05% on a Y -o-Y bas is. If you see our EBLR , which is the Repo linked rate external benchmark, it was only 8.25% in September 22. It is presently , as on 30th September , 9.25%. Here also the incremental increase is 100 basis points. So, on the MCLR side 105 basis point and on the EBLR side is with 100 basis point. So what has happened is the re-pricing. The increase in the interest rates are also getting repriced on a monthly basis. So what we see in the book presently here is that all our MCLR linked loan s have been now repric ed over the last 12 months. So because of which the yields are improving, this is the simple reason that the yield has improved from 8.10 % to 8.54% and some of the low yielding advances which we had done earlier, wherein they were linked to Repo rate or very fine rates, which were short term loans, we have shed them. So because of

which, if you see that not only our advances increased, but also the NIMs have improved. Advances have improved to be more specific

.

Shri Jay Mundhra:

All right. But, Sir, is this only due to loan mix change? And I mean, what happened in this quarter? You know, MCLR repricing has been coming has been happening for the last four quarters. And, you know, this quarter we have seen 44 basis point rise.

Shri Rajneesh Karnatak, MD & CEO:

So let me explain further. Yield on Advances. There is another function of the NPA in that. So if you see our fresh NPAs, which is happening, which is now coming down, because of which the earnin g assets are more now with the B ank. With more earning assets, definitely the Yield on A dvances is going up. If you have more NPAs during the quarter, fresh slippages are more , the earning assets come down and the Yield on A dvances also come down. So that is a simple mathematics which is there. So that is one part. And other part is that if you see the Repo rate . Repo rate on 30th September, 22 was 5.9%. Now, as on 30th September 23, the Repo is 6.50%, wherein the incremental increase is only 60 basis point and on the MCLR side and on EBLR side, our increase has been 10 5 basis point and 10 0 basis point, respectively. So all these things are helping the Bank to maintain the margins, which is the N IMs, improve our Net Interest Income. And finally, also the Yield on Advances is better.

Shri Jay Mundhra:

Right. And, S ir, if I may ask, what is the recovery from NPA account, which could have gone to interest on advances in this quarter? And was that a significant amount versus last quarter?

Shri B. Kumar, GM & CFO :

There is a total recovery in written off account is of Rs.599 crore, out of which Rs.560 crore s has came in cash recovery and balance Rs.39 crore is coming to interest income.

Shri Jay Mundhra:

Okay, so only Rs.39 crore has gone in, right? So that is not a significant amount. Yes. Okay. So you believe that this kind of a yield uptick that we saw at least some part should flow through in coming quarters or that may not be the case going ahead.

Shri Rajneesh Karnatak, MD & CEO:

We maintain that. So if you are asking specifically about Yield on Advances , it will be maintained. We will be maintaining the Yield on Advances. Just see rate of interest is going up only now. This month also we increased the MCLR by 5 basis point s. So no w our one year MCLR is 8.75%. So it is in the increasing Trend. The RBI formula is very simple on the calculation of MCLR , the marginal cost of lending increases when the marginal cost of funds increases, our cost of deposit is going up on a month on mon th basis, because of which the MCLR will also increase. So we are passing it on. The transmission is happening. So definitely we will be able to protect our Yield on Advances.

Shri Jay Mundhra:

Okay. And what is the Bank's policy in terms of recovery. S o first it gets to other income in terms of fee , NII and then principal. Or what is the waterfall for NPA recovery.

Shri M Karthikeyan, Executive Director:

The first , when the recovery comes, it goes to the other charges, all the charges the fees of lawyers and other charges for recovery. And then interest and then only it goes to the principal.

Shri Jay Mundhra:

Okay. Understood, Sir. And Sir, then I have a question o n your divergen ce portfolio . Last year that we had some, you know, fo ur accounts were doing reasonably well and we had decent provisions there. If you can update what is the exposure now and what is the provisions that we are holding on to those four accounts. And, you know, what can we expect in the rest of the financial year?

Shri B. Kumar , GM & CFO:

My request is to refer to our Notes to Account number 12 where we have written what is our p rovision on 07.06.2019 RBI C ircular . And last time we got a

divergence on account of this 07.06.2019 circular on Standard Accounts provisioning. As per the circular guidelines , certain accounts provisions are reversed and certain accounts provisions are kept in the same manner. Accordingly, we clearly mentioned that as of now, we hold the provisioning of Rs.2,438.96 crores in respect of 23 borrower accounts and this current quarter we have added Rs.302.73 crore s additional provisioning . So this is the present status. It is clearly mentioned in Notes to Account of number 12.

Shri Jay Mundhra:

Understood. Thank you. And Sir, if you can give the total SMA for the Bank including below Rs.5 crore s accounts. Also we earlier used to give. But if you can give for September SMA zero, one and two fo r the all Bank including below Rs. 5 crores.

Shri Rajneesh Karnatak, MD & CEO:

Okay. We'll share it separately with you.

Shri Jay Mundhra:

Sure. And the last question is we earlier had a guidance of 30% growth in operating earnings. So we are doing reasonably well on N IMs. Growth has picked up. But at the same time Opex cost has also gone up a little bit and probably it will remain elevated. So are you comfortable in still maintaining 30% Y -o-Y growth on Operating P rofit? That would mean mathematica lly, that we had Rs.13,000 crores of PPOP last year and we are at Rs.3,800 crore run rate, which would mean that the run rate will go up to Rs.5,000 crores. Mean does that look realistic at this point of time?

Shri Rajneesh Karnatak, MD & CEO:

Cons idering the fact that cost of deposits is going up. Definitely the operating profit is under pressure for all the banks, not only for Bank of India. So the operating profit growth for FY23 was 34%, and for Q2 FY24, it was around 35%. But overall for the financi al year, the operating profit guidance, we are giving a 13% to 15%.

Shri Jay Mundhra:
Okay. Understood, Sir. Most of my questions have been answered, Sir. Thank you so much for your answers.

Shri Ashok Ajmera:

Thank you for giving this opportunity again. I have a couple of questions and some data points. Sir, we have touched upon that revision in the, family pension, and wage revision . In case of wage revision, our total provision, including of this quarter, i s Rs.643 crores, so far. And you said about 15% will be this thing. So what will be the balance amount, estimated balance liability on this account of wage revision?

Shri B. Kumar, GM & CFO:

Actually this particular provisioning is coming into effect o nly from 1st November 2022 onwards . Kindly refer to Notes to Accounts point number 9. We have clearly mentioned that the proposed Bi -partite Agreement on the wage revision, with effect from 1st November 2022, Bank has made an estimated provision. It is onl y on estimated basis every quarter till that wage revision effect happens, th e settlement happens. We are estimating on a quarterly basis and we are keeping this provisioning accordingly from 1st November 20 22. As on 30th September 2023, we are holding aro und Rs.643 crore s provision in our books . If you ask for this particular quarter , we have kept Rs.189 crore s provisioning for 30th September. So this will continue till the wage settlement happens. Once the settlement happens, we will stop keeping this provision. We are estimating on a 15% basis.

Shri Ashok Ajmera:

That is okay. I have also read the note numb er nine. So I just wa nted that whether this trend of Rs. 190 crore s per quarter will continue till you say that the final decision will be taken, isn't it?

Shri Rajneesh Karnatak, MD & CEO:

Yes. Correct. This wage revision talks are already on. So till the time they get concluded and a final number is arrived, we will be continuing to make this provision on a QoQ basis.

Shri Ashok Ajmera:

Yes, Sir. Point well -taken Sir. This re solution of stressed assets. Note number 12. There the total outstanding amount is Rs.7,304 crores and the provision is

Rs.2,438.96 crore s. Think so. Any idea , approximately how much amount generally gets slipped from the stressed assets , as per our experience .

Shri B. Kumar, GM & CFO:

Sir. Actually, this 07.06. 2019 RBI circular is only requirement applicable to above Rs. 1500 crores advance accounts. It's only a provision. We keep it till viable resolutions happens. If you are having 100 cases , hardly 1 or 2 cases slips .

Shri Rajneesh Karnatak, MD & CEO:

So let me further supplement what our CFO has said about t his 07.06.2019 circular. We have to provide based on the industry guidelines. Right. And these accounts are not the sole banking account. These are all industry accounts wherein other lenders are there . Typically public sector and private sector lenders are there . Only when the SMA appears in the CRILIC Report we have to make a provision and go through that process and all other things. So normally what happens is the waiting period is 180 days as per our guidelines. If in this 180 days, no resolution is required by way of restructuring or anything, and the automatic cure takes place in these 180 days, then Bank w ith the understanding with the Central Auditors, we are able to reverse this provision. So this provision keeps on coming in the books of the bank at the end of the quarter. So some accounts come into that provision and some accounts go out of that provision. So this is a regular exercise which goes on quarter on quarter basis in all the Bank's balance sheets.

Shri Ashok Ajmera:

Yes, sir. Thank you.

Ms. Kejal Tolia, Moderator:

As there are no further questions, I would like to hand the conference over to Shr i Rajneesh Karnatak for closing comments.

Shri Rajneesh Karnatak, MD & CEO:

Well, thank you for everything and thank you to all the Analysts who have joined today for their good questions and hope we have responded them. And further, if any clarification is required, we are open to that. You can give your query by mail

or through phone call. We will be responding to those queries. Thank you so much and wishing you all a very happy Diwali.

Ms. Kejal Tolia, Moderator:

Thank you Sir for the insights. Also, on behalf of Bank of India, I announce that this Conference concludes. Thank you for joining us.

Call: Feb 2024

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Bank of India
Rt41-1 W. Ref. No.:HO:IRC:RVU:2023-24:527 Date:12/02/2024
Scrip Code: BANKINDIA Scrip Code: 532149
The Vice President — Listing Department,
National Stock Exchange of India Ltd.,
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Bandra Kurla Complex, Bandra East,
Mumbai 400 051. The Vice-President — Listing Department,
BSE Ltd.,
25, P.J. Towers, Dalal Street,
Mumbai 400 001.
Sub: Q3 FY 2023-24 Earnings conference call
with Analysts/ Investors — Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
conference call Q3 FY24 held on 05.02.2024.
The transcript of Q3 FY24 Earnings conference call is uploaded on Bank's
website and the same can be accessed through below link :
httos://bankofindia.co. in/analyst-conference-call-transcript
This is for your information and records.
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“Bank of India
Q3 FY’24 Earnings Conference Call”
February 05, 202 4

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri M Karthikeyan, Executive Director

Ladies and Gentlemen,

Good evening and welcome to Bank of India's Q 3 FY 24 Conference Call. I would like to thank all of you for taking out time today and joining us. We have with us Shri Rajneesh Karnatak, MD and CEO, Shri M Karthikeyan, E xecutive Director and other

Top Management team from Ba nk of India. For now, we have placed all microphones on mute . At the end , during the Q&A session, we will be sending you a request to unmute yourself in order to ask questions. I will take you through this process before the Q&A session. However, please n ote the Management will continue to remain unmute throughout the session. I would now request Shr i Rajneesh Karnat ak to address this gathering. Thank you. And over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO :

Good afternoon to all the dignitaries, ladies and gentlemen present in today's Analyst Meet. It is my pleasure to welcome you all for the interaction, post publication of financial results of the Bank for Q3 of FY 2023 -24.
Despite prevalence of geopolitic al overhang affecting global growth, Indian economy exhibited optimism on the back of strong macroeconomic fundamentals and financial stability. The real GDP growth rate has been revised upwards to 7% by RBI for FY'24.
The Bank is focusing on customer serv ice excellence and improving connect with the customers for increasing low cost deposits to fund the advances growth. SMA management & Slippage containment remain high priority areas on the bank's agenda with continuing measures for improving collection ef ficiency and NPA recovery. On Digitalization front, New Cloud Technology Adoption Framework is introduced to improve data security, privacy, control and corporate governance.
Other new initiatives taken are;
1. Launching of Nari -Shakti Savings Account aimed at catering to women aged 18 and above with an independent source of income.
2. Introduction of upgraded savings accounts with improved features and insurance coverage. Savings Bank products are rationalized to 8 products i.e. SB General, Pratham, Pension, Ra kshak, Government Salary, Private Salary, Staff and Institutional accounts.
3. Green Deposit & Financial Framework Policy for promoting green initiatives by deploying funds in green activities/projects based in Indian green taxonomy.
4. Launching of BOI Star Exp ort Credit Scheme to on -board and provide quick financial solution to Export units.
5. Star MSME Welcome offer revised with wider coverage and to increase customer base in up country centers.
6. Star Energy Saver scheme revised under Renewable Energy where maxi mum Loan amount is raised to Rs.10 Cr from Rs.1 Cr.
7. Formation of 10 New Asset Recovery Branches (ARBs) to have more sound approach for resolution of NPAs.
8. RFP floated for onboarding consultant for IT & Digital Transformation.

We have published and shared f inancial results of the Bank for Q3 of FY 2023 -24 on 02.02.2024. The main highlights are as under.
1. Global business increased by 9.60% YoY from Rs 11,61, 000 Cr in Dec'22 to Rs 12,72, 000 Cr in Dec'23 with incremental growth of Rs.1,11, 000 Cr.
2. Global Advances increased by 11.29% YoY from Rs 5,07, 000 Cr in Dec'22 to Rs 5,65,0 00 Cr in Dec'23 with incremental growth of Rs.5 8,000 Cr.
3. Global Deposits increased by 8.28% YoY from Rs 6,53, 000 Crs in Dec'22 to Rs 7,0 7,000 Cr in Dec'23 with incremental growth of Rs.54, 000 Cr.
4. Domestic CASA increased by 5.92% YoY to Rs 2,61, 000 Crs in Dec'23 with incremental growth of Rs.14, 000 Cr and CASA ratio stood at 43.88%.
5. D

omestic Advances increased by 11.34% YoY and stood at Rs 4, 75,000 Cr in Dec'23 with incremental growth of Rs.48, 000 Cr.
6. RAM advances increased by 13.61% YoY to Rs 2,62, 000 Crs in Dec'23 with incremental growth of Rs.31, 000 Cr, constituting to 55.22% of advances in Dec'23.
As regards Profitability & Asset Quality ,
1. Bank's Net Profit for Q3 FY24 improved both sequentially and on YoY basis. Net profit increased from Rs.1,458 Cr in Q2FY'24 to Rs. 1,870 Cr in Q3 FY 24.
2. Global NIM stood at 2.98% for 9 months and Domestic NIM stood at 3.35% for 9 months of current Financial Year.
3. Net Interest Income has come down by 2% on Y -O-Y basis for Q3FY24 over Q3FY23, however, on 9 month basis it has increased from Rs.14,752 Cr for the

period ended 31.12.22 to Rs.17,117 Cr for the period ende d 31.12.23 showing Y-O-Y growth of 16%.

4. Non-Interest Income has come down to Rs.1,193 Cr, i.e. a fall of 17% in Q3FY24 over Q3FY23. However, on 9 month basis has grown Y -O-Y by 9% from Rs.4,001 Cr for the period ended 31.12.22 to Rs.4,344 Cr for the period ended 31.12.23.

5. Operating Profit on 9 month basis has grown Y -O-Y by 14% from Rs.9,209 Cr for the period ended 31.12.22 to Rs.10,511 Cr for the period ended 31.12.23. Though, on Y -O-Y basis i.e. from Q3FY23 to Q3FY24, it has come down due to increased pr ovisions on account of expected wage revision and depreciation in investment.

6. There has been improvement in asset quality with reduction in both Gross NPA ratio and Net NPA ratio. The GNPA Ratio was brought down to 5.35% in Dec’2023 from 5.84% in Sep’23 an d Net NPAs to 1.41% in Dec’23 from 1.54% in Sep’23. GNPA has come down by Rs.8,648 Cr on Y -O-Y basis.

In line with the GDP growth rate, we expect credit growth of around 11 -12% for FY’24 & domestic deposit growth of around 10%. There has been compression o n margins due to increase in cost of deposits but by focusing on RAM and Mid Corporate Credit, we aim to maintain NIM at 3.00% for FY24. With the Bank’s consistent focus on improving asset quality via better underwriting and containing fresh slippages, we expect Gross NPA ratio to be around 5.10% and credit cost around 0.50%. We will continue to work towards improved customer service, broad based growth and a better profitability by enhancing our CASA and Retail Term Deposit Book.

In consonance with the mea sures announced in the Interim Budget 2024, India is poised to become the 3rd largest economy in the world in next 3 years with the GDP of 5 trillion USD and it will be a catalyst in achieving the guidance given as above.

I would again thank you all for t he continued support. The floor is now open for discussion and Q & A.

Moderator

Thank you , Sir. We would like to open the Analyst Meet for Questions and Answers. You will notice a small icon on your screen , a hand sign. Once you press this, it will alert us that you would like to ask a question. We would go around one by one. The analyst asking the question will be unmuted. You will get a notification on your screen to unmute yourself. Kindly click on unmute and identify yourself before asking the question. Each participant will be allowed to ask two questions. If they have more questions, they are requested to join the queue again.

We have first question from Mr. Marsal. Unmuting you. So please go ahead.

Mr. Marsal

Before I get my question, over here in the press release, in the key highlights you have just compared the Q3 versus Y -o-Y. I think it will be most ideal if you compare Q3 with Y-o-Y as well as over Q2 FY24. Otherwise , we have to refer to press release of last quarter to see that where do we stand. So kindly in the next quarter , in the key highlight also, please share three data for Q3 FY24, Q4 of March 2024, then the Q4 of March 23 also , YoY as well as QoQ comparison.

Shri Rajneesh Karnatak, MD & CEO

O

kay. Your suggestion is noted. We will take care in the next presentation in the March quarter.

Mr. Marsal

Thank you. My first question is regarding this. We are disappointed rather to see the result of our bank because if you see the whole PSU bank result, every bank has done fantastically, both in terms of NII, in terms of N IM, in terms of operating profit. But in our case, again, I'm comparing Q on Q. In our case, NII has reduced from Rs.5,740 crores in second quarter to Rs.5, 463 crores, NIM has compressed from 3.47 % to 3.21%. And similarly our Operating Profit also reduced. So can you please say what action you are taking now to show that in Q4, we can recoup the level of Q 2 number. And then how much of this, like N CLT you expect to recover within the Q4?

Shri Rajneesh Karnatak, MD & CEO

Thank you. As regards Net Interest Income , interest income has gone up by 20% on a Y-o-Y basis from Rs.12,700 crores in December 2022. Our interest income has gone up by Rs.15,200 crore. As regards the nine months period, YoY improvement , in December 2022, our interest income was Rs.34,000 crore s. It has improved to

Rs.44,500 crores in December 2023, which is a growth of 30% . On the interest

expenses, the increase has been, by 37% on a YoY basis and on a nine monthly basis, it has gone up from Rs.19,000 crore s to Rs.27,000 crore s, because of which there has been some pressure on the Net Interest Income. So, as you rightly observed, the Net Interest Income has gone down, but it has gone down by only -2% from Rs.5,596 crores as on December 2022. It has come down to Rs.5,463 crores, which is a negative of only 2%. However, if you see the nine month results of the bank as on December 2022, our Net Interest Income was Rs.14,752 crores. It has improved to Rs.17,117 crores, which is an improvement of 16% on Net Interest I ncome. So Q3 has been a n aberration, I would say, for the bank, wherein the Net Interest Income has come down on a sequential basis a nd on a Y -o-Y basis. The main reason for that, as you are aware, is because of the pressures which are there on the margin, because of which this is happening . As you already said, that the N IM has also compressed. However, on the N IM side, I would like t o clarify that in the September quarter, our quarterly N IM, which was at 3.08 %, has come down to 2.85%, but on a half yearly basis, it was 3.0 5%, which is now on a monthly basis at 2 .98%. To further clarify, our NIM as on a nine monthly basis in December 2022 was 2.96%, which has now improved to 2.98% on a nine monthly basis , by two basis point. So this is the thing which we want to tell, though there is some pressure because of the tight liquidity situation which was prevailing in the market in the quarte r of December , Q3, which is also prevailing in this quarter also. However, we are confident that on a global NIM basis, we will be able to protect our N IM at around 3% for Q4.

Also, just to give further flavour on the N IM side, on the domestic side, our NIM has improved much better. On the domestic side. On the Q 3, our quarterly N IM was 3.21%, and on a nine monthly basis it was 3.35%. And it is well above 3%. And on that side also, we are saying that our guidance will be at 3. 20% for the 12 months in Marc h 24, for the Q4 and the annualised .

As regards operating profit , let me clarify that operating profit has come down from Rs.3,652 crores to Rs.3,004 crores. It is a decrease by 18%. However, for the nine month period, it was Rs.9,200 crores in December 22 and it has improved to Rs.10,500 crores in December 23, which is a Y -o-Y increase of 14%. So basically there are two items because of which the operating profit has come down, one being the provision for the wage revision. So provision for the wage revisi on in this quarter was Rs.448 crores in Q3, which included provision at the rate of 2% for 11 m

onths. Because th e
MoU signed for the wage revision was at 17% , and earlier , we were making provisions at 15% . Because of that delta, the increase is Rs.129 crores. Fresh provision for Q3 at the rate of 17% comes to Rs.219 crores. Retirement benefit and pension payment provisions, which is again on an ad hoc basis is at Rs.100 crores. So Rs.448 crore has gone for that provision. Just to further clarify on the wage numbers , we have already taken a provision of Rs.1,091 crores till date. So up to December , all wage cost plus pension has been provided for. Apart from that, the second item which has impacted was with respect to the depreciation in our investmen t book, which was there in one of the N CLT NPA accounts, which has come, and another account on the sugar side and the total amount is Rs.383 crores. So if you add up Rs.383 crores and Rs.448 crores, it comes to Rs.800 crore plus. And if we add this one of f item of Rs.800 crore plus which we had to provide in this quarter, our operating profit comes back to Rs.3,800 crores, which is well above the run rate which we were having of Rs.3,756 crores in September 2023 and Rs.3,652 crores in December 2022 . So we are very

much confident that in the next coming quarter in Q4, we will be able to come back to the run rate of around Rs.3,600 to Rs.3,700 crore for the operating profit in Q4, because around 800 crore being one o ff item for the bank in this quarter's balance sheet.

Mr. Marsal

Sir, in the in the Q4 also, do you expect to have this kind of hit or kind of thing?

Shri Rajneesh Karnatak, MD & CEO

No, these were only one of f items. We don't foresee such kind of item. A s of now, when we are speaking today on 5th of February, there has been no such entry in our books . That I can clarify. So at present , we are not f acing any kind of this additional provision because of depreciation on the investment side, because of the N PA investment coming back to the standard category. And as regards the provision with respect to the wage revision, yes , additional provision of Rs.219 crore s will be coming for Q4, which will be at the rate of 17%, to take care of the Q4 quarter of FY 24.

Mr. Marsal

So you are saying that like in this quarter , we made the provision of Rs. 448 crore and what will be the p rovision next quarter? Is it Rs.2 28 crores including 2% and the debt provision also.

Shri Rajneesh Karnatak, MD & CEO

This 2% provision will not be there. This is a one-time provision because that is the gap between the 15% and the 17%. So this number will not be coming again. So fresh provision of Rs.219 crore s for the wage revision will be coming in Q4 also. So that is the number. And on the retirement benefit and the pension payment side, around Rs.50 crores to Rs. 60 crore s will be coming. That is the provision which will be coming in the Q4 .

Mr. Marsal

To increase the NIM, like you are the veteran, so you will know it very well that what is required to have this low cost deposit of current account and savings account . But we don't see it coming from Bank of India in any of the like, you know, online to c anvass or like to compare for this opening of current account or, you know, for example, this opening of savings account. So what action like, at the branch level, at the Zonal level are be ing taken to increase the low cost deposits. That's very critical for the bank.

Shri Rajneesh Karnatak, MD & CEO

Yes. So let me clarify. Bank of India has a very strong franchise as far as the retail deposits are concerned. We have 5 ,200 branches, 8 ,400 ATMs and CRM machines and 19,000 of BCs. Which we have delivery points of nearly 32,000, in the field for giving customer service and better customer efficiency. So as regards the CASA number, we already have a number of around 44%, which is one of the best among the public sector banks. Another part

is that 44% of our term dep osits is retail term deposits, and only 12% of our deposits is bulk deposit, which is again one of the best in the system. So 88% of our deposits are retail deposits. Another point where you

said that the accounts that we are concentrating on C ASA, savings account and current account . Let me clarify to you the total number of savings accounts other than BSBD account, which are basic accounts we have opened in this financial year from 1st April till 31st December 2023 is around 13 lakh accounts. So that is the kind of accretion which has happened in fresh savings accounts during this period of nine months. So there is a lot of focus which is going from our side, from Head O ffice, both on the physical side and also on the digital side. The accounts are gettin g opened and targets have been given to the branches and the Zones and the NB Gs for opening the savings accounts and the C urrent accounts. And then another thing that we have been doing of late is we are entering into a lot of organizational t ie-ups, both at the PSU level, at the corporate level and also at the Central and the State Government level for getting the current account and the saving accounts of the staff. That is another thing. That is why our cost of deposit, which was 3.72% as on Decem ber 22 is increased to only 4.62% as on December 23, and on a nine month basis, it is only 4.44%. So cost of deposit for Bank of India, 4.44% on a nine monthly basis is one of the most competitive cost of deposit among the public sector banks.

Moderator

Thank you , Sir. We'll take the next question from Mr.Ashok Ajmera. Request you guys to have two questions each. Please go ahead.

Mr. Ashok Ajmera

Sir, we were talking about the Operating Profit. Now it has come down by 18%. You said that wage revision of Rs.448 crore impact, including the 2% plus for this quarter. But if you look at the employees cost, it has increased by only Rs.37 crore in this quarter as compared to the last quarter. So, either this quarter, the employee cost was much lower, which has a bsorbed this extra cost or these extra cost has gone somewhere in the profitability statement.

Shri Rajneesh Karnatak, MD & CEO

So let me clarify that. See, whatever the employee cost you are seeing on the P&L, that is the cost which we are taking on the P&L. So this is the number which is based on the wage settlement. So this number of Rs.448 crores which we have made, this is all provision. So Rs.129 crore is the provision on account of the 2% for the last 11 months and fresh provision of 17% for Q3 FY24 , which comes to around Rs.219 crores and Rs.100 crore s provision is because of the retirement benefit and the pension payment. That is the number. So to give overall view , that Rs.1,091 crore, we have totally provided till 31st December 2023 on account of the wage settlement . There won't be any further h it on this. So on this Rs.1,091 crores, there will not be any furt her provision or debit to the P& L.

Mr. Ashok Ajmera

Yes. Okay. So you have already adequately provided for this. That is why the impact has not come here in this. So, Sir, when the impact of this has not come in this quarter, which is the other item which has brought down the operating profit of the bank so substantially low.

Shri Rajneesh Karnatak, MD & CEO

Actually, this Rs.448 crore s is one item which has brought down the operating profit because this is a number which is above the line. So it hits before the operating profit. And apart from that, Rs.383 crore s is the depreciation in the investment on the standard book side, which has come to the bank on account of the resolution of couple of NPA accounts which got into the standard category post the receipt of the NCDs in these accounts . So depreciation on those NCDs has been made at Rs.383

crores. So

the tot al impact comes to Rs.383 crores plus Rs.448 crores which comes to around Rs.800 crores. So th e operating profit has come down by Rs. 800 crores due to this one off item. If you add back this Rs.800 crores to Rs.3,004 crores, it comes to around Rs.3,800 cr ores for December quarter.

Mr. Ashok Ajmera

Point well -taken Sir. Similarly, the impact on P &L like our net profit, is showing a substantial gain from Rs.1,458 crore s to Rs.1,869 crores . The main other factor is taxation , which was in the last quarter Rs.1,480 crore s and has come down to Rs.633 crore s, which is proportionate to the reduction in the profit. So can you elaborate? What is the way we calculate the tax and every quarter it differs substantially.

Shri Rajneesh Karnatak, MD & CEO

So as you right ly observed, our net profit was Rs.1,870 crores . And it has gone up by 62%. And it is on the back of the two facts. One is the taxation. Now our taxation is at 25% because we have shifted to the new tax regime. Our taxation from this quarter is at the rate of 25% as against earlier 35%. That is the first impact. And the second impact is with respect to the provisions which we have to make before the tax es. So as regards provision is concerned, there has been a reduction in provision, which is basically beca use of some factual things. Number one, the slippage has come down. If you see our fresh slippages, our fr esh slippages have come down to Rs.1,313 crores from the earlier quarter of Rs.1,652 crores. So the slippage has come down because of which , naturally , the provision number has also come down. That is one part, the other part being the ageing side. Provision because of the ageing side which was in nine months. These are the exact numbers I am telling you. For the nine months of FY23, the ageing provisio n was Rs.4,313 crores, which was required at only Rs.2,226 crores for this financial year, this nine month of FY 24. So this is the impact which has happened. So if I give you the total of that, including the slippage provision and the ageing provision, th e total amount which we had made the provision in December 2022 was Rs.5,300 crores and now the requirement was only Rs.3,300 crores. So that is the reduction in provision which is happening on account of lesser slippage and also because of the ageing . As regards recovery also , the provision has been released because of recovery. In the last nine months of December 2022, the provision release was Rs.9,900 crores and in these nine months of December 20 23, the provision release is Rs.10,400 crore. Here also w e got a release of nearly Rs.500 crores. So all in all, the release of provision is happening in a natural process because of slippage reduction, ageing and also the recovery process because of which the less provision had to be provided and naturally it h as helped improve the net profit of the bank.

Moderator
Thank you Sir. Next question we have from Ms.Mahr uk.
Ms. Mah ruk
My first question is on margins. So, when do you think the deposit repricing stops? By when will your term deposits get repriced? And what is the outlook for margins for Q 4 and in FY 25? They fell in the third quarter. So what is the outlook in the fourth quarter. Will you see more deposit repricing in the fourth quarter ? Where will margins settle in the fourth quarter ? And then , would you be in a position to give guidance for FY 25 on margins.
Shri Rajneesh Karnatak, MD & CEO
As regards the repricing of the term deposit is concerned, most of our term deposits had already been repriced. The new term deposit, which we are taking, say , in the last 4 or 5 months, that obviously will get repriced, at the end of their term, maybe it is two year, one year, six months, nine months, whatever. But whatever the increase on the term deposit side is concerned , it has already happened.

So , we can safely say that
whatever the term deposit we are holding today, it is on a higher rate of interest. Low cost term deposit won't be there much in the book apart from those term deposits which are for long period , say, four year s, five year s, seven y ears, which may be at around 5%.
One important thing I would like to say on the margin side is that , typically what happens in the banking system is that , when the interest rate on term deposit starts rising, the shift happens from cash deposits to term d eposits. If I tell you about Bank of India, we are offering 2.9% rate of interest on our saving deposit for any saving account, which has an average balance of one lakh and above in a quarter. And what we are offering on the term deposit side for one year is 6.5%. So the differential here is 3.60%. So that is a very healthy differential for any depositor to take a call. Whether he wants to keep his money in the savings account or he wants to put it in a term deposit. And if it is for a senior citizen, we gi ve additional 0.50% there. The difference becomes 4. 10%. So that is why there is a shift in the entire banking system these days, from the C ASA side to the term deposit side. This is one thing which is happening because of which there is pressure in the ma rgins. Apart from that, the pressure is also because of the fact that , as per the latest RBI data also, if you see for the fortnight of January, 2024, the credit growth is around 20% and the deposit growth is only 13% because the incremental delta of the c redit growth is higher. There is definitely liquidity issue and the rate of interest is going high because of the reason that this issue is there. As regards the guidance which we can give, what we can see is that the rate of interest according to us, have already plateaued. So the rate of interest or the margin pressure which was there in December quarter will continue at the same level. I will not say it will go much higher. It will remain at the same level in Q4, but post 1st April, this tightness in the liquidity and also the interest rate increase will definitely get muted and the rate of interest will start softening in the next financial year. So , we are also expecting that the R eserve Bank will also reduce the Repo rates in the ensuing quarters in th e next financial year. So there also the margins will start improving and the pressure on the NIMs will be lesser.

Ms. Mah ruk
I'm sorry again back on the wage provision. I think Mr. Ajmera as ked this, that if you see the net increase in your wage bill, your total wage bill, it's no t the amount that you mentioned . It's around Rs.22 billion minus Rs.21.8 billion , though you made the provision. So it's because last time the provisions were higher. I s it in the second quarter ?
Shri Rajneesh Karnatak, MD & CEO
Rs.1,091 crore is the total provision that we have made on account of the wage bill, out of which Rs.448 crore of provision we have made in the Q3 FY24. The remaining provision has already been made. Rs.643 crores was already held till 30th September 2023 . So this is the number which it is. There was no right back of any old provision or any such thing. I will request my CFO, Mr. Kumar, to pitch in on this.
Mr. B. Kumar , General Manager & CFO
Madam, the provision of Rs.991 crores plus Rs.100 crores, total of Rs. 1,091 crore s have already been made. And whenever the wage settlement comes, we will be using this particular provisioning. So th is is in the normal course. There is no write back.

Ms. Mahruk
Okay. I wanted to squeeze in just one last question again on investment depreciation. You mentioned two accounts or one. You mentioned a sugar account and you mentioned one more.
Shri Rajneesh Karnatak, MD & CEO
Right. There are actually four acco unts. Two accounts of one NPA NBFC wherein the resolution has happen

ed and we have been issued NCDs , which are standard NCDs.
But as per the RBI guidelines, we have to provide depreciation . That we have fully provided. Apart from that, two other accounts a re there which are very small accounts. So the significant amount in this Rs.383 crore s is with respect to two NPA NBFC accounts where resolution has happened.
Moderator
Thanks a lot. Thank you , ma'am. Next question we have from Mr. Rakesh Kumar.
Mr. Rakesh Kumar
Thanks a lot for the opportunity, Sir. Couple of questions . Firstly , on the credit yield. So, what was the reason for this quarter that the credit yield has fallen sequentially.
Shri Rajneesh Karnatak, MD & CEO
If you see our yield on advances. It is at 8.37% on a quarterly basis and 8.34% on a nine-month basis. So it has come down from 8.54% in September 2023 on a quarterly basis, though it has improved on a nine-month basis. But however, if you see the yield on advances on a yearly basis , Y-o-Y basis , in the December 2022, our yield on advances was only 7.67%, which is now at 8.37% on a nine monthly basis. Also, it was 7.17%, which has now improved to 8.34%. So the yield on advances has come

down sequentially for the simple reason that there were certain, large corporate accounts , we had taken certain calls and funded them, which is project financing, and it is on the AAA rated asset side where the margins are thinner.
Mr. Rakesh Kumar
Okay. This quarter, we also had lower recoveries. So either in the written off loan or in the mo vement of gross NPA . Recoveries are also lower. So what is the contribution of this l ow recovery on the interest accrual in Q3 and Q2?
Shri Rajneesh Karnatak, MD & CEO
Yes, you are right that there has been lesser recovery in this quarter. So if you see our, total recovery, it was the reduction in NPA. It is Rs.2,795 crores , which we have shown in our presentation. Cash recovery is Rs.1,248 crores and upgradation is Rs.86 crores. So that is correct. But if you see on a nine monthly basis , we have done a total recovery of Rs.12,960 crores, out of which Rs.3,823 crores has been cash recovery, Rs.969 crores is upgradation and the write off is around Rs.8,168 crores. So there has been a healthy recovery of Rs.12,960 crores reduction, during these nine months. This is against Rs.15,888 crore s of total reduction, which had happened in the financial year 2022 -23, in the 12 month basis. So we are well on course of the guidance which we had given, for the reduction. So we are anticipating a reduction of around Rs.16,000 crores in the entire financial year 2023 -24, against which we have already done Rs.12,960 crores, we are already at around Rs.13,000 crores.
Mr. Rakesh Kumar
Okay. So this reduction you are talking about , the NPA recovery, upgrade and recovery on the written off loan, all put together. Correct?
Shri Rajneesh Karnatak, MD & CEO
Not recovery on wri tten off loans. R ecovery from written off accounts comes in the non-interest income side. So if you see on the non -interest income side of the presentation of the bank on page number 17, in December quarter, we have done a recovery in wri tten off account s of Rs.336 crores as against Rs.290 crores in Decemb er 2022.
Mr. Rakesh Kumar
Okay, so all these three numbers put together is giving this . Got it Sir. Just one last question, Sir . Our corporate advance s composition has remained same, around 44% , QoQ. In the benchmark wise distribution of advances , the others, you know, comp osition has gone up to 12.3 0% from 10.3 0%. So, you said that we have done some, corporate lending. So can you tell us , though there is no increase in the corporate credit composition , there is a decrease in the MCLR comp osition and th ere is an increase in the Other comp osition. So if you can tell us what is happening here. I couldn't understand, Sir.

Shri Ra

jneesh Karnatak, MD & CEO
If you see our corporate book, which is there on page 7 of the slide. First, let me clarify about our total book. There is 55% of the R AM, which is Retail, Agriculture and MSME,

and 45% is the corporate book. This is our corporate strategy from the Management side also, that we want to put the RAM book at 55 and the corporate book at 45, because there are better margins and the risk also gets spread in the R AM segment . As regards Corporate, which is there in the 7th slide, Rs.2,12,000 crore s is our outstanding in the corporate book as on December 2023 , which was Rs.1, 95,000 crores in December 2022 . And it was Rs.2,0 1,000 crore s only as on September 2023 . So there has been a Y -o-Y growth of 8.67%. And if you see incrementally, the increase has been around Rs.17,000 crores. As regards the incremental sanctions that we have given. See, we have to understand in corporate that nearly 50% of our book, is the term loans and in the term loans , lot of repayments happens on a regular basis which are monthly repayments , quarterly, half yearly or sometimes the annual repayments. So, in order to meet these repayments , a lot of corporate loans have to be sanctioned continuously and get disbursed. So that is the thing which we are doing. So in spite of the repayments which are coming in the term loans, we are able to not only equalise those repayments, but also incrementally increase our corporate book by Rs.17,000 crores on a Y -o-Y basis.
Moderator
Thank you. S ir. We have next question in the chat from Mr. Nishant Shah. Can you please mention if 1% ROA guidance is intact?
Shri Rajneesh Karnatak, MD & CEO
As regards the ROA, even during our QIP process and other times we have said that the ROA we will be able to do in FY 26 ROA 1% on a consistent basis . That we continue to maintain . Presently our ROA on a quarterly basis is at 0.82% and on a nine month basis, it is already at 0.72%, which has improved from 0.55% in December 2022 on a quarterly basis and 0.44% on a nine month basis in December 22 and further, it was at only 0.49% as on March 2023 , on a 12 month basis. The guidance for March 2024, we are giving a t 0.85% on the ROA on an annualized basis, and for the one year we continue to give the same guidance on a consistent basis, the ROA would be 1% and above in FY 26.
Moderator
Thank you , sir. We have next question from Aditya .
Mr. Aditya
So my first question would be on targeted LDR (Loan to Deposit Ratio) . So the LDR for the bank has increased sharply during the quarter. So what would you guide for LDR to be in the near term?
Shri Rajneesh Karnatak, MD & CEO
What we are saying is that 79% was our LDR in December 2023 . And as you are aware, the regulatory guidelines is 18% of SLR and 4.5 0% of CRR, which means 22.50% we have to keep separately. So ideally it has to be 77.5 0%. But for Q4 guidance, again, we are saying that our LDR will be at around 79%, which will be below 80% for Q4 quarter. And another data I would like to share over here is that as regards excess SLR, we are having excess SLR of around Rs.30,000 crores, which

will help and aid the bank in taking care of any incremental increase in the loans and advanc es, in case there is a shortfall in the deposit side, because the credit growth is much higher than the deposit growth as is visible from the data.
Moderator
Thank you Sir. The next question we have is from Mr. Sushil .
Mr. Sushil Choksey
Congrats on a great QIP and a performance after that. Sir, based on current environment led by FOMC outlook and the interim budget. How do you see the next six months , where domestic interest market is concerned? Have the rates peaked out? How do you see the pric ing environment as rates would be peaked out ? The corporate borrowing may shift to debt ma

rket rather than taking at the expensive rate from Banks .
Shri Rajneesh Karnatak, MD & CEO
Thank you , Sushilji . So as regards what we see for FY25, the interim budge t and the RBI stance which is there. RB I has already said that the GDP would be around 7% for FY24, and it would be much better for the FY25. And as regards the interim budget also, the key takeaway being apart from the investment credit which will be comi ng, capital investment, which will be coming at around Rs.11 lakh crore s and other opportunities there available for the banking system for funding. The fiscal deficit guidance has also been reduced. Apart from that, on the geopolitical side also , the GDP forecast has been at around 3.1% globally. And for India, the GDP forecast of around 7% is one of the highest among the entire global economies. So there is a lot of scope for the banks to come. And with the already 3 trillion economy that we have already touched, and as the budget says, that we will be becoming a 5 trillion economy in the next three years. So there is huge opportunit y in front of the entire banking system. And definitely we will grow along with the economic growth which will be there .
As regards the shifting of corporate credit. With the Morgan Stanley Index and the Bloomberg index, which will be coming for the bonds, there will be definitely deepening of the bond market in the system, but that will take time for penetrating into the AA or single A accounts. Definitely AAA accounts on the corporate side will benefit. But overall, on the credit growth side, if we see that greenfield expansions, brownfield expansions, and other activities will all get funded from the banking system channel itself, apart from the Retail, Agriculture and MSME. So we see no reason why, the growth will not be there in the banking system, both on the deposit side and also on the advances side.
Mr. Sushil Choksey
Sir what is your pipeline in terms of anticipated credit growth in the current quarte r?

Shri Rajneesh Karnatak, MD & CEO
So as regards pipeline, we have around Rs.10,000 crores of pipeline in the Retail and MSM E segment. And apart from that , we have around Rs.50,000 crores of pipeline in the corporate segment, which includes sanctions where we have given in -principle approval, sanctions given or where dis bursals have to take place or documentation has to take place. So around Rs.60,000 crores of pipeline is there available with us, which is the fund based pipeline. Apart from that we also have some pipeline in non fund where the disbursal and other things have to take place. So we have a very healthy pipeline available in front of us to guide us to a credit growth, which we have already given of around 11 % to 12% for FY 24. And the guidance for FY 25 will be giving later on , once we get it approved from our Board.
Moderator
Thank you. So the next question we have is from Ashish .
Mr. Ashish Sonje
So few data related questions on the book. Firstly, we had recoveries of Rs.336 crores in this quarter from written off accounts . Can you give a break up of this number between corporate, MSM E and Retail?
Shri Rajneesh Karnatak, MD & CEO
We will share it separately with you.
Mr. Ashish Sonje
And just a few more on the overall PWO (prudentially written off) book. I think we have about Rs.45,000 crores in written off assets. What would be the breakup of this outstanding book across the same four segments?
Shri Rajneesh Karnatak, MD & CEO
Rs.30,000 crores is the corporate credit and Rs.10,000 crores is RAM. Around Rs.6,000 crores is the international book. This is the broad br eakup.
Mr. Ashish Sonje
So then what was the interest income from the recoveries which we had in this quarter?
Mr. P K Sinha, Chief General Manager
In this quarter, the interest income in the PWO segment is Rs.232 crore s.

Moderator
Thank you. We have next question from Mr. Chintan .
Mr. Chintan
On this Margins . So just wanted to understand. S ir, is there any kind of one off in margins, for this quarter, or was there any one off in the previous quarter as well, since we see a sharp decline here and in th e previous quarter there was a sharp uptick , QoQ . So, any one offs there?
Shri Rajneesh Karnatak, MD & CEO
No. There is no one o ff over there in the margins.
Mr. Chintan
Okay. On th e staff costs . Going ahead , we have already provided everything, whatever was required till December 2023 , what could be the steady staff cost run rate going ahead ? If you could just throw a number, a rough ballpark number ? Will that also be at Rs.2,200 crores which has been the usual number for the past three quarters average. So it would be continued with this rate for FY25 as well or could there be a bump up?
Shri Rajneesh Karnatak, MD & CEO
No. Rs.219 crores is already the number which we have started providing. So Rs.219 crores will be one number. Apart from that there would be some pension and other numbers. So another Rs. 50 crores to Rs. 60 crore s you can add up on that. On a quarterly basis.
Mr. Chintan
Okay. Sure, sir. Okay, so that's it from my end .
Moderator
Thank you. We have next question from Mr.Bhavik .
Mr. Bhavik Shah
Thanks for the opportunity. S ir, two questions from my side. S ir, you mentioned, interest income from recovery or from written off accounts was Rs.230 crore s for this quarter. And for nine months it was Rs.700 crore s. So what was it for last quarter? The September quarter.

Shri P K Sinha, Chief General Manager
When we mention cash recovery in PWO , that does not include the U CI (uncharged interest) . Whatever we recover over and above the outstanding , that is coming in as recovery in interest incom e, that is for UCI. F or this quarter , that is Rs.232 cores . Last quarter it was Rs.350 crores .
Mr. Bhavik Shah
Sir, are we looking to pay a performance linked incentive next quarter? Our PPOP growth has been good. And what would be the ballpark number on that?
Shri Rajneesh Karnatak, MD & CEO
Performance linked incentive is a scheme presently based on DFS guidelines, which is there. So we are waiting for the DFS guidelines to come. Only then we can substantiate further.
Mr. Bhavik Shah
Okay, but is there any estimation? How much can it be?
Shri Rajneesh Karnata k, MD & CEO
Currently, we do not know the metrics, the metrics for what it will be coming. So at present we can't tell anything on that.
Mr. Bhavik Shah
Okay. Lastly, sir, what is your LCR ratio? And can you say a breakup or give the breakup of Rs.448 crores again the portion of expense taken for provisioning this quarter?
Shri Rajneesh Karnatak, MD & CEO
For Rs.448 crores, the breakup , Bhavik, is at the rate of 2% for the last 11 months. 11 months means, from 1st November 2022 to 30th September 2023. It comes to Rs.129 crores . Fresh provision for Q3 at the rate of 17% at which the MoU has been signed. That is Rs.219 crores and retirement benefit and pension payment that comes to around Rs.100 crores. So total aggregating to Rs. 448 crores has been provided specifically in Q3, FY24 on account of the wage bill.
Mr. Bhavik Shah

Would you have set a number handy on how much PLI performance linked incentive you paid last year?

Shri Rajneesh Karnatak, MD & CEO
Last year , we had paid a PLI of 15 days of the wages , that was amounting to Rs.260 crores. That was the for the entire year.
Mr. Bhavik Shah
Okay, Sir. Understood, Sir. So that's it from my side, Sir. Thank you so much.
Moderator
Thank you. S ir, now we have last question from Mr. Ronak Daga .
Mr. Rona k Daga
Sir, wage revision pro

vision for fourth quarter will be Rs.219 crores. So what will be the wage related provision for FY25?
Shri Rajneesh Karnatak, MD & CEO
See how it works is , presently the MoU has been signed. So what will happen is once it is approved by the DFS / Government, then it will be directly take n into the P& L account and into the establishment cost and no more provision will be required. But since the MOU already has been signed a t 17%, the cost would be coming at the same number at around Rs.219 crores for the regular wage bill, plus around Rs.50 crores to Rs.60 crores on the pension and the gratuity and other liabilities. So Rs.220 crores plus Rs.60 crores or you can say around Rs.280 crores per quarter should be the run rate, approximately.
Mr. Ronak Daga
Okay, sir. Thank you. And, what will be the breakup of M CLR, EBLR and fixed rate book?
Shri Rajneesh Karnatak, MD & CEO
6% of our total book is only fixed rate. Remaining of our book is all, floating rate, which is into M CLR and other things. Our MCLR book is 33%. Our external benchmark is 48%. Base rate is only 1% and others 12 % and fixed rate is 6%. So majority of it is floating rate, mainly into M CLR and EBLR .
Mr. Ronak Daga
Okay . What is the other category in the credit lending benchmark?

Shri Rajneesh Karnatak, MD & CEO
So sometimes when we are giving corporate credit, we link certain accounts to SBI MCLR or HDFC M CLR. So there we have taken everything in Others because that is not linked to our Bank’s MCLR. So that is the reason why this number is appearing at around 12%. That is the clarification. And that amount comes to around Rs.54,000 crores.
Moder ator
Thank you, S ir. So we have one question in the chat from Ashley. Can you please share the breakup of your employee base of 52,000 between old and new pension schemes?
Shri Ashok Pathak, Chief General Manager
Out of 52,000 current employees , only 8 ,500 are under Old P ension Scheme. All others are under New Pension Scheme.
Moderator
Thank you so much. I would now like to hand the conference to Shr i Rajneesh Karnatak Sir for closing comments. If there are any additional questions, request you to write to us. We'll be more than happy to help you. So over to you , Sir.
Shri Rajneesh Karnatak, MD & CEO
Thank you so much. Thank you for the patient listening for everyone. Hope we have answered all the questions with all the details. So we continue to give good performance and work to a better numbers for Q4 also. So whatever the guidance we have given for FY24, the entire team and the management , Bank of India team is working on that. And definitely the Q4 numbers will also be better. And finally, the

FY24 numbers will be whatever the guidance we have given. Thank you so much.
Moderator
Thank you Sir. On b ehalf of Bank of India, I announce that this conference concludes.
Thank you for joining us.

Call: May 2024

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Exchange Plaza,
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TE-41-1W. Ref. No.:HO:IRC:SVM:2024-25: 89
ft-itw Date:18/05/2024
Sub: Q4/ Annual Financial Results for FY 2023-24 —
Earnings conference call with Analysts/ Investors — Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
conference call Q4 & year ended 31st March,2024 held on 13.05.2024.
The transcript of Q4 & Year ended 31st March, 2024 Earnings conference
call is uploaded on Bank's website and the same can be accessed through below link
https://bankofindia.co.in/analvst-conference-call-transcript
This is for your information and records.
1-14tEr Yours faithfully,
(Rajesh V Upadhya)
q7441 tAq Company Secretary
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May 13, 2024

"Bank of India
Q4 FY'24 Earnings Conference Call"
May 13, 202 4

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P.R. Rajagopal, Executive Director
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

May 13, 2024

Ladies and Gentlemen,

Good evening and welcome to BANK OF INDIA Q4 FY24 Conference Call. I would like to thank you all for taking out time and joining us today. We have with us Shri Rajneesh Karnatak, MD & CEO, Shri P.R. Rajagopal, Executive Director, Shri M. Karthikeyan, Executive Director, Shri Subrat Kumar, Executive Director, Shri Rajiv

Mishra, Executive Director, and other Top Management team from Bank of India.

We have placed all micro phones on mute. At the end, during the Q&A session, we will be sending you a request to unmute yourself in order to ask questions. I will take you through this process before the Q&A Session. However, the management will continue to remain unmuted througho ut the session. I would now request Shri Rajneesh Karnatak to address the gathering. Thank you & over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO:

Good afternoon to all the members of press and electronic media, ladies and gentlemen. It is my pleasur e to welcome you all for today's interaction and share with you the financial results of the Bank for Q4 as well as full year of FY 2023 -24.
In the current scenario of ongoing geopolitical tensions and spiraling inflationary pressures, Indian economy navi gated the challenges steadfastly and emerged as the new growth engine of the global economy. India became the fastest growing major economy of the world in 2023 -24 for the third consecutive year by logging 7% plus real GDP growth underpinned by strong dome stic demand and backed by robust macroeconomic fundamentals. Bank Credit played an important role in this by registering growth of 20.2 0% while deposits grew by 13.5 0% in last Fiscal year.
Against this backdrop, the Bank is focusing on sustainable developm ent by achieving its goal through enhanced customer experience. The thrust areas to be generation of low cost resources like CASA and Retail TDR, growth in high yielding RAM segment, Mid-corporate advances, consistent improvement in asset quality along wit h Slippage containment and improving collection efficiency and NPA recovery. This is supported by increasing scale of digitization with resilient cyber security measures, robust compliance and governance and also reskilling and upskilling of the staff.
In this direction, a few new initiatives taken are:
On the Business side,
i. "BOI Star Family Savings Account" has been launched to give privileges and benefits to the customers and their family members .

ii. To promote Green energy mission, our tailored product namely "BOI Star Rooftop Solar Panel Finance" has been launched with Loans upto Rs.10 lakhs for individuals and Rs.100 lakhs for registered housing societies.

iii. Tie up with EXIM Bank for facilitating Cross Border Trade under Trade Assistance Programme (TAP).
iv. BOI Shareholding Ltd.(BOISL), wholly owned subsidiary of the Bank has been mandated to act as BSA (Business Sourcing Agent) for our lending products.
On the HR side,
i. Initiation of HR Transformation Project -BOI STAR LIGHT (Leading Innovation and Growth with human Talent) with Boston Consulting group (BCG) which will assist in preparing human resources

for strategic growth
and new age banking.
ii. Star Connect and E mpowerment Programme " Star Samarth" a new initiative launched to empower and assist the employees to share career aspirations, goals and other challenges faced by them.
On the IT side,
i. For automation of Business Process using Intelligent Process Automation (IPA) Solution given by Accenture Pvt. Ltd has been on boarded to enhance AI and ML capabilities in enhancing quality business through better underwriting, customer experience and fraud prevention through DATA LAKE.
ii. Procurement of Cyber solutions for proa ctive management with focus on detection and containment of cyber risk.
iii. Implementation of API based Digital Document Execution of Lockers by using services of NeSL.
iv. Procurement of Oracle Web Logic Enterprise Edition Licenses for the

"AMLOCK" – AML Complian ce Solution for Overseas operation.
v. Introduction of Rupay Bharat Credit Card with benefits from Amazon, Flipkart, Swiggy, Bigbasket, and Airport lounge access etc.
We have published and shared financial results of the Bank for Q4 of FY 2023 -24 and full FY'24 on 10.05.2024. The main highlights are as under.

On the Business side,
i. Global business increased by 11.65% YoY from Rs. 11,85,438 Cr in March'23 to Rs. 13,23,515 Cr in March'24 with incremental growth of Rs.1,38,077 Cr.
ii. Global Advances increased by 13.52% YoY from Rs. 5,15,852 Cr in March'23 to Rs. 5,85,595 Cr in March'24 with incremental growth of Rs.69,743 Cr.
iii. CASA increased by 7.03% YoY from Rs.2,52,149 Cr in March'23 to Rs.2,69,872 Cr in March'24 with incremental grow th of Rs.17,723 Cr and CASA ratio stood at 43.21%.
iv. Domestic Advances increased by 14.08% YoY from Rs.4,31,637 Cr in March'23 to Rs.4,92,392 Cr in March'24 with incremental growth of Rs.60,755 Cr.
v. RAM advances increased by 15.55% YoY to Rs.2,74,477 Cr lead by growth in Retail YoY by 18.12% to Rs.1,11,484 Cr.
On the Profitability & Asset Quality side,
i. Net Profit for FY24 stands at Rs.6,318 Cr witnessing a YoY growth of 57%.
ii. Global NIM stood at 2.97% and Domestic NIM stood at 3.34% for FY24.
iii. Net Interest Income for FY24 has increased by 14% on YoY basis to Rs.23,053 Cr.
iv. There has been improvement in the asset quality with reduction in both Gross NPA ratio and Net NPA ratio. Gross NPA ratio stood at 4.98% improved by 233 bps YoY for FY24. Net N PA ratio at 1.22% improved by 44 bps YoY for FY24.
We are projecting domestic credit growth of around 13% and domestic deposit growth of around 12% for FY25 with focus on CASA and retail term deposits. The thrust will be on increasing average deposits an d advances consistently to increase the interest income and curtailing controllable expenses. The strategy will be augmenting high yielding advances like RAM (Retail, Agriculture and MSME) and Mid Corporate Advances, garnering low cost deposits and maintai ning NIM at 3.00% for FY25. By leveraging digitalisation initiatives, we will be improving our underwriting standards and further minimis ing the fresh slippages to bring down GNPA & NNPA ratio. We will continue to strive towards enhanced customer experien ce through new digital initiatives for sustainable business growth with focus on robust compliance and governance.
Our Bank will be a partner in progress of the nation by contributing in India's vision of Viksit Bharat by 2047 by fostering inclusive growth , increasing stakeholder's value and improving profitability parameters.
I would like to thank you all for the patient hearing. The floor is now open for discussion and Q & A.

Moderato

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Thank you, S ir. Participants, you will notice a small icon on your screen. A hand sign. Once you press this, it will alert us that you would like to ask a question. We will go around one by one. The Analysts asking the question will be unmuted and you will get a notif ication on your screen to unmute yourself. Kindly do so. Identify yourself before asking the question. Each participant will be allowed to ask two questions. If they have more questions, they are requested to join the queue again . We shall take on the basis of time availability. Allow us a moment for the queue.

The first in line is Mr. Ashok Ajmera. Sir, please unmute yourself and proceed.

Mr. Ashok Ajmera.

Thanks for giving this opportunity. Except for this higher provisioning, which has dented our profit for the quarter , the results are good. The performance is very good. And the various initiatives which you have taken will definitely bring in a lot of fruits in the coming future. Having said that, Sir, what is this provisioning for Rs.1,826 crore s in this quarter, NPA provision is Rs.2,043 crore s. And , how the same increased so much vis-a-vis the last quarter?

Shri Rajneesh Karnatak, MD & CEO:

Thank you, Mr. Ajmera. Thank you so much for your observation. As regards to this provisioning, you are right that we had made a provision of Rs.2,043 crores in this quarter , in Q4. If you compare it with the Q4 of FY23, the provision is quite higher. That time it was only Rs.546 crores . However, if you look at our Y oY numbers, the provision is only Rs.4,1 09 crores on b ad and doubtful debts as against Rs.3,60 2 crores. So the increase is only 14% in the provision. Now, coming to your point, wh y is this Rs.2,000 crore s and what does it comprise of?

So let me clarify here that it comprises of additional provision ing. There is one number of around Rs.800 crore, which is due to the ag eing. That is one provision. Then there is reversal of provision in the Prudentially Written Off accounts to the P&L due to cash recovery. That is around Rs.312 crores. There is one provision of reversal of Security Receipts (S.R) which is Rs.125 crores. And there is some correction of provision in the SR EI accounting, which we had done in December 2023 . That is to the tune of around Rs.55 crores. Then there were certain NP As because of which the provision had to take place. And we have also done some prudent provision with respect to small MSME accounts and other accounts where we thought that the security is not there a nd the provision was on the lower side. So we have trea ted those small loans as unsecured and made full 100% provision. So thereby totalling to Rs.2,043 crores.

So this is a n aberration in this quarter. Definitely the provision will not be high in the ensuing quarter. Definitely, as you rightly said, this provision has dented our final net profit. Otherwise, the net profit would have been even better. Finally, we could still show a net profit of Rs.6,318 crore s, Ajmeraji , against Rs.4,023 crore s, which is an improvement of around 57% of net profit.

Mr. As hok Ajmera

Sir, you said some additional provision ing has been made . In the overall Bank’s book, how much additional or floating provision we a re having over and above the IRAC requirement?

Shri Rajneesh Karnatak, MD & CEO:

The provision is as per the IRAC norms.

Mr. Ashok Ajmera

I mean, do we have any additional provision in the books of the Bank? Other than the normal provision, which is required?

Shri Rajneesh Karnatak, MD & CEO:

No. We are not having any additional provision than which is required. Whatever the provision is there, that is all as per the I RAC norms.

Mr. Ashok Ajmera

My

second question is on this recent RBI guidelines for the higher provisioning on the project loans, which is, of course, at the very initial stage. But, I think every bank has done some rough calculations or some ballpark figure can be arrived at. If it becomes effective, then , what would be our provisioning requirement, at least in the first financial year after its implementation? And out of the entire infra and project portfolio, how much is the project loans, which comes under the purview of th is circular?

Shri Rajneesh Karnatak, MD & CEO:

This draft circular of 3rd May , 2024 by RBI, as you are aware, we have to submit our feedback to RBI by 15th of June . Our Risk Management D epartment is already working on it. They are doing the detailed calculations . At this present moment, w e

have only ballpark numbers. If you see the impact of it on the ballpark number, it is around 20% of our infrastructure portfolio and our project funding portfolio on the industrial sector. It will be around 20% only because this circular relates only to those accounts which have green financing, where the COD is yet to be achieved or where COD is recently achieved. And this provisioning has to take place for the next three years after the COD is achieved. So , for our portfolio , the hit, which is coming , is only around 20% of the total book of that. That is one part.

Mr. Ashok Ajmera:
What could be that number , around Rs.12,000 to Rs.15,000 crore , total?

Shri Rajneesh Karnatak , MD & CEO:

So that book is around Rs.90,000 crore s. 20% of which may be impacted under that. That is one ballpark number . As regard s the credit cost is concerned , we have calculated it as a ballpark figure. This is a tentative figure only at present . The increase in credit costs will be 10 bps only and that too as on March 2027 when the third year happens and that provision is at its peak and this 10 bps estimation is also on the basis of the fact that our credit growth grows by 10%. So that is on the credit cost side. On the CET -1 impact side , the CET -1 may increase from 20 to 22 bps . That is the only impact and one thing I would further like to clarify that it will not impact the CRAR of the Bank because CET -1 impact under this circular will not shave off the CRAR of the B ank. That is the guidelines from RBI . So, this is our submission presently on whatever the working has been done on this circular.

Mr. Ash ok Ajmera:

Oh, that's good to know, Sir. Our Treasury has performed well. If you look at the segment -wise results, the Treasury profit is Rs.1,374 crore s whereas the major hit taken is in the wholesale book because of the higher provisioning. So going forward, where do we stand as far as the Treasury profitability is concerned and the kind of the AFS book which we are having though now the AFS mark to market or profit will not be taken in the P&L. Can you give some colo ur on that on the Treasu ry performance in the coming quarter.

Shri Rajneesh Karnatak , MD & CEO:

See, with the new RBI circular, what we think is that Treasury will transform into a NIM centre rather than a profit cent re. So this is our clear understanding because of the new RBI circular. So whatever the profitability the Bank used to get because of the change in yields on the higher side or a lower side, that will not be available to the

Banks henceforth. So it will be more of a NIM centr e rather than a profit cent re. That is what I can say at this juncture.

Moderator:

Thank you, Sir. Next in line is Mr. Jay Mundra.

Mr. Jay Mundra:

So my questio

n is, last quarter actually we had a negative third quarter and fourth quarter we have seen higher slippages. Right ?. So I mean, what is the reason for the higher slippages in this quarter? Could this be a new normal for the Bank or, what are the key reasons for rise in Agri, SME and Corporate slippages this quarter?

Shri Rajneesh Karnatak , MD & CEO:

As regards, slippages are concerned. See, if you see the slippages in the Q4 of FY 23 was Rs.2,625 crores . In this quarter , the slippage has been Rs.2,038 crores . Though the slippage in this quarter, Q4 of this financial year, have been lower than last yea r, Rs.2,038 crores is still on a higher side because we had shown a fresh slippage of only Rs.1,313 crores in the Q3 of FY24. So, it is higher , definitely . We agree . but if you see on the YoY basis , our slippage in last year , FY23, was Rs.7,969 crores and in this year , total aggregating for 12 months , it is only Rs.7,551 crores which includes fresh slippage and debit in these accounts . Further breaking down , as you ask , what is this breakup of Rs.2000 crores of fresh slippages , if you see , 70% of this slippage is in Agriculture and MSME only and remaining Rs.440 crore s is in one of the large corpor ate accounts which is there in O disha and another State Government account in Punjab . Let me tell you that there is Rs.300 crore s plus account which slip ped t o NPA in Q4 in Punjab . Out of that , Rs. 65 crores of overdue has been recovered . Another Rs.65 crore s will be recovered within next 10 days and this account will get upgraded . So this Rs. 300 crore s will get upgraded out of that . We are cognizant of that and we are trying to minimize the slippage. However , if you see our SMA numbers which was Rs.16,900 crore s in above Rs.5 crore s number as on March 2023, it has come down to Rs.7,100 crore s as on March 2024 and which is only 1.28% of our total standar d loan book . If I further give you a colour on this number of Rs.7,000 cores, out of that , there are four accounts of Rs,4,400 crores of State Government of Telangana accounts . If you remove them , then our SMA of Rs.5 crore s and above is only Rs.2,600 crore s which comes to only 0.47% of the total Standard book. So we are very confident that this quarter has been an aberration and definitely moving forward in Q1 and Q2 the slippages will be considerab ly less than what has been in Q4.

Moderator:

Thank you Sir. Next question is from the line of Mr Rakesh Kumar . Please proceed .

Mr. Rakesh Kumar

Thanks Sir. The first question is just a continuation of the last question . You are saying that in Q1 and Q 2 slippage would be reasonably less . Could you quantify that . How much less and what would be the number .

Shri Rajneesh Karnatak, MD & CEO:

If you see our slippage ratio for this quarter , you must have seen in our presentation also, that the slippage ratio has decreased considerably . It was 1.94% in March 2023. It has come down to 1 .58% percent in this March 2024. We are very confident that for

March 2025, it will be considerably lower and we are giving a guidance of around 1.20% for March 2025 as far as the slippage ratio is concerned .

Mr. Rakesh Kumar

Okay Sir. In SMA 1 and SMA 2 in the Agri as on D ecember 2023 was Rs.259 crore s and what was the slippage in this quarter , Sir, in Agri .

Shri Rajneesh Karnatak, MD & CEO:

In Agri the net slippage was Rs. 626 crores . Gross slippage in this quarter from Agri was Rs.1,021 crores .

Mr. Rakesh Kumar

The SMA 1 and SMA 2 put together is Rs.260 crores in December .

Shri Rajneesh Karnatak, MD & CEO:
SMA 1 and SMA 2 is for Rs.5 crore s and above accounts in the presentation . This slippage is a gl

obal slippage which includes all accounts even our Rs.10,000 account comes under that. This is final slippage .
Mr. Rakesh Kumar

So what would be the SMA in the below Rs.5 crore s accounts in Agri currently , Sir.

Shri Rajneesh Karnatak, MD & CEO:

That we will come back to you separately . Presently I am not having this number .

Moderator:

Thank you so much Sir. Next in line , we have Ms. Mahrukh A djania.

Ms. Mahrukh A djania

Just to hop again on slippages . I know that YoY, on every 4th quarter , there may be high slippages and you also explained earlier on that in September and March. You know , their seasonality and slippage is generally tend higher in Agri and maybe even in MSME but this time around, the Q oQ growth in MSME and Agri slippage is m uch higher than the last few years . So what really drove that ? I mean , why is it that the seasonality is sharper in the 4th quarter this year . That's my first question . I'll ask the next question later after this .

Shri Rajneesh Karnatak, MD & CEO:

You rightly observed that there has been more slippage in Agri and MSME in the last two succeeding quarters in December quarter also in March quarter also . That is because of the fact that there is some stress building up in Agriculture and MSME sector, typically small ticket accounts . As you have heard in the previous question also, why this above Rs.5 crore s is not reflecting here because these are all small accounts where this slippage has taken place . That is why it is not showing up in the presentation . They are typically those accounts that are very small accounts and obviously less than very much less than Rs.5 crore s. They are , in fact , less than Rs.50 lakhs kind of accounts . So that is where the slippage is and in Agriculture there are couple of States . Every quarter , seasonally , a couple of States show stress and NPA in Agriculture . This time also , there were a couple of States where Agriculture NPA came out larger in numbers than in other States .

Ms. Mahrukh A djania

Okay Sir and in terms of pr ovisioning , you mentioned a lot of breakdown so what was the S REI portion and are you certain that in the first quarter a lot of the Agri and MSME slippages will revive in the first quarter as in that they'll be upgraded?

Shri Rajneesh Karnatak, MD & CEO:

We had a VC on Friday with our field people, our Field General Managers, 13 FGM Os and Z onal Heads and today also we had a meeting internally at the Top Management level. So there are two pieces to it, Ma hrukh. One part is that the fresh slippages whi ch have taken place in the March month of FY24 and the other is the slippages which are taking place after 1st of April. So we have sensitized the field. Now they have started working on upgrading of these accounts. So whatever the amount has to be recover ed, overdue a mount, they will be recovering and upgrading these accounts. So we are expecting a good upgradation happening from the slippage which happened in March 2024 and whatever sli pped post of March 2024 . That is from 1st of April.

Ms. Mahrukh Adjania:

Okay. And the S REI provision, you said there was some extra on S REI.

Shri Rajneesh Karnatak, MD & CEO:
It was not extra. It was a correction in provision of S REI of Rs.55 crores, which was a difference which was left out last quarter. So this Rs.55 crores has taken care in Q4. So everything is taken care in S REI now.

Moderator

Thank you, Mahru kh ma'am. Next i n line, we have Mr. Sushil Choksey . Sir, you may unmute yourself and proceed.

Mr. Sushil Choksey

:

Bank of India, congratulations for very stable numbers, barring one event which is not in your hands. My first question comes from your TV interview where you spoke about credit growth, credit pipeline already visible. Can you elaborate that a little bit?

Shri Rajneesh Karnatak, MD & CEO:

So as regards our credit side is concerned, you are aware that we have touched Rs.5.85 trillion on the credit number with a growth of around 13%. And Sushilji, if you see our domestic credit numbers, there the growth is more than 14%. So for the guidance for FY25, we have given a guidance of 13 % to 14% of global credit growth. Presently also we are having, as I told in my TV interview, that pipeline of nearly Rs.50,000 crores we are having as on 31st March 24. Out of which Rs.38,000 crores in Corporate C redit and Rs.12,000 crores in RAM segment, typically in Retail and

MSME. So this will get dis bursed in the next ensuing two quarters in Q1 and Q2. And within that , there is a healthy pipeline with respect to infrastructure . With respect to green power, in solar we have, in wind also we are having. And then some of the thermal power plants are also coming for refinance. All these are in the pipeline. Then steel industry, textile is there. Pharmaceutical is there. Chemical is there. Oil companies also sanct ions we have given . I would say that in Retail and A griculture good growth is happening , YoY growth . If you see in the Retail side , our growth was around 18 %, in Agriculture it was 16 % and in the MSME it was 10 % and we have also adopted these cluster -base d schemes . From there also we are getting good traction in the MSME . Apart from that , under the PLI scheme also we are funding . Gati Shakti also there are Road projects which are coming , which we are funding . So, all in all , we are seeing a broad -based credit growth coming not only from the RAM sector but also from the Mid-Corporate and Large Corporate sector and Sush il ji one more thing we would like to tell that apart from the 9 Large Corporate Branches , we are also having 18 E merging Corporate Branches across India. So these 27 branches in Corporate Credit are sending us and marketing the proposals with respect to Rs.50 crore s and above Corporate Credit. So we do not see any challenge as far as credit growth is concerned .

Mr. Sushil Choksey:

Your processing and ability speaks for the volume . So, I don't elaborate on it . We have signed up with REC, PFC, IREDA and various other organizations . Are we doing some kind of a joint lending program or it's a down sell which is more happening , underwritten process by them .

Shri Rajneesh Karnatak, MD & CEO:

No. The MOU which we have signed is only with the REC. There also we are very selective on the projects which we will be taking . So, it is not a down sell. It is a joint lending whichever we are doing . So, we are open to all things . Further, we are open to all syndicates also , which are happening . We are also open to syndication teams which are there from HDFC, ICICI, AXIS Bank, SBI Caps apart from REC, PFC, etc.

Mr. Sushil Choksey:

And my next question is , India is getting included in various indices on the global market where the bond market is concerned and this will have a huge impact on not only Money Market but also in FX market . Being a leading institution with global presence , how are we capitalizing on this opportunity , which we may have , starting May 13, 2024

July for domestic trading as well as FX and participants , whom we can capitalize as our customers , for future .

Shri Rajneesh Karnat

ak, MD & CEO:

This opportunity is there as you rightly said . We are keenly looking into that . Our Domestic Treasury team and the International Treasury team is closely watching it . Though there has been some shrinkage of the margin as far as the forex derivatives are concerned , because of the high interest rate in the overseas market , but definitely we also feel that with the softening of interest rate , this market will come back and we'll be able to make some money in those Forex derivatives also.

Mr. Sushil Choksey:

My question was more pertaining towards your participation, linkage with investors who are coming to Gift City or the re may be huge inflow of FX as well as Depository participants or participation via bond market, where our Government security - SLR and holding is concer ned. I was looking from that direction . Because besides your Corporate Credit, Treasury can have a super profit at the same time Retail can grow on a sustainable basis.

Shri Rajneesh Karnatak, MD & CEO:

Our Gift City is already looking into it. Some products we are contemplating for having in the Bank for which we are already working on.

Mr. Sushil Choksey:

Thank you, Sir. Thank you for answering all my questions and best wishes for years to come.

Moderator:

Thank you. Su shil Sir. Sir, the next question we've got a text via Mr. Jay Mundhra. His follow up question is, can you give some guidance on FY25 loan growth, NIM s, Credit Cost and ROA.

Shri Rajneesh Karnatak, MD & CEO:

Okay, Credit Cost. As I have already explained , the credit cost part, we are saying that we'll have a credit growth of around 13 % to 14%. As regards NIM s are concerned , if

you see our NIM has gone down from 3.01% to 2.97%. As on 31st March 24, though we have protected the NIM in spite of the tight li quidity position, which is there all around in the market. And the resources is a challenge. Still, we are able to protect the global NIM at 2.97%. As far as our domestic NIM is concerned, the domestic NIM was 3.34% , in spite of the fact that tight position was th ere in the domestic market also. As regards guidance is concerned, on the Global NIM side, we are giving a guidance of around 2.95%. And on the domestic side, we are giving a guidance of 3.30% considering the fact that in the near term, the liquidity tightening will be there, and we feel that July onwards, the liquidity tightening would ease and maybe the rate may come down by the end of this calendar year.

As regards ROA is concerned, our ROA is now 0.70 % as against 0.49 % as on March 23. So, regards the guidance is concerned for March 25, specifically, we are very much hopeful that we will be able to reach the ROA of around 0.90%.

Moderator:
Thank you, sir. Next in line w e have Mr. Raunak Daga. Sir, you may unmute yourself and proceed.

Mr. Raunak Daga

The question f rom my end is that you had lower Standard Asset provisioning in FY24. So can you elaborate on the same?

Shri Rajneesh Karnatak, MD & CEO:

This Standard Asset provisioning, which was there earlier, that was mainly because of the 7th June circular, which we had to do. So if you see the Standard Asset provisioning, which was there at Rs.2,354 crores for the 12 -month ended March 23 , it has come down to minus Rs.162 crores . That is because whatever the accounts we had to pro vide because of the 7th June circular, all these accounts were showing Regular in performance and SMA 0 , 1, 2 stress was not there. So, with the discussion with the Auditors and others, we have taken out these provisions in the Standard book. This was typ ically all because of the 7th June circular in certain accounts.

Mr. Raunak Daga

And so what will be the Stan

dard Assets provisioning in FY25?

Shri Rajneesh Karnatak, MD & CEO:

So we do not see much of provisioning here because all the se accounts , presently none of the accounts , as we speak, such kind of SMA 0 , 1, 2 is happening. So none of the accounts ha ve been flagged by any of the Auditors or anything. So we expect a minimal provision to be there in the Standard Asset as on March 25.

Mr. Raunak Daga

Okay. And Sir, what will be your slippage guidance for FY25?

Shri Rajneesh Karnatak, MD & CEO:

As regards the slippage guidance is concerned, presently we have given a slippage ratio of around 1.58% as on March 24. As regards the guidance, w e will improve our collection efficiencies and the guidance would be at around 1.20% for March 25.

Mr. Raunak Daga

Okay, sir. Thanks a lot. Thank you.

Moderator:

Participants, you may click the hand icon to join the Q&A session. Next in line, we have Mr. Ashok Ajmera with a follow up question. Sir, you may unmute yourself and proceed.

Mr. Ashok Ajmera:

Yes, thanks for giving the opportunity second time. Sir, what is our tot al TWO book or PWO book? What is the overall aggregate figure? And how much do we expect to recover in FY25?

Shri Rajneesh Karnatak, MD & CEO:

Rs. 43,000 crore s is our total PWO book.

Mr. Ashok Ajmera:

Okay. How much do we expect to recover year after year or say in FY25?

Shri Rajneesh Karnatak, MD & CEO:

If you see our figures for this financial year, we had recovered Rs.7,500 crore s, which is less slippage and debits in the existing year. So cash recovery against this was Rs.6,305 crores through cash recovery and upgradation . Plus, there was also some recovery done in the written off accounts during this financial year. This year also, we plan to have a better ratio than this . Internally, we have given a guidance to our own field functiona ries, whatever the fresh slippage ha ppens, two times of that we need to recover as a total recovery. So that is the guidance under which we are working in the field level. So whatever the recovery which we had in this financial year of Rs.6,300 crore s plus the recovery and written off, defin itely it will be better than that.

Mr. Ashok Ajmera :

Okay. Sir. And on the whole, on the technology front, Sir, we have been talking for last 6 to 8 quarters . You know, we have been spending also good amount of money on the technology . I mean, this discussion is going on for the last two and a half years, three years. But finally, how many verticals which were planned and have been completed and put into the practice? And what is the advantage of this technology upgradation so far we ar e getting quarter after quarter or year after year? Can you little bit elaborate on the total technology development and the expense and the budget now planned?

Shri Rajneesh Karnatak, MD & CEO:

As regards our technology part is concerned, we had a bud geted number of Rs.2,000 crore s for financial year 2023-24. Against the Rs.2,000 crore s of budget , we have already spent 75% of this budget as on March 24, within that Rs.2,000 crores, we have split it into Capex and Opex. In Opex, the expenditure budgete d was around Rs.1,200 crores. And for Capex, it was around Rs.800 crores. So 75% of that has already been spent. So that is the broad numbers that I am giving you. Apart from that, what are the benefits which have accrued to the Bank? So definitely, there are many benefits which have accrued to the Bank. One thing I would like to say that we have already started a Data L ake project also under Accenture, wh

ich will be giving us Generative
AI, AI and ML. So that is one thing which we have started and we are expecting that by Q3 of this financial year. That numbers will start coming in. So that is one part.

The other part is with respect to the digital banking landscape, which is there. If you see our numbers on the digital lending s ide, I would just share that number which is on page 31 of our slide. So 7.5 lakh of loans, retail loans, which is Retail, Agriculture, MSME have been sanctioned on the digital platform. These are personal loans,

pension loans, vehicle loans, gold loans, K isan credit card, SHG, Mudra loans - all the three - Shishu, Kishore and Tarun. So these 7.5 lakh of loans which have been sanctioned on the digital platform, the amount aggregating is around Rs.15,000 crores for this financial year.

So apart from that, 35 new projects will be launched in this financial year FY25. One more thing I would like to tell is , under the digital platform, another thing that we have done is that renewal of small Mudra loans, which is taking place through the automated mode. So wha t has happened is that branches are now free from doing the renewal in these small digital loans from these small Mudra loans. And it is getting renewed under the digital format and so much of operational efficiency and saving of time at the Branch level officer has happened in the Bank level.

Apart from that, you are aware that Mobile App also we have launched with 300 plus features. So another thing which we have done is, Wipro is working with the Bank very closely for giving Supply Chain Finance project and also some product on the Cash Flow Management. So all these things taken together definitely in the next 12 to 18 months , lot of digital and IT transformation will take place in the Bank which will further help us in improving our operational e fficiency and showing better profitability.

Mr. Ashok Ajmera

And Sir, the last question is like every other bank we were also trying for last 2 -3 years to have some good co -lending franchise. So have we made some major breakthrough on that and what is our co -lending total overall portfolio and the kind of returns which we are getting?

Shri Rajneesh Karnatak, MD & CEO:

As regards co -lending and pool purchases , there we already have 7-8 partners . The ballpark book is around Rs.4,000 crores as on March ‘24. Co -lending and pool purchase together.

Mr. Ashok Ajmera:

And the kind of IRR or returns is a little better ?

Shri Rajneesh Karnatak, MD & CEO:

IRR will always be better in this co -lending and pool purchase because there is not much of operational cost of the world over there. So if Rs.4,000 crore s of RAM sector

loan we have to do , entire 5 ,100 branches would have got involved in doing small small Retail, MSME and A gri loans. But here at one single branch everything is getting placed. Only 7 to 8 staff is there and the entire thing is going through a digital platform seamlessly. So definitely operational cost is less and definitely the IRR is much better over there.

Moderator:

Thank you Sir. Next question we've received in the chat from Mr.Narend ra. His question is what would be our guidance on Cost to Income Ratio.

Shri Rajneesh Karnatak, MD & CEO:
As regards C ost to Income Ratio, in March 2023 we had a Cost to Income Ratio of 51.08% which increased to 51.73% in FY24 for the simple reason that the employee cost had also gone up because of the wage revision and the full impact of it up to March 31st, 2024 we have taken both on the employee number side and also on the AS-15 side. S

o, as regards the guidance for March 25, we are saying that the Cost to Income Ratio shall be around 51%.

Moderator:

Thank you, Sir. Last in line, we have Mr. Ronak Daga with a follow -up question. Ronak, you may proceed.

Mr. Ronak Daga:
Yeah, thanks for the opportunity again. So, Sir, what will be the tax rate in FY25?

Mr. B Kumar, General Manager & CFO :

Tax rate. It will be 25% . We have already migrated to the new tax regime in September 2023 . So, we will continue to maintain the same tax rates. That is the rate that will continue.

Mr. Ronak Daga:

Okay. And the last question will be, what would be the impact of the new guidelines on Investment classification and valuation, which has become effective from 1st April?

Mr. Uddalok Bhattacharya, General Manager, Treasury :
Basically, the volatility in the GSEC portfolio, especially the investment portfolio, will reduce because the shifting is no longer allowed. So, we will be focusing more on

interest income as far as the HTM portfolio is concerned. However, it will give us an opportunity to have a medium -term v iew in the trading portfolio, where the removal of that 90 -day ceiling will help us to hold our securities for a longer period from the trading perspective. So, more focus on increasing the interest income and view -based trading. So, both ways, we see over all income will not be impacted. But, volatility in the other income will reduce because , with every interest rate cycle, the capital gains booking will come down.

Moderator:

Thank you. With this, we would conclude our Analyst Call. I would now request Shri Rajesh Karnatak for his closing comments.

Shri Rajneesh Karnatak, MD & CEO:
I would just like to clarify on behalf of the Bank, two points to all our Analysts who are there. So, I was expecting some question on that but it ha s not come, because some of observations were coming in the Press Meet also with respect to our non -interest income and the Operating Profit. So, just want to clarify further in detail.

As regards non -interest income is concerned, we had a QoQ reduction i n the non -interest income from Rs.3 ,099 crore s in Q4 of 2023 to Rs.1,751 crores in March of 24. YoY, t here is a reduction of 43%. However, we would like to clarify that in Q4 of March 2023 there was one time income of Rs.1,646 crores on the Security Recei pt (SR) side which were booked under the profit from sale of investments so that was the one time book entry which was there . If we net it off , last year's non -interest income , Q4 of FY23 , was only Rs.1,453 crores . So, actually , there is a growth of 2 1% on the non -interest income side on a QoQ basis . As regards the YoY basis , non-interest income , if we net off this Rs.1,646 crores from the total non-interest income of the year of FY23 , the net income from Rs.7,100 crores comes down to Rs.5,454 crores an d this year we have shown a non -interest income of Rs.6,095 crores which is an increase of Rs.641 crores . So instead of a negative growth of minus 14 %, our non -interest income has gone up by Rs.641 crores . Non-interest i ncome , in fact, has gone up by 1 2% if we remove that one o ff item which was a book entry which was there in the last year .

Similarly on the operating profit side , if you see in our presentation in Q4 of FY23, it is Rs.4,184 crores . Again, this Rs.1,646 crores of SR impact , which was there in book entry last year , if we net it off , the Operating Profit for last year Q 4 was Rs.2,538 crores . If we compare the netted Operating Profit with Rs.3,557 crores of Q4 FY24, there is an increase of Rs.1,019 crores . So, as against the presentation which is there at minus 15 %, after netting , we have a n increase of actuall

y 40% in Operating Profit on
QoQ basis . As regards YoY basis , we have shown last year Rs.13,393 crores of

Operating Profit. If we net off that one time entry which was of the SR of Rs.1,646 crore s the net operating profit was Rs.11,747 crores and this year , since we have Operating Profit of Rs.14,069 crores , the increase in Operating Profit is Rs.2,322 crores for Bank of India. So, as against 5% which we have shown in the slide , if we net off this SR number , which is a n accounting number , actually our Operating Profit has gone up by 1 2%. So, on both the sides , net non -interest income and Operating Profit, the numbers were actually high but due to one single entry on the accounting book side , we had to show a lower Operating Profit and the non -interest income . So, this is one clarification I wanted to give before we close this Analyst Call. Thank you so much from Bank of India side and thank you all for joining . Thank you so much .

Moderator
Thank you Rajneesh Sir for the detailed explanation. On behalf of Bank of India, I announce that this conference concluded you may disconnect . Thank you for joining us.

Call: Aug 2024

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Scrip Code: BANKINDIA Scrip Code: 532149
The Vice President — Listing
Department,
National Stock Exchange of India Ltd.,
Exchange Plaza,
Bandra Kurla Complex, Bandra East,
Mumbai 400 051. The Vice-President — Listing Department,
BSE Ltd.,
25, P.J. Towers, Dalal Street,
Mumbai 400 001.
Sub: Unaudited (Reviewed) Financial Results (Standalone & Consolidated'
for the 1st Quarter ended 30.06.2024
Earnings Conference Call with Analysts! Investors — Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Conference Call for the 1st Quarter ended June, 2024 held on 3.08.2024.
The transcript of 1st Quarter ended June, 2024 Earnings Conference Call is
uploaded on Bank's website and the same can be accessed through below link :
https://bankofindia.co.in/analyst-conference-call-transcript
This is for your information and records.
14-47 Yours faithfully,
(Rajesh V Upadhya)
*1:1-4t *aci Company Secretary
Classification: Public
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“Bank of India
Q1 FY’25 Earnings Call ”
August 03, 202 4

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P.R. Rajagopal, Executive Director
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

Moderator

Very good afternoon, ladies and gentlemen ,

On behalf of team Bank of India, I extend a very warm welcome to all the esteemed Analysts who have joined us today here in this auditorium. And also an extra special welcome to all those Analysts who have joined virtually from different cities of India. We are pleased to announce the Q1 FY25 Financial results of Bank of India . As you all can see, our T op Management has already taken the dias. Our respected Managing Director and CEO, flanked by Executive Directors Shri P R Rajagopal, Shri M Karthikeyan, Shri Subrat Kumar and Shri Rajeev Mishra. So, we'll begin this A nalyst Meet. To start with, it will commence with the address of our MD and CEO Sir, followed by a Question & Answer session. So it's my proud privilege to invite our MD and CEO , Shri Rajneesh Karnatak for his address.

Shri Rajneesh Karnatak, MD & CEO

Thank you. Good aftern oon everyone. All the Analysts present at the hall and also joined through VC , ladies and gentlemen, it is my pleasure to welcome you all for today's interaction and share with you the financial results of the Bank for Q1 for FY25. On the Indian economy si de, the Indian economy has sh own remarkable resilience in FY24 and achieved 8.2 0% GDP growth amidst geopolitical uncertainties . India has emerged as one of the only two major economies wh ose GDP at constant prices is 20% above the pre -pandemic level. IMF has also revised the gro wth projections of India for FY 25 at 7%, very close to the RBI estimate of 7.20%. The economy is enjoying a twin balance sheet advantage with sound and stable banking sector and strong corporate sector.

In light of the prevailing optimism, the bank is focusing on inclusive and consistent growth to become the catalyst in the Government's vision for V iksit Bharat 2047 and will formulate strategies for the key drivers such as financing MSME s, Agriculture and expanding the net of Educa tion Loans and PM AY as outlined in the Union Budget 2024 -25. The focus area will be strengthening liability franchise through augmentation of low cost deposits and retail term deposits to fund credit growth. Maintenance of Asset Quality will be priority by improving the collection efficiency and NPA recovery, along with slippage containment. Our endeavour will be enhancing customer experience by adopting more STP journeys of our various products with safety, security and compliance.

In this direction, we have taken few initiatives which I would like to highlight to you. Number one , on the business side is the introduction of the innovative MSM E

product s; namely the Star MSM E THALA . Thala meaning that we are going into the Hotel Industry , Tourism and Logist ics Sector under the MSME units. Number two is the co-lending tie -ups which we are doing. Number three is , Bank of India, along with other six banks, have come together and invested

in the CC IL-IFSC Limited for
providing Foreign Currency Settlement System called the FCSS in the Gift City, Gujarat. The new product , Commercial Vehicle Loan has also been launched during this quarter.

On the IT and other initiatives that we have taken, 25 products have been made live on the E-platform under RAM segment, with 15 more products under development, which will be launched during the current Financial Year . In line with the PM -Surya Ghar: Muft Bijli Yojna , we have made solar rooftop products live on our e-platform . Under the MSME MUDRA Loan , STP for s eamless renewa l cum enhancement up to Rupees Ten lakhs are made live. With this, customers can renew and enhance their loans through the website from any where and anytime. Portable UPI QR Sound -box has also been introduced to provide real time audio confir mation for successful UPI payments. Bank has enabled its ATM acquiring switch for NFS , UDIR, which is the Unified Dispute and Issue Resolution to reduce the TAT in handling various disputes. E-commerce facility is made li ve through Debit Cards in our 3 RRBs. CRM Next Compliant Management Module and Service Management Module have been made live for all our Branches . UPI functionality has been integrated in the Mobile App for instant payments, scan and pay group payments, collect requests from peer s for convenience and accessibility, secure transactions and reducing the cash dependency.

We have published and shared the financial results of the Bank for Q1FY25 today in the afternoon. T he main highlights are as under:

On the business side, the glo bal business has increased by 12% plus on a Y-o-Y basis from Rs.12,14,000 crores in June '23 to Rs.13.64 L akh Crores in June '24 with incremental growth of Rs.1, 49,000 crores . Global Advances have increased by 15.82% on Y-o-Y basis from Rs.5.18 Lakh Crore in June '23 to Rs.6,00,000 Crore in June '24, with incremental growth of nearly Rs.82,000 Crores . Global Deposit has also increased by 9.74% from Rs.6, 96,000 Crores in June '23 to Rs.7,64,000 Crores in June '24 with incremental growth of Rs.68,000 Crores . CASA has increased by 5.5 0% on a Y -o-Y basis from Rs.2.60 Lakh Crores in June '23 to Rs.2.75 Lakh Crore in June '24, with incremental growth of around Rs.15,000 Crores and a C ASA ratio of around 42.68% for this June quarter. Domestic advances have increased by 17.29% on a Y -o-Y basis, from Rs.4, 33,000 Crores in June '23 to Rs.5,08,000 Crores in June '24, with an incremental growth of around Rs.75,000 Crores . RAM advances have increa sed by 18.78% on a Y -o-Y basis to Rs.2, 84,000 Crores in Q1FY25 . Retail

Advances have also increased by 20% and Agriculture advances by 22%. And finally, the MSME have also grown by 13% plus during this quarter.

As regards the profitability and Asset Quali ty is concerned , Net Profit in Q1 FY25 stands at Rs.1,703 Crores , witnessing a Y -o-Y growth of 19.80%. Global N IM has improved by four basis points to 3.07% in Q1 FY25, as against 3.03% in Q1 FY24. The domestic N IM improved by 6 bps to 3.43% in Q1 FY25 against 3.37 % in Q1 FY24. The Return on Assets stood at 0.70% in Q1 FY 25. Net Interest Income has increased by 6% on a Y -o-Y basis, and stood at Rs.6,275 Crores in Q1 FY25 as against Rs.5,915 Crores in Q1 FY24.

There has been improve ment in Asset Quality with reduction in both Gross and Net NPA. Gross NPA ratio stood at 4.62%, improved by 205 b ps on a Y -o-Y basis for Q1 FY25, and Net NPA ratio at 0.99% improved by 66 b ps on a Y -o-Y basis, and for the first time, we have been able to r educe the Net NPA to the below 1% number.

As far as our guidance is concerned, in line with the growt

h of the economy, the credit
will be growing at around 13 % to 14% and deposit growth we will be around 11 % to 12% for FY 25. We will be concentrating on acquisition of new customers consistently to improve our CASA ratio and retail term deposits for funding sustainable credit growth. Going forward, the emphasis will be on strengthening the bottom line by improving the Asset Quality through better underwri ting standards, with increased digitization initiatives and minimizing the fresh slippages and recovery in NPA accounts shall continue to be the thrust area for FY25.

I would like to thank you for all of you for showing your faith and coming here today, and also for your continued support all through this time. The floor is now open for the discussion and Question and A nswer. Thank you so much.

Ashok Ajmera

Thank you very much, Sir, for the good set of numbers in the first quarter of FY25. And in fact, some of the concerns which were there in the last quarter, like , especially there was an increase in the provision, you know, Rs.1,800 Crore . Now it has come to the reasonable level , which you had promised in the last quarter. So our only concern is that so many new norms are being announced every day. And some guid ance paper by RBI. There are 2 or 3 such things. So going forward, number one, what would be the impact on us, including even this online deposit mobilization . The increase in the provisions, o r rather doubling of the provisions . As well as there is a pressure on the deposit side. Every bank we are seeing it. So , how do we answer or address that problem? A mismatch in the credit, 13 % to 14% and the deposit 8 % to 9%. From the

capital adequacy poi nt of view and from underwriting point of view, the demand which is there in the market. So what are your views on that going forward? Would you like to revise some of the guidance or targets given in the last quarter or towards little on the higher side? And, something on the Asset Quality also? Yes, we have come down , now Net NPA below 1% , gross was already below 5% even in the last quarter. One point was there on the recovery , on the recovery from the written off account. I think , we had about Rs.40,000 Crore in written -off accounts, in the last quarter. So what are the recovery targets from that in percentage terms or in absolute? We can convert it. So this is just a few.

Moderator

Sir, request you to kindly introduce yourself and a small briefing for all those who are coming up with your questions , first you have to introduce yourself, your organization and kindly restrict for one or maximum two questions and we will be definitely coming back to you for more , if time permits. Kindly introduce yourself.

Ashok Ajmera

I am the Chairman of Ajcon Global Services Limited and I have been tracking the banks, especially Public Sector Bank, for the last 20 -25 years. Thank you.

Shri Rajneesh Karnatak, MD & CEO

Than k you so much. As regards the recent guidelines which have come in the recent past, one which is the latest on the LCR guidelines, the draft circular of RB I basically, which is effective from 1st April 2025. However these are guidelines. They have called for certain feedback and observations from the bank s. We will be giving the feedback to Reserve Bank of India directly and also through the IBA. The ballpark calculation that we have done on these numbers , and what the industry has also done is that the LCR may come down by between 10 % to 15 %. With this kind of thing, and because of the RBI guidelines says about the digital banking impact also, which will have to be factored in into these guidelines. So 10 % to

15% is the number on the impact of the
LCR due to that. Definitely , because of that some pressure will be there on the margins. And we'll have to keep more SLR and other securities aside for maintaining those kinds of margins. So that would be the first impact. But these are all ballpark numbers. All banks are working on it. And once we submit our feedback and suggestion to RBI, definitely, we are hopeful that RBI will come out with some more nuanced guidelines in the final circular, which will be effective from 1st April 2025.

As regards the DCC O circular, which was earlier circulated, in which the banks have already given the feedback to Reserve Bank, and we have also submitted our feedback to RBI through the IBA, we definitely feel that again, there will be some nuanced guidelines which will be coming after taking into account the feedback which has gone from the entire banking system, not only from the stakeholders like Banks and Financial Institutions , but also fr om the borrower side, the industry and also the infra guys who are there in the system. So there also we have done some ballpark computation over there . On the C ET-1 side, the impact will be at around 10 to 15 basis point s, because overall the guideline i s such that it will not impact the CRA R. So CET-1 impact will be around 10 to 15 bps. And on the credit cost side, it will be also at around 15 basis point. As far as we are concerned, it will be there only for the new accounts. Very little portion is ther e which will be for the existing accounts, where most of the things have already been taken care in the existing account .

As regards your third main point, with respect to the challenges in resources side is concerned , if you see our Balance Sheet, we have grown our advances by around Rs.80,000 Crores on a Y -o-Y basis . And deposits have grown by around Rs.65,000 Crores , so there is a gap of around Rs.15,000 Crore between the deposits and the advances. Let me tell you very frankly, we have strategized our-self in the June Quarter itself and we have started raising deposits, resources . Through CDs we have raised in the 1st Quarter and also some borrowings we have done in the 1st Quarter . So this is how we have reached this gap and the borrowings have been done through our excess SLR, which is with us . We have also done few of the borrowings through SIDBI and N ABARD . There also we have done as a strategy. So going forward, the strategy will be that we will be trying to raise as much CASA as possible and also retail term deposits. Let me tell you one more thing is that , as far as Bank of India is concerned, we have a very strong franchise and if you see our presentation also, you will see that only 13.6 0% of our total domestic deposit is bulk deposit . Which means that nearly 86% of our deposit is either C ASA or Retail term deposit, which is helping us to maintain our cost of deposit and overall cost.

As far as the interest income and interest expenses are concerned. So that is some part which is there and we will be strategizing. Already we have raised Rs.5,000 Crores of Infra Bonds, in the middle of July. The advantage of these Infra Bonds will be for the Bank that we don't have to keep SLR and CRR on this. And number two, the interest to be paid out is once in a year , annualized interest rather than a quarterly interest. So that advantage will be there for the Bank. We have taken a Board approval for raising Rs.10,000 Crores . We may be again hitting the market sometime in the month of September for another r ound of Rs.5,000 Crore s of Infra Bonds. And CD is always, another avenue. And then we'll be also borrowing from S IDBI and N AB

ARD and other
Institutions, wherever we feel that the rates are lower than the rates at which the bulk

deposits are coming in the market at present. Apart from that, what we have done is , as a part of the strategy , we have 69 Zonal Offices and 13 FGM Offices. In all these 82 offices , separate Resources Officer has been placed now, whose only duty in the area is with respect to raisin g of resources, whether it is retail term deposit, whether it is for C ASA and also for bringing Government accounts. We have g iven them the targets to do tie -ups with the Corporates, tie -ups with the Central and State PSUs, Central and State Governments, so that a lot of Saving s and Current account we are able to garner. Along with that, we'll be able to get some retail term deposits and also retail loans, also like Personal Loan , housing loan and other kinds of things. So a whole lot of strategy we have a lready formulated for improving our resources franchise in the remaining nine months of this year, and you will be seeing the results coming out as we go to the September quarter.

Mr. Ashok Ajmera

Thank you very much, Sir. Okay. How will be the recovery?

Shri Rajneesh Karnatak, MD & CEO

The recovery number has also been very good for the Bank. This time, if you see the slide no.25 , we have given a clear presentation. Now that we have done 1.4 2 times the recovery of the slippage which has happened. So that is the kind of number we have already achieved. That is, for the first time , we have achieved this kind of number and going forward , I would clarify here that , on the written off account, we have al ready launched a campaign scheme on the written off accounts that has already been passed on to the field. We will be seeing good traction in the coming 2 or 3 quarters in this recovery in written off accounts and some of the big accounts also. So written off account is a clear strategy for us. We are targeting at least 5% recovery from written off account during this financial year. That is the internal target we have kept for the field. So our Rs.40,000 crores is 5%. We will be getting at least Rs.2,000 crore and this entire amount would be going to the P& L of the Bank. So that is the internal target we have kept for ourselves.

Shri Sushil Choksey

Sir, Sushil Choksey from Indus Equity . Congratulations to team Bank of India for excellent performance in the quarter. And best wishes for time to come. S ir, dramatic changes will happen in this week on the global front. Whether it is interest rate, bond market and challenges despite many other situations led by war which may emerge or not, we don't know yet. Oil is down . Now, second half seems to be very conducive with interest rates from the global scenario and domestic interest rates with good

agriculture crop expected in the monsoon. Would you revise your ROA , Gross NPA , Net NPA, advances? Despite all the challenges which are visible on the C ASA front and the deposit front? Maybe the second half is very positive where deposits are concerned compared to the first by Government as well as the public market deposits.

Shri Rajneesh Karnatak, MD & CEO

You are right that a lot of challenges are there. We have fine-tuned our guidance to a certain extent over there. So as you know that there are a lot of challenges on the CASA side and on the resources side, and the interest rates on d eposits have started moving up and bulk de

posits and other deposits , it is difficult to raise. And in fact, the one year rate at which we are getting bulk deposits is now coming at around 7.5 0%. That is the fact. Another fact is that if you go for AAA adva nces, there also there are a lot of challenges on the pricing side. So a lot of undercutting is happening within the banks also. Like banks are lending at 7. 60% to 7.80% to these AAA advances where the RWA is only 20%. So that kind of challenge is already there. And with this global international scenario, if we keep aside the war, which may happen or not happen, but otherwise also on the interest rate side, as you rightly said, that there are certain challenges which may come because now interest rate sce nario is also changing globally, at the international level. So , though we have shown good Net Interest Margin in this quarter , in fact, it has been better than what we had shown in the sequential quarter in March ’2024. It is better for this June quarter. In fact, the global N et Interest Margin is 3.07 % and for domestic, it is 3.43 %, and for the international , it is at 1.25% . So we have improved. But on the guidance side, what we are saying for March 2025, NIM, we are seeing a guidance of 2.90%, considering the fact that the cost of deposit is going up and the Yield on Advance s is not coming to that extent. So that is the N IM guidance we are keeping for March 2025.

Shri Sushil Chokey
So with your focus moving towards RAM and retail , would you not be able to hold margin at the level which you achieved in Q1? Or we want rather be conservative is the answer.

Shri Rajneesh Karnatak, MD & CEO

RAM will help on the positive side for the simple reason that it is externally benchmarked and the pricing is better over there than a ‘AAA’ advance on the corporate side. So we will continue the RAM book . As I said earlier also, our continuous focus on the credit side will b e that 55% will be booked on the R AM side and 45% on the corporate lending side.

Shri Sushil Chokey

Based on the new Accounting Standard, visibility of the profit in Treasury may not flow to NIL. But it looks like the bond market may hit 6 .75% first an d 7.00% later. In such scenario, would you capitalize on those profits and deploy to retail credit , which is possible at 9% or approximate range. Or you rather remain conservative and hold bonds due to the challenges led by the deposit mobilization.

Shri Rajneesh Karnatak, MD & CEO

It all depends on how the resources journey pans out. So if you see the present June numbers for us, I will not talk anything on July . June numbers . Our credit growth on domestic side has been at around 17%, and our deposit gr owth is only around 10%. So there is a gap of 7%. And deposit growth is happening at around 11 % to 12%. Definitely as a strategy, when we sell those bonds, we'll have to deploy them for credit growth only. So that will be all seen how thing s pans out and h ow the credit growth finally keeps the pace with the deposit growth, which is coming.

Moderator

Thank you. Sir. Apart from those who are present here, we are also joined by many analysts virtually. So I'm getting questions from them as well. Shri Gupta from SBI Pension Fund has raised a query that there has been a sharp rise in SM A accounts in retail and corporate accounts. Could the management provide some information on it? And second part of his question is that any lumpy recoveries from NCLT r eferred cases ?

Shri Rajneesh Karnatak, MD & CEO

So as regards the SM As are concerned, there has been a rise in the SM A numbers . If you see that there are some corporate numbers also. If you remov

e th ose corporate
numbers, the actual sum for the June qua rter is very less . The typical thing in this Q1 was on the R AM side, especially on the retail side . There was lot of Staff transfers in the system , another thing was a lot of our staff was deployed in the election duties during Q1 FY25 and also the heat wave which was there. So collection efficiency in the entire system got impacted, including Bank of India. So that is wh at the basic reason why the SM A numbers have gone up in retail for our bank als o, as in the entire industry. But defi nitely what we are seeing from July onwards is that the SM A numbers are coming down now and it will normalize in this September quarter.

As regards the recovery is concerned , the recovery numbers have been already good and we are expecting a good recover y in th e big ticket size of around Rs. 500 Crores , if I give a ballpark number in this quarter itself on the large ticket NPA accounts . That is the guidance here.

Shri Sushil Choksey

Indian bank s specifically, SBI, does a lot of arbitrage in FX and shows a profit of almost Rs. 2,000 to Rs.3,000 Crores . I'm sure you are aware of the s ame being earlier present in Indian Banking . Do we do something of that kind or we avoid those kind of products?

Shri Subrat Kumar, Executive Director

Sir, if I c an answer. We also do a lot of arbitrage transaction in FX also. And nowadays again market has started becoming favourable . So you would have seen that in the recent past , the Forward Rates were very low. So that's why there was not much of arbitrage opportunity. Now , I think there is opportunity and again when it arises we definitely take advantage of that.

Shri Sushil Choksey

So keeping that in mind, how you see this accounting of profit goes through , Treasury , I suppose. On the international boo k, how do you see the future shaping up? Because most of the large corporates, which are present in overseas market and the large corporates from India, are again showing some signs of stability and expansion. Be it in autos, steel, renewable e nergy, hydro gen, various things h ow are we shaping up on that front?

Shri Subrat Kumar, Executive Director

As far as international book is concerned and advance is concerned , syndicated loan market is quite active there. And we are definitely looking for opportunities there. E ven Indian originated companies operating there because they are also tapping the overseas market for raising fund. So definitely yes, we are participating actively in the primary as well as secondary market, in the syndicated loan m arket. Apart from that Trade F inance, where margin is very thin , based on the requirement and wherever we can make more money and the margin is better . There only we are participating. So it's very selective. So ultimately the bottom line is important. T hat we don't want to compromise. That is the idea .

Just in terms of what has happened in our industry. Once upon a time, Trade Finance proportion wa s very high at 57%. Now it has already come down t o 45%.

Shri Rajneesh Karnatak, MD & CEO

To supplement what the E D has said that we have also kept giving loans at the lo cal level also, in the New York centre, in Tokyo centre, Hong Kong centre, Singapore Centre, even London Centre . We have started some transactions on the syndicated loan side on the local corporates also . That call also we have taken. W e will

be
diversifying our international book . It has already started shifting from Trade Finance towards the structured Loan Products.

Shri Sushil Choksey

So recently , I saw a tie up we have done with Tata Power for rooftop solar scheme. Can you elaborate, what kind of growth numbers we are seeing? Beca use very few Banks have tied up a nd this is a big market which is likely to explod e not only for domestic , globally al so is possible on EPC. So , if there's any thought process because companies like REC, PFC, IREDA are flying high. I'm sure with a book of Rs.10,000 Crores we may get a much better , multiple to o.

Shri Rajneesh Karnatak, MD & CEO

It is there. See, Solar R ooftop is also something which will be a big paradigm game changer in the country. It has been with the Government guidelines. So a lot of solar rooftop things will also be coming and we have also done a tie up on that . We will also be going for that apart from this Tata tie up which is there. So a lot of traction, both on the wholesale and corporate solar side will be coming in . Also, on this solar rooftop funding , already put a mechanism over there. The pro duct has already been sanctioned and appro ved and the field has already started working on it.

Shri Sushil Choksey

So hopefully you will tap with more EPC players who borrow on th is?

Shri Rajneesh Karnatak, MD & CEO

Yes, definitely .

Moderator:

Thank you. Choksey ji. There's another question coming up virtually is from Mr. Abhishek Kashyap from M/s. S A Artha Securities Private Limited. So he has three parts to his question. The first being your top line numbers are constantly improving. Numbers are not being translated into bottom line margins . Second, c an you provide any guidance with res pect to the trajectory of the net margins in the coming quarters? BOI valuation is behi nd its peers, how confident the management is with respect to catching up to the peers?

Shri R ajneesh Karnatak, MD & CEO

Thank you madam. So as regards our income and profitability is concerned , if you see in detail , our Interest Income has increased by 18%. So that is all because of the increase in advances which have gone up, though Interest Expense has also gone up by 26%. We have been able to ma intain our Net I nterest Margins and Net Interest Income has gone up by 6% on a Y -o-Y basis. Net Interest Margin has n ow improved to 3.07 % in June ’24. That is one number which is there and in the quarte r ended March ’24, it was only 2.92 %. So some improvement definitely has come as far as our NIM is concerned.

As regard s the Operating Profit, which you said that the top line is improving, but the bottom line is not. If I give you the number, it is that we have touched the Operating Profit of Rs.3,677 Crores in this quarter. On a sequential basis, it was only Rs.3,557 Crores in March ’24. So, there has been an increase over there. As regards the Y -o-Y, it is a minus by 2%, but that minus is only because of the fact that there was an interest on Income T ax refund whi ch had come during the Q1 of FY 24, in June 2023, which was at around Rs.450 Crores . If you remove that number, the net number then comes to around Rs.3,200 Crore of Operating profit in Q1 of FY24, which means that on a Y -o-Y basis, actually our Operating Profit has gone up by nearly 10% if you remove that interest on I ncome Tax refund. So there is no challenge as far as Operating Incomes are concerned and Operating Profit is concerned. As regards our net profit / bottom line is concerned , there also, if you see we have shown a profit of Rs.1,703 Crore . In March 2024 , we have give

n a profit of Rs.1,524 Crore . In June 2023, it was only
Rs.1,551 Crore . It has grown by 10% . So, definitely as the top l ine is improving, our bottom lines are definitely improving and the numbers are there. But had we not done the provisions which we have done in this quarter of Rs.2,384 Crores in total, the Net Profit would have been much better. So there is no challenge a s far as the Operating Profit is concerned .

And what was the third part ? Well, the margins. As far as the margin is concerned on the guidance side, the Net Interest Margin, if you see the Net Interest Income growth has been at around 13% in FY24. And on the guidance side, we say that the Net Interest Income guidance will again be at 13% for FY25 . Net Interest Margin, which we have already touched , 3.07 %. We say that the guidance for March 2025 would be considering all the scenarios of tightening of interest rates and other kinds of things , is 2.90%, as I said earlier, would be the guidance.

As regards the Yield on Advance s is concerned, there also , presently we are at 8.60%, and we feel that at around 8 .50% plus, the guidance will be there as far as that is also concerned . As regards the share price is concerned, you would appreciate that the share price has improved over the last 12 months and definitely with other peer banks , I would not say it is low er, but the benchmark is that we are below the book value. Book value is Rs.132 presently, and the share price at around Rs.125. There is some gap. Only with th e good numbers which we have given for Q1, and the even better numbers which we will be able to give for Q2 , this challenge shall also get obviated.

Shri P R Rajagopal, Executive Director

If margins improve , then naturally it will translate into catching up with the book value. As regards t he marginal difference between the book value and the market value , market value will catch up with th e book value without any problem in the coming two to three quarters.

Moderator:
Thank you very much, Sir. I hope the query as raised by Mr.Abhishek Kashyap is satisfied to the fullest. Any questions coming from this side, gentlemen?

Shri Himanshu, Aditya Birla MF

Hi Sir, thanks for the opportunity. Given the some slight rise in the SM A trends, how do you expect this slippages tends to be in the coming quarters? Although it has improved on a Q-o-Q, how the slippage trajectory will be. And second part to it, how one should estimate the credit cost? Third, if any calculation would you have done in terms of giving any guidance if as and when the ECL guideli nes comes in, how do you expect?

Shri Rajneesh Karnatak, MD & CEO
As far as this SMA number is concerned , if you see , I'll give you more d etails on the SMA sid e. In June , in above Rs.5 crore SMA , if you see our slide no. 23, our SMA has increased to Rs.9,600 Crores as against Rs.7,131 Crores . Further, if you see within

that break up, the corporate number is Rs.6,783 Crores . So, if you remove that Rs.6,700 Crores of that corporate book which consists of only a few accounts predominantly, which is from one State Government, three -four PSUs are there in that. So the SM A number is only around Rs.3,000 Crores . In that also , the maximum increase has happened in the Retail SM A which has touched Rs.1,200 Crores as against the number of around Rs. 183 Crore in March 2024 . So Retail. As I explained that it was because of the issues o

f the Q1, wherein there was a lot of Staff transfers
happening within the Bank and then electioneering duty was there and overall collection efficiency had got impacted across the industry, not only from the Bank side, but als o in NBFCs , collection efficiency are impacted. But however, it has normalized now. As we speak on 3rd of August in this quarter, and we do not see any much of concern going over there in the coming quarters in Q2 and Q3 .

As regards the Credit Cost is concerned , the Credit Cost presently, as we have shown in this quarter, is 0.85% and it has increased from 0.78%, which was there in the entire Financial Year . Sequentially, it has also gone up from 0.78 %. But as I have clarified earlier, it is also becaus e of the excess provision we had prudently made during this quarter. Otherw ise, we would have shown better net profit, which would have been there. On the guidance side, we would say that the Credit Cost would be at 0.70% for the current financial year.

As regards the slippage ratio is concerned, the present slippage ratio is only 0.35%, which was 1.58 % for the entire year and 0. 38% for the March quarter. And in the last year it was 0.53 %. So as against 0.53% in Q1 FY 24, we have come to 0.35 %. So if you m ultiply it into four , it comes to 1.40 %. But however, we are confident that we will be able to keep the slippage ratio at around 1.20 % only during the current financial year, which will be much better than what it was in the financial year 2023 -24. So that is the guidance which we are giving , at 1.20 % for the slippage ratio.

And the third part was with regard to the ECL . On the ECL also, we have done a ballpark calculation over there. We are expecting when the guidelines come, it will be spread across the five year period, and once it is spread across the five year period, we have sufficient cushion with respect to the profitability, which we will be achieving and improvement in the CRAR , which will happen. And also with respect to the capital raising in form of Tier-I or Tier-II Bonds , which we will be doing, which will take care of the ECL provisioning, which will be coming to us this year. Also, we have a plan to raise around Rs.5,000 Crores in capital in the form of T ier-I and Tier-II. Tier -II, we will be raising in this current quarter and Tier-I, maybe in the quarter three or quarter four. So with both these things, profitability and the capital being raised , we will easily be able t o manage this ECL extra provisioning, which will be coming in the next five years.

Shri M Karthikeyan, Executive Director
One more thing. Regarding the Roll Forward segment, we have also improved their roll backward , we have increased from 22% to 29% and then roll forward, which should be low , we have decreased from 26% to 22%. That is also coming down though. These are positive trends happening in SMA accounts .

Shri Jay Mundhra:

Sir. Good evening, and thanks for taking the question. Sir, my question i s on this Standard Assets provisioning that we have done. If you can share some more details here, I think you also said that we have done more provisioning, more than needed provisioning. If you can elaborate some more details. Is it, like corporate? Is it stress that you are seeing or what is it pertaining to?

Shri Rajneesh Karnatak, MD & CEO
Thank you, J ay, for joining u s. If you see the Standard Asset provisioning in our presentation , we have done Rs.359 Crore of Standard Assets and other provisioning . It was only Rs.111 Crore in Q1 of FY24, which was June 2023, and it was Rs.189 Crores as on March 2024. So in this quarter, what we have done is that when we were see

ing more of SMA numbers coming in Retail and MSME, as you see in the SM A numbers, we tho ught it prudent to have more provisioning for the Standard Assets which are there, wherein we can have some delinquency in the coming quarter, which is a normal delinquency, which is there. However, as I said earlier, the credit cost and the slippage ratio guidance which we have given will continue and there will not be a concern. It is only a prudent decision on these accounts which we have taken, and it is none because of any of the corporate accounts.

Shri Jay Mundhra:
Okay. Thanks Sir. And secondly, Sir, if I look at your Yield on Advances somehow it is very volatile, you know, this quarter, it has gone up. I would have thought that first quarter is slightly poor in terms of higher slippages but nonetheless, how should one read and you have said that y our Yield on Advances for the full year should be 8.5 0% plus? But I still wanted to check, Sir, if you can share, maybe the dummy interest booked in this quarter and what could have led the higher uptick in the Yield on Advance s this quarter?

Shri Rajneesh Karnatak, MD & CEO
So Yield on Advance s in this quarter has been at 8.6 0% for this quarter. For the entire year in the last quarter, it has been 8.38% and for Q4 it was 8.47%. So it is not that it has suddenly jumped up in this quarter. If you see our Q1 of last year, it was 8.1 0%.

In Q4 of the last Financial Year , it improved to 8.47 %, and now it has improved by 13

basis points to 8.60%. If you see the Bank of India trajectory of the MCLR , we are the first to increase the MCLR during the last 12 to 15 months. If you see, we have increased the MCLR by 7 to 8 times and we are the first one to increase the MCLR this time. Also in the last ALCO, with effect from 1st of August, we have increased our 1 Year MCLR by 5 basis points. So we are very proactiv e as far as increasing in the MCLR is concerned . If you see our presentation also there you see that 33% of our book is on the MCLR side, and another 4 6% plus book is on the EBLR side. So the moment we increase the interest rate on the MCLR , immediately the interest income starts coming in. So that is the kind of thing, and we are very conscious on the pricing also. We have in fact , left some of the transactions in 'AAA' where the pricing was low. Another very conscious call the Management h as taken in the Bank as far as the pricing is concerned, that we are not giving any external benchmark rate pricing of loans which are above 180 days . So up to 180 days , we are giving only RBI Repo Rate advances. All other advances on the corporate side ar e linked to the MCLR . So, our lowest MCLR is the overnight MCLR at 8.15%. The book is not very large there . Majority of our transactions which are happening is on 3 month, 6 months or 1 Year MCLR .

We are very conscious on improving the Yield on Advance s, though I am saying that on the guidance side, the Yield on Advance s for the full year will be 8.5 0%, and with the kind of increase in interest rate that we are seeing, the Yield on Advance s definitely will be at a number which will be somewhere around 8. 50% for the entire year.

Shri P R Rajagopal, Executive Director

So just add to what MD Sir said. If you look at the numbers, you know, if you look at interest income, which is almost Rs.16,000 plus Crores for this quarter and if you look at my dummy le dger that I have booked is only Rs. 649 Crores and there is only marginal increase on a sequential basis in dummy book . So naturally the percentage in the proportion of the ledger that is becoming part of the Yield on Advance s is very, very insignificant. So a

ctually, the Yield on Advance s has gone up by 13 b ps because
of the mix going up. If you look at my RAM mix, it is slowly going up. It is now 56%. So naturally, the RAM mix is giving me a little uptick in terms of yield and once it is going to go up like this because our long term trajectory, including the medium term trajectory, is th at now we should be at least 60 to 65% RAM book and corporate book will come down. So naturally, the top line that we have where we have sub 8% advances will get automatically taper out over a period of time, and then we will have better Yield on Advance s. So that's what we are looking at very seriously. We will look at most of the peer Banks who have 60% plus RAM their Yield on Advance at 9%. So we will be reaching it very shortly. It may be coming in another 2 to 3 quarters. That's what we are planning.

Moderator:
Thank you very much, Sir. There's another gentleman who has joined virtually is Shri Rakesh Kumar.

Shri Rakesh Kumar
Sir, the first question is with respect to the ROA guidance . What is the full year RO A guidance that we have?

Shri Rajneesh Karnatak, MD & CEO

As far as the Return on Asset is concerned , presently our ROA is at 0.70 % as on June ’24, which was again on the entire financial year at 0. 61%. For the guidanc e we are giving at 0.80% for FY 25, for th e entire financial year, for FY 25 0.80%.

Shri Rakesh Kumar

And the second question was with respect to the Market Risk Weight , so certainly there is a decrease in the market risk weight on a sequential basis. And that we have seen in case of other banks also, but the decrease in case of our Bank is relatively lower as compared to other PSU Banks . Sequential drop in the market ris k weight.

Shri P Harikishan, CRO

The decrease in market risk weight assets is lower because the quantum of securities that we have shifted to HTM is also on the lower side. It's only Rs. 9,700 Crores . That's the only reason why the re is decline in Risk Weighted Assets and so far as the market risk is concerned, it is now only Rs.10,000 Crores .

Shri Ashish, Kotak Securities.

Sir, two questions from my side, One is on the Personal Loans book , you have a decently sized book of more than Rs. 10,000 Crores now. What is the trend on GN PA in this book? If you can share the numbers for this quarter as well as last quarter ? That is one. And secondly, can you share the movement of your net worth on the 1st of April? Because if I add your net worth as on 31st March and add the profit which you have had in Q 1, the net worth on June is meaningfully lower than that.

Shri Rajneesh Karnatak, MD & CEO
Okay. On the Personal Loan number side, GNPA side, I will ask my CGM recovery to give the numbers . Just to give you a flavour and the colour on the personal book,

which has now touched Rs. 10,000 Crores as against Rs. 7,000 Crore, which was there on a Y -o-Y basis. So the increase is around 40%, though it is because of the low base, the incremental growth of 40% is there. But just to clarify, the entire personal loan book is secured with the cash flows. So , predominantly this Personal Loan book is to the salaried class and salaried class where the salary is coming in the Bank of India saving accounts that is one thing. Another thing which is there is that we are giving these Personal Loan s to mostly to CIBIL score of more than 700. So that is another guardrail wh

ich we have placed in our system. And the third thing which is over there is that we also have a Personal Loan for the housing loan customer. There also good traction is coming that where the housing loan has been given to the borrower , we are offering them a Personal Loan product where the house is already mortgaged to us, though we are not extending the charge on tha t, but definitely there is a cushion with us that there is a long term housing loan available with us.

Kotak Securities.
If you can just share w hat is the NPA num bers in the Personal Loan book?

CGM , Recovery
Exact numbers in Personal Loan , I don't have as of now. But if we see the slippages for this year, it is very, very minuscule. The total slippages of Personal Loan out of the total slippages is only 1% for this quarter.

Shri Rajneesh Karnatak, MD & CEO
So just to clarify further , we are not seeing much of a stress or any of the stress in these Personal Loan numbers and within that there is the credit card outstand ing also, which is there . Again that number is not very high. It is only Rs.500 to Rs.600 crores and whatever the NPA is there in credit card , it is 100% provided for .

Kotak Securitites:

Sir, the second one on net worth. Just one clarification before you move on to the second one, can you share what is the definition of your Net Slippage which you share in the presentation? Net slippage which we are seeing in the SM A. Just the definition of net slippage.

Shri P R Rajagop al, Executive Director
It is like this for example. The N PA calculation is always on an annual basis. So when you ac tually jot down the amount of NP A that we have at the end of the financial year . You have a particular amount outstanding at the end of the financial year that is called the Gross NP A. Now what happens is , during the quarter, the standard accounts, as you rightly pointed out, that may be rolled forward, from SMA to NPA. So they become NPA say in April, they may become N PA in May and in May some of it may get

upgraded again because there is a recovery that is coming because the RBI circular says the up gradation has to happen on the basis of Record of Recovery. So if Record of Recove ry is there as per the guidelines, it gets upgraded. So what happens is Gross NPA replaces the total slippage during the quarter minus the accounts that are upgraded during the quarter. So that is the net slippage. These are essentially recoveries which happe ned intr a quarter, during the quarter.

And in respect to the net worth question. See what happened was for last year , we have declared dividend to shareholders of Rs. 1 ,200 Crores and that has been accounted for this time. So naturally, there is a drop in net worth and apart from that, because of the new valuation guidelines of investments, there is a general reserve adjustment that have happened.

Kotak Securitites:
So the reserve adjustment has been n egative on an overall?

Shri P R Rajagopal, Executive Director

Yes. Naturally for all banks. Ours is not a big number. But most of the banks it is negative.

Moderator:
Another question by Mr. Dheeraj Singh. First of all he just congratulated for the good numbers that we have shown. The question is, what is the full guidance for NPA and what impact of Japan on our financial markets?

Shri Rajneesh Karnatak, MD & CEO
As regards the Japan rate hike on the financial markets, it will impact when other countries also start doing that , like UK and USA. So till that thing happens, not much of global impact will be there on the market. We also have a Branch in Japan . Definitely there , the cost of fund raising will go

up. That will be sure. That will be the local impact
as far as our Japan Branch is concerned.

As regard s the Gross NPA and N et NPA is concerned. As you are aware, that we have reduced our Gross NPA to 4.62% as against 4.98%, which was there in the month of March for the full year ended. As regards the g uidance is concerned fo r FY25, we are saying that w e will be at around 4% by March ’25 on the Gross NPA numbers. On the Net NPA, we were at 1.22 % in March ’24. We have now closed at 0.99 %. On the guidance side, we are saying that we will be at around 0.90% by March ’25. That is a conservative number, but we are sure that we will be improving that on this number.

Shri Ashok Ajmera:
Sir, some colour on NARCL accounts transfers. Like, a lot of things have happened in this quarter and the last quarter. So some traction was there. So one is that, what is the status there? And secondly, how much amount of the SRs which we have received in this quarter from NARCL. Because we might have provided 100% like any other SR. But here this is gua ranteed by the G overnment. So that will help us in understanding that this is basically a standard thing on which also the provision has been made.

Shri Rajneesh Karnatak, MD & CEO
So a lot of activity happened in NARCL. That activity mostly happened in the month of March and April . So no new activity has happened in the last 2 or 3 months on the NARCL side. So only a few accounts have been shifted to the N ARCL. So I don't think much of a thing happening in the immediate quarter. So this quarter we have not expected any impact on any account.

Shri Asho k Ajmera
Sir any recovery is expected on from N ARCL accounts in this quarter ?

Shri Rajneesh Karnatak, MD & CEO

Whatever accounts that we have shifted, they are all old legacy accounts, right? So in those old legacy accounts where resolutions were not happening, so it was decided by all banks to shi ft them to NARCL. Then the N ARCL will start finding the resolutions through the process, which is there now in all the accounts. The status which we get on a monthly meeting is that the process has started, s o it will take now some time, at least 2 to 3 quarters for that process to get completed. But then finally the resolution to happen .

Shri Ashok Ajmera
Does it goes off from our Gross NPA .

Shri Rajiv Mishra, Executive Director
It is with us only. It will move to investment. What happen s is that this is a 15% and 85%. So 15% is a cash recovery, which we get and 85% moves from this book as an investment to the NPA, which we make 100 % provision . So for that we make 100% provision. But then, as you rightly sa id, it's a Government backed guarantee is there. So where the recoveries will be assured for that recovery. But then still the provision is being made and we expect that the resolutions will start coming .

In Q1, w e did not have any account and there was n o recoveries as far as the recovery against the SR s, which is concerned. We did transfer a good number of accounts in the last quarter. That is Q4 of previous financial year. For the Q4 accounts, which we had transferred that already have been accounted fo r, the money has been received. That's all. That's all accounted for.

Shri Ashok Ajmera

And some last , some colour on the digital transformation . It is going on for the last two and a half years. Three years. And you have achieved a lot of things out of that. Maybe 60% or 70%. And out of that Rs. 2,000 Crore of the original budget, I think 75% was spent up to the last quarter. So what is the status now? Any fresh budget on digital spend? And where do we stand on that? How many verticals are still pending to be introduced?

Shri Rajneesh Karnatak, MD & CEO

So as I said in my speech also , that 15 products will be digitized in this financial year. Already 20 odd products we ha ve been digitized . They are right from liability side to the asset side , on retail lending, MSME lending, al so in agricultural lending also. And also on the liability side like Saving , Current account those have been digitized. Another thing important we are doing is , we are in the la ter stages for digitizing for the Current account. So that also will get open from the digital mode. That is another thing which we will be doing in this quarter itself. And on the expenditure side, as far as the digital and IT is concerned this year also the budget is around Rs. 2 ,000 Crores and we expect that good amount of money will be spent both on the digital and the IT side for this year also . We are also on the final stages of on boarding one of the leading consultants in the industry. One of the big 4s for transformation of the IT and the digital stack in the Bank. So that should also happen by end of this quarter . On-boarding of the new vendor for that will help and give us a long way in tak ing the transformative journey on the IT and the digital side, making the Bank of Open Architecture as far as the digital stack and IT stack is concerned . And integration plug and play with the APIs and the Fintechs which are there. So that is we are commi tted to that. And we are very sure that in the next coming 3 to 4 quarters , our IT and digital stack will further improve. A lot of improvement has already happened. It will further improve. And the cyber security issue also, which is coming in the last fe w days, it has not impacted our Bank because all the ring fencing and the work on cyber security that the bank has done and the IT spend Bank has done . So these are the things which are already there. And definitely there will be some much b etter things happening on the I T and digital side in the Bank in the coming days.

Moderator:
Thank you. S ir, again SBI Pension Funds has raised a question Management has guided 2.90% NIM. So a retreat at the end of Q4 likely to be sub 2.75%. What is the guidance arou nd staff cost?

Shri Rajneesh Karnatak, MD & CEO
As far as the NIM is concerned, you rightly observed that the present NIM is 3.07% on a global basis, and we are giving a guidance of 2.9 0% considering the fact that the challenges which we are facing as far as the resource mobilisation is concerned and the costing which is going up as far as the resources are concerned. So deposit prices are going up and it is a challenge to get the resources. And with the kind of credit growth which is happening, if we have to keep pace with the deposit growth on with the credit growth, definitely we will have to raise some high cost deposit. That is one challenge which is there because of which we are saying that the NIM should be for the entire year at 2.90 %. And when you have calculated rightly that it will be at around 2.75% to 2.80% for the Q4, because the average for the entire year we are giving at 2.90% as we have already touched 3.0 7% for the current q uarter . It is keeping in mind the liquidity position, which is there and presently the LCR guidelines which have been issued by the Reserve Bank. That is also we have kept in mind while we are saying that 2.90 % will be the guidance for the current

financia l year, because the LCR guidelines will also impact the overall profitability in the Banks .

So regarding the staff cost. So staff cost will remain the same for the simple reason that as per the bipartite settlement, whatever amount had to be paid and the provision which had to be done has been done, so no more provision to be done, all actual cost has been taken, so there is no additional cost on the staff side is to be done. So whatever is the number is the running number on the staff cost side. So no in cremental increase will be there on the staff cost side.

Moderator:

Thank you then, I think we have had enough questions and can we call it a day ? Thank you the Top Management for enlightening with the strategy on Q1 results. And also, I thank all the gentlemen and one lady sitting here for having spared your precious time to be with us on our big day. Thank you very much. And I would like to request all of you to join the High Tea . Thank you.

Call: Nov 2024

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Department,
BSE Ltd.,
25, P.J. Towers, Dalal Street,
Mumbai 400 001.
Sub: Unaudited (Reviewed) Financial Results (Standalone &
Consolidated) for the 2nd Quarter ended 30.09.2024 - Earnings
Conference Call with Analysts/ Investors — Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Conference Call with Analysts for the 2nd Quarter ended September 30th, 2024 held on
12.11.2024.
The transcript of 2nd Quarter ended September 30th, 2024 earnings Conference
Call is uploaded on Bank's website and the same can be accessed through below link :
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1-gtzf Yours faithfully,
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“Bank of India
Q2 FY’25 Earnings Call ”
November 12 , 202 4

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P.R. Rajagopal, Executive Director
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

Moderator

Good evening, ladies and gentlemen.
A very warm welcome to today's Analysts' Meet of Bank of India's Q2 results of FY 2024 -25, which is being conducted in a hybrid mode to be attended physically, as well as virtually by our Analysts. I would like to thank you all for taking your time and jo ining us today.
We have with us , our top Management, led by our Managing Director and CEO, Shri Rajneesh Karnatak ji. Joining him on the di as are our Executive Directors, Shri P. R. Rajagopal, Shri M. Karthikeyan, Shri Sub rat Kumar and Shri Rajiv Mishra ji. I would now request our MD and CEO, Shri Rajneesh Karnatak ji to address our Analysts , to begin with.

Shri Rajneesh Karnatak, MD & CEO
Thank you, madam. Thank you so much. First of all, good afternoon to all the dignitaries present here, ladies and ge ntlemen present today in the Analysts' Meet. It is my pleasure to welcome you all for this interaction post -publication of the financial results of the Bank for Q2 of FY25.
The strong macroeconomic and fiscal indicators of the economy coupled with the improved investment, controlled inflation, comfortable foreign exchange reserves exhibited positive sentiments and stability, preparing the ground for India to become the world's third largest economy by 2027 and a developed nation by 2047.
Against this bac kdrop, the Bank is playing a pivotal role in fuel ling the country's growth trajectory. The YOY credit growth of our Bank was 14.51%. The major drivers of growth will be the customer -centric innovation, along with strong commitment on sustainability. The f ulcrum of these innovations will be enhanced customer service experience, leading to low -cost deposit mobilization through retail deposits to fund the credit growth. Asset quality will be given paramount importance with improving underwriting standards, co ntainment of slippages, and speedy recovery.
In this direction, a few initiatives have been taken by the Bank . First of all, I'll discuss the business initiatives. Number one, the new Credit Assessment Model based on data available from the digital footprints has been finalized and a product named “Star D IGI Biz” is developed to be rolled out digitally with an amount upto Rs.1 crore.
Number two, the new Internal Rating Model developed by CRISIL has been introduced for rating Investment Instruments. Number three, launch of Virtual Account S ystem payment service for assi gning virtual IFSC code for Corporate clients, which will enable faster collection of their payments with automated reconciliation.
Number four, new “BOI - Tata Commercial Vehicle Loan” launched in collaboration with Tata Motor s Finance Ltd. Number five, the maximum limit per worker and group under the Star JLG Scheme has been increased from Rs. 50,000 to Rs.1 lakh and from Rs.5 lakhs to Rs.10 lakh s, respectively. Number six, t he CGTSME claim process and adjustment of the claim money received has been centralized in the Bank .

The IT initiatives which have been taken are, number one, the focus on Digital and Technical T ransformation “Project Tech next” has been launched to scale up digital footprints.
Project Aditya (Analytics Driven Insights to Yield Actions) has been launched for developing a robust technological platform and enhancing data quality and governance. Number three, to enable out ward remittances in 100 + currencies and inward remittances in 30 + currencies, a Multi C urrency Payment Solution, MCPS, has been introduced. And number four, OTP based Mandate facility has been implemented , which customers can authorize auto debits from the ir accounts to wallets without using any third -party platforms.
We have published and shared the financial results of the Bank for Q 2FY25 yesterday. The main h ighlights are as under :
On the business side, global business has increased by 12.05% YoY from Rs.12,46,000 crores in September 23 to Rs.13.97 lakh crores in September 24 with

the incremental growth of nearly Rs.1,50,000 crores.
Global gross advances increased by 14.51% YoY from Rs. 5.43 lakh crores in September 23 to Rs.6.21 lakh crores in September 24 with the incremental growth of Rs.78,000 crores. C ASA increased by 7.26% YoY from Rs.2,56,000 crores in September 23 to Rs.2,75,000 crores in September 24 with the incremental growth of nearly Rs.18,000 crores and C ASA ratio stood at 41.18%. Domestic gross advances increased by 15.03% YoY from Rs.4.52 lakh crores in September 23 to Rs.5.20 lakh crores in September 24 with the incremental growth of nearly Rs.68,000 crores. Sequentially, it has grown by Rs.12,000 crores at a r ate of 2.46 % during the quarter.
Domestic deposits have increased by 12.33% YoY from Rs.5.98 lakh crores in September 23 to Rs.6.72 lakh crores in September 24 with incremental growth of Rs.73,000 crores. Sequentially, it has grown by Rs.24,000 crores at 3 .83%. R AM advances increased by 19.74% YoY from Rs.2,50,000 crores in September 23 to Rs.3 lakh crores with incremental growth of nearly Rs.49,000 crores with a share of 57.70% of the total domestic credit. As regards profitability and asset quality, opera ting profit for Q2 stands at Rs.4,147 crores witnessing a growth of 10%.
Net profit stands at Rs.2,374 crores witnessing a YoY growth of 63%. For H1 , it stands at Rs.4,076 crores with a YoY growth of 35%. Global NIM stood at 2.82% and domestic NIM stood at 3.14% for Q2 FY25.
Interest income for Q2 stands at Rs.17,000 crores witnessing a YoY growth of 16% for half year and it stands at Rs.34,000 crores with a YoY growth of 17%. Non -interest income for Q2 FY25 is Rs.2,518 crore witnessing a YoY growth of 49% and for H1 FY25, it stands at Rs.3,820 crores with a YoY growth of 21%. There has been improvement in the Asset Quality with reduction in both gross NPAs and net NPAs. Gross NPA ratio is at 4.41% improved by 143 basis point s on a YoY basis and net NPA ratio is at 0.94% which has improved by 60 basis points on a YoY basis.
In tune with the growth of the economy, guidance for domestic credit growth will be around 14% and domestic deposit growth is projected at around 13%. The key focus

area w ill be low cost deposit mobilization for protecting our NIM and increasing high yielding advances for consistent growth in the business with emphasis on digital initiatives, improvement in asset quality and arresting slippages. The endeavo ur of the Bank will be increasing efficiency and profitability along with the focus on compliance and better corporate governance. I would like to thank you all for showing faith in us and for your continued support. The f

loor is now open for discussion and
Question and Answer.
Moderator:
Thank you very much, Sir. The f loor is now open as S ir said , for the Question and Answer session.
I'll just do a little briefing. Before we take up the question, please raise your hands and introduce yourself and the organization. And we'll proceed in an orderly fashion.
I'll request each person to take three questions at a time. If you wish to ask additional questions, we will have the opportunity to do so after others have had their turn. So thank you for your c ooeperation.
And one more thing, for the audience who have joined us virtually, you will notice a small icon on your screen, a hand sign. Once you place this, it will alert us that you would like to ask a question. You can go around one by one.
The Analyst asking the question will be unmuted. You can press a notification on your screen to unmute yourself. Kindly click on unmute and identify yourself and the organization before asking the question.
Those who have joined us through an audio call request you t o kindly WhatsApp Ms. Maimuna or Ms. Gouri from Adfactors PR team if you would like to ask a question. We will ensure that the question is taken. So let's move ahead.
Can I have the first one coming up, please?
Mr. Ashok Ajmera:
I'm Ashok Ajmera. I'm the Chairman of Ajcon Global. So compliments to you for a very good set of numbers, Sir. Thank you.
If you look at the profitability point of view, both the operating profit and net profit have gone up substantially. And the Bank is also, I mean, as far as the growth is concerned, it's also doing well as compared to some of the other Bank s. And you said that, Sir,

what we observed is that in our profitability, this quarter , major component has come from other income, where the inv estment profit and the revaluation of the investment has gone up from Rs.166 crores to Rs.730 crores.
And recover y from the written off account s has gone up from Rs.202 crores to Rs.685 crores. So these two, Rs.1,400 crore s, which have straight away gone t o the bottom line of the Bank . And on the other side, if you look at the real bank ing business, which is dropping substantially, has dropped rather in this quarter, I think from 3.42 % to 3.17% something.

So, there we are facing the pressure o n the margins. And here we are doing well for the recovery. So net net, our bottom line is definitely increased, which is a very good welcome sign, which increases our book value of the share also and overall profitability.
Next, sustainability of this other income in t he remaining half year of this FY25. And how do we meet the pressure on the NIM so as to imp rove the NIM and overall profitability of the Bank? Then I will take up other s.
Shri Rajneesh Karnatak, MD & CEO
Let me answer that. So as you rightly said that the profit has increased, but definitely there are certain challenges which you see in the Balance Sheet.
So for the first time, we have crossed the profit of Rs.2,000 crore in the quarter and close d at Rs.2,374 crores for this quarter as again st Rs.1 ,700 crore, which we had shown in June quarter. And it has improved to Rs.4,076 crore s as against Rs.3,00 9 crores , which we had shown in September 23 . So you are right that this net profit is also riding on the fa ct that non -interest income has increased and non -interest income is now Rs.2,518 crore.
And it is written by bas ically two aspects. One is the T reasury income, the sale of securities, which we have done. And number two is the recovery in the written off accounts.
So let me explain that we have done some good Treasury Management from the Treasury Department side. And

there were certain securities available with us in which
we found that there was good margins available when we are disposing them. So that profit we have taken in the books and because of which the profit from the sale of Treasury from Rs.81 crores, it has jumped to Rs.730 crores on a quarterly basis (YOY).
Now coming to the written off accounts recovery, again, it is not one single account. There are seven to eight accounts in the NPA book, which got resolved during this quarter and we received this money. And all these accounts were written off. So they have come in other income on reduction of NPA. They have gone straight away to the P&L of the Bank through the non -interest income. And there it has increased from Rs.560 crores in September 23 to Rs.685 crores in the September 24.
There also has been some increase in the other non -interest income with typically respect to the P enal charges as per the RBI circular. So penal interest, which was earlier booked in the interest income, is now booked under the non -interest income.
So, these are the basic components.
Apart from that, we have also done well in the cross -selling of third-party products where our income is Rs.85 crores as against Rs.53 crores, in September 23. So all in all, Rs.2,518 crores has definitely contributed to the overall profitability of the Bank for this quarter. And we think that with the kind of pipeline that we have in the NPA book, written off account pipeline, which is nearly Rs.45,000 crores and gross NPA book of around Rs.27,000 crores.

So recovery in this quarter and the ensuing quarter in the Q3 and Q4 will also be good so that the non -interest inc ome of the Bank continues to show the same kind of growth number, which is there, or at least it is sustained at that level. The concern with respect to the net interest income, yes, it has increased by only 4% on a YoY basis and on a

QoQ basis, as you rig htly say, it has de -grown. One of the reason for that is the RBI Circular wherein the penal interest income, which was booked here, is now getting booked in the penal charges and going to the non -interest income.
The second thing is that I have clarified i n yesterday 's Press Conference also was that around Rs.18,000 to Rs.19,000 crores of our Corporate book got repaid in the first week by the 10th of July. So they were those advances in the Corporate book where the rate of interest was very fine and linked to the Repo rate, where we thought that it is better to get them paid off rather than continue with the rising interest rates scenario on the deposit side. So that amount got paid off.
So, for around Rs.19,000 crores of Corporate advances, for the entire 80 days , interest income was not available to the Bank . So that was the thing, though the credit has gone up on a QoQ basis, both YoY and sequentially also, the main thing which happened was the credit built up to that extent some time and majority of the d isbursal in credit happened in the month of August and September, which did result in the increase of credit, but the average credit was on the lower side during the quarter, which resulted in the lower net interest income, finally, which resulted in the l ower net interest margins, which you rightly said we have closed at 2.82 % for this quarter on the NIM side, on the global side, but on the domestic NIM side, we are having a healthy NIM of 3.14%. So we have to be very cognizant of the fact that when you se e Bank of India book, the total business mix of Rs.13.97 lakh crores, out of that 15% is the international book. In the international book, the NIM s are quite fine. In fact, they are much lower than the domestic NI

M s because of which whe n we see the overa ll global
NIMs , it gets moderated. Because of this moderation, it is coming down to 2.8 2%. In fact, most of the Bank s who have higher international books, their NIM s get moderated once the global NIM is calculated. So that is the reason it is there.
Furthe r, I will say that it has bottomed out for us. It could not go below this. And with the busy season, which is coming now in Q3 and Q4, we expect that there will be better credit growth and a better disbursal, which will take place month on month basis, which will give better interest income to the Bank and then better net interest income. And so the overall mar gin will be better and the NIMs will do better in the coming two quarters for the Bank .
Mr. Ashok Ajmera :
Point well taken, Sir. And yes, I think we have got a very siz eable international book, of more than Rs. 2,00,000 crores. More than Rs.1,00,000 crores of deposit. Similarly, more than Rs.1,00,000 crores of advances. On that profit is only Rs.300 crores plus. In fact, it has doubled on a YoY basis. Sir, my second question is, or rather some data point, is on the little higher provision, in spite of writing off a substantial amount of the provision, writing back , I think, Rs.384 crores. We have written back . In spite of that, the total provisioning is Rs.1,427 crores on the NPA.

So I can understand that one account of that, I think MTN L, I think Rs.200 crores provisioning has been made, this has been made in this quarter itself, out of this Rs.1,400 crores. Wh at is our total outstanding on that? I think Rs.1,000 crores you reported. So, number one, what are the other provisions? I mean, why the provision figure has a little bit gone up.
Number two, on MTNL account, how are we proceeding, all the Bank s together , whether they will come back standard and again slip, or how do we plan to recover the money, even though it is Government guarantee d? But it does affect our profitability quarter after quarter, because of the provisioning and NPA figures also goes up. So some colo ur on this, because our SMA 1 and 2 have also gone up substantially in this quarter, including our SMA 0 also. So overall SMA numbers are quite high, I think it is doubled or tripled from the last quarter.
For SMA 1 and 2 , what is the status, bec ause now we are sitting in November . So some account might have been regularized also, much have come to the SMA zero, so can you give some colo ur on that SMA number, whether we get provisioning?
Shri Rajnish Karnatak, MD & CEO
So coming on this, provisioning on the NPA account side, Rs.1,400 crores is the provisioning which we have done in this quarter. The incremental increase in the provisioning in this quarter is because of that one public sector account NPA which had slipped during this quarter, in that we have, the exposure is more than Rs.1,000

crores, in which we have made the provision as per the RBI guidelines.
So that provision is around Rs.150 to Rs.200 crores, somewhere in between that. The remaining provision is with respect to some NPA account s which are unsecured, which were legacy NPAs where we have now taken them as unsecured because book d ebts and stock are not available in those Cash Credit accounts . There we have made provision as per prudent banking practice, and some provision is with respect to the ageing provision which happens in the due course of business when a substandard account becomes a doubtful account , from D1 to D2 and the doubtful moves as per aging to the loss category. So that is the kind of pro vision that we have made, so that is one part.
As regard the account -specific details which you

are asking, see this is a public sector
account and we are already in touch with the Management . Other Bank s are also in touch with the Management , and the Management is working out some resolution process. So we have to wait and see what finally the resolution process comes out from their side, and whether it will be some restructuring or some other kind of way which they want to give to the lenders. In any case, it is a central PSU, definitely the Management will take a cognizant call and majority of the lenders are public sector lenders.
So we are awaiting and we are very hopeful that not much of a hit the Bank s will get in this kind of account, so that is the point. As regard the SMA book of Rs. 5 crores and above, if you see from our slides, from Rs.9,600 crores in June, it has come down to Rs.7,600 crores , over the SMA numbers. So especially the SMA number s are coming down . So the broader point is that th e overall SMA number has come down by

nearly Rs.2,000 crores on a QoQ basis from June to September and this SMA of Rs.7,600 crores constitutes only 1.29% of our overall standard book of the Bank . That is one part. The second p art, which you rightly said, i s most of this SMA number, which is there, was earlier resting in the SMA 0, which is now coming under the SMA 1 and SMA 2 category. SMA 1 and 2 has increased substantially and if you see the further column in that, the corporate SMA has increased in the S MA 1 and 2. So these are four to five accounts which are for a state PSU, in one state, which are now showing a s SMA 1 and 2. But let me clarify, all these accounts are secured accounts backed by assets, number one, backed by cash flows and some of the ac counts are also having the State Government guarantee.
So we do not foresee any stress in these accounts in the coming quarters. Though the accounts may remain under stress because of the cash flow issues in SMA 0, 1 and 2, but we are very hopeful that the se accounts will not slip into the NPA category.
Mr. Ashok Ajmera
My third question, and this is on the credit side. It's very good that we are maintaining the credit target of 14% for FY25. So in the remain ing six months now, I think the pressure is more because what we have done in the first half we have to do double than that in the second half to achieve these numbers. So what is our plan for that? What is the sanction pipeline for the project s coming in? What kind of projects and the loan proposa ls are coming in? And how are we so confident that, we will achieve this 14% number of the credit growth? Some colo ur on that, Sir. Our Bank has now already become a Rs.14 lakh crore Bank .
Shri Rajneesh Karnatak, MD & CEO
If you see the credit growth in this quarter, the global credit growth has been around 14% and the domestic credit growth is around 15%.
So that is the number which we have already achieved. Within that, if you see the overall growth in the RAM sector, it has been nearly 19%. Agricultur e, it has grown by 21%. Retail has grown by 21%. MSME has grown by 15%. Overall RAM credit has grown by 19%.
And the overall RAM is 57% of the overall domestic credit book, which means that 43% only is the Corporate credit book. That is one part. On the o ther part, as regards the pipeline is concerned, with more than Rs.70,000 crore of pipeline we are having as on date, which includes Corporate and also the RAM credi t, majority of which is in the C orporate pipeline, wherein there are infrastructure pipelin e of nearly Rs.15,000 crores.
And apart from that, there is industrial borrowers also, which are there in the pipeline.

And it is totally, it is agnostic to any industry in partic

ular. There is infrastructure where
we have pipeline for roads. Disbursal for roads are pending. Disbursal for some of the ports are pending. Disbursal for solar power plants are pending. And then even wind energy is pending. Disbursals are yet to take place. And then we have sanctioned some data warehouse projects also, wareho use projects and data centres projects also.

And then there is iron, steel, textile, petrochemicals, chemicals. So it is a whole list of products, including ethanol and other kinds of things. And EV is also there, battery is also there, where the sanctions and i n-principles have been given.
So we are very confident with the pipeline of more than Rs.70,000 crore, which is in fact 10% more than the present loan growth of the Bank . Whatever the target numbers we have kept, and 14 % is a moderate target that we have kept for ourselves for March 25 on the global credit growth. But I'm pretty sure with the kind of pipeline that we are having, and the kind of action which is coming from the field level, from our Large Corporate Branches, from our underwriting centre s at Retail, MSME and Agriculture, and also the 18 ECCBs that we have opened, Emerging Corporate Credit Branches. We are very confident that this 14% credit growth target we have kept for ourselves, we'll be able to achieve.
Mr. Ashok Ajmera
So just on this credit only, I was going through this E SG slide. To the renewable energy, we have given the loan of almost about Rs.5,000 crore. Correct. So is it spread over the various layers in the renewable energy or some one or two or three big part of itself?
Shri Rajneesh Karnatak, MD & CEO
No, it is totally spread out. It is spread out in renewable energy, in solar also, and wind also. And it is spread across the geography, and also it is spread across the players.
Moderator:
Thank you. We have one question c oming up from Worldwide Capital.
Mr. Marsal
Hello. My name is Mar sal.
I'm an investor. My first question is regarding this, we have other incomes substantially shoot up. So about Rs.700 crore is there recovery from the NPA. So is it sustainable for the co ming quarter or not?
Shri Rajneesh Karnatak, MD & CEO
So we have replied to this question. This question was there from the first Analyst also, from Ajmeraji, but for your convenience, I'll respond it again.
See, whatever recovery we have done from the written off accounts, it is not one single account. It is six or seven NPA accounts under which we have done the recovery in written off . So as I said, we have gross NPA number of around Rs.27,000 crores, and written off number of around Rs.45,000 crores.
So with this kind of pipeline, which is there in the NPA book and the kind of negotiations which we are having on one -to-one basis for one -time settlement, we are having with NARCL for sale, or we are having with the ARCs or the accounts which we are havin g discussion under the COC in the NCL T. We are pretty sure that this number, recovery

number which we have shown under the non -interest income, this kind of re covery will also be sustainable in the Q2 and Q3. And just to give further understanding of that, so last year, whatever recovery we have done, we'll be doing a recovery, which will be much better than the recovery, which was done in the last financial year for March 24.
Mr. Marsal
So you mean to say, we have the pipeline of Rs.72,000 crores, Rs.27,000 plus Rs.45,00

0 crores?
Shri Rajneesh Karnatak, MD & CEO
Rs.45,000 crores is our written off book, and Rs.27,000 is the gross NPA. So that is the kind of pipeline in the NPA, which is there, which is available for settlement and resolution.
Mr. Marsal
Sir, my second question is that employee cost has increased substantially at consol idated level during Q2. As compared to Q1, employee cost has gone up by Rs.25 crores, and as compared to YOY, by Rs.455 crores. So is it some one -off there, or like w hy it is so high, this employee cost? Because all those pro visions required for the industry -level agreement has already been done in the previous quarter of March.
Shri B. Kumar, CFO
Sir, this particular employee co st has increase d because of our AS -15 provisioning . We have to keep additional provis ioning , because of that , employee cost has increased .
Mr. Marsal
Sir, it cannot go up by so much because , if I repeat , at the consol idated level, our employee cost in September 23 quarter was Rs.2,197 crores . And in June 24, it became Rs.2,367 crores. And now it became Rs.2,652 crores. So it means it has gone up by Rs.455 crores (YOY). It can't be at that level because whatever incremental we require, it will not be this much amount.
Shri B. Kumar, CFO
Sir, actually our Employee wage settlement implementation happened only on 1st April 2024 . Last September, it was done on the estimation basis of 15 %.
Mr. Marsal
Can you please tell us how much amount is there included in July, which was for example some provision done, which will not be repeated at that much level in the subsequent quarter. Can you tell us the amount, please?
Shri B. Kumar, CFO
In September 2023, when we are going to do the employee cost at that time, wage revision , exact provision amount was not crystallized. It was put on the estimate d basis

of 15 % employee cost. After that only, when the final settlement happened in December 23, it was settled at 17 % and on 1st April 2 4, the amount was crystallized and we book ed during the June quarter.
Subsequently, for AS -15, we have done something in June quarter and balance amount in September quarter.
Mr. Marsal
So, I want to know the amount which was done for A S15 in June quarter and September quarter because since you already made two quarter. S o, going forward, it should be only marginal increase, not at that much. So, please tell us the amount.
Shri B Kumar, CFO
I don't have the number right now . I'll just share it. You can Email to our Investor Relations Cell at Headoffice.share@bankofindia .co.in and we'll share the number.
Mr. Marsal
And in item number 8 of the consol idated P&L, our provision other than tax and contingency are Rs.1,062 crore but the provision for NPA is Rs.1,450 crore. So, what is the 378 crore item due to which it has bec ome negative? What is the positive item you can say in this provi sion?
Shri Rajneesh Karnatak, MD & CEO
So, that is the reversal on the standard asset side of Rs.384 crores.
Mr. Marsal
Thank you.
Modera tor
There is one question coming up in the chat box. So, I'll take this one first because it came very first, okay? He is Mr. Abhishek Kashyap.
He has congratulated the management team. He has two questions. First is what segment or sector are we having fresh slippages in? And what part in the loan book are unsecured loans?
Shri Rajneesh Karnatak, MD & CEO
So, as regard s the fresh slippage is concerned, we had a fresh slippage of Rs.2,546 crore and 8% of that slippage was in the R etail book. 28% of the slippage was in the

Agriculture book. 19% of the sli ppage was in the MSME book. 23% of that book was the C

orporate book and 2% was in the Overseas book and in the overseas book , Rs.64 crore is because of the foreign exchange fluctuation in the previous NPAs. So, basically 98% is in the domestic book itself and major component being in the Corporate sector and one single lumpy account which I have already explained earlier.
As regards the second part was with respect to the unsecured loan , the unsecured loan book predominantly which is in the Retail. So, in that there is Personal Loan segment which is there which is unsecured. So, out of Rs.1,21,000 crore of Retail

book, Rs.11,542 crore of the Personal Loan book is unsecured and which constitutes nearly 9% of the total Retail book.
However, if you see the global loan book of the Bank , it is only 1.93%. Out of that Rs.11,542 crores, the NPA is only around Rs.100 crores and SMA 2 and SMA 1 number if you see in the Personal Loan book , that is around Rs.300 crores. So, overall the total stress with respect to t he Personal Loan book, the NPA plus the SMA 1 and 2 is only around 400 crores. It constitutes at around 3.6 0% to 3.7 0% of the Personal Loan book and we do not see much of a challenge over there for the simple reason that lot of guardrails we have placed in the Personal Loan book while we are sanctioning.
Number 1, the Credit Score is more than 700. Number 2, we are taking the cash flows also into account. Majority of these Personal Loan accounts are having salaried accounts with us, Saving s account with Ban k of India.
The third one is that quite a few number of them are having housing loans and mortgage loans with us and overall when we are doing this Personal Loan book, the credit underwriting is happening through the digital mode and some of the credit wri ting is also happening through the physical mode at the branch level. So, having all these guardrails with us, we are very confident and the kind of stress which we are seeing which is quite minimal. So, we are very comfortable with the Personal Loan book and it is also growing at a healthy pace because of the low base.
Mr. Ramesh Bhojwani
Sir, Ramesh Bhojwani from Me hta & Mehta . 3 points of observation s. In the power sector, if you see the presentation, our lending exposure , I think , is going down , though the S EB exposure is absolutely healthy and normal . The S EB exposures are at Rs.15,000 crores. So, we would like to have a clarity on this. The power sector , like the Government and all the entire power Ministr y, generat ion and distribut ion and financing are on a war footing because what power we are generating today, 252 Gigawatt , we have to add so much in the next 5 years. So, Bank s obviously have a big part to play or big role to play in this. And I would like to have your thoughts on that.
Second one is, we have around Rs.27,000 crores in NCLT. So, what would be the recovery in the second half? We feel it's a better half than the first. So, going forward in the next quarter, what would be the returns from this? Go straight into our bottom line and yield our net interest margin above 3.
Third one is with the Corporate slipp age of Rs.1,094 crores apart from Retail, Agricultural and general services. So, the Corporate slipp age of Rs.1,094 crores plus the second quarter of this year, there has been a creeping weakness in the large, medium and small sector. So, is it a trend which will gather further strength, further moves or it will reverse?
Shri Rajneesh Karnatak, MD & CEO
So, to answer your first question regarding power sector, if you see our slide also, the power exposure which was Rs.42,000 crores in September 20 23 went down to

Rs.35,000 crores in June 202 4 and in September it has come down further to

Rs.34,800 crores. The outstanding is coming down for the simple reason that whatever the power sector have been funded, they are all legacy funding. And the COD has happened and the repayments are coming as per the normal schedule.
That is one reason. The second reason is that out of thermal power, the outstanding which is there now , it is ge tting consolidated among few large lenders for the simple reason that earlier the thermal power was sanctioned by 10 or 12 lenders. Public sector and private, now they are getting consolidated. Now the rating is also better and they are getting consolidated at very fine price. So, that fine price in some of the cases we have left those transactions. We have let the account get taken over in the thermal power sector where the rates were very fine and it was not sustainable fo r us. So, we have a pipeline in the infrastructure sector of nearly Rs.15,000 crores. Predominantly that is into the power sector only. That is into the clean energy. So, that will take some time to get disbursed and get allocated finally. Because all th e projects take time right from the land acquisition and till the time the installation happens and finally the machining. Lot of B G facilities and LCs have already been established in some of the accounts where the imports will be happening and the disbur sal will happen after 360 days typically in such kind of transaction. So, this amount will increase but presently it is tapering down for the simple reason that normal repayments are happening.
Second point was to the stress in this sector. In the State Electricity Board, we do not see any stress presently in any of the accounts and I do not think any of the account is appearing in the SM A 1 or 2 list also. So, those public sector accounts which are appearing in SM A 1 and 2 list are the non -public sector accounts. So, that is another clarification I would give.
On the NC LT side , not much is there in as far as the res olution is concerned . Because lot of it depends on the COC, on the Resolution Professional and also the bids which are coming and finally the NCLT or NCLA T finally gives the approval on the bids which are coming. But still we are confident that a few number of res olutions will be taking place in this financial year. As we said earlier to just give you a number.
So, the recovery was last year Rs.6,300 crores in FY24 and we are very confident with the kind of run rate that we have , that the recovery during this Financial Year should be Rs.7,000 crore plus. So, that is one number. As with regards to the fresh slippage s, this fresh slippage number which has gone from , see, last quarter it was Rs.1,900 crores, this quarter it is Rs.2,500 crores. So, if you remove this one single lumpy fresh slippage which has happened of around Rs.1,000 crores. So, had it not been there our fresh slippage was only Rs.1,500 crores. So, it is much better.
In fact , our Slippage Ratio, our Credit Cost which was there in this quarter , had this one single account not been there , both would have been much better than the June quarter. So, this is a one account aberr ation which has happened in this quarter and as I said earlier also , in H2 we do not foresee any further Corporate account of this size and segment falling down into NPA category. So, we do not foresee much of a stress in this segment.

Mr. Ramesh Bhojwani
Thank you and all t

he best.
Moderator
Thank you very much.
There is one question from Mr. Ramanan. He has four questions. The last two I have already received the answer to those questions.
What is the proportion of EBLR advances ? What is the proportion of IT expenses in FY24 and this year ?
Shri Rajneesh Karnatak, MD & CEO
I'll take the second question first on the IT expenses. As we know, the IT expenses was there in F inancial Year 2024. We had budgeted an expense of around Rs.2,000 crores. Out of whic h we had spent nearly Rs.1,600 crores which were debited to the P&L. So that was for OPEX and general IT expenses and also on the Cyber Security. So 80% of the budgeted expense on the IT side was debited in the last Financial Year, FY24. As regard s this Financial Year, FY25, this year we have budgeted a figure of Rs.2,100 crores. Out of which around Rs.700 crores we have already spent in this half year, H1 of this financial year up to September.

And some Rs.200 to Rs.300 crores additional we have budgeted in the next quarter. So that is on the IT side.
As regard s the E BLR is concerned, so E BLR number is around 47%. And in that see Repo rate is 6.5%. Normally we are lending at around, frankly speaking, our one month MCLR. Overnight MCLR is 8.15%. So what is happening in the Corporate is that many Corporates are asking for very fine rates.
And in that, in the MCLR segment, we cannot go below 8.15% because our overnight MCLR is 8.15% presently. So what we have to do is if we have to keep that account with us, being a AAA borrower, maybe it is a PSU or a Corporate AAA borrower who is asking for a Repo Rate or a rate below 8.15% and they are not agreeing for MCLR rate, we have to go to the Repo rate. So there we negotiate as much as possible.
And we are trying to negotiate at a rate of interest of somewhere around 8%. So that 6.5% is the Repo rate. So 8% effectively if we are taking, we are giving at around 6.50% plus 1.5 0%, which is equal to 8%.
So that is the kind of rate which is coming in the E BLR link ed advan ces. That is on the Corporate side. Apart from that, E BLR is also link ed to the Retail segments and also on the MSME segment.
There also, that is as per the housing loan rates, presently we are giving to the best in class housing loan at 8.3 0% where the cr edit score is more than 850. And also there are some discounts in the Agriculture and MSME segment on the E BLR side. There the interest rate is ranging between 8.25 % to 8.75% or up to 9% also.

I further clarify that in our Bank , we have only one kind of external benchmark, which is the Repo benchmark. There is no exposure against the T Bills and we are not lending against T Bills as a benchmark.

Moderator

Thank you, sir.

Mr. Sushil Choksey, Indus Equity

Congratulations to team in Bank of India. Specifically, after a decade, we are coming out of slumber and slump to improve equity and improve motivation. Sir, I have heard your media interaction with the Q&A which you have done.
Would you like to give some guidance for the coming second half, specifically in your ROA, NIM , domestic advances and global advances?

Shri Rajneesh Karnatak, MD & CEO

So, as regard the top line is concerned, as I said that the global credit growth will be at around 14% and domestic credit growth will be at around 15% for FY25. As regard deposit is concerned, deposit growth will be around 12 -13%. So, that is the number.
As regards the RO A is concerned, so we have already touched the RO A in this quarter at 0.94%. For the Q3 and Q4, we will be somewhere very close to 1% RO A on a quarterly basis for quarter December and quarter March. So, that is the guida

nce.
As regard the NIM is concerned, see NIM is already at 2.82 %, I have already explained. And for the domestic NIM, it is 3.14%. And it is because of the international NIM that it averages down to 2.82% which is there for this quarter. For the guidance FY25, we are saying that it should be at around 2.90%.

Mr. Sushil Choksey, Indus Equi ty

Sir, looking at the credit pipeline which you have highlighted of Rs.70,000 crores, looking at the market condition where growth in the second half is going to be much better .
If the Bank of India gets good growth in pricing and credit pipeline is highe r than Rs.70,000 crores, how are we preparing for that kind of a growth pattern? Will it be a sacrifice growth or will it be a growth because we are adequately prepared and because we have already done the Management program to garner that growth pattern?

Shri Rajneesh Karnatak, MD & CEO

We are totally prepared for the growth numbers. See, we have 9 Large Corporate Branches. We have 18 Emerging C orporate Branches.
There also the proposal pipelines are coming. And then we have 400 plus credit underwriting centres in Retail, MSME and Agriculture. So, the entire Bank is well tuned now with 5 ,000 plus branches to take on the credit growth. In fact, the entire credit growth comes from the field only. And the pipeline which is coming is from the field

level onl y. So, we are totally attuned to that. In fact, a lot of campaigns and other things we are doing to match this credit growth with the deposit growth. That is also there. So, when we are saying that credit growth will be at around 14% on a global level and the deposit growth will be 12 to 13%, the gap is also there.

This, w e will be funding through the other measures which are there like Infra bonds, we have already ra ised Rs.5,000 crores. Another Rs.5,000 crores we will be raising in the second half of thi s financial year. So, Tier 2 bonds, we have already ra ised, Rs.2,500 crores in H1. In H2, we will be raising Tier 1 bonds of Rs. 2,500 crores. Apart from that, we are doing some refinance also from S IDBI and others.

And apart from that, we have excess SLR also, against which also we are doing the borrowing. So, whatever the deposit is available to the Bank and the deposit growth that will be available to the Bank plus the other resources that we have, they will be adequate to meet the credit growth. Apart from that, as a strategy, what we have done for increasing our resources is that already 36 branches we have opened in the Bank , till date .

And we are planning to open total 200 plus branches in this financial year wh ich will help the Bank not only in the raising of resources like CASA and Retail term deposit but also for increasing the RAM advances in the Bank . So, all these things placed together, we are very much poised to the growth trajectory which we have planned for ourselves. And Top Management is totally committed to that.

Mr. Sushil Choksey, Indus Equity

Sir, your commitment is well taken. To sustain the employee motivation, the growth in pattern, what are we doing additional for digitization and employee strengthening which would lead to a perpetually near 3 -5 year growth trajectory where the Bank gets back to its g lory and the sustaining environment.

Shri Rajneesh Karnatak, MD & CEO

So, as far as the digitization is concerned, if you see this slide no.35, we have 17 products as on date which have been digitized. So, if you see the total digital book of the Bank , of the loan book and the overall book, Rs.51,000 crores is the digital book of the Bank as on date when we speak which constitutes around 8% of o ur total business number. So

, that is the kind of number we have already achieved, digital
number which is totally digital also and then also some assisted journeys at the branch level which happened in the rural branches. Overall digital book is around Rs.51,000 crores. That is one part.

17 products are already there which are on the digital platform. Another 10 products will go digital in the next 3 months. So, 27 products will be digital. That is one part. Apart from that, on the digital side, we hav e already put in our Data Lake project, artificial intelligence and machine learning and generative AI where use cases have already started, they have started pushing and we have started pushing them on the field not only for marketing, also for sales and also for the early warning system, for the credits and other things. So, that part has already started. Apart from that, we have

also on -boarded recently McKinsey for our Nextgen which is also there in the presentation for the digital and IT transformation and also on the cyber security s lide. So, once they are also onboarded with their resources and other things, the next 2 years will go for the digital and IT transformation of the Bank . That is another part which is there. A lot of the processes which are mundane processes and routine processes, they will be automated so that the staff is made free , number 1 , for doing sales and marketing, number 2 , for doing collections and number 3 , for doing the recoveries in the NPA accounts.

This is what we want to d o for our staff which gets free from all these automated processes where their digitization happens. As regards the staff motivation is concerned, there also we are running the Star Light program under the BCG where a lot of initiatives we have taken for i mproving the motivation and the skill and upskilling level of the staff at all levels, right from the clerical level, sub -staff level and to the officer level, right from S cale 1 up to the Top Management level. So all these things taken together will trans form the Bank in the next 1 and 1.5 years to a shining star and will be able to compete with the best in the market.

Mr. Sushil Choksey, Indus Equity

What is the Cape x number linked to all these new initiatives?

Shri Rajneesh Karnatak, MD & CEO

Capex number in the sense , that is only the consultancy charges few which has already been incurred . So for the entire digitization ,that I said for the last year it wa s Rs.2,000 crore and for the current year t he budget is Rs.2,100 crore, out of which Rs.600 cro re to Rs.700 crore we have already spent in the H1 and Rs.200 crore to Rs.300 crore we have already booked in advance. So that is which is there.

Mr. Sushil Choksey, Indus Equity

Sir, a lot of questions are being asked about the re newable sector. I have read in the Press that we have signed up with Tata Power, we have signed up with IREDA and so on. How is the traction? How are we progressing on this kind of initiatives where you have already signed up?

Shri Rajneesh Karnatak, MD & CEO

On the roof top solar, the Government scheme is there, a lot of good traction we have seen. And that we are seeing in particularly some states which are in North India like Rajasthan it is there, in Haryana it is there, UP it is there, Gujarat it is there, Madhya Prad esh it is there, a lot of traction is there where there are bungalows where you can have a solar rooftop.

So a lot of traction is coming over there and dis bursal and sanctions are also happening and we have done a lot of vendor tie -ups. The vendors will be giving these equipments and like doing the O EM work for the laying of the equipments at the rooftop, th

at is one part. The second part is the sanctions that we have given under

the E SG platform under the renewable energy, both in solar and also in the win d energy.

Hydro not much is there frankly speaking but definitely solar and wind we are doing aggressively and it is as I earlier said also that , five, six players under who se platform we have sanctioned and it is expressed across the entire geography in t he country and good traction we are seeing. Present outstanding is in the form of non -fund-based. Once the 360 days or 270 days happen, they will get converted into fund -based outstandings.

Mr. Sushil Choksey, Indus Equity

Are we targeting any T reasury operation between international and domestic book like few of your peer Bank s, which are well known to you , in book ing income on the FX arbitrage?

Shri Rajneesh Karnatak, MD & CEO

Correct. So presently FX arbitrage, because of the present situatio n which is there in the international market, FX arbitrage presently is not there which used to be earlier . I would request Shri Subrat Kumar to take it further.

Shri Subrat Kumar, Executive Director

So whenever there is any opportunity in the arbitrage m arket, we are always there, to take advantage of that. Otherwise also if you see the Treasury operation, the performance has improved a lot and I think we may be one of the outliers also.

Mr. Sushil Choksey, Indus Equity

I take that more, but the additional income was visible in the past.

Shri Subrat Kumar, Executive Director

Again, if the Treasury operation moves to the interest rate scenario, right. It depends on what is your view on interest rate and Exchange Rate also , which we can't say at this point in time . We can’t guarantee that the same kind of tempo will be maintained . But, yes, any time the market gives us opportunity, we are there to grab it, simple.

Mr. Sushil Choksey, Indus Equity

How do you see the TAT of the Bank overall improving from where we are today?

Shri Rajneesh Karnatak, MD & CEO

We have taken a lot of initiatives to improve the TAT over the last 18 months, I can tell you. So whatever the TAT was earlier and what is the TAT today is definitely much

better I can say, not only in Retail, Agriculture , MSME but also in the Corporate credit. But as a Top Management, we have to take that it can be improved further.
So we are doing some of the things in the processes to make the loan application simple, to make t he process internally and at Head Office more simple so that the TAT is improved further not only for the sanction , but even for the disbursal. So what we

see from the sanction rate till the disbursal rate the TAT is also high. So the disbursal is not taki ng because of which the interest income is not coming to the Bank .
So that also we are trying to simplify so that the processes and other things so that the disbursal takes place as early as possible after the sanction so that the interest income starts co ming to the Bank .
Mr. Sushil Choksey, Indus Equity
Thank you for answering all my questions and best wishes for the years to come.
Moderator
Thank you so much. We can t ake Mr. Narendra from Robo Capital.
Mr. Narendra , Robo Capital
Thanks for the opportunity, Sir. Congratulations on a good set of numbers.
My first question is that while the FY25 guidance on loan growth is encouraging, I would like to know your medium -term target or where do we see Bank of Ind

ia two or
three years dow n the line? Where do we see our advance book and what kind of growth are we seeing given our initiatives that we have been taking on the IT part and all that and also on the Credit Cost? So, I believe we have a guidance of 0.7 0% for the entire year and are we on track for that and how do we see this panning out over the next couple of years if you could share some light on that.
Shri Rajneesh Karnatak, MD & CEO
Thank you so much. As regards our strategy, near -term and short -term strategy, see we have already got a three -year roadmap approved from our Board.
So, three years means up to March 2027 wherein we have said that the total book of the Bank will look like around Rs.18 lakh crores. So, we are at Rs.14 lakh crores at presen t. So, what we plan to touch a figure of Rs.18 lakh crores by March 2027 in which Rs.10 lakh crores will be deposit s and around Rs.8 lakh crores will be advances. That is one number. Another thing which we have done recently in our Board Strategy Meet is t hat we have kept ourselves which is called the B OI Star at 125. So, on 7th September we have completed 119 years of our foundation. So 125th year will happen in 2031 for us. So , through the Board approved Strategy Plan, w e have come out with the B OI Star at 125. So how Bank of India will look in 2031? There also we have taken a lot of initiati ves for which verticals in the Bank have given their vision what Bank of India will look like in 2031. Broadly , to give you the numbers , we are saying that we will ha ve a total business of nearly Rs.32 lakh crores by 2031. That is another vision and number which I can share with you and for which each of the verticals have given their presentation and entire data sheet is available with us. How we are going to move it around in the QoQ and YoY basis with the first stop being at March 2027 with a total business of Rs.18 lakh crores.
That is the first part of your question. Second part is with respect to the Credit Cost. So Credit Cost we have given a guidance of 0.70% fo r March 25 and that we continue

to maintain which will be at 0.70% . As regards the corollary to that is with respect to the Slippage Ratio. We are giving a guidance since one account has slipped in this quarter of nearly a thousand crore. We are giving a guidance of Slippage Ratio around 1.40% for March 25.
Moderator
Yes. Can we take Mr. Deepak Gupta from SBI Pension?
Mr. Deepak Gupta
Hi, good evening. I'm Deepak Gupta from SBI Pension. So my first question is, sorry, I joined in the call a bit late, but I'm just trying to understand the dichotomy that

Domestic NIM s have declined by 28 basis points on a QoQ basis while we've seen the Retail segment doing quite well for the Bank in terms of loan book growth, especially personal loans, which have grown by nearly 10% on a QoQ basis.
So what has led to th e sharp decline in Domestic NIM if you could articulate that?
Shri Rajneesh Karnatak, MD & CEO
We had explained this thing. Ac tually , you are right that the D omestic NIM has come down to 3.14% as against 3.43% in the June quarter. The basic reason for that was that around Rs.18,000 to Rs.19,000 crore of our Corporate advances got paid off within the 10 days in July 2024 . So these were all Repo-linked advances wherein the rates were very fine. We thought it prudent to let go these advances because of the very low margins which were available in those advances and the cost of deposit was also rising during the month of Jul y and August.
So that was the simple reason and to recoup those advances of around Rs.18,000 to Rs.19,000 crores, it took some time. In fact, the disbursal st

arted happening from the
15th August afterwards. So only 40 -45 days were available for the interes t income on those corporate advances, that kind of book which was there.
So that is one of the reasons why the Domestic NIM got impacted during this quarter. However, this quarter we are seeing lot of traction as far as the disbursals are concerned. Sancti on is one part, but disbursals are there.
And July month, the disbursals were quite less in the Bank because of which the average advances also was lesser in the Q2 of this Financial Year. From this quarter with this busy season happening in Q3 and Q4, we are very sure that the interest income will be much better and the Domestic NIM will also improve. In fact, we feel that they have bottome d out and the 2.82% Domestic NIM for us is a bottomed out.
Mr. Deepak Gupta
So just want to understand, was there any impact of interest reversal on the State Government advance ?
Shri Rajneesh Karnatak, MD & CEO
Yeah, that goes without saying. See, we had this Rs.1,000 crores of NPA happening.

So because of that also, whatever the uncharged interest was there, that ha d to be reversed. And apart from that, there was another Rs.1,500 crores of NPA and some Agriculture NPA. When the Agriculture NPA happens, the interest reversal is even higher, near to one year of interest.
So all these things contributed to the reversal of interest income and plus the Rs.18,000 crore payout which happened in the first week of July. So that is why there is an aberration in this quarter in the net interest income. In fact, on a QoQ basis, it has gone down, which finally resulted in a domestic NIM at 2.82%.
Mr. Deepak Gupta
So my second and the last question is that the P ersonal loan as a segment has grown very meaningfully on a QoQ basis for you and similarly on a YOY basis. Now, we've had most Bank s reporting a slowdown in the personal loan segment. What is it that Bank of India is seeing in this segment? And if they have some perspective of this Rs.11,000 crore book that you have built?
Shri Rajneesh Karnatak, MD & CEO
So this question also I had answered earlier . Rs .11,500 crore is the Retail book and it is going at 40% plus on a YOY basis. So a lot of guardrails we have placed in this Personal loan sanctions.
Normally , the credentials are happening with a CIC score of 700 plus that is one guardrail . Number two , a lot of these borrowers are having housing loan and mortgage loans with us and the top -up is happening as a Personal loan though the house is not charged to us, but at least some relationship is there with respect to mortgage with t he Bank . Number three is that majority of these accounts are salar y accounts where the salary is coming into Bank of India and we are debiting the instalments.
So that is one part as far as the guardrails are concerned in these Personal loan books. And this Rs.11,000 plus also includes the Rs.500 to Rs. 600 crores Credit Card book outstanding which is there . As far as the asset quality of this personal loan book is concerned , we have NPA of less than around Rs.100 crores , that is one part.
Second part is the SMA 1 and 2 that is around Rs.300 crores. So total stress in the Personal loan book of 11,500 crores is around Rs.400 crores, which is in form of a

NPA of Rs.100 crores and SMA 1 and 2 which is nearly 3.4 % or 3.5 % of the total Personal loan book. And if you see the Personal loan book, it is only Rs.11,500 crore and it constitutes only 1.9 0% of our global loan book and that is quite insignificant also. So we are very much comfortable with the present asset quality in the Persona l loan book and the kind of growth is

happening is also happening through the digital and physical mode at the branches and lot of traction we are seeing and majority of these customer s are existing customers wh ere we are already having relationship, credi t relationships.

Mr. Deepak Gupta

Sure. Thank you so much.

Moderator

Thank you very much. So there's another question coming up in the chat box is from Mr. Shreyas. This question is, if the recoveries are strong, but from which customer segment will this recovery come?

Shri Rajneesh Karnatak, MD & CEO

So as far as the recovery is concerned, I have already said that in the non -interest income, there has been recovery from the written off accounts. Apar t from that, we have done some good recovery as regards to general accounts which is there. So the total recovery which has happened during this quarter is around Rs.2,800 crores, which also includes a write off around Rs.1,000 crores.

Apart from that nearly Rs.400 crores, we have also recovered in the form of the unrecovered interest also. So net -net around Rs.2,200 crores we have recovered and it is spread across all sectors, whether it is Agricultural recovery from an agricultural NPA and recovery from NP As, which were MSME . Recoveries from the OTS schemes, which were Retail and also from the Corporates. We have at least 3 - 4 OTS schemes which are ongoing at present in the Bank for different segments - which are up to Rs.25 lakh s segments, which are from Rs.25 lakhs to Rs.1 crore segment, which is Rs.1 crore to Rs.10 crore s and Rs.10 crores and above.

All these schemes are giving good traction at the field level . At different levels of sanction they are happening and whatever the recovery has happened, it is agnostic, totally agnostic to any particular credit account, large credit account and it is spread across the sectors in RAM and also in the Corporate. ARBs als o. So my Executive Director has prompted me that we have also strengthened the ARBs.

So presently there are around 20 ARBs in the Bank . So what we have done is all the NPAs which are Rs.50 lakhs and above have been consolidated in these ARBs and the entire focus of this staff which is placed in the ARBs is with respect to the recovery in the accounts which are parked to these branches and branches now have been freed from doing the recovery work which used to be there earlier. So that is another initiative which we have taken over the past one year, which is now yielding results for us.

Moderator

Thank you, Sir. Another question which I have got is from Mr. Advaish Kumar. What is the total provision of Central Government Telecom Account?

Shri Rajneesh Karnat ak, MD & CEO

As per the IRA C guidelines, whatever the provision is required, we have already done. It is somewhere between Rs.150 to Rs.200 crores.

Moderator

Thank you, sir. Next part of this question is, when the interest income accruals from recovery is increased to 2 billion.

Shri Rajneesh Karnatak, MD & CEO

The recovery from URI and UC I is around 400 crores, which is Rs. 4 billion. Not 2 billion. 4 billio n.

Moderator

This is from Mr. Ni tin. He has congratulated the Management for such excellent progress.
The Bank has not given restructured book in its Investor presentation for Q2 FY25 as it did in Q1 FY25. Can you please provide the same?
Shri Rajneesh Karnatak, MD & CEO
Yeah, we'll provide you the same.
I have clarified today in the th e channe

l interaction also. So we had removed that slide
because there was not much change in the outstanding and the book number. So the restructured book for the Bank remains the same. The Standard restructured portfolio is around Rs.7,000 crores.
Moderator:
His question is can we sustain non -interest income till around Rs.1,500 to Rs.2,000 crore per quarter?
Shri Rajneesh Karnatak, MD & CEO
Rs.2,500 crore was the non-interest income in this quarter. Earlier it was coming at around a run rate of around Rs.1,500 to Rs.1,600 crores. So with the kind of written off accounts we have , Rs.45,000 crores of written off account and the Treasury income that we are seeing , we will be able to sustain these kinds of numbers.
Mr. Ashok Ajmera
Sir, my some observation on the data point . Some explanation on the segment wise results which we give, which also has some importance because we divided into the Wholesale Bank ing, Retail and Treasury and has some meaning . In this quarter. I see a very big divergence in those numbers . Like Wholesale , from Rs.1,041 crores has come down to Rs.170 crore , the Operating profit and the Retail from Rs.370 crore it has come up to Rs.1,946 cr ore. So is there any reclassification ? Why so much of varian ce?
Shri P R Rajagopal, Executive Director
Due to repayment of around Rs.19,000 crores of Corporate advances, there was reduction in interest income in the wholesale segment. The RAM book has in creased in this quarter. Naturally, the interest income will get booked in Retail segment.

Shri B Kumar, CFO
As our Executive Director has said, there was repayment of around Rs.19,0000 crore in the Corporate book in the first week of July 2024. Then, there was one big public sector telecom account which became NPA in this quarter. There was no interest earnin gs and some interest reversal in this account. So, there was reduction in interest income in the wholesale segment to that extent. There was goo d growth in the RAM book in this quarter , which resulted in increased interest earnings under Retail segment.
Mr. Ashok Ajmera
Another point is you have 35,995 Customer Touch Points and y ou have got such a large customer base. But the Third Party income is not commensurate. Can you give some colo ur on that, what are we doing and what efforts we are making to achi eve that? We have got subsidiaries also. Because it comes with the similar kind of infrastructure and you don't have to spend much on that, and the income comes in. What are the roadmaps ahead to take it forward?
Shri Rajneesh Karnatak, MD & CEO
So as far as the customer Touch Point s are concerned, there are around 36,000 Touch Point s as of 30th September, which has increased by nearly 30% during this quarter. 36 are the branches which we have opened, out of which 27 branches are in the Semi-Urban area. And the remaining are the BC points. So these are all Touch Point s we have introduced in the Bank to engage more with the customers and bring more business for the Bank , both on the deposit side and also on the advance side and also from the third -party products.
So that is one part. As regards the third -party business is concerned, so one is the Mutual Fund. So Mutual Fund business where the AUM was around Rs.3,500 crores as on March 23, today the AUM is around Rs.11,000 crores.
So that is the kind of AUM growth we are seeing in the mutual fund, which is our own 100% subsidiary. So there also good traction is seen and we are seeing that by March

25, this AUM will go even further. That is one part through which the income is coming and in fact, as on the October month, this subsidiary also became profitable

on its
own.
So that is one positive thing which has happened in the Bank . The second part is the insurance selling, which is the life insurance. Here also if you see from the third -party products, 60% of the income YoY increase has happened in the non -interest income from sale of third -party products like insurance.

So there also we are getting good traction by selling our own subsidiary joint venture with Union Bank , which is the SUD Life Insurance product , number one and also selling the insurance products of LIC, which is our prime partner as far as the life insurance is concerned. That is the second part. Third is now we are having from the Top Management side a strategy for increasing our Credit Card business.
So that strategy also we are working on and some tie -ups and other things will be happening very shortly and that also we will be going to scale up in the coming quarters, our Credit Card business. Fourth is our B OI S hareholding subsidiary, in which now we have got the RBI approval for doing the DSA work. So in that DSA work, the work has already started and this is kind of a retail gro wth which we are seeing.
So these DSAs are now employed by our B OI Shareholding. They are deploying them in various zones and FGMs. Already 5 -6 FGMs offices have already been deployed and zones have been deployed. These DSAs and they are giving good business to the Bank and their commission is based on the disbursal which happens from the fees which they are g iving. So that DSA business is also there now, which has started picking up. By the end of the financial year, all 13 FGM offices will be covered through this DSA business.
So the loan side will get covered. After that, in the second phase, we will do the liability products like we will be marketing for Saving and Current accounts and also retail term deposit. And in the next phase, third party products like selling of insurance, mutual funds and demand accounts and also Credit Cards and other things.
And in the fourth phase, we will be going for collection also through them. Collection for the SMA accounts and recovery in the NPA account. So that full strategy we have already made and this will get panned out in the next 18 -24 months from the B OI Sharehold ing.
So all things done and being there. So we are trying to make as much profit as possible from third party products. Apart from that, a lot of work is happening on the IT side through the digital platform which is Fin estra, which is a virtual platform for supply chain financing.
So that will also get enabled by end of March 2025. Once that online happens, a lot of supply chain financing through digital mode will also start in the Bank . So all these things taken together, I think a lot of products and ot her things will happen .
Mr. Ashok Ajmera
Thank you sir for such a relevant lecture and details. In fact, it should be known to everyone. Bank of India probably among the Public Sector Bank s these days, recently in last one and a half year is the most cheap est stock available.

Your book value is about Rs.137 and your share price is Rs.108 rupees, which is still running at a discount where many of the Public Sector Bank s are 2 plus 2.5 plus book they are running. So you are doing a lot of things and I think you should have a little more interaction with people and people should know that how much you are doing for the Bank . Sir, two things.
One, this Credit Cost ta

rget and Cost to Income.
Shri Rajneesh Karnatak, MD & CEO
Credit Cost, I already said that it will be 0.70 % by 2025 .

Mr. Ashok Ajmera
Cost to Income. Will it come down below 50?
Shri Rajneesh Karnatak, MD & CEO
No, not in this financial year, not in this financial year. It should be around 51 .
Mr. Ashok Ajmera
Okay, thank you. Thank you very much for giving the opportunity and details.
Moderator
Thank you very much.
As there are no further questions, I would now like to request our MD Sir for closing remarks.
Shri Rajneesh Karnatak, MD & CEO
I will only say thank you to all of you who have come ph ysically also and also joined for the virtual mode. Thank you so much for being part of this Analyst Meet and we will be happy to interact with you on a regular basis and if any query is there, anything is there, you can reach us to the top management at a ny time and we will be happy to answer all your queries.
Moderator
Thank you very much, Sir.

Call: Jan 2025

Scrip Code: BANKINDIA Scrip Code: 532149
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*T. Ref. No.:HO:IRC:RKP:2024-25:450
ft9tW Date: 31.01.2025
Sub: Unaudited (Reviewed) Financial Results (Standalone &
Consolidated) for the 3rd Quarter ended 31.12.2024 - Earnings
Conference Call with Analysts/ Investors - Transcript.
With reference to above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Conference Call with Analysts for the 3rd Quarter ended December 31st, 2024 held on
24.01.2025.
The transcript of 3rd Quarter ended December 31st, 2024 earnings Conference
Call is uploaded on Bank's website and the same can be accessed through below link
https://bankofindia.co.in/analvst-conference-call-transcript
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"Bank of India
Q3 FY'25 Earnings Call "
January 24, 202 5

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri M Karthikeyan, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

Moderator

Ladies and gentlemen,
Good evening and welcome to BANK OF INDIA Q3 FY25 Virtual Analyst Meet. I would like to thank you all for taking out time and joining us today.
We have with us Shri Rajneesh Karnatak, MD & CEO, Shri M. Karthikeyan, Executive Director, Shri Subrat Kumar, Executive Director, Shri Rajiv Mishra and other Top Management team from Bank of India.
We have placed all microphones on mute. At the end, during the Q&A session, we will be sending you a request to unmu te yourself in order to ask questions. I will take you through this process before the Q&A Session. However, the management will continue to remain unmuted throughout the session. I would now request Shri Rajneesh Karnatak to address the gathering. Thank you & over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO

Good evening to all the dignitaries present here, ladies and gentlemen present today in the Analysts' Meet. It is my pleasure to welcome you all for t oday 's interaction post - publication of the financial results of the Bank for Q3 of FY25.
In the present geopolitical landscape characterized by uncertainty and volatility, India's GDP growth estimates for FY'25 is at around 6.5 0%. It is the highest among both advanced economies and emerging markets. The visible demand rebound & revival in public Capex on infrastructure will have multiplier effects, stimulating growth in key sectors. There has been visible upturn in economic indicators signa lling sustained growt h path ahead.

The key focus area of our Bank will be enhancing customer experience through all channels and acquisition of new customers consistently by providing innovative niche services. This will lead to fortification of low -cost deposits i.e. CASA and Retail Term Deposits for sustainable cre dit growth.

My speech today has 4 parts for coverage.

Part 1 is on New Initiatives .

1. New home loan product “Star Samriddhi Home Loan ” scheme, designed for employees of Central/State Government, PSU, Large Corporates and MNCs has been launched.

2. Bank has adopted a 2 -Year Roadmap under Champion Sector Priorities of MSME targeting business in Tourism, Hospitality and Logistics.

3. Utilizing Market Intelligence and analytics driven strategy for development of MSME Cluster Based Finance.

4. Introduction of new Ki san Drone Scheme – Akashdoot : Loan up to Rs.25.00 Lakh for purchase of new drones with equipment and accessories for agriculture usage.

5. Automation/simplification of Re - KYC via BC channel applicable to low -risk customers having valid OVDs.

2nd Part is with respect to IT & Cyber Security .

1. As part of project NexTech, Bank has opened a 24x7 Resiliency Operating

Centre (ROC) for quick response and recovery from disruptions of Bank 's applications including CBS, E -platform, Mobile Banking App. etc. due to na tural disaster, system outages, cyber -attack s etc.

2. Procuremen

t of Cyber Solutions for Proactive Management with focus on detection and containment of cyber risk.

3. Enhancement of Universal Application API Gateway for open Banking.

4. Implementation of Custom er Feedback through QR Code displayed at branches, for improving service quality .

3rd Part is with respect to Business

Global business has increased by 13.62% YoY from Rs. 12 .72 lakh Cr in Dec '23 to Rs. 14 .46 lakh Cr in Dec '24 with incremental growth of Rs.1 .73 lakh Cr.

Global Gross Advances increased by 15.30% YoY from Rs. 5 .65 lakh Cr in Dec '23 to Rs. 6 .51 lakh Cr in Dec '24 with incremental growth of more than Rs.86, 000 Cr.

Global Total Deposit increased by 12.29% YoY from Rs. 7,07, 000 Cr in Dec '23 to Rs.7,94, 000 Cr in Dec '24 with incremental growth of more than Rs.86, 000 Cr.

Domestic Deposits increased by 13.26% on a YoY basis from Rs.5,99, 000 Cr in Dec'23 to Rs.6,78, 000 Cr in Dec '24 with incremental growth of more than Rs.79, 000 Cr.

CASA has increased by 6.07% on YoY basis from Rs.2,61, 000 Cr in Dec '23 to Rs.2,77, 000 Cr in Dec '24 with incremental growth of Rs.15,855 Cr and a healthy CASA ratio of 41.05%.

Domestic Gross Advances increased by 15.00% YoY from Rs.4,75,0 00 Cr in Dec '23 to Rs.5,46, 000 Cr in Dec '24 with incremental growth of more than Rs.71, 000 Cr. Sequentially, it has grown by more than Rs.25, 000 Cr at a sequential growth of 4.92%.

RAM advances have increased by 18.96% on YoY basis from Rs.2,62, 000 Cr in Dec'23 to Rs.3,12, 000 Cr in Dec '24 with incremental growth of more than Rs.49, 000 Cr and with RAM advances contributing 57% of total domestic advances .

4th Part is with respect to Profitability & Asset Quality.

Operating Profit for Q3FY25 stands at Rs.3,703 Cr witnessing a YoY growth of 23%.

Net Profit for Q3FY25 stands at Rs.2,517 Cr witnessing a YoY growth of 35% and for 9M DEC '24 stands at Rs.6,593 Cr with YoY growth of 35%.

Global NIM stood at 2.80% for Q3FY25 and 2.90% for 9M Dec '24.

As regards Interest Income for Q3FY25 stands at Rs.18,211 Cr witnessing a YoY growth of 20% and for 9M Dec '24 stands at Rs.52, 000 Cr plus with YoY growth of 18%.

Non-Interest Income for Q3FY25 stands at Rs.1,746 Cr witnessing a YoY growth of 46% and for 9M Dec '24 stands at Rs.5,566 Cr with YoY growth of 28%.

There has been improvement in asset quality with reduction in both Gross NPA ratio and Net NPA ratio. Gross NPA ratio is at 3.69% and has improved by 166 bps YoY. Net NPA ratio at 0.85% only and has improved by 56 bps on a YoY basis .

There is significant im provement in Slippage Ratio at 0.19% and as regards Credit Cost, it is at 0.39%.

Considering the positive outlook as stated earlier, domestic credit growth will be around 14 -15% and domestic deposit growth is projected at around 13-14% for FY25. The major thrust will be on increasing high yielding advances, CASA mobilization & Retail T erm Deposit for improving margins by leveraging technology. Apart from the above, we shall work on reducing SMA and fresh slippages. O ur priority will also be to strengthen the bottom line by improving efficiency parameters, intensifying recovery measures and expanding our market share. Moreover, ensuring robust risk management, corporate governance and compliance culture in the bank will remain the guiding force of the Top Management.

I would like to thank you all for your continued support. The floor is now open for discussion and Q & A. Thank you.

Moderator:

Thank you , Sir. We would now like to open the Analyst Meet for Questions & Answers. You will notice a small icon on your screen – a hand sign – once you press this, it will alert us that you would like to ask a Question. We will go around one by one. The Analyst asking the question will be unmuted, you will get a notification on your screen to unmute yourself. Kindly click on unmute and identify yourself before asking the question. Each parti cipant will be allowed to ask two questions. If they have more questions, they are requested to join the queue again.

As soon as someone presses a hand sign to ask a question, we will take this ahead. The first call is from Mr. Nitin Dharmawat from Aur um Capital. Sir, kindly unmute yourself and proceed.

Mr. Nitin Dharmawat, Aurum Capital

This is Nitin Dharmawat from Auram Capital. A couple of questions. In personal loans, the category has gone up by 42% growth and it is the highest growth amongst the retail loans. It is still small in size compared to overall book. But do we see any risk here as it grows further?

Shri Rajneesh Karnatak, MD & CEO

On personal loan side, as you have observed that Rs.12,394 crores are outstanding in the personal loan b ook and the growth is Y oY 42.49%. See this growth of 42% is also because of the low base which is there. That is the reason why this figure of Y oY growth is coming.

However, to give you some colo ur on our personal loan book . This also includes the Rs.500 crore plus of the Credit Card book which we hold in Bank of India. Other thing is that our personal loan book of Rs.12,394 crores is only 1.89% of the global loan book. So it is less than 2%. As regards within the retail book of the bank which is at Rs.1,27,000 crores as on December, the personal loan book component is only 9% of it. And within the personal loan book, to clarify, we have put in a lot of guardrails as regards the sanctions and credit underwriting is concerned.

Here we have taken a CIC score of 700 plus. Our total personal loan book has salaried customers of nearly 65% of the book and remaining 35% are the self -employed and others. And within the salaried class, majority of the customers are having salary account with Bank of India. So we ha ve clear visibility as far as the cash flows of these borrowers are concerned. Apart from that, we have also given personal loan under a scheme where the borrower has taken housing loan from us. And as a top -up, we have given the personal loan also.

There also we have clear visibility and mortgage also available as far as the housing loan is concerned. To give you something more information about the personal loan book, the stress in the personal loan book as regards SMA -1, SMA -2, and the NPA is

only about Rs.600 crores of this total outstanding of around Rs.12,000 crores, which is around 5% of the total personal loan book.

Mr. Nitin Dharmawat, Aurum Capital

Got it, Sir. My next question is, there is a lot of talk about slowdown, growth issues, stress in some of the pockets of the banking and financial sector. Do you experience that as well along with any risk or we are able to find good opportunities as visible from our Q 3 results?

Shri Rajneesh Karnatak, MD & CEO

If you see our Q3 results, our growth has been in double digits on all the segments. If you see our overall business growth, it has been in double digits. If you see our credit growth and d eposit growth , whet her it is domestic deposit or whether it is global deposit, it is in the double digits. So global deposits have grown for

us by 12.29%,
global advances have grown by 15.30%, and total global business has grown for us by 13.62%. So , as far as Bank of India is concerned , we find no challenge as far as the growth numbers are concerned. As I said in my opening speech also, for us, we are projecting a guidance of credit growth of around 14 % to 15% for the Bank and deposit growth of 13 % to 14%.

As on date, if I give you the credit pipeline which we have, we have nearly Rs.70,000 crores of credit pipeline, out of which nearly Rs.60,000 crores is in the corporate book, both domestic and international, and another Rs.10,000 crores of the pipeline is in the RAM book. So Rs.70,000 crores plus is the pipeline with us, which is more than 10% of the global advances of the bank. So that is the kind of credit growth which we are seeing. So we do not see any challenge happening on that front for us.

Mr. N itin Dharmawat, Aurum Capital

Got it, Sir. And my next question is, why Cost to Income ratio is going up and where it is likely to stabilize?

Shri Rajneesh Karnatak, MD & CEO

Yeah, Cost to Income ratio has definitely gone up in this quarter. And 51 point something is the Cost to I ncome ratio. But in the 12 month number, when you will see, this will get moderated for the Bank.

Mr. Nitin Dharmawat, Aurum Capital

Got it, Sir. And my final question is, you mentioned that infra growth is visibl e. Can you please elaborate more on this, as we hear that it is still missing in the economy?

Shri Rajneesh Karnatak, MD & CEO

So, as far as the infra book is concerned for us, we are seeing a lot of transactions in the infra side also happening. So we are sanctioning accounts in road sector, which is predominantly HAM segment and also in ports. Apart from that, in power sector, renewable energy also we are seeing traction where disbursements are taking place, both in the solar and also in the wind side. Apart from that, there are other segments of the infra sector also which we are seeing some traction coming. And even in thermal energy, we are seeing some refinance transactions which are happening, wherein the present COD is there, cash flows have alrea dy come.

And if the rate of interest is high, that borrower is coming to our Bank for reduction in the rate of interest. So there also we are seeing some traction. So infra book also we are seeing certain tractions as far as our sanctions and disbursement s are concerned.

Mr. Nitin Dharmawat, Aurum Capital

Perfect, Sir. Thank you so much and wishing you all the best. Thank you for the opportunity.

Moderator:

Thank you, Nitinji. Sir, next question we received in the chat from Mr. Narendra. His question is, what is the longer term guidance on credit cost and Cost to Income?

Shri Rajneesh Karnatak, MD & CEO

As regard s credit cost is concerned, see our credit cost for this quarter ha s come down to 0.39%, which was as high as 0.97 % in the Q2 of this financial year. As regards the guidance for the full year is concerned, we are giving a guidance of 0.70% for FY25 on the credit cost, which remains to be the same guidance which we had gi ven in the last quarter. As regards Cost to Income ratio is concerned, there also we are expecting that our guidance is at around 51%. So we would be able to maintain a Cost to Income ratio of around 51%, even though there has been increase in this quarter at 52.63%. However, the nine -month number if you see for us is only 51.76% and the last quarter it was 51.22%. So we would be, as from the Management side, we would be liking to get it controlled and remain at a level of around 51% for FY25.

Moderator:

Thank you, S

ir. So the next question is from the line of Ms. Aditi Nawal from RSA and Ventures. Ma'am, you may unmute yourself and proceed.

Ms. Aditi Nawal, RSA & Ventures

Hi, Sir. Thanks for taking my question. I just had a few questions. So , in the las t quarter, you had mentioned that there were certain c orporate loans that you had not renewed

the corporate book, I think around Rs.18,000 to Rs.19,000 crores. And looking at the sequential growth in the corporate book, there seems to be a good growth in t he book.

So my question was, how is that NIM compression that had come owing to this degrowth in the corporate book not reversed in this quarter? That is one. And second is, Sir, you had also b udgeted IT, for tech expenses of around Rs.2,100 crores for the entire year, and of which , one half you had done about Rs.700 odd crores. So are we in line to attaining that budgeted expense of Rs.2,100 crores?

Shri Rajneesh Karnatak, MD & CEO

First question was regarding the corporate credit growth of the bank, right? If you see our slide also, our corporate credit number was Rs.2,12,000 crores as on December 23. It has now touched Rs.2,34,000 crores as on December 24. And there has been a YoY growth of more than 10%. So that is the one part. The other thing i s that, as I said earlier, also, we have a very healthy pipeline as far as the corporate credit growth is concerned.

So credit pipeline in corporate is around Rs.60,000 crores, and which is nearly 10% of the global credit which we have. And if you see wi thin the corporate credit book, which is nearly 25% of the credit book which we have. So that is the kind of number we are having.

And we have traction in all kinds of segments and sectors, not only infrastructure, but also in the new age segments and sec tors like solar and PV modules. There also, we are giving sanctions. We are giving sanctions in ethanol also. We are giving sanctions in warehousing also. Apart from that, there are certain proposals and sanctions which have happened for data center fundi ng, and also for the automobile segment. Not to speak of the traditional sectors like steel, textile, pharma, and other kinds of things, mining and oil.

There also, we have given sanctions. So, all in all, we do not see any challenge as far as Bank of Ind ia is concerned with respect to the corporate credit growth is concerned.

Ms. Aditi Nawal, RSA & Ventures

Sir, my question in terms of the corporate book was, so in the last quarter, there was some subdued interest income owing to the corporate book being very flattish or not growing as much. So if that corporate book has sequentially grown in Q3, then ideally that interest or the NII should have favo urably gotten impacted by that. That is my question.

Shri Rajneesh Karnatak, MD & CEO

Correct, correct. It is essentially on the interest income. Yeah, if you see our ratios and the presentation also, you will see that there has been improvement in the overall interest income of the Bank. So last quarter, what had happened that we had left some

of the transactions which were at very fine rate. So that kind of situation is not there as far as this quarter is concerned. In fact, if you see our yield on advances, they have improved from 8.45 % in the month of September 24 to 8.55% in the month of December 24. And our cost of deposit has gone up by only one basis point fr om 4.95% to 4.96%. The ga

p between the two now is 3.59%, a very healthy number, as against the gap of 3.50 % in the last quarter. In fact, we have been able to reverse this trend in this quarter by having better corporate advances which are on MCLR and better rates.

And in fact, if you see our web site and other things also, we have increased our MCLR, one-year MCLR also. Now , our present one -year MCLR is 9.0 5%. And when the last time the R epo increase was made by RBI was in month of January 2023, when they had increased the Repo from 6.25 % to 6.50 %. That time our MCLR was 8.40%. And today as we speak, our MCLR has gone up by 65 basis points. So we have done the transmission of rate of interest also on the MCLR side, which is now helping us to improve our interest income and obviously, at the end of the day, the net interest income.

Ms. Aditi Nawal, RSA & Ventures

Got it, Sir. So again, just one, just sorry for hopping on that, but that NIM dropped from 2.82% to 2.8 0% this quarter. So is it owing to the penal charges going from interest income to other income or is it some other factor?

Shri Rajneesh Karnatak, MD & CEO

One of the reason is the penal charges also, but otherwise, if you see our global NIM has come down from 2.82 % to marginally two basis point less at 2.80 %. Another important thin g in our balance sheet, Bank of India balance sheet, which is not there in other banks is that 15% of our book is international book, where the margins are even lower. So that is also contributing to a lower NIM. However, overall, we are very confident . If you see our nine month NIM is 2.90%. But this quarter, it has come down to 2.80%. But nonetheless, if you see other Bank results, our NIMs are at par with what the industry is doing.

Ms. Aditi Nawal, RSA & Ventures

Understood, Sir. So second was a little data keeping question. So again, going back to last quarter, you had mentioned that IT expenses, you've been budgeting around Rs.2,100 crores for the entire year. And until first half, you've done about Rs.700 odd crores. So are w e on track of meeting that budget of Rs.2,100 crores? Or is there any revision in the estimates in the budget?

Shri Rajneesh Karnatak, MD & CEO

No, we have not changed the guidance in the OPEX and CAPEX, both on the IT sector segment . We have kept that book at around Rs.2,000 crore expenditure. Last year, also, it was Rs.2,000 crore and we had spent nearly Rs.1, 800 crore, which was nearly

90% of our budgeted IT expenditure. This year also, it is between Rs.2,000 crores to Rs.2,100 crores. And we are o n track to that. And by Q4, we'll be able to achieve most of the budget in the IT sector.

And, it is all in all , the three components, whether it is IT, whether it is digital, and whether it is cyber security, in all the three components, we are spending on the IT side.

Ms. Aditi Nawal, RSA & Ventures

Got it. And so just one last question will be on employee expenses. Sequentially, there has been a drop. So is it explainable by the fact that last q uarter, there was bond yield decline, and hence you had to increase the provision on your retirement benefits. So that is not there this quarter. Or is there any other one off?

Shri Rajneesh Karnatak, MD & CEO

So, last quarter, there was some provision also because of the employee expenses. Now, the wage settlement has been implemented. And now it is well settled within the system. So, for all our officer staff and also clerical staff, the new salary package is there. So , now it has got streamlined and moderated.

Ms. Aditi Nawal, RSA & Ventures

Got it. So that will be it. Thank you. Thank y

ou so much.

Moderator:

Thank you, ma'am. So the next call is from the line of Yash Dharak.

Mr. Yash Dharak

Thank you for the opportunity. So first question is with regards to slippages and provision for b ad and doubtful debts . So it is evident that in the December quarter, the slippages and provision for doubtful debts have substantially reduced as compared to the last three financial quarters. If you could ple ase explain this.

Shri Rajneesh Karnatak, MD & CEO

Yeah, as regards our fresh slippages are concerned, if you see the fresh slippages have come down significantly. So this quarter, our fresh slippages are only Rs.1,105 crore as against Rs.2,546 in Septe mber and further as against Rs.1,313 in December 23. So that is regarding the fresh slippages. As regard s the provision is concerned, the provision has come down in this quarter on the NPA side. So that is a number which is there because that is whatever the provision we have made in this quarter on the NPA book is as per the RBI guidelines as per the IRAC guidelines.

Mr. Yash Dharak

So last quarter you mentioned that there were some Government loans which were actually slipped and they were secured in nature. So are they still, have they upgraded or have they slipped down? Could you please elaborate on that?

Shri Rajneesh Karnatak, MD & CEO

No, there were certain provisions with respect to the 7th June circular. Now those accounts basically they have now got regularized in the system. So no more provision is required under the Standard category of 7th June 20 19 Circular of RBI. So because of which there has been certain reversals as far as the provisions is concerned.

Mr. Yash Dharak

Okay, thank you. And as far as next question is concerned, so you had guided for a better recovery in the technically written off (TWO), in the Q3 and Q4 , in the second half of the financial year. But as we can see that the recovery hasn't been so great and the other income has dipped quite a bit if you could see that.

Shri Rajneesh Karnatak, MD & CEO

So recovery in the written off account if you see , our recovery in written off account was Rs.685 crores in Q2 which has come down to Rs.391 crores. There was one lumpy recovery which had happened in the Q2 of this financial year . Because that not being there in this quarter , it has now moderated at Rs.391 crores.

As regards the other part that the overall income from Rs.2,518 crore non-interest income has come down to Rs.1,700 crore , that is m erely because of the profit from sale and revaluation of investments in the Treasury book which has happened last quarter has reduced during this quarter which has resulted in the moderation of the income from the Treasury book. That is why in the overall it has come down. However, let me clarify that on a Y oY basis our total non -interest income has jumped by 46 percent.

It was at Rs.1,193 crores in Decem ber 23 and now it is at a healthy number of more than Rs.1,700 crores as on December 24, an increase of 46 percent.

Moderator:

Aditi, you may proceed. We will come back to you Aditi. I sense some issues with to join in. Next in line we have Mr. Sushil Choks ey. Sir, you may unmute yourself and proceed.

Mr. Sushil Choksey

Congratulations to Bank of India for excellent performance. Sir, my first question is your outlook on growth specifically for credit in current mark

et is very positive and encouraging. Your CASA is at 41 %. Now to improve on all parameters from where you stand today, you stand tall but you can go further. What kind of initiatives will you take which you think are lacking to get accelerated growth much more from where we stand today?

Shri Rajneesh Karnatak, MD & CEO

Thank you, Sushil ji. Thank you so much. See, if you see our growth, both the domestic and international growth and global growth, everything is in the double digits. So, that kind of number we have already achieved. As regard s guidance, as I already said, we have already given a guidance that credit growth in this financial year will be around 14 to 15 percent and domestic deposit and international deposit combined together will be around 13 to 14 percent. So, we have ta ken many steps within the Bank to improve both liability side and the asset side franchise and that efforts will continue to happen and lot of transformational journeys in all the verticals have taken in the Bank and not only in the CASA side but also on t he retail term deposit side. In fact, we are also focusing on the bulk deposit where we can get bulk deposit at lower rate without giving anything over the card rate.

There also we have identified more than 100 branches in the Bank where we are trying to take bulk deposit at the card rate which we publish every day. So, that is another step we have taken. As regards the credit side is concerned, RAM, our all underwriting centers whether Retail, Agriculture, MSME are functioning well and smoothly with all operational efficiency being coming to that because of which we are seeing very good RAM growth of nearly 19 % which has come in during this quarter on a Y oY basis.

Similarly, on the corporate side, our Emerging Corporate Branches also have started giving t raction and also the Large Corporate Branches. Similarly, as regards the recovery is concerned, there also lot of good work is happening from the ARB branches where we have shifted all our NPA which is Rs.50 lakh and above to these branches and good settle ments and other kinds of recoveries are happening through these branches. Apart from that, fresh slippage if you see Choks ey ji, we have now brought down our fresh slippage to Rs.1,100 crore in this quarter and our Zonal Collection Centers are doing very w ell and the field is totally attuned and doing the collection and our collection efficiency has now improved to as high as 97 % as on 31st December 2024.

So, overall we feel that with the kind of top line which is happening and the kind of operating profit that we are able to g arner , we will be able to get good operating profit and net profit for the Financial Year 2025. Already we have achieved a net profit of Rs.2,500 crores in this quarter. We had given a guidance if you remember Rs.8,000 crore of net profit for FY 25. Already we have achieved Rs.6,500 crore of net profit in

the 9 months. So, whatever the guidance we have given, we will be achieving those numbers.

Mr. Sushil Choksey

Sir, I know the previous Analyst asked you on margins. If you can br eak up, what is your domestic NIM and global NIM? Global NIM you have given, domestic NIM would be what? Because your growth path is very visible on the domestic front and I suppose Bank of India is tuned well to grow within Indian corporate sector or reta il sector with CASA being at 41%, your retail consumer touch point may be grow ing, SMA may be growing better. You have re -energized your brand image with the old C ustomer base which have banked with Bank of India for many decades. So that lost touch is ga ining back. So maybe you may create a tall tower

but that tall tower may be more coming
from the domestic NIM. So if you have a guidance on domestic NIM because I suppose the deposit rates have peaked. How do you see that the answer on Cost to Income and all this is indirectly related ?

Shri Rajneesh Karnatak, MD & CEO

So Su shil ji, you have seen our global NIM which is at 2.80%. It has come down by 2 basis point s only in this quarter. And as regards domestic NIM is concerned, last time our domestic NIM was at around 3.14%. This quarter it is at 2.98% which is a healthy number. And if I tell you the nine -month domestic NIM, it is at 3.19%. So we have to be mindful of the fact that we have 15% book which is international book where the NIMs are less. Bec ause of which the global NIM for Bank of India comes down. Similarly for other banks who have good international book in their total global book.

So, as far as the guidance is concerned on the global NIM, it should be at around 2.90% for March '25. That i s the number we are giving. As I explained earlier also , our yield on advances have improved by 10 basis point s compared to last quarter.

And our cost of fund has increased by only one basis point from 4.95% to 4.96%. And the gap is at 3.59% which was ear lier 3.50%. So there also we have made a healthy margin in the interest income of nine basis point s during this quarter. And this is what we are focusing on by pursuing all the field functionaries and the branches. So we are very sure that whatever the num ber guidance we are giving at 2.90 % for the entire financial year and the global NIM will be able to achieve.

Mr. Sushil Choksey

Now Sir, I have no doubts that you will outperform your guidance. I am seeing that there is scope that you will outperform the market expectation including what you are guiding for. So what are the two three steps which you have taken which over a period of the entire calendar of 2 025 may enable Bank to get a bigger and a greater height from where you stand today.

Shri Rajneesh Karnatak, MD & CEO

So lot of things we have done . See, especially on the technology side we are doing lot of things. If you see our MSME book , today , out of the total MSME book 15% of the MSME book is now coming through the digital platform , through the assisted journey and the direct straight through process.

So that kind of thing has already happened in the Bank. So lot of transformational journeys we are doing at the Top Management side. On the Data Lake side , we have the entire Data Lake str ucture now in place with lot of Artificial Intelligence and Machine Learning not only happening on the sales and marketing side , in resources and also the asset side but also on the credit underwriting side also it is helping and also on the early warning system it is helping.

So all these things are helping the Bank in improving the overall efficiencies. Apart from that , we have already embarked on the project which is TechNext under which we are going for transformation journeys in IT, digital and cyber security. There also lot of automation is taking place and whatever the mundane task and other kinds of things are there that will get automated resulting in more time at the branch level for the staff so that they can concentrate on sales and marketing an d also on the collection part as far as the SMA is concerned.

So all these things taken together and also apart from that not to mention the HR transformation journey also which is going wherein we are redefining the job families wherein we are making the succession planning and we are also giving lot of up skilling and reskilling and lot of training in the hybrid mode both ph

ysical and the online mode.
So all these things taken together I am very sure in the next coming one or two years there will be more operational efficiency coming to the Bank and which will finally result into the better bottom lines for the Bank.

Mr. Sushil Choksey

Sir, my last two questions on the credit growth . If I have to ask you , how much of private credit growth and how much of public sector credit growth is possible because if your private sector credit growth is higher the market appreciates much more. So that's the reason and on a yearly basis that would account for bettermen t.

Shri Rajneesh Karnatak, MD & CEO

See as regards the State Government and Central Government accounts , we have been clearly bringing them down as a glide path . Outstanding we have been bringing down. As I said , Rs.60,000 crore is our pipeline . So, I do not have the exact breakup between the Government and the non -Government but I can confidently say that majority of this book is private corporate sector.

Mr. Sushil Choksey

Sir, your outlook on investment book for the year.

Shri Rajneesh Karnatak, MD & CEO
So investment also we are doing very aggressively and the IPO's which are coming there also we are investing and making good money that is another thing which is there and as regards the present situation which is there in the market with respect to rate of interest and the dollar rupee which is there we are very mindful of that and wherever we see any option coming and situation coming where we can make some profit and gains , we are immediately doing the transactions.

Mr. Sushil Choksey

So thank you and all the best for the years to come. Thank you for taking all my questions.

Moderator:

So we received a follow -up question from Aditi Nawal on the chat. Her question is SMA-2 increased by Rs.800 crores . Any specific account that has slipped?

Shri Rajneesh Karnatak, MD & CEO

Overall SMA has come down if you see from our presentation. However, there has been an increase in SMA -2 number because of few accounts which are of State government , one State Government PSU account because of which it is at increase. However, overall SMA number has come down from Rs.7,600 crores to Rs.7,200 crores. So in percentage terms it is only 1.16% and as against 1.29% in September.

Within SMA2 also , this number is at 0.49% only of the overall standard book of the Bank and these accounts which are there for the PSU , State PSU and couple of them are having State Government guarantees also. In fact, one of the account is now , as on today when we speak , is totally out of SMA cat egory and is a standard regular advance. So we find no threat in this quarter of any delinquency happening in these accounts.

Moderator:

Thank you Sir for the clarification. Sir, next question we have received over text from Mr. Sai Karthik from Investec. He has got two questions.

The first one is when system growth has reduced how is Bank of India managing 14% growth and the second one is what is the guidance for recovery from write -off assets for FY25 and FY26?

Shri Rajneesh Karnatak, M D & CEO

So as regards the credit growth is concerned , I have already explained earlier that our entire machinery at the field level is totally geared up for credit. So we have underwriting centers in the Bank wherein the branch is totally de linked to the underwriting and

the underwriting happens at the centers which are Retail, Agriculture and MSME. 450 underwriting centers are there in the Bank and branches are hooked up to them and they send the proposal, do the sales and marketing and underwriting happe ns there which helps in improving the operational efficiency.

So that is one part. Apart from that as far as the Emerging Corporate is concerned there also we have now Emerging Corporate branches. From there also the proposals and traction is coming from the Tier 2 and Tier 3 cities and then we have the Large Corporate Branches wh o are reporting directly to the Head Office and we are seeing lot of traction coming through the proposals which are there.

International book is also growing for us on a very selected basis. We are growing the international book. Apart from that , we are also growing the overall numbers which are there in the book and we are concentrating on the disbursements.

So we are not only concentrating on the sanctions but also the disbu rsements which are helping us increase the outstanding in our overall book and also improving the interest income in the bank. So all these efforts are helping us to improve the overall credit numbers which are there and the growth which we are seeing now in our book.

As regards recovery from written off accounts , there also as you see from the book that this quarter also Rs.300 crore plus of recovery we had done on the written off. Last quarter it was more at Rs.600 crore plus but that was a lumpy account but this quarter also we expect that the recovery from written off account will be somewhere around Rs.300 to Rs.500 crores.

Moderator

Thank you, Sir. Next question we have received over text from Mr. Vijay f rom HSBC. His question is if you could shed some more light on the quality of the retail book specifically the unsecured and the personal loan segment.

Shri Rajneesh Karnatak, MD & CEO

Yeah, as far as our retail book is concerned, there if you see our t otal outstanding is Rs.1,27,000 crores as on December 24 which comprises of housing loan which is nearly 51% of our total retail book. Vehicle loans are nearly 15% of that retail book. Education loan is 3%, mortgage loans are 8%, personal loan are 9% and others which is predominantly staff loan, loans against FDs and others are 14%. So if you see the unsecured portion , basically it is the education loan may be to certain extent which are loans up to 7.5 lakhs and personal loan book of nearly Rs.12,000 cror es which is only 1.89% of the total global loan book.

And within the retail book, personal loan book is only 9% which is in single digit. As regard s the stress in the personal loan book is concerned, as I had said earlier also it is only between Rs.500 to 600 crores which is SMA1, SMA2 and NPA in the personal loan book. So that again is around 5% of the total personal loan book of the Bank.

So we do not foresee any challenge as far as the personal loan book is concerned on the asset quality and as I sa id lot of guardrails we have placed on the underwriting . 700 and above is the CIC score and apart from that 65% of this book is the salaried book and remaining 35% is the non -salaried book and salaried book also majority are having their salary account wi th Bank of India and we have clear visibility on the cash flow. So we foresee no challenge as far as our personal loan book is concerned.

Moderator

Thank you Sir. We have received one small question in the chat box from Mr. Manoj Kumar. His question is may I know the LCR of the bank?

Shri Rajneesh Karnatak, MD & CEO

Our average LCR is around 117 something . That is the number at which

our LCR is
and it is above the threshold level of 100 fixed by RBI. So we are comfortable as far as the LCR is concer ned.

Moderator

Sure. Sir, next question is from the line of Atisha Chaudhary. You may unmute yourself and proceed.

Atisha Chaudhary, you may unmute yourself and proceed. We will come back to you. Sir, the next question is from the line of Mr. Ashok Ajmera.

Sir, you may proceed. Ashok Sir, you may unmute yourself and p roceed. Sir, allow us a moment. Ashok Sir, you may now proceed. Ashok Sir, you would see a screen which allows you to unmute. Kindly do so and proceed. We are unable to get Ashok Sir on the call. Atisha, you may now proceed.

Or alternatively, both of you could type in your question in the chat box that you can see on the screen. In the meanwhile, Sir, we have a follow -up question from Yash.

Mr. Yash

Sorry to repeat the question. I just wanted to gain more clarity. What resulted in the slippages in bad and doubtful debts being reduced so much? The bad and doubtful debts have reduced quite considerably as compared to the last three quarters. What resulted in such a big i mprovement as far as slippages and doubtful debts are concerned? That's all.

Shri Rajneesh Karnatak, MD & CEO

Yes, there are two things in that. One thing i s that, as I said earlier, our Z onal Collection Centers are really doing good work at the field l evel. And a lot of good collections is happening at the field level. And 97% nearly is our collection efficiency as on 31st

December. That has helped us in reducing the fresh slippages which are happening.

As regards the aberration which you are seeing b etween the two quarters, last quarter our fresh slippage was Rs.2,546 crores. And this time it is only Rs.1,100 crores. That is because of one single PSU account of more than 1,000 crores which had slipped in the last quarter . And that was a one -off thing which was there because of which the entire figure got distorted in the last quarter of September. So, now that account not being there in this quarter, now it is normalized. And we are very confident that going here forward, we will be at these numbers. Rs.1,100 crore is the fresh slippage only during this quarter.

Moderator

Thank you, Yash. Sir, we have received a question from Atisha Chaudhary on the chat box. The question is, in SMA 1 and 2, how m any crores is from State Government?

Shri Rajneesh Karnatak, MD & CEO

SMA 1 and 2. In SMA 2, majority is from the State Government PSU only. So, of the total SMA book which we have shown of 7,200 crores, Rs.5,000 crores is f rom the PSU book.

Mr. Atisha Chaudhary

Okay. Okay. Sure. And Sir, if you have the reasons for write back of Rs.299 crores of standard assets provision ing.

Shri Rajneesh Karnatak, MD & CEO

Write back of provision is because of the 7th June 2019 RBI circular. So, we had made some provisions of the 7th June circular in standard accounts. Because of the proper functioning of the account, they are not on SMA and out of order now. Because of which, as per RBI guidelines, we can reverse those provisions. So, that has resulted in reversal of that provision.

Mr. Atisha Chau dhary

Okay. Okay. Sure. And Sir, if I look at the presentation, the yields on advances have gone up. Yields on investments have gone up. But the yields on funds have actually declined. So, I was not able to understand the maths.

Shri Rajneesh Karnatak , MD & CEO

Yeah. Yield on funds has gone down from 7.55 to 7.22.

Shri Uddalok Bhattacharya, GM, Treasury

From 7.55, it has come down to 7.22. Right. But the advances and investments have gone up. Yields on placements have come down during the quarter .

Mr. Atisha Chaudhary

Sorry, what is that placement?

Shri Uddalok Bhattacharya, GM, Treasury

Interbank placements. Yields on placement has come down. Because most of the things are through borrowing only in today's tight situation. That's why placement has come down. Interbank placements, that income has come down. That is why. And we are mostly on the borrowing side.

Mr. Atisha Chaudhary

Okay. And so, lastly, I mean, last quarter, you had said that, you could not deploy a large amount of funds, and then you could only deploy at the end of the quarter. And hence, the last quarter margins were lower. This quarter, we had, you know, lower slippages also from corporat e as well as across all things. And yet, the margin improvement is only two b asis points. So, is there any follow through that can come in fourth quarter? Or you think that because you're growing corporate, that advantage is lower?

Shri Rajneesh Karnatak, MD & CEO

No, this time, what we have concentrated is with respect to the d isbursal. So, last time, the disbursals mostly happened in the end of the quarter in September, after 15th September, which is the reason that the entire interest income did not come in the 90 days.

So, this quarter, what we did is , we followed up with t he field functionaries and made sure that the disbursements are followed up and quick disbursals happen wherever the sanctions are happening. That was one point. As regards our yield on advances is conce rned, if you see the data here. So, our yield on adva nces have gone from 8.45 % to 8.55%. And they have increased by 10 basis points. And our cost of fund has increased by only one basis point. So, the gap between the yield on advances and the cost of fund is now a very healthy 3.59% as on December, which was at 3.50% as on September . So, in that area also, we have improved by nine basis points, which has helped us in improving the overall net interest income of the Bank.

Mr. Atisha Chaudhary

And so, what would be your incremental yield to corporate blended? I mean, roughly, I mea n, would it be like 8% below 8% or maybe above 8% to corporate?

Shri Rajneesh Karnatak, MD & CEO

In corporate book, majorly we are lending at the MCLR. It may be overnight MCLR, one month, three month or one year MCLR. So, that figure exact at the corp orate blended return, I am not having at this moment. But definitely from the T op Management side, it is that we should have advances on the MCLR side only.

Mr. Atisha Chaudhary

Okay. Great, Sir. Thank you. And all the very best.

Moderator:

Thank you, Sir. So, we have a follow up question from Mr. D Manoj Kumar on the chat.

His question is, may I know the reason for high balances with banks and money at call, short notice, which is a drag on NIM s, which we can see by a drop in the yield o n funds?

Shri Uddalok Bhattacharya, GM, Treasury

The higher balances are on account of our foreign branches placing funds overseas. Because of that, the balances are higher as well as the swaps, which we have, which we do, those placements are with the ov erseas banks.

Mr. Ashok Ajmera, Ajcon Global

Good evening, Sir. And compliments, Sir, for the good set of numbers to the entire team of Bank of India. Having said that, Sir, because I was not there half of the time I'm traveling, basically. And I c

ouldn 't hear the entire conversation. But on the first look,
I just found that our operating profit has gone down in this quarter.

And that is mainly because of the other income has also gone down. In this quarter, though, the overall performance on the credit and the deposit side , growth is good. So on the profitability front, Sir, what are the reasons for the operating profit going down, Sir? And our net profit is higher because the provisions are less.

Shri Rajneesh Karnatak, MD & CEO

Thank you so much, As hok ji. On the first point with regard to operating profit. Operating profit has come down from Rs.4,147 crores in September to Rs.3,700 crores this quarter. The decrease is around Rs.400 crores only. But if you see the non -

interest income, it has come down from Rs.2,500 crore to Rs.1,700 crore . There, the dip is more than Rs.800 crores. And that is also because there was a lumpy recovery in written off account, wherein the recovery in written off account figure had touched Rs.685 crores in the last quarter. But overall, if you see the operating profit on the operational part, our operating profit has gone up by 23% on a Y oY basis.

So our operating profit, which was Rs.3,004 crores in December '23, is now improved to Rs.3,703 crores as on December '24. And so the jump is nearly 23%. As regards the net profit, you have rightly observed that there has been some less provision which has taken place.

But what I can assure you is that whate ver the provision we have made is based on the asset quality in the book and also as per the IR AC guidelines of the RBI. So whatever is required has been provided for as per the RBI guidelines. So because of which the provision you are seeing on a lesser s ide, both on the bad and doubtful side and also on the performing side.

Mr. Ashok Ajmera, Ajcon Global

Have we used the provision out of our buffer or our additional provision earlier made over the IR AC norms? Have we used some of it during this quarter?

Shri Rajneesh Karnatak, MD & CEO

Actually, what has happened in the standard book, 7th June 2019 Circular is there. In those accounts where it was invoked and the account was SMA , the provision was kept. Those accounts are performing okay now and with the discussion we have now reversed those provisions and these accounts are no more part of 7th June Circular.

Mr. Ashok Ajmera, Ajcon Global

All right. Sir, my second question is on t he Treasury front, Sir.

On the trading, because in the Treasury most of the income opportunity has gone with the profit , M2M , going to the reserve directly, but on the trading book, how the Treasury performance looks because if you look at the segment pro fit side, I think our profits are lower from the Treasury operations.

Shri Uddalok Bhattacharya, GM, Treasury

So, if you see compared to Q2, in Q3, our profit numbers from Treasury operations, especially through the sale of securities as well as foreign exchange transaction has come down majorly because yields went up in Q3 and most of the times yields were up and the market was volatile. So, it provided less opportunities for trading. And secondly, on the FX side, in the fag end of the quarter, we had forward premia going up, shooting up, which brought the rev aluation in the books down. So, because of

these two reasons, our income has come down from Rs.730 crores in Q2 to Rs.266 crores in Q3.

However, in

Q4, looking at the markets, we feel that yields are going to come down from here. You see, 10 -year is trading around 6 .71. We expect a rate action as well as the regulator to ease liquidity in the markets. So, that will bring yields down and we hope to make money both on the investment side as well as on the FX side. So, we will be posting better numbers in Q4 as far as Treasury operations are concerned.

Shri Subrat Kumar, Executive Director

Ashok ji, you will appreciate that interest income has also gone up in the Treasury. In the treasury book int erest income, there is a group interest income, but the unidirectional movement in yield always impacts the portfolio as well as the trading opportunity. That is why the portfolio has taken a hit.

Mr. Ashok Ajmera, Ajcon Global

I understand, Sir. Thank you very much, Sir, and all the best to Bank of India. Thank you, Sir.

Moderator:

Thank you, Sir. We have a follow -up question from Mr. Atisha in the chat.

The question is, how much of the NPA recovery is flowing into net interest income?

Shri Rajneesh Karnatak, MD & CEO

Yes, Rs.464 crores is that part. So, we have shown in slide number 25, recovery from URI and UCI. So, that recovery is going directly for improving the net interest income.

Mr. Atisha Chaudhary

Sure, Sir. And a subsequent que stion is that what is your guidance for NIM for Q4 FY25 and full year FY26?

Shri Rajneesh Karnatak, MD & CEO

So, for FY25, as I said earlier that we are expecting that the NIM should be at around 2.90% for the full year. FY26 at this juncture, we will n ot be able to give any guidance. Post-March only we will be giving the guidance for FY26.

Mr. Atisha Chaudhary

Noted, Sir. And last question is what is the overseas NIM in this quarter?

Shri Rajneesh Karnatak, MD & CEO

So, that fig ure I am not havi ng at present. G lobal NIM we are having and domestic

NIM we are having, that number we have not brought here. But we can send you separately.

Moderator:

And we have a last question from Mr. Deep Manoj Kumar on the chat. It is a final question where he says may I know what is the PCR (Provision Coverage Ratio) ?

Shri Rajneesh Karnatak, MD & CEO

PCR is 92. 48%.

Moderator:

Sure, Sir. Thank you. So, with this, we now conclude this session.

I would now hand this conversation over to Mr. Rajneesh Karnatak for his closing remarks. Over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO

Thank you so much for all the Analysts who have been present over here, spe nd their precious time here for this Analyst Meet. Thank you so much from the entire Top Management of Bank of India here at the Head Office. Thank you so much.

Moderator:

Thank you, Sir.

Participants, on behalf of Bank of India, I announce this confe rence as concludes. Thank you for joining us. You may now disconnect the call.

Call: May 2025

Scrip Code: 532149 Scrip Code: BANKINDIA
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Bank of India ID
*T. Ref. No.:HO:IRC:RKP:2025-26:58
f4-4W Date:16.05.2025
Sub: Q4 / Year ended 31.03.2025 Earnings Conference Call
with Analysts / Investors - Transcript.
With reference to above and pursuant to the applicable provisions of SEBI (LODR)
Regulations, 2015, we herewith enclose the transcript of post results Earnings Conference Call
Q4/year ended 31.03.2025 held on 09.05.2025.
The transcript of Q4/year ended 31.03.2025 Earnings Conference Call is uploaded on
Bank's website and the same can be accessed through below link:
https://bankofindia.co.in/analvst-conference-call-transcript
This is for your information and records.
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Company Secretary
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“Bank of India
Q4 FY’25 Earnings Call ”
May 09, 202 5

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P R Rajagopal, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

Moderator

Ladies and gentlemen,
Good evening . I welcome all the Analysts who have joined us today in this auditorium as well as those who have joined virtually from different cities across India. We are pleased to announce Bank of India's financial results for Q4 FY25. As you all can see, our Top M anagement, represented by our Managi ng Director, Shri Rajneesh Karnata k ji, and all our Executive Directors, Shri P R Raj agopal, Sri Subrat Kumar and Sri Rajiv Mishra all have joined us on the stage. Thank you all gentlemen for joining us. We will now begin this Analyst's briefing.
To start with, I'd like to invite Sri Rajnish Ka rnatak ji, our MD Sir, to please address this gathering, after which we will be taking on the Question & Answer session. Thank you, Sir.
Shri Rajneesh Karnatak, MD & CEO

Thank you, madam. Ladies and gentlemen , good evening, and welcome to today's Analyst Meet, both physically and virtually. I'm told that that there are certain Analysts who are there virtually also.
As I share with you, the financial results of the Bank for Q4 FY25, as well as for the full ye ar FY 2025 , it is my pleasure to welcome each one of you for the interaction today. Thank you for joining us in spite of your busy schedules. While we continue to brace ourselves for the global trade dynamics and the recent tariff measures and the geopolit ical tension comes as a pressure on demand, moderating consumer sentiments and reversing market trends. However, IMF growth projection of 6.2% for India's GDP, rising forex reserves, record GST collections, and lower inflations have given hope. The shifti ng of customer basis from traditional to digital natives, easy credit access, digitized financial services, dissemination are few of the many areas which are now defining the prospects.
The key focus area of our Bank will be enhancing customer experience through all channels and acquisition of new customers consistently by providing innovative and niche services. This will lead to fortification of low cost deposits like CASA and retail term deposits for sustainable credit growth. My speech would be in four parts for this coverage today. The first part being the new initiatives that the Bank has taken over the last quarter.

So we have started the Star Digital Business Loan for th e MSME borrowers , a digital product which has been rolled out for underwriting loans up to Rs. 1 crore in MSME space for borrowers based on the GST turnover. The second is a new scheme, Ud yami Vanita, has been introduced for women entrepreneurs with embedd ed benefits. The third is the Star Yuva Ud yami, which is a scheme which has been started to provide loan assistance up to Rs. 1 crore for young entrepreneurs for age up to 35 years. Green deposit scheme has also been introduced for raising green deposit fu nds under the scheme, which will be deployed for financing of green assets. Renewable energy has also been identified a s a champion

sector within the B ank.
The second part is with respect to the IT and Cyber Security. Cyber security centre of excellence, w e have developed the centre to foster collaboration, training, and continuous improvement in cyber resilience. Proactive attack surface management, which is the ASM, has also been done up. It identifies unknown vulnerabilities, shadow IT and misconfigurati ons before attackers do so. Centralized threat intelligenc e platform also has been set up. I t enables automated correlation, real time alerts, and contextual threat analysis. As part of our NexTech , Bank has opened 24 x 7 resiliency operating centre , whic h is the ROC, for quick response and recovery from disruptions of Bank's applications, including the CBS platform, e platform, mobile banking applications, etc ., due to natural disasters, system outages, cyber attacks, etc .,
The third part is with respect to business. Here, global business of the Bank has grown by 12.02% on a Y oY basis from Rs.13.23 lakh crores in March '24 to Rs.14.82 lakh crores in March '25 with the incremental growth of nearly Rs.1,59,000 crores. Global advances of the Bank have increas ed by 13.74% on a YoY basis from Rs. 5.85 lakh crores in March '24 to Rs.6,66,000 crores in March '25 with the incremental growth of

more than Rs.80,000 crore
Global deposits, they have increased by 10.65% on a YoY basis from Rs.7,37,000 crores in March '24 to Rs.8,16,000 crores in March '25 with the incremental growth of Rs.78,000 crore plus. Domestic gross advances have increased by 14.45% on a Y oY basis from Rs.4.92 lakh crores in March '24 to Rs.5.64 lakh crores in March '25. RAM advances have increas ed by a good number of 18.37% on a Y oY basis from Rs.2.73 lakh crores in March '24 to Rs.3.23 lakh crores in March '25, constituting 57% of our total advance book of the bank. Domestic deposits have increased by 11.21% on a YoY basis from Rs.6.30 lakh cror es in March '24 to Rs.7 lakh crores in March '25. Our CASA has increased on a Y oY basis from Rs.2.70 lakh crores in March '24 to Rs.2.80 lakh crores in March '25 with the incremental growth of more than Rs.10,000 crores in March '25, and the CASA ratio sto od at a healthy number of more than 40%.
Now with respect to profitability and asset quality, our operating profit has improved by 17% on a Y oY basis and stood at more than Rs.16,000 crores in FY '25 as against

Rs.14,000 crores plus as on FY '24. And in Q4 FY 25, it stood at Rs.4,885 crores, witnessing a Y oY growth of 37 %. Net profit has increased by 46% on a Y oY basis and stood at Rs.9,219 crores for FY25 against Rs.6,318 crores in FY24 . And for Q4 FY25 , it was at Rs.2,626 crores, witnessing a growth of nearly 82% in the net profit. Global NIM of the Bank is now at 2.82% as against 2.97% in FY24 .
Slippage ratio stood at 1.36% in FY25 as against 1.58% in FY24. Slippage ratio was at 0.32% in Q4 of FY 25. Credit cost has improv ed to 0.76% in FY25 as against 0.78% in FY24. Net interest income has increased by 6% on a Y oY basis and stood at Rs.24,000 crore plus in FY25 as against Rs.23,000 crore plus in FY24. In Q 4, the NII stood at Rs.6,063 crores as against Rs.5,937 crore in Q4 of FY24.
As regards to non -interest income is concerned, it has increased by 48% on a Y oY basis and stood at Rs.8,994 crores in FY '25 as against Rs.6,095 crores in FY24. And for Q4 FY25 it stood at Rs.3,400 crore plus witnessing a Y oY growth of nearly 96 % as against Rs.1,700 crores in Q4 of the last financial year. There has also been improvement in the asset quality in the Bank in both gross NPA ratio and also the net NPA ratio. Gross NPA ratio has improved by 171 basis points to 3.27% in FY25, and

net N PA ratio has improved by 40 basis point on a YoY basis to 0.82% only in FY25.
As regards the PCR is there, the provision coverage ratio, it has improved to 92.39 % in FY 25 as against 90.59%.
As on March 202 5, Bank's CRAR has improved to 17.77% as against 1 6.96% in March '24. In tune with the growth of the global economy, the guidance for global advances growth will be at around 12 % to 13%. The global deposit growth would be at around 11% to 12% for FY26 . The key focus area will remain low cost deposit mobil ization for protecting our NIM and increasing high yielding advances for consistent growth in business with emphasis on digital initiatives, improvement in the asset quality, and arresting the fresh slippages. The endeavour of the Bank will be in increasin g efficiency and profitability along with focus on compliance and better corporate governance.
I would like to thank you all for your continued support. The floor is now open for discussions and Question and Answers. Thank you so much.
Moderator:
Thank you very much, Sir. We would like to proceed towards our Question s and Answers session.

Just, the instructions part , that is mandatory. Before we proceed, we would request you to kindly raise hands for the queries. One of our representatives shall h and over

a mic to you. Also kindly restrict questions to two at a time, allowing, everyone to interact. For subsequent questions, we'll come back to you later if time permits.
Please identify / introduce yourself, your organization before asking a question . For outstation Analyst 's, those who have joined virtually, please send in your questions to

our Adfactors team. Yes. Ajmera ji, kindly begin.

Mr. Ashok Ajmera:
I thought, first is always a compliment. So let the mic be there. Otherwise, it will not may not be h eard to everyone.
Compliments to you, Sir, for a fantastic set of numbers and really a very good results because even in this difficult time where there was pressure on both deposit and credit side to most of the other Banks, you have performed muc h better, and maintained your guidance, what you had given rather little more on some of the fronts. I mean, if you talk about the asset growth side I mean, the credit side, you talk about the profitability side. Everywhere, the performance is fantastic. H aving said that, I wa nt some data point s and some clarifications so as to now assess properly what is going to happen in FY26 .
So, Sir, one is that on the credit side, credit growth, you know, our personal loan has been quite good. I mean, though in percen tage terms, it may be small. So now with this, so many checks and balances coming on the personal loans, what are your plans and what kind of loans do we have? I mean, and what is the delinquency ratio on that personal loan book of Rs.12,670 crore ?
And si milarly on the NBFC front also , as compared to the last quarter, we have grown by Rs.6,000 crore . So the re also whether they are all AAA, AA rated or we are moving down towards A or maybe BBB. BBB, I think, not there much. So on that and then on the profit ability front, in order to assess the consistency, how much profit, has accrued because of the re valuation of NARCL SRs, which now is permitted to be valued at the fair market value. So because that may not be available to us in the current quarter or mayb e next quarter that was something how much has been added to the profit.

And then overall on the other income side, I think it has grown, it is almost, doubled from Rs.1,747 crore to Rs.3,428 crore in this quarter. So whether this momentum is going to be maintained, like, on the recovery from written off accounts is Rs.1,143 crore as

against Rs.391 crore in the last quarter. Similarly profit on the sale and revaluation of the investment coming to Rs.711 crore against Rs.266 crore. So of course, the investment book of every Bank is doing well, But going forward and with

this further two rate cuts, which are expected, I think we should have a bumper profit. How much is going to be added to the bottom line?
Some light if you can throw on that? And the last in this round, is on the I mean, we are just, whisker away from Rs.15 lakh crore business. I think it may be even achieved in this, April, June quarter also. So how much is the technology upgradation can be attributed to th is growth and how far we have reached on our various models or delivery models on technology, and what kind of budget still do we have for that for further improvement and upgradation. So some colo ur on the technology side, Sir. And if time permits, some information on the recovery as I had asked. Thank you, Sir.
Shri Rajneesh Karnatak, MD & CEO

Thank you so much, Aj mera ji. Five questions you have asked. So most of the things are covered in the presentation .
So as regards to the personal loan book is co ncerned, you are right that the growth is more than 30% which you see over here. But, I would just like to clarify and give some data points on the personal loan book. One thing is as I've said last time also in the last Analyst presentation , that lot of g uardrails we have already placed in the personal loan book where the CIC score is more than 760 where we are giving only to salary customer where we are also ensuring that the salary is coming into the Bank of India Saving account. Those kinds of guardrail s we have already placed in, such kind of, loaning when we are doing that. With respect to the book is concerned , overall, as you know, the growth is 30%, right, as you rightly observed. But the base is low because of which the growth is also showing at 30 %. So our outstanding is only Rs.12,000 crore plus. If you see the entire retail book of the Bank, it is Rs.1,33,000 crore. And the personal loan book is only 9% of that book, which is less than 10%. That is one point.
Second thing is that our global loan book is Rs.6,66,000 crores as on March ‘25. If you

see the personal loan book out of that, it is less than 2%. In fact, it is at 1.8 0%. Now , if you see the stress within that, our NPA in the personal loan book as on 31st March is only Rs.136 crore, which is only 1.1 0% of the personal loan book. So that is the kind of NPA which is there.

Further, if I give you the colour on the SMA number also within the personal loan book, SMA 1, 2, both aggregate is only Rs.435 crore, which in percentage terms of this bo ok is only 3.43%. So in a way, the personal loan book is behaving very healthy. The yield is also very good. The asset quality is also , as on date , is good and we are comfortable

with the present growth, which is happening in the personal loan book. Now , coming to the next point, which is the NBFC book.

Again, as you rightly said that, we have increased our portfolio. So our NBFC book, which was Rs.78,000 crore plus as on March ‘24, has increased to Rs.88,000 crore as on March ‘25 as per the presentation. S o let me clarify with one data point. This Rs.88,000 crore constitutes three components. One is the domestic NBFC book, which is Rs.71,000 crore. Then there is international NBFC book, which is Rs.9,600 crores. And then there is a T

reasury book of NBFC, wh ich is Rs.7,600 crores, contributing total Rs.88,000 crores. And this NBFC book is constituting only 13% of our global loan book, wherein our global advances are Rs.6,66,000 crores. And if I give you the colour on the rating part of this entire NBFC book, A rated and above, accounts constitute 98% of the outstanding. So that is the colour .

The second thing that I would like to give on the NBFC book is with respect to the PSU and the Bank back ed NBFC like PNB Housing Finance or LIC Housing Finance or CAN Housing Finance, that kind of thing. Here, if you see the total PSU and the bank backed NBFC's total exposure is 51%, which means that only 49% of our NBFC book is to the actual NBFCs . Remaining is either to the PSU NBFCs or the B ank backed NBFCs. So that kin d of security and comfort level available is there with the Bank as far as the NBFC is concerned. Now , with respect to the profitability that we have taken, due to the RBI circular on the NARCL, that figure is at around, Rs.350 crore. How much it is Mr. K umar?

Shri B. Kumar, General Manager & CFO

Sir, it is Rs.397.76 crore. It is mentioned in point no. 3 in Notes to Accounts.

Shri Rajneesh Karnatak, MD & CEO

OK. It is near to Rs.400 c rore. Exactly , so entire mon ey has not been taken into the P&L. It's a 50:50 ratio which is there. As regards to what will be the future in FY '26 on this NARCL , there are lot of discussions within our NPA book, which we are having with NARCL for shifting these accounts to NARCL. So this year also, in FY '26, we'll see good traction of accounts shifting into the N ARCL and some, booking coming under that also. So next point was with respect to the other income growth.

Other income as you rightly observe that the major components of the other income for us have been with respect to the recovery in the written off accounts. Here, we have improved the recovery on a YoY basis by 61% from Rs.1,400 crore in FY '24 to now Rs.2,300 crore in this year. And the other thing is from profit o n sale of and the revaluation of the inves tments, there the increase is more than 200%. From Rs.628 crore , it has gone up to Rs.1,800 crore . So on the Treasury front, A jmera ji, at the time when the interest rates were high, we have kept a good book with us in the Treasury.

So now in this falling interest rate scenario, we are able to book profits out of that whenever we are selling. So this income is also accruing with respect to that. And the written off account, again, we have a specific scheme now in the Bank with respect to recovery in written off accounts, and the entire Bank is working on that OTS scheme with recovery of written off accounts. And we expect that more recoveries , the same way it has happened in FY '25. Similarly, it will happen in FY '26 for recovery in written

off account s.
See, A jmera ji, at the present situation where there is so much global volatility and across the board issues, so we have decided that we will not be giving any guidance apart from the top line guidance, which I've already given in my speech with respec t to the global deposit and the global advances. All other guidance we ar e keeping at a pause at present till there is more clarity on the emerging situation which is happening. So, nonetheless, I would only say on the recovery in written off accounts, wha tever the number we have taken this year, Rs.2,300 crore plus, we have done that. That kind of number we would like to maintain in this financial year also. So as you are aware, being an Analyst yourself, there is lot of pressure on the NIMs and margins of the Bank. Not only for us, for the entire banking

system. So as a banker from the Top
Management side, we are very clear that in this financial year, only those banks will do well in FY '26 who do better non -interest income and who do better recoveries. Because, margins will be under pressure as far as net interest income and net interest margins overall are concerned. So , we have to concentrate as a strategy on non -interest income and also on the recoveries, not only in written off account, but overall recoveries so that the overall profitability of the Bank improves in FY26 . So as regards the business and technology part, you are right that, technology, we have invested a lot. Last year, we had taken a budget of around Rs.2,100 crores. Out of which, we have already spent up to 31st March 2025 , nearly Rs.1,700 crores. And this year also, we have taken a budget for IT, digital and cyber security , a budget of Rs.2,000 crores. If I tell you the numbers which are there, so our digital loan book now has touche d at around Rs.80,000 crores. That is another number which is now available with us. As on March ‘25, our digital book is around Rs.80,000 crore, which is 12% of our global advances. In retail, it is at around Rs.27,000 crores. In Agri, it is Rs.39,000 crore. This also includes the gold loans, which we are sanctioning through the digital method. Only the pledge of gold happens in the physical way. MSME, again, Rs.13,000 crore of book we have already built up over there. And as regard the journeys which are there, 22 journeys were there in the last year, which were digital.
And in this financial year, we have been able to have 29 journeys on the IT side, which are now digital, which is there in part of the presentation also , page number 39. It is there. So if you see the presentation also, last year, we had 22 journeys. This year, we are having 29 journeys. And, in liability side, there are 5 journeys which are digital.

If you remove them, then 24 journeys are there in Agricultur e, Retail, and MSME. So in Agriculture, we have 6 journeys which are digital. In Retail, there are 10 journeys which are digital.
In MSME, there are eight journeys which are digital. All these kinds of automation a re helping us in the Bank in not only oper ational efficiency, but also reducing the cost and freeing the staff at the branch level from all these kind of mundane works which used to happen and which is now being taken care by the digital platforms which are there and branches are now focusing more on, number one , marketing for liability and loan products. And number two, on the collection efficiency for recovering installment and other kinds of things. So we are very clear that the automation, whatever we are doing, leads to finally operational eff iciency in the Bank and finally more income to the Bank. And one more data point that I would like to give you over here is with respect to our digital, that we have started earn ing income with respect to our T ransactions Banking and the debit mandates whi ch we are taking from NBFCs and Corporates and PSUs. Through that also in this financial year, we have already earned more than Rs.300 crores . So that is the kind of income we have started getting through the automation which we have done in the last two y ears. So we are very much cognizant of the fact that whatever the investment that we are making in technology for IT and digital, we get back the returns by way of business and finally the other income and the incomes which come for the P&L of the Bank. Th ank you.
Moderator:
Thank you very much, Sir. Thank you very much, Ajmera ji.
Mr. Arjun, Baroda BNP Parbias MF
Arjun from Baroda BNP Paribas Mutual Fund. So I actually

wanted to check on the,
Advances growth and, guidance on that, but I do understand you are holding that back, But just on the corporate front, if you could share a little bit more on the pipeline that we have there, and, what is the nature of entities that are broadly looking for that, and maybe is it greenfield or brownfield or how exactly is that?
Shri Rajneesh Karnatak, MD & CEO

So as far as the corporate credit growth is concerned, so overall, global credit growth, we have already said that it will be around 12 % to 13%. That is the guidance we are giving. So as regards the pipeline is concerned, we have a pipeline as on 31st March when we speak. The pipeline is at around Rs.74,000 crore, which includes not only corporate, but also R AM Advances. So R AM Advances pi peline is around Rs.12,000 crores.

And international and corporate book, it is around Rs.62,000 crore. So this Rs.74,000 crore constitutes around 11% of our total global loan book. So that is the kind of pipeline that we are having. And we are very confide nt. This year, we have grown at around 9 .50% on a YOY basis in the corporate book.
So in this financial year also, we are, very much confident that we'll be able to grow in a double digit as far as the corporate book is concerned. So lot of sectors we are funding, we are totally agnostic to any sector. If the promoter is good and if, the entity is fine and the industry is doing fine, we are going and lending in that industry. However, I can say that there are a lot of emerging segments and sectors where we are lending, particularly with respect to data centers, with respect to warehousing, facilities, with respect to solar, PV modules, with respect to renewable energy also, and battery manufacturing also and also E lectric Vehicles. So , these are the new emer ging areas where we have started funding apart from the traditional industry, which is steel , textile and all those kinds of things where normal expansions, brownfield projects are coming and either we are the sole lender or we are part of the consortium o r under multiple banking. So quite good traction now Bank of India is having through our Large Corporate Branches. Apart from that, one more data point is that we have already opened Emerging Corporate Branches, which are now 20 in number where, again, we are focusing on advances up to Rs.250 crores. There also, we are seeing lot of tra ction and proposals have started coming. And margins are also better over there . The fact is that the emerging corporates typically borrow because they are normally BBB rated . So we are lending them on MCLR rate. So the margins are better over there. Process ing fee also, we are able to get better. LC BG charges are also better over there. Forex income is also better over there.
So there also, we are targeting to focus on new emerging corporate clients who get added to the Bank of India portfolio.

Mr. Arjun, Baroda BNP Parbias MF
Got it. S ir, Thank you. Well understood. Secondly, I just wanted to check. I think the MSME GNP As have gone down from around some Rs.10,000 crore to around Rs.7,500 crore . If you could share what has been driving this improvement. Is there any regional or maybe sectoral colour to this?
Shri Rajneesh Karnatak, MD & CEO

So sectoral GNPA s in MSME, frankly speaking, it is a combination of two things. One is the advances which is growing in MSME book because the denominator is growing. Right? So we have grown our advances in the MSME book, number one.

Number two, we have been able to curtail our SM As in this book and the delinquencies which are there. S o both the things together have contributed to the lower GNPA number in the MSME book. That is, frankly, the reason why. And lot of underwriting, guardrails we have already placed in our MSME book right from sourcing of the MSME account until the underwrit ing which happens and, till the monitoring which happens

and the collection efficiency for the term loans in MSME which happen. So we have underwriting centers, more than 150 underwriting centers in the Bank for MSME advance, which we call the SMECC's unde rwriting centers, where Credit Officers are now placed.
So credit underwriting has improved, number one. Number two, we are doing lot of DSA activities for MSME also through one of our subsidiaries, which is Bank of India Shareholding. We have got the RB I approval. So that marketing is happening through that, our own subsidiary.
Third is the collection efficiency. For that, we have now put Zo nal C ollection Centers in our 69 Zones who take care of the collection efficiencies for these MSME term loans whenev er they are not getting due installments. So that also good traction we are seeing so that the delinquency does not happen. So all these things together, the ring fencing that we have done on this MSME portfolio, we are seeing a good traction, not only wit h respect to growth, but also on the asset quality side.
Mr. Arjun, Baroda BNP Parbias MF
So just, lastly, again, on the asset quality front, there's been recently a judgment on this Bhushan P ower and Steel account. With regards to that, how do we look at this NCLT and, recoveries horizon changing? Would there be a material impact? And if so, how is the Bank placed over there?
Shri Rajneesh Karnatak, MD & CEO

So, specifically, on this account, if I could say for Bank of India, see, we had sold this account to ARC. So there is no impact of the judgment, per se on Bank of India Balance Sheet and P&L.
So that is one clarification that I would like to give, number one. Number two, with respect to the judgment which has come, all the COC lenders which are there, we are not part of that, but I am told that all the lenders together are working on it, and, t hey would be filing some Review Petition with the court.
Moderator:
Thank you very much. Gauri, can you just put in through Mr. Aditya Vikram? He has joined virtually.

Mr. Aditya Vikram
Sir thank you for taking my question, Sir. The first part of the ques tion is that sequentially, the credit cost has increased this particular quarter. Can you through give some colour as to why that has happened? Is this seasonal in nature?
Shri Rajneesh Karnatak, MD & CEO

Yes. Credit cost, if you see the year on year ba sis, our credit cost was 0.78 % in March ’24, it has come down to 0.76 % in March ‘25, it has come down by two basis point s. However, I agree that the credit cost has gone up on a quarterly basis, sequential quarter basis, and it was 0.84 %. But overall, the credit cost has come down, to 0.76% as on March ‘25.
Mr. Aditya Vikram
So but this has nothing to do with any seasonal stuff. Right? It has no seasonality attached to it.
Shri Rajneesh Karnatak, MD & CEO

No. It is not linked to any seasonality at tached to it because that was a normal provisioning in the NP A accounts which has happened.
And in this slippage also, our slippage ratio is also at 1.36%. That includes one lumpy, PSU account, which had happened in this financial year in Q2 of this Financial Year. Had it not been there, both the credit cost and the slip

page ratios would have been
much, much better.

Moderator:
Next in line, virtually, is, Mr. Nitin S, Dharmawat. He's got a volley of questions. Nitin, I'll request you to restrict yourselves to on ly two questions, please.
Mr. Nitin Dharmawat, Aurum Capital:
Thank you for the opportunity. Thank you, Co ngratulations for an excellent set of

numbers. My first question is, can you give a guidance? You said that you would like to give guidance only on the top line, but just wanted to understand, on Return on Assets, where do you see next year, because it still remains, below 1%. So that's my first question.

Shri Rajneesh Karnatak, MD & CEO

So Return on Assets, if you see our numbers, our ROA was 0.7 0% in March ‘24, which has now improved to 0.9 0%. Right? And, as far as the quarterly numbers on ROA is concerned, we have touched the number of 0.98% in March ‘25 on the ROA side.
So we wanted to touch 1%. We narrowly missed that number, but, nonetheless, we are well in target to that. And if you see sequentially, our ROA, it has been improving in the last four quarters. And, in December, it was 0.96 %, now touching at 0.98 %. Definitely, within the Top Management side, we are targeting that we should touch the ROA of 1% as soon as possible and sustain it at that number in the ensuing quarters.
Mr. Nitin Dharmawat, Aurum Capital:
Perfect, Sir. My next question is, Sir, Bank of India's name appeared in MTNL default list. So can you please clarify if we have do ne the complete provisioning for this or not? And what are the chances of recovery over here? Because last time, we discussed about it, and we mentioned that, there is a possibility that this will not go into a default list. But, nonetheless, it has gone. So what are the chances of recovery over there?
Shri Rajneesh Karnatak, MD & CEO

For this account, MTNL, we have already marked NPA in this account like all other lenders in the system. And, as regards, the resolution is concerned, yes, a lot of senior level talks are going on with respect to this account on resolution of the asset.
And we are expecting that in this financial year, FY26 , some resolution in MTNL will come. And as regards the provision, we have made adequate provision as per the RBI IRAC no rms, for the asset.

Mr. Nitin Dharmawat, Aurum Capital:
My next question is about CASA percentage. It has gone down to 40% now. So what is the trajectory you see, over here?
Shri Rajneesh Karnatak, MD & CEO

As regards CASA is concerned, you have rightly observed that it has gone down to 40%, and we were at 43% in March ‘24. As you are aware that there is lot of pressure on the resources and even more pressure on the CASA numbers. Nonetheless, we have been able to increase our CASA by nearly Rs.10,000 cro res on YoY basis. And

as regards, from the Top Management side, I can only say that, we are very cognizant of the fact that we need to have a healthy CASA number, and we would like to protect our CASA percentage at around 40% in FY 26 also.
And if you see our breakup slide on the domestic deposit, our bulk deposit is only 13.82%, which is less than 14%, which means that 86% of our domestic deposits, is either CASA or retail term deposits. So we would like to continue to maintain this number i n this financial year also so that, we are able to get deposits at a lower rate and reduce the cost of deposit, thus protect our net interest income and net int

erest
margins in FY '26.
Mr. Nitin Dharmawat, Aurum Capital:
Sir, my final question is about th e corporate loan growth which continues to be lower. You mentioned about, new sectors where we are lending now.
So, any specific reason why it is lower? Do we see risk of NP As and, that is why we

are not growing in that sector aggressively or there is gene ral slowdown or lower requirements of funds by the corporates? Can you elaborate that?
Shri Rajneesh Karnatak, MD & CEO

If you can see our credit number in slide No.8 , you have rightly observed that the growth is on a lower side when compared to RAM adva nces. Retail , Agriculture and MSME, which are growing in double digit, and this one is growi ng at around single digit at around 9.60%.
We are very consciously trying to pace our corporate advances for the simple reason that all AAA and AA rated advances ar e asking for EBLR rates, which are external benchmark, where the yields are very less. And we want to build portfolio under MCLR kind of lending in corporate book where the yields are better and margins are better. So it's a conscious decision from us not to build that book to a large extent, in so that we protect our margins because AAA and AA rated corporates are g etting very fine rates and that too at the EBLR linked rates .
Moderator:
Thank you, N itin. Can we have next speaker?
Mr.Ashlesh, Kotak Securities
First question is, Sir, on the margin side, your yield on loans reported number has declined by some 28 basis points QoQ . Can you explain what is the reason? Because we have not seen such a sharp decline in any of the P SBs.

Shri Rajneesh Karnatak, MD & CEO

Yield on Advances. See, Yield on Advances, if you see on a YoY basis, they have improved. See, in FY '24, our yield on advances were 8.3 8%. It has improved to 8.46 % in March '25. So it has improved by nearly, I would say around eight b asis point s. But you are right that, if you see on the quarter basis, sequentially, it has come down from 8.55% in December 24 to 8.27 % in March '25. The simple reason for that is, again, because of the fact that, from February onwards, the Repo rate cut happened. You are aware.
And in this Q4 itself, immediately after the Repo cut, our book, which is nearly 50% of our book, which is external benchmark agai nst the R epo, immediately on the next day, the 25 basis cut came, for our book. So two months, ther e the interest income went down by 25 basis points straight away. So that is a simple reason why the yield on advances came down in Q4. However, in overall during the year, we were able to protect it, and, we were able to be at around 8.46 %. Another data poin t that I would like to give you over here is our weighted average lending rate, for the whole year, was 9.74%.
And our weighted average term deposit rate, the term deposit that we have taken during the year was at 7.09%. So if you see the difference betwee n the two, the difference is around 2.65%. So that's a healthy difference we are trying to maintain, and this does not include CASA cost of deposit. This is only term deposit weighted average cost. So there again, as I said that by taking more of retail te rm deposits, we are trying to maintain, the cost of deposit at a lower side so that we are able to protect our margins, the net interest income, and the NIM in the ensuing quarters.
Mr.Ashlesh, Kotak Securities
So to follow -up on the yield question, even if we account for this 25 basis points rate cut on 50% of the loan book, that can only explain about eight, nine basis points of decline. But the decline which you have reported is some 28 basis points. So , it seems like there might be a few

other, variabl es also.
Shri Rajneesh Karnatak, MD & CEO

The variables in the sense that, see, 55% of the book is the EBLR. Right? So the outstanding that percentage we are seeing, this is the outstanding as on 31st March 2025 , the chart we have prepared. But majority o f the period, the outstanding loans were there in the external book only and not in the MCLR book. So MCLR book, in this quarter we had in the Q4 of this financial year, we had been able to grow in the month of March only where the interest income accrued. So majority of the interest income in the loan book was coming from the external b ench mark rates only where the cut happened, actually.

Mr. Ashlesh, Kotak Securities

Secondly, can you just explain again the accounting of the SR revaluation which you have done? You said 50 % - 50%. But why would the entire revaluation not go under Treasury entirely? Just explain that.

Shri Rajneesh Karnatak, MD & CEO

Mr. Kumar, would you be able to explain this one? Why we have taken 50:50 while accounting SR revaluation?

Shri B. Kumar, General Manager & CFO

Sir, we will take it on a one to one basis .

Mr. Ashlesh, Kotak Securities

Lastly, can you elaborate on the status of a few of the State Government accounts which were under SMA last quarter? I believe they are from, Telangana.

Shri Rajneesh Karnatak, MD & CEO

If you see our SM A slide again, those SMA ac counts are still there of that S tate Government. There are four accounts in that, which are there. The slide number is 24. So here, if you see, the number is, Rs.4,599 crores. Our, corporate SM A, which is there, which constitute four State Government accounts. And, either they are in SMA -1 or SMA -0. None of them is SMA -2 also as on 31st March 2025 , and we are very confident that they would not slip. And this is the assurance which have been given to us by the Corporations. Number two, all of them are secured loans. And another additional point is that all the four accounts which are there of that State Government, they are a ll State Government guaranteed. So, we do not foresee any delinquency coming in those accounts, though they are having some cash flo ws issues and they are under SMA . But, we don't foresee any delinquencies coming there.

Moderat or:

I'll ask one question, which has come from one analyst from UTI MF. Sir. He has congratulated you for the good results. His question is that the Bank has booked Rs.1,800 crore plus from sale of securities. What is the estimate for current year, and what is the plan to protect portfolio yield?

Shri Subrat Kumar, Executive Director

So, basically, this Treasury profit is dependent on the market condition s, which it was at, during that point of time. Yes, our endeavour will be to take advantage of the market and book the profit. I think, it's very difficult to give any guidance on the Treasury profit, because it is totally dependent on market conditions.

Mr. Sushil Choksey

Congratulations to Team Bank of India for a very stable numbers. So I understand you may not give any guidance on various parameters like ROA, etc. ROA , it's done fine. When country stabilizes and the market stabilizes.

Now all the challenges which you've taken on in the last twelve, twenty four months by rolling out products, technology, adoption of new practices, needs lot of challenges by human resources concern ed. Now , what have we done in the Bank that emerge

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as a winner to adopt all the new technolo gies and new products that they show the profitability path and the gains fr uctified from all the initiatives.

Shri Rajneesh Karnatak, MD & CEO

So we have done lot of things as far as the PPT is concerned with respect to the process, people and the techn ology. So a lot of enablement and enablers have been done within the Bank with respect of lot of processes . Where we have lot of processes , we have streamline d them to make it business easy, not only for the customers, but also for doing the business at the branch level for the staff also. That is the first part. Second part is with respect to the people, we have done lot of reskilling and upskilling of the staff, given them lot of trainings and other kinds of things. And we have also tried to now post th em at the right person at the right place so that the entire productivity we are able to capture as far as the business is concerned from the people side of it. Technology, as I already said that we have invested lot of money in technology from the last tw o, three years.

Nearly Rs.2,000 crore, we are investing every year. And out of which, we are spending nearly 80 % to 85% of that technology part. So it is going not only for IT hardware and software, but also going for digital and also going for the cyberse curity part or even giving cyber protection and other kinds of protection to the customers in case they are our liability partners also. So that is one part. Other thing is that , now that we have established all that thing, so the three segmentation of our verticals, whether it is the business vertical, the support vertical, and control vertical, we have all made them business centers.

That is another thing which has been done. To just give you example, our A udit Department, which takes care of the audit of the branches, they have now also been given a task of finding the revenue leakage at the branch levels. Small, small charges, which are not debited in the loan accounts, and other kinds of things. So this year, we have been able to recover nearly Rs.200 c rores through our audit department through revenue leakages, which happen in normal course of business. So this kind of Rs.200 crore has directly gone into the P &L of the Bank.

So this is another thing. And how we did that was, say, very simple that we gav e more staff to the Audit Department. They had more resources available with them so that they had more manpower available with them when they were doing audit in the branches. So they were able to find those kinds of things. Another small thing on the technology part, just for example, I would put through transaction banking and direct debits mandates, which we are taking from the corporates and also from NBFCs f or their collection. So there also, we have started getting charges for collections. This year, we have been able to earn nearly Rs.300 crores from such kind of activity. So this is another kind of income we have built up for the Bank, and we want to scale it up now in this financial year in FY26 . So with all these kinds of things and as I said that all the business verticals , support and control verticals being in a way business centers for us. So everyone is now contributing either by way of profitability through income or by way of reducing the cost through controllable cost.

So both the sides it's happening, which is helping us improve not only the interest income, but also the other income. And on the third side, the third dimension being the controlling the cost also, which is overall helping us improve the profitability of the Bank, which y ou see in this Balance Sheet, we have been able

to give operational
profit, which is on a YoY basis. It ha s jump ed by 17%, which is a very healthy number in this market. And net profit, we are touching Rs.9,000 crore of figure with a jump of YoY nearly 45% .

Mr. Sushil Choksey

All your answers are well accepted. Entire plan which you have rolled out is supporting your operational numbers. Now the balance sheet may grow, profit will grow. The human resource incentive, whether it's Top Management or the execu tives and the lower . If they work in tandem, it may grow at a higher number. Correct. So what is that aspirational side where the Bank is concerned?

Shri Rajneesh Karnatak, MD & CEO

Correct. We have a very structured PLI scheme in the system being a Public Sector Bank, which is a Performant Linked Incentive. So there are now two PLI schemes going on in the system, which is PLI -1 and PLI -2. Under PLI -1, it is for staff, which is up to Scale 3. That is based on the operational profit and up to 15 days of salary they get. So this year, we have got, 17% of operational profit, which means that 15 days of the salary, they will get as a PLI up to Scale 3 staff. Means Officers up to Scale 3, clerical staff, and the sub staff , which is there. So that they will be getting. We have provided that number in this balance sheet.

The other part is that DFS has already come out with a PLI -2 scheme, which is for Scale 4 and above up to the level of MD & CEO . Scale 4 and up to MD are ma pped under that same structure, same scheme. There also, once the numbers are approved and everything is finalized by the DFS, that PLI will also be getting. So both the things together, we have already provided for in the balance sheet. In the P & L , you can see in the staff expenses because of which it has risen also.

So that kind of provision already we have taken and that kind of incentive will be coming to the staff. As you said that we should take care of the staff , that we have already provided.

Mr. Sushil Choksey

Sir, in view of the global trad e related situation earlier. Then April has been a smart recovery where stock market was concerned. Now we are coming up with a new internal issues where India is concerned. This ma y end towards smart CASA balances emerging in May with the stress, which is visible, what is gonna happen whether it's a 24 hour event or a 2 week event, we are not aware. This may lead to a lot of CASA . Because people may stop consumption for some time. How we will take some initiatives where we garner higher CASA numbers or deposits to get a better market share.

Shri Rajneesh Karnatak, MD & CEO

See, in the COVID time also, when the COVID struck, everyone thought , even the bankers thought , where we will get the deposit and how we will get the deposit because COVID is there, lockdown is there. In fact, it worked to the contrary. The CASA balances, of the banking system just shot up in FY21 and the early part of FY22 in one or two quarters be cause of the fact that everyone started keeping their money in Saving and Current account for any kind of emergency and the CASA shot up in the system. So similarly, in this kind of situation, war like situation, everyone will keep their balances with Bank s.

And as you rightly said, the CASA will shoot up. We have done lot of enablers within the system. Now , if I can tell you that, now we have additional one more GM in our Resources Department. So now i n our Resources Department, which is the liability

depa rtment, is headed by a CGM, and now we have three General Managers sitting over there. One GM is taking care of the entire CASA piece.

One General Manager is taking care of the entire Government business, which includes the Central Government, State Govern ment, and the PSU business, with respect to CASA , and term deposits and also the salary accounts which have to be done. And the third General Manager in the resource department is our CEBB department, which is the Customer Excellence and Branch Banking. So there, we are taking care of the customer service at the branch level and how better service can be given to the customers, particularly to the Saving and Current account holders. So if we are able to take care of this piece , where we are able to give bet ter customer service and we become a differentiator among all other banks in giving better customer service and personalized customer service. There is no reason why the CASA balances of our Bank will not improve.

Mr. Sushil Choksey

Having known Bank of In dia presence well accepted in the trade community in the Western States led by Mumbai , the touch point was very high. Then we went down for various reasons - ten, twelve years back. We are showing a sign of recovery. Bank of India Stock Exchange Branch was very popular in early days. Cross selling was very well accepted for various things. In those time product s were not existing.

But now today's world, every customer looking for cross sell . Correct. They want facilities, and they want support. Somebody may Bank with HDFC, but Bank of India is forgotten for various aspects. How are we emerging from those areas which Bank of India used to champion about?

Shri Rajneesh Karnatak, MD & CEO

So as you rightly said, we have been doing lot of activities as fa r as the product per customer is concerned. So we are very much at the Top Management side, whichever is, our GM, CGM's, whole time directors who are sitting in this room. We are very clear that we need to improve product per customer. That we are very cle ar. So our product per customer, if I share with you the number, it has increased by 46 basis point in the last two years. Through sale of various kinds of products that we are doing, not only through the physical banking which is happening, but also throu gh the digital banking of mobile and Internet banking.

And now that we have our own Subsidiaries with respect to M utual Fund and also SUD Life, which is selling insurance products. So lot of n ew traction is happening, and our Marketing Officers at each of the Zonal Office and the FGM Office are now clearly focused, and RMs are also there. And we are selling lot of products whether it is the

demat account, whether it is Mutual Fund, whether it is the NPS scheme, all kinds of products we are selling to our cu stomers, and the product per customer has now started increasing. And with this engagement with the customer, we are now clearly able to see there are more balances in the saving accounts. And already, a s I was telling earlier in the P ress Meet also that w e have identified 1,000 branches as HNI branches and also designated RMs to them. HNI customer , as a customer which has an average quarterly balance of 5 lakhs and we have given RM to them. So that kind of thing is there. So all these things are combining together and helping us improve our CASA balances, and it has grown last year, as I said, by nearly Rs.10,000 crore on a Y oY basis at a time which was very challenging for the entire banking industry. If you see numbers of some of the Bank, the CASA is in fact has de grown in some of the Banks in

absolute numbers. But for us, we have grown our CASA by nearly Rs.10,000 crore on a Y oY basis.

Mr. Sushil Choksey

I wish that your Rs.10,000 crore is at least Rs.25,000 crore this year. And I hope all your initiatives support. But one recommendation that rather than only focusing for income from Bank of India led entity products, if all other products are sold, the customer may not Bank at two, three places and may bank with B ank of India. Correct. Thank you for answering all my questions, and good luck for the year.

Moderator:

Thank you very much, Sir. There are good number of questions coming up on WhatsApp, but most of them are answered by you at one point or the other, so I 'm not taking it. Gauri and team to let them know that those are answered.

Only two questions. One, by Mr.Vinay, an independent analyst. SMA one bucket for corporate loan is Rs. 3,357 crore. Has this been recovered since then? Has anything moved to NPA as of now?

Shri Rajneesh Karnatak, MD & CEO

As regard s the SMA numbers as concerned , in the Corporate SMA book, it is Rs.4599 crores total number . Out of which , in the SMA -1 book, it is Rs.3,357 crore, and it constitutes, the, four accounts which are of state PSUs only. No ne of them has, become NPA, and as on date when we speak, they continue to be in the SMA category at SMA -0 or SMA -1.

Moderator

Thank you, Sir. Another one coming up from Mr. Jay.

He's also an independent analyst. His question is that there seems some mismatch on specific provisions. Is there any contingent or non specific provisions in Rs. 13.4 7 bn? Yields on advance, why such sharp dip of 28 basis points quarter on quarter? And, third is riskiness of corporate SMA -0, 1, 2 book.

Shri Rajneesh Karnatak, MD & CEO

On the SMA book, if I can continue with that, as I said in my earlier question also, while answering the question, all these SMA numbers of this State PSU are all secured advances, number one. And number two, all of them are covered through a State Government guarantee. And as I clarified earlier, none of them we foresee in this financial year to be slipping or become delinquent. That is as far as the SM A number is concerned . As regards the number on the Yield on advances side, why such a sharp dip of 28 bps? That has already been responded, by me.

Moderator

And, mismatch on specific provisions. Is there any contingent or nonspecific provisions .

Shri Rajneesh Karnatak, MD & CEO

For this, we wi ll be responding to that separately on a one to one basis.

Moderator

Alright, Sir. If Mr., Bhavik Shah and Ashok Shah are there, we'll take them. Otherwise, one last question from the Analyst if anybody else is, there. Ajmera ji, do you want to say something?

Mr. Ashok Ajmera

Sir, just, again on the composition of, corporate and retail. We have come from 55.36% in 31st March 2024 to now 5 7.26% in Retail . So combination now is 58 : 42, as against 45 : 55. So going forward becaus e we are one Bank which is still having a good corporate, presence. So and looking at the scenario when there is so much of competition, everybody is running for RAM for Retail and there are lot of competition. Are we open to look at increasing our Corpor ate book , you said it will be touching 10% or double digit. But, really, by focusing without thinking of the percentage, like, even goes up. Are we open for that to increase our corporate book with, of course, good rated accounts and this thing, or we are just close to bring it to 40 : 60 or 35 : 65 like others?

Shri Rajneesh Karnatak, MD & CEO

No. This ratio is just a benchmark number. So internally, we have kept that, RAM should be at around 58 %, and, the corporate should be at around 42 %. But we are totally open while we are doing corporate advances. If the yields are good, corporate is good, and we are able to get good profit out of that account and good income out of that account , we are totally open to funding that corporate. We have no issues with that. So when we are saying that we'll have a credit growth of a global credit growth of around 12 % to 13% in this Financial Year, obviously, we have to grow credit. So we have to even take care of the repayments which will be happening in this financial year. So if you see our book, nearly 45% of our books are term loan also, in which there will be repayments. So, when the repayments are there, we not only have to take care of the incremental growth in credit, but also the payments which will come in the term loans. So, we are totally open to corporates wherever the opportunity is there, where margins are good. We'll be funding the corporates.

Mr. Ashok Ajmera

Why I am more specific about it is that because of the change of the definition of MSME . Many of the corporates have come down into some Mid corporates in the MSME, which go in your other than corporate percentage. So more efforts are required there to recoup even that loss of I mean, not loss of business, but going to the other category.

Shri Raj neesh Karnatak, MD & CEO

Yes. We are totally open to the building of that corporate book. You can, get that thing . Already we have opened 20 Emerging Corporate Credit Branches. That is for that specific reason only we have started those branches to have a portfolio in Bank of India with respect to Mid Corporate or Emerging Corporate customers who can be future corporates. So there we clearly see that there are good margins for the Bank, and we can go for sole banking and earn the entire income for ourselv es by having their promoters ’ Saving accounts, CASA accounts, and even the employees' accounts, everything. So lot of opportunities of third party selling and cross selling is available with such kind of emerging corporates, and it is definitely part of ou r strategy.

Mr. Ashok Ajmera

And just last , sort of a point of information that based on its Supreme Court recent judgment on Bush an Steel. I mean, what is our status and, what is our quantum which we had recovered? And what are your views on that going forward?

Shri Rajneesh Karnatak, MD & CEO

I have already, answered this question. See, in Bhushan Steel , we had the exposure in this account, and Bank of India had sold this account to ARC. So we are not at all impa cted by this judgment because it's already sold, with no recourse basis. So we have nothing to say on this. But what I understand from the industry and the system is that, banks would be, who are under COC , meeting will be held shortly. Whoever is this CO C members, and they may be going for some petition.

Moderator:

Sir, one last question from the virtual world also. It is from SBI Mutual Fund. The name is not being displayed. The question, first of all, he has congratulated you on the good set of number s. And, the question is that, is the Bank having an offshore branch in GIFT City? What is Bank's plan for relative growth of G IFT City branch vis a vis other overseas branches? And how active is Bank in terms of non -deliverable products permitted by RBI t o Entities operating in offshore locations?

Shri Rajneesh Ka

rnatak, MD & CEO

We are very much having a GIFT city IBU branch. And if you see our presentation on page number 41, our IBU branch is having a n advance composition of nearly 8% of our global advance book. So it's a very significant number, and it is the fourth largest branch for us in the international operations.

So lot of advances we are giving mo stly to the Indian corporates through our IBU GIFT City branch. And a lot of other cross functional products also we are now looking at, from our IBU GIFT City branch, which ISKA is now approving for either for insurance or for mutual fund and other kind of things. So a lot of traction, we are having for our IBU GIFT City branch.

Moderator:

Thank you very much, Sir. Due to time constraint, we are not able to take further questions either from the virtual world or from here. I think nobody is here. Thank you very much, gentlemen, for, joining us this evening an d for this enlightening session. Refreshments are outside, kindly join . The Press Release will be shared to you shortly by our Ad factor team. Thank you all. Thank you very much, and good day.

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Sub: Q1 FY26 Earnings Conference Call
with Analysts / Investors — Transcript.
With reference to the above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Conference Call for Q1 FY26 held on 29.07.2025.
The transcript of Q1FY26 Earnings Conference Call is uploaded on Bank's website
and the same can be accessed through below link:
httpsumanKotindia.coin/anaivst-conterence-call-transcript
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“Bank of India
Q1 FY’26 Earnings Call ”
July 29, 202 5

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P R Rajagopal, Executive Director
Shri Subrat Kumar, Executive Director
Shri Rajiv Mishra, Executive Director

Moderator : Good evening . Ladies and G entlemen. On behalf of Bank of India, it's an hono ur to welcome all our esteemed Analysts who have joined us in person as well as virtually. We are pleased to announce Bank of India's financial results of Q1 FY26. As you all can see, the dais is already graced by our MD & CEO Sir, S hri Rajneesh Karnatak Ji, who's flanked by the Executive Directors, Shri P.R. Rajagopal Sir, Shri Subrat Kumar Sir and Shri Rajiv Mishra Ji. So, thank you all for joining us to day. It's my hono ur and privilege to invite our MD & CEO Sir, Shri Rajneesh Karnatak ji to please address this gathering.

Shri Rajneesh Karnatak, MD & CEO : Thank you so much, Madam. Ladies and Gentlemen , Good Evening and welcome to today's Analyst Meet. As I share with you the financial results of the Bank for Q1 FY26, it is my pleasure to welcome each one of you for the interaction. Thank you for joining us.

As the world advances towards the later half of 2025, the global economy is tearing through a t epid growth environment emanating largely from trade tariff frictions and escalating conflicts. However, domestic growth underpinned by easing inflation continues to shield India from global headwinds. Its multidimensional economic framework combined with policy responsiveness, strong foreign exchange reserves, increased public capex and prompt trade diversification helps to sustain against the external shocks. Alongside , the RBI , through a combo of rate cuts, liquidity injections, strategic bond operations and digital infrastructure enhancements is actively stimulating the demand, easing credit costs and backing the fiscal stability. Together, these indicators have been contribut ing towards maintaining investor confidence and moderating the spill over impact of disruptions on growth and inflation. Rapid digitization and Fin -Tech collaborations are transforming operations and customer engagement in the financial world. Against this backdrop, the Indian banking sector is emerging more resilient endorsed by stronger balance sheets, higher capital adequacy and lower NPAs.

The key focus of our Bank will be enhancing customer experience through all channels and acquisitions of new custo mers consistently by providing innovative and niche services. This will lead to fortification of low -cost deposits, i.e. CASA and retail term deposits for sustainable credit growth. My speech will be divided in three parts for this coverage.

First part wi th respect to the initiative, second part with respect to the business parameters and third part with respect to the ratios and the profitability. On the initiative side, the first part within that is with respect towards banking for Vik asit Bharat. Here we have the first thing, Repo-linked Export Credit facility in Indian Rupees for Corporate borrowers to capture Export Credit business. We have devised the R epo

Linked Export Credit facility in Indian R upees for

Corporate borrowers. Second thing,
with a vi ew to support green energy initiatives and to expand our green finance portfolio, Bank has introduced BOI Star Energy Saver vendor finance scheme to provide tailored financial solutions to vendors executing residential and solar power projects.

Digital i nitiatives : Functionality for linking pre -sanctioned credit lines to the UPI platform has been implemented. This initiative aims to broaden UPI functionality by allowing transfers to and fro m pre-sanctioned credit lines in addition to the traditional depos it accounts. For driving paperless banking, a new next -gen document management solution is being implemented with enhanced customization and complete data migration.

On the HR initiatives, during Q1 FY26, the Bank has rolled out the next step of Project Saksham, which includes selection of sector champions. The project has been undertaken to improve every employee's sector -specific knowledge and to develop financial solutions for cluster -based finance, more particularly for the MSME segment.

Second, a n ew rewards and recognition policy, BOI Star Grace, has been introduced to enhance employee engagement, motivation, and satisfaction while aligning individual and team performance with the Bank's strategic objectives. And the third one being the revamped job family policy . Job families will be closely aligned to the Bank's learning and development initiatives, including customized training and mentorship programs at our Centers of Excellence.

As regards the business initiative, business part is concerned , the first being global business has grown by 10.37% from Rs.13,64,000 crores in June '24 to Rs.15,06,000 crores in June '25 with an incremental growth of more than Rs.1,41,000 crores. Global advances have increased by 12.02% on a YOY basis from Rs.6,00,00 0 crores to Rs.6,72,000 crores in June '25 with an incremental growth of more than Rs.72,000 crores.

Global deposits have increased by 9.07% on a YOY basis from Rs.7,64,000 crores to Rs.8,33,000 crores in June '25 with an incremental growth of more than Rs.69,000 crores. Domestic gross advances have increased by 11.24% on a YOY basis from Rs.5,08,000 crores to Rs.5,65,000 crores in June '25. RAM advances have increased by 16.69% on a YOY basis from Rs.2,81,000 crores to Rs.3,28,000 crores in June '25 const ituting 58% of the total domestic advances as on June '25.

Domestic deposits have also increased by 9.62% from Rs.6,48,000 crores to Rs.7,10,000 crores in June '25. CASA has also increased on a YOY basis from

Rs.2.75 lakh crores to Rs.2.82 lakh crores as on June '25 with an incremental growth of more than Rs.6,000 crores and the CASA ratio has stood at 39.88%.

As regards the key profitability and asset quality things , Operating profit has improved by 9% on a YOY basis and stood at rupees Rs.4,009 crores for Q1 FY26 as against Rs.3,677 crores in Q1 FY25. Net profit has increased by 32% on a YOY basis and stood at Rs.2,252 crores for Q1 this year as against Rs.1,703 crores in Q1 of FY25. Slippage ratio has stood at 0.33% in Q1 FY26 as against 0.35% in Q1 of FY25.

Credit cost has also improved to 0.68% in Q1 FY26 as against 0.85% in Q1 for FY25. Non-interest income has increased 66% on a YOY basis and stood at R.2,166 crores as against Rs.1,302 crores in Q1 FY25. There has been improvement in asset q uality with reduction in both Gross NPA and Net NPA ratios. Gross NPA ratio has improved by 170 basis point s on a YOY basis to 2.92% in Q1 FY26. Net NPA ratio has improved by 24 basis point s to 0.75% in Q1 FY26. As regards Provision Coverage Ratio is conc erned, it has improved to 92.94% in June '25 as against

92.11% in June '24.

As on June '25, Bank's CRAR has improved to 17.39% from 16.18% as on June '24. In tune with growth of the global economy, the guidance for global advances growth will be at around 12% to 13% and the global deposit growth would be at around 10 % to 11% in FY26. The key focus area will be low cost deposit mobilization for protecting our net interest margins and increasing the high yielding advances for consistent growth in the busines s with emphasis on digital initiatives, improvement in asset quality and arresting the slippages.

The endeavo ur of the Bank will be increasing efficiency and profitability along with the focus on compliance and better corporate governance. I would like to thank all of you once again for your continued support. The floor is now open for discussions and question and answers. Thank you so much.

Moderator : Thank you very much S ir. We are open now for the questions. The representatives would be handing over the mics to you. Kindly raise your hands and please stick to two questions at a time. Yes, kindly introduce yourself and your organization.

Mr. Bhavik : Thank you. Hi team, thanks for the opportunity. This is Bhavik from Incred Capital. I have a few questions. S ir firstly, as our net NP A is down to 0. 75%, how far do we go to reduce this further? Any target for this year and credit cost guidance? I'll follow up this with few questions after you answer.

Shri Rajnish Karnatak, M D & CEO : As far as the credit cost is concerned, see we have shown a credit cost of 0.68%. In March , we had a credit cost of 0.76 %. As far as the guidance on credit cost is concerned, we are giving a guidance at around 0.70 % for FY26.

As regards the oth er question , it was with respect to the net NP A. Yes, we have improved our net NP A also, we are presently at 0.75 % as against 0.99 % in Q1 of FY25. So the guidance for net NP A is also 0.70% that we are giving.

Mr. Bhavik : Okay, so the 70 basis point of credit cost partly is because of reducing the net NP A. And Sir, what has been the interest on IT refund this quarter versus last quarter? Interest on Income Tax refund.

Shri Rajnish Karnatak, MD & CEO : Income Tax refund. This quarter we did not have any Income Tax refunds.

Mr. Bhavik : Okay. And Sir, the recovery from written off accounts was quite muted this quarter . Any guidance for the full year and how should we think about the Treasury gains? Very strong this quarter. Do we assume that 70 % to 80% of the Treasury gain is done for the year?

Shri Rajnish Karnatak, MD & CEO : As far as the recovery from written off accounts are concerned, see in Q4 FY25, we had some three lumpy accounts in which we had recovery because of which you see a very big figure i n the Q4 number as far as that is concerned.

So this time as far as the recovery from the written off account s was concerned, it was not that kind of big ticket accounts which were there. So that is why you are seeing a muted number over there. The second part is with respect to the Treasury gains. Yes, this quarter has been a good Treasury income for us. And as y ou are all aware that when the rates are coming down, then the Treasury makes some profits over there. And during this time, there was not much of margins as far as the advances was concern ed because of the reduction in R epo rate and that 60% of our advanc es are EBLR - External Benchmark Linked.

We expect that in the coming quarters , in Q2 and Q3 , this thing would improve, start ed improving now that we are expecting that the transmission of interest rates particularly on the liability side would be happening . The rate cuts on the

deposit side started
happening from the month of October 2024. So , the one year cycle will get completed in October 2025. So with the next quarter going forward, we should be expecting the

transmission in deposit rate. And once th at happens, both the net interest income and the net interest margin would start improving.

Mr. Bhavik : Okay, Sir. Thank you so much. I will just come back in the queue if I have any more questions.

Moderator : Yes, thank you very much. I have got a qu estion online from Mr. Nitin S.

Dharmawat from Auram Capital. Can the Ad factors team put him through?

Mr. Nitin Dharmawat : Good evening and thank you for the opportunity. Sir, I must first congratulate you for the improvement in all important asset qual ity parameters in this quarter including Gross NP A ratio, Net NP A ratio, PCR, slippage ratio, credit cost.

But as we know that this comes at a cost, our ROA has come down now to 0.82% from 0.98% in the previous quarter. So what will be the guidance for ROA for the full year and when we are expected to reach at least 1% ROA and what will it take to be there?

Shri Rajnish Karnatak, MD & CEO : As far as the ROA is concerned, we have shown a ROA of 0.82% in this quarter. If you see the ROA for the whole of last year , it was 0.90% and for the Q1 of FY2 5 i.e, 30th June '24, it was at 0.70%. So , we have improved t he ROA by nearly 12 basis point s as far as the ROA is concerned. But we are giving a guidance of around 0.90% for FY26 only because of the fact that the net interest income and net interest margins are u nder pressure in this financial year. So we are givin g a guidance of 0.90% for FY26.

Mr. Nitin Dharmawat : Thank you, Sir. And my next question is, when are we expected to reach at least 1% ROA and what will it take to be there? Just a follow -up question on this only.

Shri Rajnish Karnatak, MD & CEO : See, if you see the data in Q4, we were very near to 1%. In fact, we were at 0.98% in Q4 of FY25. So , this year, once this stabilization of the interest rate happens and the passing on of the interest rate happens on the liability side and the NI I start im proving , net interest income, definitely we will be in a much better position to give you a guidance when we will be reaching that 1% mark.

Mr. Nitin Dharmawat : My next question is, Sir, our Cost to Income ratio has gone up by 300 basis point quarter on quarter. So what are the reasons for this? Where it is likely to stabilize? It is right now at 51.47% versus 48.53% in the previous quarter.

Shri Rajnish Karnatak, MD & CEO : Cost to Income ratio, we are at 51.30%. If you see our Q1 numbers of the previous year, at that time it was 51.47%. The guidance that we are giving it is at around 51% for the simple reason that Q1 normally the income is muted in the books and the interest expenses are also there. So with the ensuing September and December qua rter, we expect that the credit flow will improve, interest income will start coming to the Bank and the Cost to Income ratio would also get moderated.

Moderator : Thank you, Mr.Nitin, for joining us. Yes, Ch oksey sir.

Mr. Sushil Choksey : Good evening. Congratulations on very stable number in challenging times led by liquidity and global uncertainty. The monsoon has been very good. Seems that global tariff challenges may get over. India still needs to figure, but most of the geographies which do global t rade is

already in the list with tariff number.
We have done well on RAM. So first is how is visibility on RAM led by the India positive factors and retail growth is likely to exceed the market expectation and what is the yield on RAM plus?

Shri Rajnish Karnatak, MD & CEO : So as far as the RAM is concerned, as you have seen that we have grown well in the RAM advances. So the Y oY growth also has been more than 18% in the RAM segment. And if you see the entire component of the book, our RAM component is at around 58% of the portfolio and the remaining being Corporate advances. And with the kind of growth that we are seeing in the R AM book and the kind of pipeline that we have.

So, we have a pipeline of around Rs.80,000 crores as we speak. Out of that Rs.80,000 crore , Rs.10,000 crore plus is the pipeline in the RAM segment and remaining is in the international and the domestic Corporate book. So , we would be growing our domestic Corporate book also quite healthy, but nonetheless , I can say that the component of RAM and Corporate would be at the same level at around 58% and 42%.

Mr. Sushil Choksey : Sir, my next question is we have done exceedingly well compared to most of our peers in CASA. I'm sure that Bank has taken a lot of initiative led by technology, Tab banking and various things. Do we see accelerated performance where CASA is concerned despite challenging times led by initiati ves at Bank of India or they should be stable between 38 to 40%?

Shri Rajnish Karnatak, MD & CEO : So internally at the Top Management side, we are targeting that we should be at 40% for FY26. So, that is the CASA growth that internally we are targeting within ourselves that our CASA percentage should be 40% in FY26 when we close the financial year. This time also, if you see in this quarter, we

are shade below 40%. There was a lot of pressure as f ar as the CASA numbers were concerned in the entire banking system.

To just give you a number that we are still sequentially above the March number in the CASA , as far as CASA is concerned. So incrementally, if you see on the YOY side, we have grown by ar ound Rs.6,700 crore CASA on a YOY number. Lot many initiatives we have taken within the Bank for improving the CASA numbers and the Resources Department is working quite efficiently over there.

We have now designated Relationship Managers. We have a thous and branches which are High Networ th Individual branches, key branches. And then we have a lot of digital initiatives which we have taken on the CASA. We have opened 2 11 new branches in last financial year . 201 new branches will be opened in this financia l year also. So all these initiatives taken together, we are very confident that we'll be able to sustain our CASA numbers and to meet with the credit growth, obviously we will be taking retail term deposits and bulk deposit also. Nonetheless, we will be t argeting , within ourselves , that we maintain the CASA ratio at around 40%.

Mr. Sushil Choksey : Sir, most of the bankers in the Q&A are indicating that at the back end of the year, we should have quarter to 50 bps and majority say two cuts, not one cut. Keeping that in mind with our deposits getting repriced mostly in Q2 or Q3 year on year basis, how do you see T reasury and yield on most of the advances panning out over the period of year?

Shri Rajnish Karnatak, MD & CEO : At present, already there has been a 1% Repo rate cut from 6.5 % to 5.5%. And in the short term, we do not see any further Repo rate cut coming because for the simple reason that enough liquidity is there in the system. So when we see yesterday, there was a liquidity of more than Rs.2 lakh

crores. And
there already has been announcement from RBI side with respect to the CRR cut. There also 1% cut has happened, which will com e effective on the 6th of September in four tranches. Again, there will be liquidity coming into the system.

In the short term, we , from the in -house , do not expect that further Repo rate cut would be there. And we expect that the transmission of deposit rate to be happening in the Q2 and more so in the Q3 quarter. And then the NIM s should stabilise and start improving from the Q3 quarter.

Mr. Sushil Choksey : Sir, specifically le d by RAM and the initiative which you're taking for betterment on TAT, what kind of digital spend and spend on human resource and connected whereby the Bank's performance improves and your C ost to Income ratio gets more rationalised or stable compared to w here we are?

Shri Rajnish Karnatak, MD & CEO : Just to follow on the previous answer, I would like to add one more thing that we have also opened nearly 20 Emerging Corporate Credit Branches. So , we are focusing on our Emerging Corporate Branches also in mid Corporate advances , also emerging Corporates which will become Corporates. From there also , we are getting good traction and the pipeline which I said of Rs.80,000 crore also includes the pipeline which are coming from the Emerging Corporate Credit Branches because th at is where we see the margin for the Bank because there we can lend at MCLR rates, there we can get better LC , BG commission, better process fee, better upfront fee. So that is one strategy to improve the margins for the Bank. That is one part. Second thing is with regards to digital initiatives are concerned.

So, there I can tell you that more than one lakh crore of underwriting which has happened during the last 12 months , has been on account of the fresh sanctions throu gh the digital initiative. So , already our RAM book either whether it is Retail, whether it is Agriculture, whether it is MSME, they are on the digital platform. If you see our presentation also , nearly 20 products are there in the RAM segment which are under the digital mode.

So, the sanctions are going on the digital mode. Liability side also many products , in fact, six products are there on the liability side which are automated under the digital. So, a lot of initiatives we are taking on the digital side to build operational efficiency , number one, to build in the kind of platform wherein the branches are less burdened with the footfalls which are happening at the branches and the customers are able t o do the transaction through the digital mode, through mobile banking, through internet banking.

So, this is a clear initiative as far as the spending on IT is concerned. We are seriously spending on IT not only on digital but also on the technology part itself and also on cyber security. Last year we had had a budget of nearly Rs.2,000 crore out of which we were able to spend nearly Rs.1,850 crores.

This year again , we have kept a budget on IT , digital and cyber security , of nearly Rs.2,000 crore and ag ain this year we'll be spending majority of the money to build more operational efficiency within the system so that more we go into the technology and automation so that there is less burden on the staff and they are more focused on sales and marketing.

Mr. Sushil Choksey : Sir, in my first question I'd indicate d the yield on RAM should be 9% or better?

Shri Rajnish Karnatak, MD & CEO : Yield on RAM i s 9% plus. In fact , it should be somewhere more than 9% only. The best in class housing loan ROI we are giving to the customer which is rated 840 and above CIC score is 8%. So, that is the lowest we are giving . Otherwise our rates are above nine percent . So in RAM , we are expecting a rate yield to be more than 9%.

Moderator: Sir, I'll just take one online question. This person is waiting since long time. He is Mr. Dheeraj.

He is a retail investor and he has put the question that the Bank has reported Rs.1,160 crore worth fraud cases with 100% provision. What specific controls fai led and what measures are being implemented to prevent recurrence? Also can you clarify how many of these were internal control failures versus external frauds and any staff collusion?

Shri P R Rajagopal, Executive Director: Mr. Dheeraj , if you're liste ning, my answer is this. This time what has happened is , there was a Supreme Court judgment which came up , which said that in all those cases wherever the Bank has already declared fraud we have to again re -examine and then see whether there is a fraud or not. So this Rs.1,500 crores that we have declared this time is actually a re -examination of the earlier frauds and again reaffirmed as frauds in the Bank.

There are no internal control failures as such . Most of them are credit related frauds where , in terms of RBI definitions and all , this became a fraud. So , there are no operational frauds as such in the entire Rs.1,500 crores that we are talking , about Rs.700 crores one big account , another is Rs.600 crores plus , more than 94% of these frauds are all credit related frauds which are already declared as frauds in the previous years which again have been reaffirmed this time.

Mr. Ashok Ajmera : I'm Ashok Ajmera, Chairman A jcon Global. Sorry , we got terribly stuck i n the BKC traffic to come from St. Regis. Of course , I don't know how these people made it . They must have immediately left. We had an interaction with the MD.

So having said that Sir, on this fraud point only , that those accounts which were reviewed I m ean where the client was called and that process was completed the outstanding was only Rs.40-50 crores outstanding balance , whereas the total fraud outstanding in this quarter is much much higher for which also you have made 100% provision. I would just l ike to know that in this quarter how much provision on account of fraud we have made which has gone to provision in P&L account.

Shri P R Rajagopal, Executive Director: That I'll give you exactly but basically what has happened is already these provisions were held in these accounts. So they were again carried during this quarter that's all . See Rs.1,500 crores of accounts they already had provisions , we never reversed it. So , after reaffirmed again these provisions are carried from the earlier quarters that's all.

Mr. Ashok Ajmera : I'll take it offline because in this quarter also there are fresh frauds for which also you are saying no fresh frauds .

Shri P R Rajagopal, Executive Director: There is only 30 crores worth of fresh frauds are t here.

Mr. Ashok Ajmera : That's what only I just wanted. Sir , of course first compliments on a very good business growth , I mean , in this difficult times . Other people also might have complimented you for good business growth , good I mean , coupled by cred it and deposit growth . At the same time , good asset management , even our GNPA and NNPA have also gone down , well provided for . Having said that , there is some additional or extra pressure on the operating profits. I th

ink by about 850 odd crores
the operating profit vis -a-vis the last quarter not the sequential quarter.

So and out of that , again 500 crore is off setted by decrease in the salary i n this quarter if you take it from the March quarter and something added by the lesser recovery from the written off account s which is also substantial vis -a-vis the last quarter. So what I would like to know number one , the reduction in the salary which i s shown which is there in this quarter whether this is going to be the run rate for the remaining three quarters as far as the salary is concerned so that we can take it as the normal expenditure and nothing of March is going to spill over here. So this is num ber one.

Number two , again recovery from written off account s. Of course I can understand , in Q1, there is a slackness but going forward , what is our target for the whole FY 26 for recovery from written off account s as well as there is a pressure on the recovery of the cash recovery also , I mean if you look the NPA sheet , so there also so overall what is the total recovery target for the FY 26 , out of that how much is from the written off account s and the normal recovery and upgradation which is there . I think for the first time, after many quarters , we have gone below 40% in CASA. So again is it one o ff quarter , will we regain that 41 %, 42%, 42½ % in the coming three quarters and one more if I can add on is something on fresh slippages which in the first quarter in the sum of the other Banks is much much lesser than the March quarter. In our case, it is almost the same.

I think Rs.2,100 crore , rather a little less than the March quarter, Rs.2,149 crores. So , on the overall colo ur on the slippage for the whole year . And whether any SBLC commission is there in this quarter, which has been taken in the other income.

Mr. Rajnish Karnatak, MD & CEO : First of all, I'll reply the first thing, which is related to the staff expenses. In that, in Q4 of last fin ancial year, we had booked the expenses with respect to the provision for the PLI. So there is a Performance Linked Incentive from the DFS, PLI -1 and PLI -2. So the entire amount which we have to pay out to the staff, we have made the provision. So no more provision will be required for the last financial year FY25. So that is one part. That is why the inflated figure you are seeing in the staff cost in Q4 as against the Q1. So the run rate of staff expenses will be near to that number only in the ensuing quarters of Q2, Q3 and Q4.

That is the first clarification. Second is with respect to the operating profit. Here again, as you rightly said that there are certain items which were in the written off accounts, there was bulky item. There were three big ti cket advances wherein recovery happened in the Q4 of the financial year, which you can see that non -interest income had increased, which was not there in this quarter in Q1. But we are expecting that in Q2, there will be certain recoveries which will be co ming from the written off accounts. Number cannot be given at this moment. There will be certain recoveries coming from there and also from the accounts which are NCLT accounts in the Q2. That will be there. And again, the operating profit will again ge t improved, as I said, with the transmission of rates happening and with the deposit rates coming down and the interest expenses coming down starting from this quarter more . We should be seeing improved net interest income from this quarter, which will help us to improve the operating profit going forward.

So that is another part. The third part is with respect to the recovery. Last year, w

e had
done a gross cash recovery of nearly Rs.9,500 crores. So this year, internal target is that we should do a re covery, gross cash recovery, which includes recovery from written off account, which also includes recovery from UCI and URI, which is the interest which has been applied somewhere at around a similar figure of around Rs.9,500 crore. So with that kind of r un rate with a gross cash recovery of 9,500 crore, again this year, we should be able to give a very good numbers as far as the gross NPA ratio, net NPA ratio and the PCR is concerned.

As regard s the CASA percentage is concerned, you are very right that w e have dipped below 40% after a long time. And but you should appreciate the fact that there have been many banks which have been facing further more challenge than us. In fact, if you see the numbers, if you see on a YOY number, we have grown by nearly 3 % on CASA, which is a rare thing today. And if you see , sequentially also our CASA number

is above our March number. Our June number of CASA is above the March number. So we have been able to maintain that CASA number which is there. So as far as the dip is concerned, had we not grown our credit to the extent 11 -12% of credit growth, which was there. So then we would not have raised the deposit also then we would have been able to maintain the CASA also percentage and it is just below by only 20 basis poin t. We have dipped below 40% by nearly only 20 basis point. However, if you see the overall retail deposit growth of the Bank is concerned , bulk deposit continue to remain within 14% which need to appreciate that in this tough environment. Our bulk dep osit percentage is still below 14% which means that our CASA percentage plus the retail term deposit is 86% of the entire domestic deposit. So , our entire franchise which is there for the Bank, which is 5300 branches and all our BC points or the other avenu es which we are utilizing as a strategy for increasing our resources , they have been paying well in spite of the tough market and the tough challenge which is there as far as resource is concerned.

We have been able to maintain our retail deposits at 86% of the total domestic deposits. And as regards the f resh slippage is concerned , yes we agree that the f resh slippage has been more sequentially . If you see from Q4 , in Q1 it is higher. But if you see on a quarter on quarter basis , it was the similar kind o f number which was there in the Q1 of June 24 also.

So there I am not taking any excuse for that but the number has been the same . Normally if you see , for us , the Q1 is normally a bit muted as far as the collection efficiency is concerned. And once the s econd quarter comes , the collection efficiency improves and many of these accounts which have slipped in this quarter will get upgraded in the coming quarter , which got slipped in the Q1. So last year we had a fresh slippage of around Rs.7,600 crores. So this year , we are saying that we are giving a guidance of slippage ratio of 1.20% only.

Moderator: Thank you very much Sir . There is one gentleman awaiting online he is by the name Xhixu an Goh .

Mr. Xhixu an Goh: Hello am I audible . Congratulations on those results . I just have two questions . Number one is on the MSME SMA. Ca n you give some co lour on why SMA go up by 60% quarter on quarter ? Is there any specific account or what's the situation on the ground o n the MSM E segment?

Shri Rajnish Karnatak, MD & CEO : So what I could understand your question was with respect to the MSME portfolio and that too on the SMA number of the MSME . You are right , if you see the last year June 24 , the MSME SMA was Rs.1

,010 crore it has
gone up to Rs.1,630 crores . That is correct . But if you see over there the increase in

the SMA numbers is also because of the low collection efficiency which was there in the Q1 of this financial year so that is the basic reason why the MSM E SMA has gone up but we are very confident that in the coming quarter s in Q2 , Q3 we will be able to arrest this number and the collection efficiency has already started improving as we are at the end of July month and this number I think should be the pea k number as far as the MSME SMA number is concerned for the Bank.

Mr. Xhixu an Goh: I have one more question . Just on the guidance on 0.9% ROA for FY26 , what kind of yields are we assuming?

Moderator: I may interrupt in between Mr. Xhixuan , you are not audible . Your voice is not clear. I would request you to kindly text your question , I'll take it because we are not able to hear you properly right now.

Mr. Xhixu an Goh: Yeah I'll put in the chat box . Thank you.

Shri Rajnish Karnatak, MD & CEO : As far as the ROA is concerned , yes the ROA has come down to 0.82% in this quarter as against 0.90 % in the Q4 of the last financial year. But let me explain to you that in Q1 of last financial year , we were at 0.70 % so there has bee n an improvement of 12 basis point as far as the ROA is concerned . As far as the guidance for ROA is concerned , we are giving a guidance of 0.90 for FY26 and the dip in the ROA is also because of the main reason that there was lot of pressure on the net i nterest income and net interest margins so that is one of the main reasons why there has been a dip in the ROA from Q4 of FY25.

Participant: Your bulk deposit is about 14% . Can I know what is the cost of this bulk deposit?

Shri Rajnish Karnatak, MD & CEO : The weighted average cost our fixed deposit is around 6.98 %.

Participant: I am only asking for th e cost of bulk deposit.

Shri Rajnish Karnatak, MD & CEO : That figure we are not having at this moment. We can give you separately.

Participant: The question is, if the bulk deposit rate is high and your average deployment rate of advances is about 8%, then are you focusing more on growth or profitability? Because, if you are focusing on profitability , this bulk deposit number should be low . In fact, you should let go a lot of business which is not making sense to the Bank. So , NIMs are under pressure . NIM should not be under pressure.

Basically you have to understand that why is the stock trading at much below the book value because your focus is n ot on profitability , your focus is on growth. Thank you.

Shri Rajnish Karnatak, MD & CEO : As a Bank, we have to balance both the things. We have to balance the growth and also the profitability. So, when we say that bulk deposit , let me give you a data . When I say that our bulk deposit is less than 14% , it is one of the best in the industry among the Public Sector Banks. Other banks are having bulk deposit which is much higher than us. So when we say bulk deposit, it does not mean that it is at a rate wh ich is higher than the normal deposit rate, it can be at the same rate at which the market liquidity is working at . So, that is the only thing which is there. We have very strong relationships with some of the central PSUs, the state PSU, Central Governme nt and State Government , where we are having salary accounts and other accounts where we get bulk deposit cheques over there of Rs.100 crore , Rs.150 crore that we cannot refuse because there is an existing relationship going on with that PSU - central or s tate PSU. We have to continue with those relationships and by not taking that deposit if they are offering the deposit say Rs.150 crore or Rs.200 crore, if they have surplus liquidity with them .

So, as far as the trade -off between this growth and this margins are conce rned, I can say that, if you see our Corporate book , we have de -grown our Corporate book by Rs.3,000 crores. When I say that we have de-grown Corporate book by Rs.3000 crores , you can also see that on a YoY basis, there has been a growth in Corporate of around 3 to 4% only. What has happened is that there have been quite a few advances , at least where we have left the outstanding because the rates were very fine and we did not want to grow the book just because we want to grow the book and the margins are not there. We have shed some of the bulk advances, Corporate advances over there . However , having said that let me also tell that we have a pipeline of nearly Rs.80,000 crore , of which the RAM pipeline is around Rs.10,000 crore and remaining is the Corporate pipeline. We are tr eading a very fine line between our growth and margins and both we have to balance when we are when we say that we are a Public Sector Bank and one of the large banks we have to balance both the things - growth and the margins.

Shri P R Rajagopal, Executive Director : One thing I would like to add to your comment is bulk deposits; basically is only 25% of the total term deposits even if you take into consideration only the term deposits , the weighted average term deposit rate that you know our MD has just told.

Actually it is as good as the bulk deposit rate. So what happens is, bulk deposit is not picked up in one go. It is actually picked up over a period of time depending upon at what rates the same are available in the market . It averages around 6.9 0% even for retail deposits . The rates are very in high in retail deposits in most of the banks. Their weighted average term deposit is also very high for a very simple reason that the market doesn't make a very great difference b etween retail deposits and bulk deposits . Bulk deposit is actually a function of market . If there is a liquidity issue, we'll continue to actually r aise at a higher rate. So , point is, you know, your point is taken, the spread, as you rightly say, the int erest spread that we talk about should be at least 3%. So , we are trying to achieve that on a continuous basis so that, you know, our profitability improves. We have been trying to do that. It is actually a one -off quarter where the interest spreads have n ot actually gone up because the liability rates have not come down. So , we have reduced the liability rates and then the passing on effect will happen in the second quarter and third quarter. Once it comes, interest spreads go up. So today my interest spreads continue to be at around 2.8 0% or so. So we need this 3%, maybe in September, maybe in December. Then automatically my profitability goes up . So overall, you have to look at on an annual basis, quarter on quarter, there will be aberrations.

Participant : Rajagopal, Sir, the point which you are making is that the retail term deposit rate is almost equal to the bulk deposit.

Shri P R Rajagopal, Executive Director : That is the situation today.

Participant : No, I mean, that is 6.9% for retail term deposit and 6.9% bulk deposit.

Shri P R Rajagopal, Executive Director : That is how it is. That is how the market is.

Participant : Thank you. Tha

nk you very much.

Moderator: Sir, there is one more gentleman who has joined virtually by the name Mr. Jay Mundra. Gauri kindly put him through.

Mr. Jay Mundhra: Hi, good evening. Thanks for the opportunity. So first question on NIM and, you know, like you mentioned that there is no interest on IT refund, but if you can specify, what was the amount of NPA recovery in NI I and how do you look at net interest margin going ahead, assuming there is no rate cut from here onwards?

Shri P R Rajagopal, Executive Director : NII recovery, see, basically the net interest income, so again, coming back to your point, Jay, you know, I had just answered earlier, if you see the NII is a function of both the liability price as well as the asset price. Now, on the liability side, I have already told that, you know, the pricing that we do on the liability side is yet to actually come down. And even though we have actually reduced the prices, it has to get passed on.

Rate t ransmission takes a little time in liabilities. You know, it may take place in December. That's what we are expecting. Maybe September, there'll be some runoff in the liability prices, in terms of liability cost as well as pricing. And by Dece mber, we'll be able to actually achieve a good interest rate. Once interest rate comes down in liabilities , then naturally your net interest income also goes up.

So recovery will happen in December. And accordingly, in terms of NIMs also, recovery will ha ppen in December. If you look at my domestic NIMs, we did not see a lot of erosion in domestic NIM. We had around 2.91 % last corresponding quarter. Now , we are at around 2.82 %. Around 8 bps erosion was there. And that is precisely because liability prices are actually yet to kick in. And then my liability cost also is yet to come down. It'll take maybe another quarter for me to actually achieve that.

Mr. Jay Mundhra: That is right, sir. But assuming all this thing play out, I mean, of course, this thing will play out, that your cost of liability will come down with the lag. And asset pricing has already started. But based on your best guess, the 2.55% margin, how should it behave? I mean, in next quarter, it will go down, and then it will recover. So wh at would be your guidance on the NIM for the full year?

Shri Rajnish Karnatak, MD & CEO : As far as the NIM is concerned, see, we are showing a NIM of a global NIM of around 2.55%. And the domestic NIM within that is 2.82% as on 30th of June. So when we say the guidance for FY26, let me say that we have bottomed out as far as our NIMs are concerned at 2.55 %. And as far as the guidance is concerned, we should say that it should be in the range of between 2.5 0% to 2.6 0% for the FY26. I'm saying that because of the fact that as far as the liability side is concerned, the repricing will start happening, not everything has happened. And the reduction in the pricing in the liability side started from October ‘24, and the cycle should get completed by October ‘25. And once that gets completed, Q3 and Q4, these are the full quarters where we should see actually the cost of deposit coming down for the Bank. So from there onwards, we should be seeing improvement in the NIMs and the net interest income for the Bank.

Moderator: Thank you very much, Mr. Mundra, for joining online.

Shri P R Rajagopal, Executive Director : Jay, was there a nother question? Jay, are you there online?

Mr. Jay Mundhra : Sir, I am here.

Shri P R Rajagopal, Executive Director : Did you ask abou t what is the interest component that we could get from the recovery as part of NII? Did you ask that question?

Mr. Jay Mundhra : Yes, sir.

Shri P R Rajagopal, Executive Director : One thing that I can tell you is, you know, in the first quarter, it is always muted in terms of interest income, contribution to interest income through recoveries. So over a period of the whole year, we get average around Rs.1,300 crore to Rs.1,400 crores of interest income in the whole year because, you know, we keep recovering from the written off accounts also. So average recovery in written off accounts also goes up, then cash recovery also goes up, which actually contributes to my interest income. So it will get restored in December and March quarter. So that is what, but it will not be a major contribution. What I am looking at is major contribution will come through the core spread that we talk about in terms of the asset and liability prices.

Mr. Jay Mundhra : Sure, Sir. So just to conclude, Sir, you said that 2.55% margins have almost bottomed out, right? And then it should start recovering.

Shri P R Rajagopal, Executive Director : See, you should distinguish between global margins and the domestic margins. So our global margin is always less because, you know, we have a lot of global presence. We almost have around 18% of the book in global. So naturally, you know, our NIMs global ly will be less, but, you know, we will actually be able to achieve at around 2.7 0%, 2.8 0% globally, whereas, you know, domestic MIMs will be around 3% and will kick back again, maybe in December and March.

Mr. Jay Mundhra Thank you so much, Sir, for tak ing my question.

Participant: Sir, first question is on the SMA2 book in the Corporate segment that has gone up quite materially, QOQ. So can you share which are these accounts which have moved and what is the expectation of recovery from there?

Shri Raj nish Karnatak, MD & CEO : So as far as the SMA2 book in the Corporate is concerned, it is there in the presentation. It is around Rs.3,900 crore s. There are around four accounts. And all these accounts are pertaining to one state PSU accounts, all of them. So they have moved to SMA2 category, but we are confident that there will be no further roll forward in that and they would, should not be becoming NPA, as we speak. So we expect that some recoveries will be coming in that , collection

will be coming in th at and we will be able to roll them backwards to at least SMA0 level.

So all these accounts were SMA0 in June 24, which have now rolled forward to SMA2 category, but we are confident that they will not slip and all of them are from state PSU.

Participant: And have you made any additional provisions on these accounts as of now?

Shri Rajnish Karnatak, MD & CEO : Additional provision for only one account we have made because of the RBI circular of 7th June , 2019. As per the RBI guidelines, only one account was eligible for incremental provision. So that we have made.

Participant : Understood. Secondly, the FVTPL book has almost doubled quarter on quarter from Rs.23,000 crore to Rs.40,000 crore. What is the reason over there?

Shri Subrat Kumar, E xecutive Director: So the thing is that what we have done, we created a book anticipating the rate cut and all that. And that is why we have increased our AFS book, a strategic decision on the part of the Bank.

Participant : Understood. Thank you.

Moderator: There are others waiting online. One Mr. Mohit Jain is there.

Mr. Mohit Jain : Good ev

ening, S ir. So I just wanted to reconfirm that you said the NIM has already bottomed out in the current quarter at around 2.55 % for the global NIMs. And going forward for the year, we expect it to be somewhere between 2.5 0% to 2.6 0% as the guidance.

Shri Rajnish Karnatak, MD & CEO : Yeah, that's correct. We have said that the NIMs have bottomed out for us at 2.55 %. If you see further into that, you see t he net interest income there. We have not done well in the net interest income side. In fact, it is minus 3%. So the Q1 has been a muted quarter as far as the interest income is concerned.

We expect that the Q2 and Q3 will be much better as far as the in terest income for the Bank is concerned. So once the interest income for the Bank improves and the outstanding in the advances improves, obviously, the net interest income and finally, the net interest margins will improve for that basic logic. And also th e fact that the transmission of deposit will also happen in the Q2 and Q3. With all these things in mind, we are saying that the 2.55 % global NIM is bottomed out for us.

Mr. Mohit Jain : And Sir, in case on the advances side, the transmission of the Repo cut has already been done in respect of those which were linked to the external benchmark. The entire 100 basis point transmission has been done or some will be done in Q2.

Shri Rajnish Karnatak, MD & CEO : No, no, it has been done on the same day when the Repo rate cuts has happened. Because , as per our Board approved policy, whenev er the R epo rate cuts, the same evening we reduce our interest rate and 60% of our book is Repo linked, external benchmark R epo linked. So that has been passed on immediately. So that is also one of the reason why there has been a compression in the net interest income and the net interest margin.

Moderator: Thank you, Mr. Mohit. Is there anyone sitting here who would li ke to put some question?

Mr. Ramesh Bojwani : Ramesh Bojwani from Mehta & Vakil. I was going through your presentation because I came in a bit little late. We were in the IO B meeting in the town and coming to BKC took more than an hour and a half.

The one thought which comes to my mind is RBI , with inflation coming well under 2% , is likely to reduce the Repo rate going forward further, maybe in August or maybe in October. And it has already reduced 1 00 basis point and another 25 or 50 is coming. So what is going to be the incisive impact on our NIMs , on our net margins and how do we balance, readjust our lending and balance the deposit rates with that?

Shri Rajnish Karnatak, MD & CEO : See, as far as the data is concerned, economic data and other things , the retail inflation is well in control. Monsoons are also quite normal across the country, right? And the demand side also there is no issue as far as the demand side is concerned.

Mr. Ramesh Bojwani Demand rural is good, but urban is poor.

Shri Rajnish Karnatak, MD & CEO Yeah, that is fine. But rural demand is the key factor for which overall demand is there in the economy. The GDP growth is also because of the rural demand also. Yes. And more or less it is also because of the consumption led economy which is there in the country.

So, keeping these factors into mind and more than that, ample liquidity there in the system. So , the Repo rate cut what the RBI has done, one of the major reasons not only for reducing the rate, but also to give li quidity in the system. So , if you see yesterday's data also the market had a liquidity of more than 2 lakh crores.

Apart from that, RBI has also cut the CRRs by nearly 1% and that will be effective from 6th of September in 4 tranches. That will also infuse liquidity of more than 2 lakh crores in the system . With that kind of liquidity in the system, our view is that in the short term, RBI may not cut the Repo rate because ample liquidity is there in the system. So with that thing in mind, we feel that what ever the R epo cut has happened , presently at 5.5 0% in the short term, it may not get cut.

Mr. Ramesh Bojwani : That is wonderful to hear. And how do we reprice when these cuts happen on our lending and deposits? It is with a lag period , I am understandin g. So deposit, maybe a quarter of a lag is there both in deposit as well as in the lending repricing of the rates, wherever it is open.

Shri Rajnish Karnatak, MD & CEO : Yeah. So there is always a lag as far as the deposit is concerned because the migration take some time to happen . So the interest rates which we have given , the fixed deposit that we have taken say in the month of August 2024, September and October, they w ill all come for repricing now.

Like we are in the end of July and now we are entering in the month of August. So , the interest rate cut started happening on the deposit side from October ‘24 when the liquidity started coming back into the system. And we fe el that once that starts coming, the deposit rates will be coming down. And once the deposit rates come down, then the interest expenses will come down and the net interest income will start improving for the banks. And that should start happening particu larly from the Q3 quarter of this financial year.

Mr. Ramesh Bojwani : Wonderful. And the second question was, Sir, you are a very big Bank and you lend to almost all the sectors as per your presentation also. Virtually every segment of manufacturing , services, NBFC is included. How are you reading the situation? I mean, the urban report is not very comfortable, but rural is very, very positive even when you have mentioned. So overall, how you read? And H1 is normally as powerful, H2 is the most powerful and most heav ily loaded going forward. So , how are you reading the situation? Will it be too early to say that are we kind of partially or somewhat entering into again a crisis or it is just a fear?

Shri Rajnish Karnatak, MD & CEO : No, as far as our ban k is concerned, as I told you that we have a very strong pipeline of credit, nearly Rs.80,000 crores. So , out of that around Rs.10,000 crores is RAM pipeline and the remaining Rs.60,000 to Rs.70,000 crore is the pipeline we have in the C orporate and the international book also, domestic Corporate and the international book. And we are expecting that the disbursements will be happening in the Q3 and Q4 quarters out of that. And once that

happens, obviously our credit growth will be there and interest income will also increase for the Bank. And as you rightly said that we have been giving credit, our credit growth in the RAM segment has been very robust.

As you see that we have been growing at a YOY pace of around 18%. Being a large Bank f or us and to grow at 18% is a good number, which is there. As far as the Corporate book is concerned, again, we are expecting that good growth will be there and it is across the segment, whether it is NBFC, whether it is infrastructure, whether it is to th e industry or to the new segmentation, whether it is data centre, whether it is for the green financing to the hydro or to the solar or to the wind. S

o all kinds of segmentation, EV funding also we are getting, all kinds of proposals are coming to us and there is a pipeline already created to that. So we are very confident as far as we are concerned that we'll be able to grow our Corporate book also. And the overall credit growth will be there for us to sustain and improve the interest income for the Bank.

Moderator: Thank you very much, Sir, I'll come back to you later, please, because there are others waiting online. Mr. Sunil Jain, Sir, he's waiting online.

Mr. Sunil Jain : Sir. I have a couple of questions. One, what is this exceptional item of Rs.518 crores? Second, what are the options now available with the Bank for recovery in the MTNL default? Is there some sensitivity or is there some discussion going on or will it be continuing in the same way like it is happening with , considering the public money has been involved? And third question is, our number of branches have been reduced by two compared to the previous quarter. In Metro, it has been reduced by two, while in the Rural it has been reduced by five. So what is our strategy here going forwa rd? Is it to rationalize some costs and focus more on the digital or we'll be having some more branches going forward? These are a couple of questions, Sir.

Shri Rajnish Karnatak, MD & CEO : As far as the branches are concerned, see we have like domestic branches, we are having 5304 branches out of which the Metro branches are 972 and Urban is 856 and Rural is 1901. So, last year we have opened around 2 11 branches in FY25 and this year we will be opening around 20 1 branches.

So, it is a mix of all Metro, Urban, Semi -urban and R ural branches where we will be opening the branches. That all depends upon our strategy at the local office, at the Zonal office level, where they see the potential of the deposit and advances growth. So typically when we are saying we are opening new branches, we are going for CASA deposit, retail term deposit and the RAM advances.

So, wherever we see potential happening over there in these three basic areas of banking, CASA, retail term deposit and RAM advances, we are going for opening the branches. So, as regards the recovery is concerned , yes, we will see a good recovery. As I said that last year we had done a total gross cash recovery of around Rs.9,500 crores, which includes some recovery from the big ticket advances, NPA accounts also.

This year also we are giving a guidance of having a gross cash recovery of the same level of it around Rs.9,500 crores. And there was one first question with res pect to one single thing, exceptional item.

Shri P R Rajagopal, Executive Director : Yeah, this exceptional item has come p ost RRB restructuring that the G overnment has done. We have actually been asked to hand over two RRBs to the other B anks, one to B ank of Maharashtra, another to Bank of Baroda. So , there were carrying value of the investment there and is not what we got in terms of price paid by this Bank of Baroda and Bank of Maharashtra. So , naturally the difference has been accounted for as an excep tional item to the extent of around Rs.500 crores, because carrying value is much more than what we have got paid. So that clarification you will find in note number 1 7 of our Notes to Accounts. If you can go through, you will be able to get that.

Shri Rajnish Karnatak, MD & CEO : And finally, I just clarify that, see, we had three RRBs, right? The first RRB was Ar yavart Bank, which was in UP that has gone. And in that there was a minus of Rs.849 crores, which is mentioned in the Notes to accounts. And then the second RRB was in Maharashtra , Vidarbha Konka

n RRB. In
that we had a plus of Rs.330 crores. So that was coming back to us. So the net figure is Rs.518 crores, which we have netted from the global book. So that is the minus Rs.518 crore .

Mr. Sunil Jain : Thank you, Sir. And the last of regarding MTNL default, what are we doing on that?

Moderator : Already a couple of questions turned into three questions. There are others waiting, would kindly wait, I'll come back to you later, Sunil. There w as one gentleman sitting here. Yes, you may ask.

Participant: Hi, Sir. Thanks for the opportunity again. Sir, in the EBLR book, how much would be T -bill linked? Do we have T -bill linked?

Shri Rajnish Karnatak, MD & CEO : See, as far as the EBLR is con cerned, we have only Repo linked. So we don't have GSEC or T -bill linked, all our portfolio as per the Board approved policy, it is all Repo linked.

Participant: Okay, so thanks, sir. And sir, either from RBI or internally, when should we expect the ECL guidelines to be effective for Banks?

Shri Rajnish Karnatak, MD & CEO : ECL guidelines , see, there is no clarity at present when that guideline will become effective.

Participant: Okay, okay. And Sir, if you can just give the average maturity of your term deposits and bulk deposit book, that will be very helpful. Duration of that. Range bound Duration.

Shri Subrat Kumar, Executive Director: See, normally bulk deposit you take for six months to one year. So duration will be roughly around seven or eight months, roughly I am saying.

Participant: And term deposits, the retail deposits?

Shri P R Rajagopal, Executive Director : They'll be of the same, because see, we have the core deposits between one to two years. So average duration is same as bulk deposit.

Participant: Understood, Sir.

Shri P R Rajagopal, Executive Director : That's what I was referring to when my dear friend has asked that question. Basically it is like that. Another thing, I wanted to clarify, because, you know, this bulk deposit and retail term deposit question you have been asking. See, basically the bulk deposit is abo ve three crores and it is based on card rates. So naturally, you know, we balance the payout in bulk deposits very efficiently in terms of managing cost based on whatever market prices are and based on our appetite to take or not to take. So , we take only when it is required to be taken, otherwise we don't take just like that. In terms of retail deposit, there will be flow. So that flow continues in terms of, but most of the m, it is in core portion, but in one to two years portion is the highest. It is across the banking system. It is like that. We always leverage short term funds with the long term. That's how the whole banking happens. The ALM is like that.

Participant: Thank you, Sir. This was very helpful. Thank you. Thank you very much.

Moderator: I'm taking this last question onli ne, which has come online from one Mr. Pradeep. The board had approved a fundraising plan of up to 20,000 crore in June 2025 through various debt instruments, including Tier I and Tier II bonds. However, there has been no updates on any issuance, prici ng or filing since then. Could the Management please clarify the current status of this Rs.20,000 crore program? Has there been any delay in pricing, regulatory approvals or market timing considerations?

Shri Rajnish Karnatak, MD & CEO : As far as the Infra bonds

are concerned, we have taken Board approval for Rs.20,000 crore for this financial year for raising these bonds. Presently , we have not decided when we will be going, but it will be definitely in tranches in Q2, Q3 and Q4, this Rs.20,000 crores o f Infra bonds. As far as the old one is concerned, present outstanding is around Rs.12,690 crores in the old I nfra bond, which we have raised. As regards the capital raising is concerned within that , the Tier I, Tier II, we have a Board approval of Rs.5,000 crores for this financial year FY26, in which Rs.2,500 crores is Tier I and another Rs.2,500 crores is Tier II.

Moderator: Thank you very much, S ir. Thank you all gentlemen for joining us today for this A nalyst meet and thank you, Sir, for this enlightening session. So till we meet again, thank you and goodbye.

Call: Oct 2025

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Tkl-f Ref. No.:HO:IRC:SVM:2025-26:273
fd7IT Date:27.10.2025
Sub: Q2/ Half year ended 30.09.2025 Earnings Conference Call
with Analysts I Investors — Transcript.
With reference to the above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Conference Call for Q2/Half year ended 30.09.2025 held on 17.10.2025.
The transcript of Q2/Half year ended 30.09.2025 Earnings Conference Call is
uploaded on Bank's website and the same can be accessed through below link:
https://bankofindia.co.in/analyst-conference-call-transcript
This is for your information and records.
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(Rajesh V Upadhya)
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"Bank of India
Q2 FY'2 6 Earnings Call"
October 17, 202 5

Management Team Represented by

Shri Rajneesh Karnatak, Managing Director & CEO
Shri P R Rajagopal, Executive Director
Shri Subrat Kumar, Executive Director

Moderator : Ladies and Gentlemen , Good evening and welcome to BANK OF INDIA Q2 FY26 results conference. I would like to thank you all for taking out time and joining us today. We have with us Shri Rajneesh Karnata k, MD & CEO, Shri P R Rajagopal, Executive Director, Shri Subrat Kumar, Executive Director and other Top Management team from Bank of India.
Shri Rajneesh Karnatak has been with Bank of India for more than two years and has

played a crucial role in steerin g the Bank towards growth and success. I would now request Shri Rajneesh Karnatak to address the gathering. Over to you, Sir.

Shri Rajneesh Karnatak, MD & CEO:

Thank you so much. Ladies and gentlemen, good evening and welcome to today's Analyst Meet. On behalf of the entire Top Management here from Bank of India, I share with you the financial results of the Bank for Q2 FY26.

It is my pleasure to welcome each one of you for the interaction. Thank you for joining us. As we advance into the second half of FY26, the country has delivered the fastest quarterly real GDP growth in five years.

For emerging markets like India, H1 FY26 has highlighted remarkable resilience and policy discipline. The RBI's calibrated monetary stance has played a pivotal ro le in sustaining the economic stability. It has rolled out a series of forward -looking measures including new digital payment initiatives and facilitating the rupee -denominated cross -currency trading.

With domestic GDP growth estimated at 6.8 0% for FY26, the Government , through its GST 2.0 reforms and the new Income Tax 2025 , has been instrumental in shielding India from the international macroeconomic challenges. This will support the economy in sustaining its growth momentum and strengthening its fiscal stability. In response to market developments, the Indian banking sector is emerging more resilient with stronger balance sheets and lower NPAs while effectively supporting businesses and households.

Our Bank is committed to balancing credit growth while increasing the low -cost deposits and ensure margin stability. At the same time, we are expanding our technology infrastructure to enhance operational efficiency and customer experience. This dual approach will position us to drive consistent profitability and build resilience in an evolving economic landscape.

My speech has three parts for coverage.

Initiatives towards Banking for Viksit Bharat

The first part being the various initiatives that the Bank has taken during the quarter.

1. Bank of India has launched BOI TradeEasy, a cutting -edge supply chain finance platform, aiming to significantly enhance access to working capital for MSMEs. The platform leverages the digital credit engine that automates the onboarding, conducts

real-time risk assessment, and ensures regulatory compliance, enabling MSMEs to secure loans within 30 minutes.

2. We have implemented a policy to waive off the minimum balance charges on all Saving accounts effective July 2025, promoting financial inclusion and convenience to account holders

, especially women, farmers, and low -income households.

3. The ‘Star Pravasi Deposit ’ scheme at the International Banking Unit (IBU) in Gift City is now o ffering NRIs a specialized fixed deposit product designated to cater to their unique investment needs. This scheme provides NRIs with tax -efficient, secure, and flexible deposit options in foreign currency or Indian Rupees.

4. The Bank has recently obtai ned clearance for establishing a Testing Center of Excellence to centralize and standardize the quality assurance processes as well as ensuring strict compliance with regulatory standards. This initiative will enhance the bank's ability to deliver high -quality, secure, and compliant banking ecosystem.

5. Employee Wellness Program has been introduced to offer 24x7 professional counse lling that supports employees' emotional well -being.

6. As the first in the industry, generative AY tutors have been develo ped and launched

at our Center of Excellence. It has been designed to simplify complex learnings and test policy concepts of officers through gamified lessons and quizzes and also real customer pitch simulations.

As regards the business initiatives, the g lobal business has grown by 11.83% on a YOY basis from Rs. 13,97,000 crore in September 20 24 to Rs.15,62,000 crore in September 20 25 with incremental growth of nearly Rs. 1,65,000 crore. Global gross advances have increased by 14.03% on a YOY basis from Rs. 6,2 2,000 crore in September 20 24 to Rs. 7,09,000 crore in September 20 25 with incremental growth of nearly Rs. 87,000 crore.

Global deposits increased by 10.08% on a YOY basis from Rs. 7.75 lakh crore in September 20 24 to Rs. 8.53 lakh crore in Septem ber 202 5 with incremental growth of nearly Rs. 78,000 crore. Domestic gross advances have increased by 14.73% on a YOY basis from Rs. 5.21 lakh crore in September 20 24 to Rs. 5.97 lakh crore in September 2025 .

RAM advances have increased by 17.02% on a Y OY basis from Rs. 2.97 lakh crore to Rs. 3.4 0 lakh crore in September 2025 , constituting nearly 58% of the advances in the September 2025 quarter.

Domestic deposits have increased by 8.53% on a YOY basis from Rs. 6.73 lakh crore in September 2024 to Rs. 7.30 lakh crore in September 2025 . CASA has increased on a YOY basis from Rs. 2.76 lakh crore in September 2024 to Rs. 2.86 lakh crore in September 2025 with an incremental growth of more than Rs. 10,000 crore in September 2025 and CASA ratio stood at 39.3 9%.

As regards the profitability and asset quality in the Bank, the Operating Profit stood at Rs. 3,821 crore for Q2 FY26.

Net Profit increased by 8% on a YOY basis and stood at Rs. 2,555 crore in Q2 FY26 against Rs. 2,374 crore in Q2 FY25.

Net profit for half year ended September 25 increased by over 18% on a YOY basis and touched Rs. 4,800 crore as against Rs. 4,076 crore in half year September 24.

Global NIM stood at 2.41% in Q2 FY26. Slippage ratio improved to 0.14% in Q2 FY26 as against 0.44% in Q 2 FY25. Gross cash recovery in Q2 FY26 has been 1.9x of the slippages during the quarter. Credit Cost s improved to 0.28% in Q2 FY26 as against 0.97% in Q2 FY25.

Non-interest income for half year September 25 increased by 15% on a YOY basis to Rs. 4,386 crore as against Rs.3,820 crore in FY24. Non -interest income stood at Rs. 2,220 crore for Q2 FY26.

There has been improvement in the asset quality with reduction in both Gross NPA and Net NPA ratios. Gross NPA ratio improved by 187 basis points to 2.54% in Q2 FY26. The Net NPA ratio improved to 29 basis points on a YOY basis to 0.85% only. Provision Coverage Ratio improved to 93.39% in September 25 as against 92.22% in September 24. As o

n 30th September 25, Banks' CRAR has improved to 16.69% from 16.63% as on 30th September 24.

In tune with growth of global economy, the guidance for global advances gro wth will be around 12 -13% and the global deposit growth will be around 10 -11% for FY26.

Banks' core objective will be to mobilize low -cost deposits to safeguard our NIM while simultaneously increasing yield on advances to drive the sustainable growth. Our concerted efforts will be to bring and improve the asset quality. The Bank's firm resolve is to enhance efficiency and profitability while maintaining st rict compliance and better corporate governance practices.

This will ensure sustainable value for all our stakeholders. I thank you all of you for your continued support. The floor is now open for discussion and question and answer. Thank you.

Moderator:
Thank you, Sir. We would now like to open this Analyst Meet for questions. Please raise your hands if you would like to ask a question.

We will proceed in an orderly fashion, allowing each person to ask up to three questions at a time. If you wish to ask additional questions, you will have the opportunity to do so after others have had their turn. Than k you for your kind cooperation.

Participants, you will notice a small icon on your screen, a hand sign. Once you press this, it will alert us that you would like to ask a question. We will go around one by one. The analyst asking the question will be unm uted. You will get a notification on your screen to unmute yourself. Kindly click on the unmute icon, identify yourself and the organization before asking the question.

For those who have joined us through audio call, request you to kindly WhatsApp my colleague M aimuna, Gauri or Viraj from AdFactors PR team, if you would like to ask a question. We will ensure that your questions are taken. Allow us a moment for the queue.

Moderator:
First, the first question is from the line of Mr. Nitin Dharmawat. Sir, y ou may unmute yourself and proceed. Nitin Sir, you may proceed.

Mr. Nitin Dharmawat :
Thank you for the opportunity . Sir, as we can see that there was some pressure on Net Interest Margin in this quarter. So what is the trajectory from quarter three onwards? And you have actually indicated this in the previous quarter. So can you please indicate that considering the changes in the interest rate that has happened from the regulator side?

Shri Rajneesh Karnatak, MD & CEO:
So as far as the NIM is concerned, if you see our NIM was 2.55% , global NIM , as on 30th of June 2025, which has come down to 2.41 % as on 30th September 2025. However, if you see our half yearly NIM, it is still at 2.48%. For the simple reason that the entire pricing change had to happen because of the Repo rate cut. The last cut of 50 bps which had happened in the R epo rate cut has been taken in this quarter, basically in the September quarter. However, on the liability side, the full repricing in the term deposit is yet to happen. And we feel that the entire repricing should happen in this quarter, in the Q3 quarter of FY26 .

So, I think that the NIM should start improving from the Q4 quarter onwards once this repricing in the liability side gets over, particularly as far as the term deposit se gment .

Mr. Nitin Dharmawat :
Got it, Sir. So Q3 onwards, we'll see some improveme nt and full impact will be from Q4 onwards. Is that a correct understanding, Sir?

Shri Rajneesh Karnatak, MD & CEO:
That is the correct way.

Mr. Nitin Dharmawat :
Okay, Sir. My next question is about ROA because that's one of the points we discussed this earlier. This quarter, we have seen some improvement in that. So what

will be the trajectory once we see the improvement in NIMs towards the end of the quarter? If you can give some guidance on ROA for the financial year, Sir.

Shri Rajneesh Karnatak , MD & CEO:
So as far as the ROA is concerned, we have closed the ROA at 0.82% as on June 2025 . And during this quarter , we have improved it by nearly 9 basis points to 0.91 %. And if you see on the half yearly basis, it is also at 0.87%. There also the imp rovement has been there. Considering the fact that the full impact of the improvement in the NIM may happen in the Q4, we are giving a guidance of around 0.90% of ROA for FY26.

Mr. Nitin Dharmawat :
Okay. Don't you think, Sir, this is little conservative considering the fact that we will be improving on NIMs in Q4. And we are already at ROA beyond 0.91 %.

Shri Rajneesh Karnatak, MD & CEO:
That's correct. But just to be on the conservative side, it is better to give a low estimation and overachieve that.

Mr. Nitin Dharmawat :
I got it, Sir. And, Sir, overall guidance for the financial year, if you can reiterate that, is there any change or we continue to maintain the same?

Shri Rajneesh Karnatak, MD & CEO:
So as far as the top lines are concerned, we will continue to remain the same. As I said in my opening remarks, the credit growth will be at around 13 % to 14% and the global deposit growth will be at around 10 % to 11%.

Mr. Nitin Dharmawat :
Got it. And my final question is, Sir, about the growth. Wh ere are we witnessing the growth , in which sectors w e are observing growth, domestic as well as global. And is there any sector where you see some stress is happening?

Shri Rajneesh Karnatak, MD & CEO:
As far as the growth is concerned, we have a pipelin e of more than Rs.70,000 crores, global pipeline, which is there. So if you see in terms of the global advances book of the bank, it is more than 10% of the global book, which is there. So as far as the segmentation of that is concerned, I can say that mor e than Rs.50,000 crores is coming from the corporate credit.

And we also have a healthy pipeline as far as the international book is concerned. And also R AM book also has a pipeline, a healthy pipeline of say of around Rs.20,000 crores. So we are seeing g rowth which is coming in the corporate book also.

If you see our presentation, we have grown double digit in the corporate book and nearly 19% as far as the R AM growth is concerned. So in all segments, whether it is Retail, Agriculture, MSME, Corporate, we are seeing healthy growth, which is coming. And with this kind of growth, which has already happened in the H1, we expect that the H2 should be even better.

Mr. Nitin Dharmawat :
Got it, Sir. Thank you so much. In case I have any additional question, I'll come back in the queue.

Moderator :
Thank you. Next in line, we have Mr. Bimal Panchal. S ir, if you could unmute yourself and proceed.

Mr.Bimal Panchal :
Yeah, my name is Bimal Panchal from Bimal Panchal & Associates. Congratulations for the robust performance and very good guidance for the current year. And just two or three questions.

What is the planned IT expenditure for this current year? And is there any plan of capital raising for equity?

Shri Rajneesh Karnatak, MD & CEO:
As far as the equity capital raising is concerned, we presently do not have any Board approval. Neither are there any plans for raising any fresh equity capital in this financial yea

r FY26. As of now, there is no Board ap proval for that.

As far as the IT expenditure is concerned, we have an IT budget approved for nearly Rs.2,000 crores for this financial year FY26. And we estimate that with the kind of technology transformation that we are going through, both in the IT for digital and also for cyber security, we'll be utilizing most of the budget.

Mr.Bimal Panchal :
Thank you, Sir.

Moderator :
Thank you. Sir, next question is from the line of Mr. Sushil Cho ksey. Sir, you may proceed.

Sushil Sir, you're unmuted. You may please proceed. We've lost him, Sir. We will join him back in the queue shortly. Next question is from the lin e of Mr. Vansh Solanki.

Mr. Vansh Solanki :
I am Vans h Solanki from RSPN Ventures. Sir , on NIM. You told that the Q3 will be still stable and there will be a much improvement in Q4. So, the guidance for 2.5 0% and 2.6 0%, which you have given in earlier conference will be maintained, right? Is there any chance that we will be more than the guidance?

Shri Rajneesh Karnatak, MD & CEO:
2.41%, we are already there as far as the global NIM is concerned. Half yearly NIM is at 2.48% for this H1 FY26. And as I said that the transmission on the liability side should get completed in this quarter in Q3 of FY26. And the improvement in the NIM should certainly start from the Q4 onwards.

Mr. Vansh Solanki :
Okay. And from last many quarters also, we are having a credit growth of 14 %-15% from many quarters. But still, we are giving the lower guidance of 12 %-13%, right?

Shri Rajneesh Karnatak, MD & CEO:
So, we are taking into account certain geopolitical things which are there. As far as the international scenario which is panning out, we are factoring that while we are giving the guidance. Because the guidance is for 6 months and hence that is for March 26. Because still the war situation is there at some of the places and geopolitical situation which is there. An d tariff situation is also there. So, keeping in mind all these things, we are giving a guidance which is a conservative guidance though we are growing more than that. Since this is an annual guidance, we are giving a guidance of around 12%-13%.

Mr. Vans h Solanki :
Okay. And the last one is on Credit Cost . In this quarter, we have very good reduction in the Credit Cost . So, will this momentum will continue or is there any one -off in Credit Cost?

Shri Rajneesh Karnatak, MD & CEO:

So, Credit Cost is a derivative basically of the fresh slippages and the slippage ratio which is there. So, if you see our fresh slippages, this time they are within Rs.900 crores. So, because of slippage ratio which has improved substantially in this quarter, the Credit Cost has also come down to 0.28% in this quarter. Because , whatever the provisions are required , they are required for only those Rs.900 crores of fresh slippage s which was there and which was much higher in the earlier quarter. That is why you see there has been a continued improvement in the Credit Cost from 0.76% which was there in FY25 to 0.68 % in Q1 of this financial year. And now coming down to 0.28 % and in fact for the half year it is 0.47% only. And we estimate that this Credit Cost should continue to improve for us. And the annualized Credit Cost should be somewhere at around 0.60 % as against the FY25 which was at around 0.76 %.

Mr. Vansh Solanki :
Okay, Sir. And the last question is on PSB mergers which the Government has recently announced. So, is Bank of India getti ng some notifications from the Government?

Shri Rajneesh Karnatak, MD & CEO:
We have no idea about that. Whatever we are reading is we are reading from the press only. So, as far as that is concerned, we have no idea about that. It is the Government which has to take the decision on this.

Mr. Vansh Solanki :
So, as of now there is no communication from the Government or any other things, right?

Shri Rajneesh Karnatak, MD & CEO:
Not at all.

Mr. Vansh Solanki :
Okay. Thank you. Tha t's from me. I will join if needed. Thank you.

Moderator :
Thank you. Sir, we have Mr. Sushil Choks ey back on the call. Sir, if you can unmute yourself and proceed, please.

Mr. Sushil Choksey:
Sir, Happy Diwali to Team Bank of India again. First question is, Sir, RBI came up with few notifications recently allowing M&A financing, share advance financing, IPO financing and many such enablers are there in place.

If I look at traditional Bank of I ndia many decades back, Bank of India had a large share where this business was concerned. And today this business of share advance and IPO financing is almost a double -digit yielding products. Is our Bank looking at this and this financing through Gift City and international and domestic branches?

Shri Rajneesh Karnatak, MD & CEO:
Thank you, Sushil ji. RBI has come out with the M&A guidelines. Earlier they were not allowing the M&A funding. Now that they have allowed that, definitely for a Bank like us which is into corporate lending, we are definitely interested in financing these merger and acquisition transactions not only from the domestic book but also from the international book. And why only Gift City, we may also do it from some of our internati onal branches, like New York, London, and Singapore, and the rest. So as far as this share funding and IPO is there, there also RBI has relaxed the guidelines and put some enablers for increased funding, as far as loan against shares and IPO is concerned. Since this is quite a safe advance, the way the equity market is improving over the quarters, definitely , we see opportunity for lending in this segment also.

Mr. Sushil Choksey:
So this product should be a CASA enabler, cross -sell in mutual funds, and also our

own products in mutual fund and third -party products. So the thing is that my personal belief is that if bank of your size and esteem capitalizes in it, I think , you will have almost incremental CASA growth, as well as business growth, where fee i s concerned. So, in fact, I see a robust profit coming from this segment, because private banks an d NBFC s are charging 10 %, 11%, and borrowing from you at 7 1⁄2 and 8%, because they are AAA or AA rated companies.

Shri Rajneesh Karnatak, MD & CEO:
Thank you for your suggestion, Choks ey ji. We are looking into these guidelines, and we'll be coming out with some product.

Mr. Sushil Choksey:
The third question is, what is your outlook on Treasury ? Is a Repo rate cut estimated, whether by December or March, based on the current WPI and CPI inflation?

Shri Rajneesh Karnatak, MD & CEO:
So the current situation, which is there with the interest rate scenario, we do not see much of the income coming from the Treasury segment. As far as the further Repo rate cut is there, we would not like to speculate on the RBI decision, what would come. But presently, we feel that in Q3, we may not see much of Treasury income coming.

Mr. Sushil Choksey:
No, I'm asking from a year -end point of view. I'm not looking at any particular quarter. As it is, I don't like to see quarter to quarter numbers

. I would rather see FY26 and
FY27 outlook from today's call, because GST cut, many such enablers which have come from RBI and Government, I personally see consumption may drive C apex as well as infrastructure growth for you. And that's why I personally feel it may be early indicators, but I see a robust pipeline because the team is quite aggressive on business.

Shri Rajneesh Karnatak, MD & CEO:
Yeah, as far as the sale from Treasury instruments is concerned, if you see our results, here also on the half yearly basis, we have increased on a YOY basis by nearly 26%, from Rs.896 crores to Rs.1,134 crores. So if this trend continues, definitely it will be more on a financial year basis. In FY26, should be much better on the 12 -month side over FY25.

Mr. Sushil Choksey:
And second, my last question on your digital spend, what kind of digital initiatives you have taken for co -lending and RAM? Because your RAM and retail growth is sho wing a very positive sign, and this can be a big ga me changer for Balance Sheet numbers where Bank of India is concerned.

Shri Rajneesh Karnatak, MD & CEO:
So far as digital is concerned, see, we are investing a lot in technology and IT. So when we say IT , it includes both IT, Cybersecurity, and also digital. So as far as the loan book, which we have created already on the retail side, Retail, Agriculture and MSME side is, out of the total domestic book, which is the RAM book, which is of nearly Rs.3,47,00 0 crore as on September, our digital book is somewhere around Rs.1,20,000 crores, which constitutes nearly 20% of our domestic loan book.

So, we are doing quite well as far as the products which are there. We have already given in the presentation, we have nearly 20 products w hich are there in Agriculture, Retail and MSME, in which we have gone digital. And a good book is getting created as far as the digital is concerned on the asset side.

Mr. Sushil Choksey:
Happy Diwali and best wishes for the year to come.

Shri Rajneesh Karnatak, MD & CEO:
Thank you, Choks ey ji, from the entire Bank of India Top Management. Thank you.

Moderator :
Thank you, Sir. Next we'll take a question that's coming from the chat window from Mr. Vinod Agarwal. His question is, any view on offtake of gold loans as gold prices have zoomed at all time high?

Shri Rajneesh Karnatak, MD & CEO:
As far as the gold loan is concerned, RBI has changed the guidelines. Presently , our gold loan book is at around Rs.40,000 crores. And if you see our domestic loan book at around six lakh crores, it is a healthy number which is there. And growth also we have seen in the Q2, par ticularly in the Q2 in the loan book as far as the gold loan is concerned.

Moderator :
Thank you, Sir. So next question we'll take from the line of Mr. Bhavik Shah. Sir, you may unmute and proceed.

Mr. Bhavik Shah:
A few questions, Sir. In our other income schedule, there is this miscellaneous item called other income that was Rs.822 crores this quarter versus Rs.463 crores last quarter. So why is such a sharp increase?

Shri Rajneesh Karnatak, MD & CEO:
Yes. Other non -interest income. Our CFO , Mr. Kumar is explaining thi s item.

Shri B. Kumar, C.F.O:
Sir, actually this other non -interest income, Rs.506 crore increase d to Rs.822 crore mainly because , in this quarter, we sold th e PSLC and the income , that is given in our notes to account , is around Rs.124 crore. That has been added in this other non -interest income. Beside s this, the penal interest which was collected earlier, is now being classified as penal charges, which have been there, now it got stabilized, that also has been steadily increasing.

As th e advances increase, to that extent th e penal
charges also has increased in this particular rate. Because of that, other non -interest income has increased quarter on quarter as well as Y oY also.

Mr. Bhavik Shah:
I understood, Sir. And Sir, can I get SMA 1 and 2 number including accounts which are of ticket size below 5 crore?

Shri Rajneesh Karnatak, MD & CEO:
SMA 1 and 2 number s including accounts below 5 crore ? We will share that separately , because , at present we have given in the pre sentation only the Rs.5 crore and above numbers. There, if you see that we have reduced those numbers from Rs.7,000 crore of last quarter , it has improved to Rs.6,100 crores. And in percentage terms, it is only 0.89% of the total standard asset.

Mr. Bhavik Shah:
Understood, Sir, how should we think about ECL transition? On transition, how much will be the impact?

Shri Rajneesh Karnatak, MD & CEO:
Our team is studying these guidelines. They have recently come and certain

clarifications will also be ca lled from the RBI because there are certain issues which are interpretation issues. But as far as the ballpark number is concerned, we feel that the impact on our CRAR should be at around 1% only.

We are having a healthy CRAR of 16.69%. And this year, we have already made a half-year profit of around Rs.4,800 crore. Our estimated net profit is around Rs.10,000 crores. With 1% CR AR equa lling to around Rs.4,700 crore, we feel that the incremental increase in the CR AR would be at around 2% in this financial y ear. And this would be at around 1% only because the effective date is 1st April, 2027, and the end date is 31st March, 2031. So five years has been given to the banks. So we feel that as a ballpark number, the impact should be at around 1% on the CRAR. That is our initial thought only.

Mr. Bhavik Shah:
Sir, are we looking to front -load the transition impact by higher Credit Cost s over the next couple of years? Front -load the transition impact by way of higher provisioning over the next few years.

Shri Rajneesh Karnatak, MD & CEO:
Okay, transmission of that. We are yet to take any call on that because it is too early to say on this thing, actually.

Mr. Bhavik Shah:
Understood , Sir. And Sir, if I look at your cost of deposits, it was 4.85% this quarter and 4.85% last quarter. But if I see your cost of funds, that has gone up sharply from 4.66% to 4.84%. Sir, what drove this? Sir, this is very unusual.

Shri Rajneesh Karnatak, MD & CEO:
So cost of fund, our September cost of fund is 4.85% on a quarterly b asis. And it was earlier also at around 4.85% only. And if you see on the half -year side, earlier it was for half -year September 24, it was 4.88%. It has come down by three basis point to 4.85%. But the cost of fund is also at similar number at 4.84% only, but for the half -year, it is further down at 4.67%.

Mr. Bhavik Shah:
Sir, what explains the difference on a quarterly basis from 4.66 % to 4.85 %, cost of funds?

Shri Rajneesh Karnatak, MD & CEO:
Our General Manager at Treasury is explaining the exact numbers.

Shri Uddalok Bhattacharya, GM, Treasury:
This is because of the CDs and refinance, cost of CDs and refinance, which we are paying.

Mr. Bhavik Shah:
Sir, I mean, this is like incremental CDs that we have taken this quarter, or how should I understand? What exactly happened?

Shri Uddalok Bhattacharya, GM, Treasury:
It has decreased.

Half Year wise it has decreased, but quarter -wise, it has increased.

Mr. Bhavik Shah:
Understood. And last question. Sir, we saw a strong increase in your NBFC portfolio, quarter on quarter. Sir, any ballpark yield that you would be lending at AA, AAA-rated NBFCs on an incremental basis?

Shri Rajneesh Karnatak, MD & CEO:
Yeah, so as far as the NBFC is concerned, you are right that there has been incremental increase in the NBFC book outstanding at around Rs.93,000 crore for the

global book. But to just give you a f lavour, our NBFC book , which is BBB and above -rated, which is the investment book, is more than 99%. So only 1% is NBFC, which is below the BBB, and out of which, there is some NPA of only Rs.1,000 crore, and the entire book, other than that, is only Rs.1,300 crores. So within that component, just to give you a c olor, if I tell you that out of the entire book, our book to NBFC to the PSU NBFC and to the bank -floated NBFCs is nearly 50%. So, and majority of this book is AAA-rated and AA -rated book.

Mr. Bhavik Shah:
Okay. Sir, what was the yield we gave the loans o n a blended basis to NBFCs on an incremental basis?

Shri Rajneesh Karnatak, MD & CEO:
That number, we are not having at this moment of time. We can share it separately with you. Definitely for AAA and AA, it is on finer side, but we can share it with you.

Mr. Bhavik Shah:
Sure, Sir. Thank you so much, Sir. And happy Diwali to everyone.

Shri Rajneesh Karnatak, MD & CEO:
Thank you, Bhavik .

Moderator :
Thank you, Sir. Sir, next question is from the line of Mr. Siddharth Rajpurohit. While we are unmuting him, participants feel free to hit the hand icon to raise questions. Over to you, Siddharth.

Mr. Siddharth Rajpurohit:
Thank you for the opportunity. Sir, first, we have taken a S B (Savings Bank) rate cut in September, but still our cost of deposits have remained same quarter on quarter. What c ould be the reason, Sir?

Shri Rajneesh Karnatak, MD & CEO:
Yeah, there has been a cut in the Saving deposit. In fact, we have cut that deposit rate by nearly 25 basis point, but the cost of deposit has remained same , because this is a blended cost of deposit, actually. This includes the interest rate that we are paying in Saving, the interest rate that we are paying to the retail depositors, the interest rate that we are paying also to the bulk deposits. So it' s a blended thing, and as I said earlier in my remark that the entire transmission on the term deposit side is yet to happen. I think the entire transmission would happen by Q3. So there are certain fixed deposits where the transmission is yet to happen. That is the reason why you do not see much of the reduction as far as the cost of deposit is concerned.

Mr. Siddharth Rajpurohit:
But on the S B book, you can have some benefit, right? Because the benefit is immediate, and we have, say, 30% SB book. So som e benefits should have flown on the cost of deposit, as we see. There is a one -month impact too. So it means what? There is some change in bulk deposit rate or any other deposits where the cost has gone up?

Shri Rajneesh Karnatak, MD & CEO:
No, see, SB d eposit rate, we have cut by only 25 basis point. That also has been recently cut from 2.75% to 2.50% we had cut, right? The SB book is, you are right that SB book is substantial book, and 39% of our book is CASA book.

Out of that, 36 %, 37% should be the S B book. But as far as the term deposits are concerned, those rates have not come down significantly. And as I said, there is a big chunk of deposit where the repricing is yet to take place. Transmission will take place in the Q3 quarter.

Mr. Siddharth Rajpurohit:
Okay, Sir. And so how will our MCLR book play out in the coming quarters? The transmission in the MCLR?

Shri Rajneesh Karnatak, MD & CEO:
So as far as the MCLR book is concerned, if you see the presentation that we have given, majority of our book is in the Repo linked book, which is around 60%. MCLR is 28%. That makes all efforts to increase our MCLR book, particularly giving to the mid corporate borrowers.

And we have 20 branches now, which are into the segmentation of Emerging Corporate Credit. So there we are trying to give MCLR linked loans, and we are trying to increase that book. Once that book increases, definitely the yielding advances should be better.

Mr. Siddharth Rajpurohit:
But Sir, how will the repricing play out in the MCLR boo k in the coming two quarters?

Shri Rajneesh Karnatak, MD & CEO:
So as far as the MCLR repricing is concerned, you are aware that the RBI circular is very clear, that is the marginal cost of lending . So as the deposit rate is decreasing, only then we can reduce the MCLR. So as far as the reduction in MCLR rates are concerned, we have reduced our MCLR by 20 b ps over the last six to eight months, both in terms of the one year MCLR and the one month MCLR and overnight MCLR is concerned. So definitely if the cost of deposit further comes down, we may lower the MCLR cost also.

Mr. Siddharth Rajpurohit:
But how much percentage of this book, MCLR book , will get repriced in say six months down the line? How much percentage of the MCLR book?

Shri Rajneesh Karnatak, MD & CEO:
I will share with you separately. If we reduce the one year MCLR book, say by 20 bps, it will not change the existing book because the existing book of one year MCLR will come to repricing only after the completion of that one year in those accounts. So that will be only the new book which will be repriced lower by 20 b ps in this example.

So it's a complex thing for understanding the entire scenario, but we can definitely give you the data , separately .

Mr. Siddharth Rajpurohit:
Okay, Sir. So on the slippages number, which came out very good, were there some internal upgrade, which has kind of net out from these slippages, which has brought this number?

Shri Rajneesh Karnatak, MD & CEO:
No, there has not been much upgrade. So whatever the slippages have been there, the slippages have been like shown in this slide, which is there. So not much of upgradation is there. I think we have already given this in one of the slides .

Mr. Siddharth Rajpurohit:
Because the gross NPA number in the corporate book has come down sharply. So , has there been any upgrade there or any write off there?

Shri Rajneesh Karnatak, MD & CEO:
No upgrade has been there. See, gross NPA, which was Rs.19,640 crore has come down to Rs.18,01 4 crore . And if you see the fresh slippage , it is Rs.887 crores for us. And the debits in the existing NPA is Rs.8 crores. So total fresh slippage was Rs.895

crores only in the book. And we had a cash recovery of Rs.1,022 crores. Upgradation was Rs.418 crores. And the written off amount is only Rs.1,081 crores. So , the reduction happened was Rs.2,521 crore and incremental increase was Rs.895 crore .

And further to that, we had a recovery in our URI and UCI of nearly Rs.253 crores. All these things led to a final figure of Rs.18,000 crores in the Gross NPA and after the provisions, which were nearly Rs.13,484 crore , we have a Net NPA of Rs.4,530 crores.

It is there in the slide no.24 where the movement of NPA is depicted. And this is not only domestic NPA.

Mr. Siddharth Rajpurohit:
Okay. And so what will be our LTV in the Gold Loan Book in Agr i. and Retail ?

Shri Ashok Pathak, CGM
LTV. It is between the range of 65 % to 75 %.

Mr. Siddharth Rajpurohit:
Including Agr i. also?

Shri Ashok Pathak, CGM
Agri. also.

Mr. Siddharth Rajpurohit :
Okay. And so lastly, how is the MSME environment currently panning out? Are we seeing any incremental stress in the MSME segments?

Shri Rajneesh Karnatak, MD & CEO:
So, if you see our SMA presentation, which is there, SMA numbers, which we have shown here in the presentation. So , our overall SMA numbers have come down from Rs.7,000 crores to Rs.6,100 crores in September. Within that, if you see the MSME book, it has come down from Rs.1,600 crore to Rs.1,200 crores for 5 crore and above SMAs for the MSME segment.

Within that Rs.1,200 crores of the MSME book SMA, the SMA 2 is only Rs.470 crores. And majority of this SMA, which is there in SMA 0 only. So we do not see much of stress, which is there in this book. And it's a normal SMA, which is there in the MSME book.

Mr. Siddharth Rajpurohit:
Okay. And lastly, Sir, what will be your recoveries target for the full year? From the collections of our NPA book?

Shri Rajneesh Karnatak, MD & CEO:
Yeah, so for recovery, we have kept an internal target of around Rs.10,000 crores for this financial year.

Mr. Siddharth Rajpurohit:
This would be including live accounts, right? Or only from the collections book?

Shri Rajneesh Karnatak, MD & CEO:
No, th is will be from the book, which is the NPA book.

Mr. Siddharth Rajpurohit:
Okay.

Shri Rajneesh Karnatak, MD & CEO:
And the upgradation, which will be affected of the incremental slippages, which happened from where some upgradations happen, that will be also there.

Mr. Siddharth Rajpurohit:
Okay, okay. Thank you, Sir. Thank you very much for giving me this opportunity and wish you all a very happy Diwali. Thank you.

Shri Rajneesh Karnatak, MD & CEO:
Thank you so much. Happy Diwali to you, Siddharth , from Bank of India team.

Moderator :
Thank you. As there are no further questions, I would now like to hand the conference over to Sri Rajneesh Karnatak for closing comments.

Shri Rajneesh Karnatak, MD & CEO:
Well, thank you so much for patient listening and wishing you all the best. A happy Diwali to all of you from the Bank of India Top Management. Thank you so much.

Moderator :
Thank you. On behalf of Bank of India, I now announce that this conference stands concluded. Thank you for joining us. Have a good evening.

Call: Jan 2026

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Bank of India WW1
Ref. No.:HO:IRC:SVM:2025-26:402
ftd-W Date:28.01.2026
Unaudited (Reviewed) Financial Results
for the 3rd quarter ended 31st December, 2025
Bank's Earnings Call with the Analysts and Investors - Transcript
With reference to the above and pursuant to the applicable provisions of SEBI
(LODR) Regulations, 2015, we herewith enclose the transcript of post results Earnings
Call for Unaudited (Reviewed) Financial Result for the 3rd Quarter ended 31St December,
2025.
The transcript of Q3 FY26 Earnings Call is uploaded on Bank's website and the
same can be accessed through below link:
https://bankofindia.bank.in/analvst-conference-call-transcript
This is for your information and records.
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Q3 FY26 Earnings Call Transcript
January 21 , 202 6

Q3 FY26 Earnings Con -Call
21st January , 2026

Management:

1. Shri Rajneesh Karnatak , MD & CEO.
2. Shri P R Raja gopal, Executive Director
3. Shri Subrat Kumar, Executive Director

4. Shri Rajiv Mishra, Executive Director
5. Shri Pramod Kumar Dwibedi, Executive Director

Moderator:

Good evening, ladies and gentlemen. I am Gaurav Gir idhar from Concept PR. On behalf of Bank of India, I extend a warm welcome to all the esteemed Analysts who have joined us today in person, as well as those who have joined us virtually from different cities across India. We are pleased to announce Bank of Indi a's financial results for Q3 FY26. I would like to now introduce the Management of Bank of India who have joined us for today's Analyst Meet. Shri Rajneesh Karnatak. MD & CEO , Shri P R Raja gopal, Executive Director, S hri Subrat Kumar, Executive Director a nd Shri Pramod Kumar Dwibedi , Executive Director. We will now begin the Analyst briefing.

To start, I would now like to invite Shri Rajneesh Karnatak Sir to address this gathering . Afterwards , we will open the floor for Q & A session. Thank you and over t o you, Sir.

Shri Rajneesh Karnatak, MD & CEO:

Thank you so much .
Ladies and Gentlemen, Good Evening and a very Happy New Year to all of you . As I share with you the financial results of the Bank for Q3 FY '26, it is my pleasure to welcome each one of you to today 's Analyst Meet. Thank you for joining .

As we step into 2026, calendar year 2025 stand behind us as a year marked by significant global uncertainty and heightened geopolitical tensions. Against this backdrop, global GDP growth is expected to moderate to 2.6 0%, as per the latest World Bank estimates. For India, the year has been one of resilience and opportunity. Despite the global headwinds, India has become the world 's fourth largest economy, surpassing Japan. Supported by targeted policy mea sures for exporters, GST rationalization, and an expanding network of trade agreements . India has steadily strengthened its global competitiveness. Reflecting this momentum, the World Bank and RBI have projected India 's full year GDP growth at a robust 7.2 0% and 7.30% respectively. The RBI has adopted a proactive stance by implementing rate cuts and reducing the CRR, thereby ensuring adequate liquidity in the financial system. Key regulatory initiatives, including the proposed adoption of the Expected Credi t Loss Framework, proposal to implement revised Basel III Capital Adequacy Norms, and the transition to a Risk Based Deposit Insurance Premium, are aimed at further strengthening resilience, improving risk management and enhancing competitiveness of India 's banking sector.

We are pursuing a calibrated approach to credit growth. Bank continues to invest in its IT infrastructure and strategic partnerships towards improving operational efficiency and delivering a superior customer experience. This balanced e mphasis on business growth and assurance will support consistent profitability and reinforce resilience in the evolving environment.

My speech will be in 3 parts. The first part being the various Initiatives that the Bank has taken during the quarter . The second part is business numbers and the third part will be the profitability and the asset quality.

As regard the various initiatives that we have taken, the Bank has implemented CTS Continuous Clearing, which is now live and facilitates faster, near real-time cheque clearing for all our customers .

Second initiative is with respect to the introduction of BOI Surya Shakti Scheme: Financing scheme for Agriculture sector Farmers and Agri -entrepreneurs for Solar

Irrigation System, Solar Cold Storage / Foo d and Agro Processing / Livestock & Dairy /Poultry / any other allied activity / Power Plants / Water Heaters et

c.

The third initiative is that the Bank has introduced a bouquet of products designed for Gig Workers. These include:

a) Star Gig Grow Loan , which is like a MSME loan for gig workers registered on the e -Shram portal.
b) GIG GearUP Loan , which is like a Retail loan for gig workers registered on the e -Shram portal.

The fourth product that we have introduced is with respect to i ntroduction of tw o new credit card variants:

a. Celestia Credit Card – Rupay Platinum Contactless (Metal) Card with Single Block Multiple Debit (SBMD) feature. This card is designed for high end customers with elevated experience and superior services.
b. Rupay Women 's Credit Card – A credit Card designed for women with product fetaures exclusively catering to the women 's needs.

The next initiative that we have taken is the BOI-CSR Trust . The Bank has partnered with the Social Foundation Trust to oversee and implement the Bank 's CSR -related initiatives, both internal and external activities .

The second part of the speech is the Business numbers.

Global business has gro wn by 12.54% on YoY basis from Rs.14,46,295 crore in Dec '24 to Rs.16,27,602 crore in Dec '25 with incremental growth of Rs.1,81, 000 crore.

Global Gross Advances has increased by 13.63% on YoY basis from Rs. 6,51,507 crore in Dec '24 to Rs. 7,40,314 crore in Dec '25 with incremental growth of nearly Rs. 88, 000 crore. Global Deposits have also increased by 11.64% YoY from Rs. 7 .94 lakh crore in Dec'24 to Rs. 8 .87 lakh crore in Dec '25 with incremental growth of Rs. 92,500 crore.

Domestic Gross Advances have increased by 15.16% on YoY basis from Rs. 5.46 lakh crore in Dec '24 to Rs.6.29 lakh crore in Dec '25. RAM advances increased by 18.05% on YoY basis from Rs.3.12 lakh crore to Rs.3.68 lakh crore in Dec '25 constituting 58.54% of Advances in Dec '25.

As regards Domestic Deposits , they have increased by 12.80% on YoY basis from Rs.6.79 lakh crore in Dec '24 to Rs.7.65 lakh crore in Dec '25. CASA has also increased on YoY basis from Rs.2.77 lakh crore in Dec '24 to Rs.2.90 lakh crore with incremental growth of nearly Rs.12,430 crore in Dec '25 and CASA ratio stood at 37.97% .

As regards the third part , which is the p rofitability & Asset Quality, the Operating Profit has increased by 13% on YoY basis and stood at Rs.4,193 crore for Q3FY26 against Rs.3,703 crore in Q3FY25.

Net Profit has increased by 7% on YoY basis and stood at Rs.2,705 crore for Q3FY26 as against Rs.2,517 crore in Q3FY25. Net Interest Income has increased by 6% on YoY basis and stood at Rs.6,461 crore for Q3FY26 against Rs. 6,070 crore in Q3FY25 . Global NIM sequentially has improved by 16 Bps and stood at 2.57% in Q3FY26. Non-Interest Income has also increased by 30% on YoY basis and stood at Rs.2,279 crore for Q3FY26 against Rs.1,747 crore in Q3FY25.

Slippage ratio has stood at 0.16% in Q3FY26 as against 0.19% in Q3FY25. As far as the Credit C ost improved to 0.34% in FY26 as against 0.39% in FY25. There has been improvement in asset quality with reduction in both Gross NPA ratio and Net NPA ratio. Gross NPA ratio improved by 143 bps on YOY basis to 2.26% for Q3FY26. Net NPA ratio also improved by 25 bps on YoY basis to 0.60% for Q3FY26. As far as the Provision

Coverage Ratio (PCR) is concerned, it has improved to 93.60% in Dec25 as against 92.48% in Dec24.

As on 31.12.2025, Bank 's CRAR has improved to 17.09% from 16.00% as on 31.12.20 24.

Now to conclude, I would say that, i n tune with growth of the global economy and the Indian economy , the guidance for global advances growth will be around 13 -14%, and global deposit growth around will be around 11 -12% for FY26. The

key priority of th e
Bank will be mobilizing low-cost deposits, accelerate the growth of high -yielding advances, thereby safeguarding the Net Interest Margin (NIM). Our concerted efforts will focus on prudent credit underwriting to strengthen asset quality and contain fresh slippages. The Bank remains firmly committed to enhancing operational efficiency and profitability, while maintaining rigorous compliance standards and robust corporate governance. Together, these initiatives will ensure the creation of sustainable value f or all our stakeholders.

I would like to thank you all for your continued support. The floor is now open for discussion and Q & A and thank you for coming here . Thank you so much.

Moderator:

Thank you, Sir. That was very informative. We will now begin the Question -and-Answer session. Before we proceed, we would request you to kindly raise your hand and introduce yourself and your organisation . One of our representatives shall hand over a mike to you. For subsequent questions from our online participants, I would request you to raise your hand on the chat box. Our representative will take your question.

Mr. Sushil Choks ey:

Congratulations to team Bank of India for excellent numbers and performance exce eding your guidance. My name is Sushil Choks ey from Indus Equity. Do you expect higher growth than what you are guiding or you just want to be conservative?

Shri Rajneesh Karnatak, MD & CEO:

As far as the growth is concerned, if you see our numbers , we have been growing our global business at around 12 %. And if you see within that the credit growth has been at around 13 % plus on a YO Y basis and deposit growth has been at around 11% on a YOY basis. If you see the domestic numbers, the credit growth has been as good as 15% plus on the domestic advances side. And within that if I give you a color of the RAM advances, there we have grown at around 18% on the RAM growth. Within that Retail has grown at around 20% and agriculture has grown at around 16% a nd MSME has grown at around 15%. The corporate book has also grown at this trying times a nd reached double digit growth of around 11%. So, with the kind of pipeline that we are having as far as the credit is concerned of nearly Rs.80,000 crore of pipeline of which the Corporate pipeline is around Rs.65,000 c rore which will help us to grow the credit in the Q4 and the Q1 in the next financial year. We are very confident that the growth numbers will be much better for the next financial year than what we are showing at this present time.

Mr. Sushil Choks ey:

So, the Rs.65,000 crore is the pipeline for Q4. What is the unavailed credit as of today's sanction.

Shri Rajneesh Karnatak, MD & CEO:

These Rs.65,000 crore corporate pipeline include the in-princip le approvals that we have given, the sanctions that we have given which are yet to get into documentation stage

and 3rd is the stage wherein the sanctions have been given, documentation has taken place and drawdown will take place as per the disbursement schedules. So, Rs. 65000 crore will not get dis bursed in this quarter itself, but it will be getting disbursed in the next six months as I said in the Q4 FY 26 and Q1 FY 27.

Mr. Sushil Choks ey:

As you said in your opening remark that you've shed some low yielding advances and you're looking for better yield advances. Does it mean that we have shredded low yielding advances? I may name them, say NABARD, SIDBI , some housing finance, government owned co

mpanies or entities which are fetching onl y 6 % or six and a quarter for yearly advances.

Shri Rajneesh Karnatak, MD & CEO:

Yes, that is the basic idea. We have churned our portfolio . We have scanned our portfolio and what we saw was that among the low yielding advances they were external linked lending rates, typically Repo linked . Typically, AAA PSUs and other kinds of things where the yields are less. That we have now churned and gone into other advances where the returns were much better. The yields were better. I will not say it was v ery high, but definitely from that number, it was more by around 25 -30-40 basis point s.

So that kind of churning we have done in our portfolio that has helped us improve the margins. So overall, if you see the global NIM also for the Bank, it ha s improve d from a number of 2.41 % in September ’25 to a number of 2. 57% as on December ‘25.

Mr. Sushil Choks ey:

And the flavor in the stock market is PSU Bank s. And, if I see the results which are so far declared, RAM is the highlight across all banks. Do you th ink RAM will sustain in 2026? I'm not only saying about the current quarter, but looking at housing market, retail loans, car loans, some maybe having a good yield, some maybe poor compared to market. How do you see that panning out over the period of FY20 27.

Shri Rajneesh Karnatak, MD & CEO:

As far as the RAM book is concerned, we are very much positive and buoyant and we feel that from the Top Management side also for FY 27 , we will give a very good RAM growth. For the simple reason, the way Indian economy is growing, the way the income levels are growing , both in the cities and also in the agriculture side , we see not much impact o n the RAM growth. Keeping all these things in mind, we feel that the RAM growth will be a very important growth number for all the banks, the entire ecosystem, particularly, with respect to change in definition in the MSME which has happened, wherein medium enterprises are those units with turnover up to Rs. 500 crore and plant

and machinery of Rs. 125 plus crores. Typical ly, you can give a loan to a medium enterprise with the back of the envelope calculation of around Rs. 200 crores, Rs. 100 hundred crore working capital and Rs. 100 crore term loan.

That kind of number coming, definitely the overall RAM book should be gro wing with the change in definitions and the economy activity which is g rowing and for the banks also I can speak for my bank , for Bank of India. For agriculture also we have changed our strategy rather than traditional agriculture wherein we used to go for tractors and KCC , we are going for allied agriculture and other kinds of things and food processing where we feel that the asset quality is much better. Margins are much better and definitely there is a lot of scope in that kind of category.

Mr. Sushil Choks ey:

Sir, just a color on two, three parameters. One is digital spend, human resources, bank is getting better on that and many other aspects, so what are you likely to do and what we have already done? 3rd is color on gold loans.

Shri Rajneesh Kar natak MD & CEO:

As far as the color on the gold loan is concerned , we have a book of around Rs. 47 ,000 crores in gold loan as on 31st December , 2025 . So, if I give you the numbers, the NPA amount is around Rs. 70 -75 crores only. So that is the kind of figure which is there as far as NPA is concerned and that is on the date of the 31st December , 2025 . Normally , our SOP is that once the account of the gold becomes NPA , it has to be like sold in the market after giving the notice to the borrower. We have t o sell it in the market and normally this money comes back withi

n 30 days of the account becoming NPA. So very less NPA is there, there is no threat of asset quality and the return in the gold loan just to give you a sense is around 9% yield on such a dvanc es because very less NPA is there.

Mr. Sushil Choks ey:
Gold NPA is kind of a worry in today's market scenario for anybody. So, if you go aggressive also nobody i s going to bother about it unless you l end hundred percent of the value. So, 75 % is fine.

Shri Rajneesh Karnatak MD & CEO:
So, that's a very good point because of the rising gold prices and the commodity prices. So, we have increased our guardrails also in the loan. We are very much concerned. That is the way the portfolio is growing and the wa y the prices of gold are going, definitely it may pose a risk particularly with respect to the valuations which are there on the metal. So, what we have done is we have reduced the loan to value to 75 % now. So, any fresh

advances in the gold loan category, we are keeping a margin of 25% as against earlier of 10 % or 15 %.

Mr. Sushil Choks ey:

Thank you for answering all my questions and best luck. Thank you.

Mr. Ashok Ajmera:

My compliments to you Sir, for the all -round growth in this quarter. In fact, you are probably among very few banks where the growth is very balanced. If you look at the quarterly growth, around 4 % for deposit , credit as well as overall business. So, which is a very good sign that you are growing your deposit also as you are growi ng your credit portfolio also. So that said, profitability is also improved operating profit is good. Net profit is good. So, my compliments to th e entire team of Bank of India S ir. I couldn't join you there because of some traffic issues, but I am here on line and I've got certain observation, some clarification to be sought and some information.

So, this time , overall SMA figure s has gone down, but SMA 2 is almost doubled from Rs. 2,020 crores to Rs.4,120 crores. So, is it because of those one or two accounts or and what is the breakup of this like corporate and th e retail and MSME from this SMA - 2?

Shri Rajneesh Karnatak MD & CEO:

Yes. Thank you so much. As you rightly said that , yes, we have improved the overall SMA book for us. If you see the num bers, we were at around Rs. 6 ,200 crores SMA in above Rs.5 crores SMA as on September, 2025. It has come down to now Rs. 5 ,400 crores only and it is only 0.75 % of our standard loan book. As regards the SMA -2 number is there as we have already presented that the majority of that in the SMA -2 categories are three State Government accounts which are there which are backed by the State Government guarantee also which have rolled over from SMA -1 or SMA 0 to the SM A 2 category, but nonetheless we are monitoring these advances and we are hoping that there will not be any delinquency in these accounts. But otherwise, if you see the number , whether it is retail SMA, whether it is agriculture SMA or the MSME SMA is quit e muted and on a lower side. The major portion of the overall SMA, Rs 5 ,400 crore out of which around Rs.3,500 crore compromising of these three accounts.

Mr. Rohit Shinde :

Sir, my name is Rohit. I'm from Market Memories. My question is S ir regarding Ban k of India Shakti scheme and Bank of India Gig worker 's loan. You have just launched it recently. So, can you just throw some color on this because Shakti is for the agriculture

and gig workers is for those particular loans. So can you throw some color on the ticket size, the tenor of the loan, and what will be the interest percentage?

Shri Rajneesh Karnatak MD & CEO:

Mr. Ashok Pathak, will you be able to take this one?

Shri Ashok Pathak , Chief General Manager :

So, this gig worker is for retail side for ind ividuals and small enterprises for SME side and typically rate of interest is between 9.5% - 10.5% . That is the kind of rate of interest we have kept it and f arm mechanization we have launched it for the Shakti Scheme .

Mr. Rohit Shinde:

And what is the rate of interest for the farm workers?

Shri Ashok Pathak , Chief General Manager :

We have kept minimum CIBIL score below which we don't lend and the rate of interest is 9% .

Mr. Rohit Shinde:

What would be the ticket size minimum and maximum for both.

Shri Ashok Pathak , Chief General Manager :

So, farm mechanization especially we get good amount of some harvesters a nd it goes even up to Rs.35 lacs to 50 lacs, but it starts like somewhere around Rs.4-5 lacs but those high tickets are, very less in number .

Mr. Rohit Shinde:

And for the Gig workers?

Shri Ashok Pathak , Chief General Manager :

For Gig workers, we have recently launched the project for individual si de it is only up to Rs.2 lacs and on SME side it is up to 5 lacs .

Mr. Rohit Shinde:

What will be the tenure of these loans approximately?

Shri Ashok Pathak , Chief Gener al Manager :

Typically, I mean two years to five years .

Mr. Rohit Shinde:

For farm or Gig?

Shri Ashok Pathak , Chief General Manager :

For farm it is up to five years . And Gig also , two to five years depends upon what is the repayment capacity .

Mr. Rohit Shinde:

What would be the net interest margin for this bank will be expecting?

Shri Ashok Pathak , Chief General Manager :

Generally , we are giving at around 10 % and our cost of fund is around 5% so that that's the margin we are keeping.

Mr. Ro hit Shinde:

Ok, 5 % NIM. H ow many accounts, how many people Bank is expecting to l end in this can you throw some color on this?

Shri Ashok Pathak , Chief General Manager :

In the individual G ig side, volume wise, it will be very, very small . We are not expecting much big number . But on SMEs especially on Sakti side, close to Rs.500 to Rs. 1,000 crore kind of book we are looking for .

Mr. Rohit Shinde:

Okay and the G ig book size?

Shri Ashok Pathak , Chief General Manager :

That will be very small .

Mr. Sharad Chandra:

This is Sharad Chandra, investment advisor. Sir, I wanted to know whether the competitive environment is increasing in the banking space because your CASA deposit in a time frame of 12 months has come down from 41% to 38%. And you have covered that up with the bulk deposits from 13.5 0% to 15.5 0%. So that is one part. Second part is the Yield on Advances has come down by 80 basis points in the nine -month time horizon. So, both on the dep osit side and on the lending side there seem to be pressure on the Bank. Is it because of the general environment or is it because of increased competitive intensity in the banking space?

Shri Rajneesh Karnatak, MD & CEO:

Thank you so much . Your questi on has basically two parts to address. One is the liability side and the other is the asset side, the yields on the asset side. So , as far as the liability side is concerned, see there is a transformational shift , structural shift which is happening on the deposit side across the system. So, what we are seeing is that the depos

its across all banks, whether it is private sector banks, foreign banks, public sector banks, small finance banks are lowering down, getting down. And the delta which is getting creat ed out of the CASA deposits is on a lower side. So, if you see our numbers also, the increase in CASA has been only around Rs.12,000 crores on a Y -o-Y basis. In percentage terms also it is low as you rightly observed . Our CASA percentage to total deposit has also come down to now near to 38%. And what I would like to tell over here is that Bank of India has a franchise with around 5 ,400 branches with 37 ,000 touch points for our customers, we've been able to monitor and maintain our cost of deposits to a l arge extent. This has also res ulted in improvement in the NIM by nearly 16 basis points on a sequential quarter from 2.4 1% percent to 2.57%. So, our bulk deposit is now only 15 % . Though it has also increase d, but it is only 15 % which means that 85 % of our domestic deposit is either CASA deposit or retail term deposits. Within that, if I give you the color, our retail term deposits have grown by nearly 14 % on a YO Y basis. Now, what is retail term deposit? Re tail term deposit as per the definition of RBI is any deposit which is up to Rs. 3 crores . So, that is the deposit which is cheaper for us and definitely we want more spread out deposit because in that situation, the outgo of deposit does not take place. So that is the kind of thing which is there but definitely there is a pressure on the deposit.

As I said in answering the previous question that since we are growing our global credit by 13% plus our domestic credit by more than 15% plus, it is very impo rtant for us to grow our deposits also. So, if t he CASA is not growing because of the structural issues which are there in the economy today, in the sense that the depositors which are there now, they are not keeping the deposits idle with the banks either in current account or saving deposits . Now, they are parking their deposits in various investment avenues, wealth management products which are available to them, whether it is a real estate, whether it is a metal like gold or silver, whether it is in equity market, mutual funds,

pension funds, NPS or life insurance. So, with all these kinds of investment opportunities available with the growth in economy and the financial literacy which is taking place, this will continue to happen.

In the coming future which we see from the Top Management side is that there will be a pressure on the CASA definitely for the entire banking system and banks will have to search other avenues like particularly more retail term deposits, more of bulk deposits to compensate th e growth of C ASA which is not happening to match the C redit growth which is happening. So that is what we are trying to do and this is what we have been successful also in do ing. So bulk deposit is only 15 % and remaining are C ASA and r etail term deposits.

As regards, the other part is concerned on the loan book side, there we have been able to improve our Yield on Advances though you rightly observed that the Yield on Advances have come down from December 2024 to December 2025. For the simple reason that if you see our book, 64 % of our book is linked to the EBLR advances, which are the Repo linked advances. And Repo rate which you are aware that it has come down by nearly 125 basis point in t he calendar year 2025 itself. The rate cut started in February 2025 and it was there up to 5th of December20 25 when the RBI brought down another 25 basis points . So, 125 basis point has been shaved off from that side. Since 64% of our book is on the Repo side, immediately transition of the rate happens. So , for M

CLR , it takes time. That is why the Yield on Advances has come down, but nonetheless, if you see our numbers, our Yield on Advances have improved from September to December quarter and we have been able to churn our credit portfolio as I said earlier that we h ave been able to shed some of the very low yielding advances and got it replaced with certain advances of AA and other categories whichever giving

20-30-40 basis point higher. So it's a conscious strategy we are adopting at the bank level that we want to improve our RAM advances to improve the yield, we want to increase our MCLR advances to improve the Net Interest Margins and also we want to have a portfolio of more of AA advances so that because the yield in AAA advances is very less. So, this is how we' ll try to protect our, like reduce our cost of deposits, increase our yield on advances and protect the NIMs going forward.

Mr. Sharad Chandra:

What is the difference? Bulk deposit and the retail term deposit rates. Is there a differential?

Shri Raj neesh Karnatak, MD & CEO:

It cannot be given in one number, but let me share with you the data. So, when we are taking bulk deposits, it also depends on the kind of liquidity we want. So, the bulk deposit rates are different for the amount and the maturity . So, if I need a Rs.50 crore deposit

for one month or a Rs.500 crore deposit for one month, the rates will be different. Totally different. Similarly, if we need a Rs.500 crore deposit for six months, the rate will be different or a Rs.50 crore de posit for six months, the rate will be different. So, for the bulk deposit many times it is the negotiation which takes place at the field level with the various depositors. Many of them are central government entities, some are state government entities, some are central PSUs, some are state PSUs, and some of them are also corporates . These days a lot of money is flowing into mutual fund and insurance company. Some of the deposits is also coming from the mutual funds and insurance companies also. So, it's a bargain which happens as far as the negotiation which happens in the bulk deposit rate .

Mr. Sharad Chandra:

Is it like in the term deposit, you must be having a weighted average cost of deposit only for the bulk deposits, the weighted average cost wou ld be what 1 % more than the retail term deposits?

Shri Rajneesh Karnatak, MD & CEO:

No, it's not that. But what I can say is, the cost of deposit of retail term deposit weighted average is higher than the weighted average for the bulk deposit. For the simple reason that the weighted average for the bulk deposit is where there is a lot of short -term deposit also available with us for 15 days also. Sometimes, even we take for seven days also. That kind of deposit we want for our immediate dis bursal of say to some PSU happening for Rs.2,000, Rs.3,000 crore next day. We take a seven -day deposit also from some government entity for seven days. So, the retail term deposit weighted average is bit higher than the bulk deposit.

Moderator:

Thank you. Thank yo u very much and the next question is from our online participant Mr. Ashok Ajmera. Sir, please go ahead, thank you.

Mr. Ashok Ajmera:

Yes Sir, I was immediately muted after my 1st question only which you answered. S ir, there is a little increase in the fresh slippages in this quarter. So, what is the reason and going forward are we going to keep the slippages under control and what is the total recovery target for FY26 from the recovery from the written off account and what is the outstanding written off book and what is the overall recovery target for FY 26 vis -a-vis the slippages?

Shri Rajneesh Karnatak, MD & CEO:

As far as the fresh slippages are concerned, see the fresh slippages have increased by nearly Rs. 200 crores in this quarter. So last quarter it was around Rs.910 crores, so this time it is around Rs.1 ,100 crores. One of the main reasons is that there was one corporate road account which slipped into NPA, that is the reason it's a consortium account. It is there with other lenders also. Because of that slippage, the incremental data has been at around Rs. 200 crores. But as far as the slippage ratio is conc erned, so we are quite comfortable though slippage ratio has increased by a couple of basis points from the previous quarter, but if you compare it to December 24 to December 25, the slippage ratio in fact has come down from 0.19% to 0.16%. So , as far as t he SME book is concerned , just to give you a color over there, overall SMA number Rs. 5 crore and above if you see the presentation. SMA number in amount terms has been reduced from Rs. 6 ,200 crore to Rs. 5 ,400 crore and it is only 0.75 %. So, in this quar ter also we do not see any further deterioration in the asset quality and we'll be able to hold the run rate on the slippage side.

As regards to recovery is concerned , we have already done a recovery , if you see the presentation , nine-month recovery at a round Rs.5300 crore. And we expect that our recovery for this quarter should be somewhere around Rs. 2 ,000 crore in the Q4 quarter, so we should be ending at around somewhere around Rs. 7 ,200 crore – Rs.7,300 crore of total recovery during the twelve mont hs. As regards the written off accounts are concerned, so we have a book of around Rs. 50,000 crore on the written off accounts. Our run rate presently is at around Rs. 400 -450 crore per quarter. That translates to around Rs.1 ,800 crore per annum. So, there internally on the Top Management side, we are targeting that we should have a number of around Rs. 750 crore per quarter, which would translate to a number of around Rs.3,000 crore in the next four quarters on the written off account recovery.

Mr. Ashok Ajmera:

About 6 % of the total written off accounts. And Sir, will you give some color on our IT, activity and the digital budget and the product which we have launched, you know, with a big delivery which we have given, there were some initial hiccups. So, what is the status of the overall digital growth of the Bank and the future plans for going forward in this area?

Shri Rajneesh Karnatak, MD & CEO:

A lot of initiatives the bank has taken as far as the digital initiatives are concerned, not only on the IT but also on digital side and also on the cybersecurity side. So, as far as the business numbers are concerned, if you can see the presentation, already 29 journeys are live as far as the business journeys are concerned. Out of that , around 24 journeys are on the loan side and five journeys are from the liabil ity side. In this quarter

also, there will be quite a few journeys which we will go live as far as whether it is the loan journeys or whether it is the liability journeys and some of the journeys also on the wealth management side. As far as the transforma tion project which is going on within the bank for IT , digital and cyber security, there are also a lot of automation we are trying to do in many of our processes, particularly on the credit side where the sanctions are concerned and also on the monitoring and controls side, whether it is transaction monitoring and other kinds of things.

If you see the presentation, lot of cus

tomization and optimization has happened over
there and we have been able to save a lot of number of man hours also under this automation things as far as the back -offices activities are concerned, so around 50,000 man hours we have saved during the nine months, because of the automation and this kind of thing that we have done and this journey will continue to improve further. That i s what is the understanding for us.

Apart from that, we have another very important project which we have project Star Aditya, which is for the data lake project, which is artificial intelligence , machine learning and generative AI, there also a lot of u se cases have already started flowing to our verticals, to the branches, to our Zonal Offices, even to the underwriting centers. There we are going for not only for the business side leads and the actual underwriting which is happening, but also from the control side, transaction monitoring alerts are going early warning system alerts are going and even for the underwriting centers, there is a lot of alerts which are going for the ecosystem alerts which are there while the credit underwriting is takin g place. And with the kind of emphasis that we are giving on IT now, and just to give you a sense I may tell you that the kind of money we are investing in IT out of the total operating expenses which are there nearly 10 % of the Op ex is going to the IT Op ex. So that kind of significant money we are spending on IT, apart from that, there is a Cap ex also which we are spending on the IT side. So, management is clearly into the IT system and we want the experience of the customers to improve through digital j ourneys and also improve our system and procedures as far as the cybersecurity stack is concerned.

Mr. Aditya Mundra :

This is Aditya Mundra from My Temple capital. Sir, our RAM to wholesale ratio is approximately 50 - 50 and what is our target in terms o f that because from compared to your peer banks, I think they are targeting more 60 -40 and they are maybe at 65 -35, if not more and does that play a role in our NIM plans? Like how, what is our roadmap to take our NIM above 3 %, let's say? and an extension of that query, what is our plan for our international advances? Like how much percentage of that international advances will be part of our book? I have more questions, I'll come back in queue.

Shri Rajneesh Karnatak, MD & CEO:

So as far as the 1st ques tion on RAM is concerned, our RAM book is at around 58.4% . As far as our future plans are concerned, we have an approved strategy of the board for Bank of India at 125. So, we are 120 -year-old organization, five years hence, we would be 125 -years-old. So, at that time we say that we, our total business should be at around Rs.31 Lac crore; Within that number within the credit number, the RAM book should be at around 65 % and 35 % has to be corporate. For the simple reason that we believe that it will be our diversification of advances, if you go to the RAM book number one, the credit risk gets spread number one and number two is the fact that the better margins are available as far as the RAM book are concerned. So, we have a clear understanding within the ba nk that we need to grow the RAM book. Definitely as I already said that with the change in definition, there is huge scope for increasing the MSME book.

So, RAM book will definitely grow in the Bank and we are very conscious and we want the better yield ing advances in the RAM and the NIMs will also improve because of that. As far as the color into the international book is concerned, see if you see the book presently as on 31st December, out of the global advances of Rs. 7,40,000 crore, nearly Rs. 1,10, 000 crore

is contributed by the international advances and it is 15% of the book.
And just to give a sense on BOI at 125 at 2031, how the international book would be. Again, we are saying over there that our international book should be at around 15 to 16 % of the global book on the advances side. So, we will be growing both our international books simultaneously our domestic book on the credit side. So, what we feel today is because of the various geopolitical issues which are there, definitely there is so me slowness as far as the international advances are concerned. We are also very cautious

about entering into new overseas accounts, particularly though we are giving to Indian corporates, but to overseas corporates , we are very watchful and watching the s ituation and the global political issues which are panning out.

Mr. Aditya Mundra:

Any target for the NIM on the 125 plan?

Shri Rajneesh Karnatak, MD & CEO:

NIM cannot be a target at 125 plan at this juncture when the situation is so volatile and the Repo rate cut has been there and other issues are there as far as the global environment is concerned . But, definitely for the immediate run, I would say that for FY 26, though, we are at 2.57% as on 31st December for the annualized FY26 we hope that we should be maintaining a NIM of around 2.50 % and for the Q4, we should be somewhere around 2.60 %.

Mr. Aditya Mundra:

And Sir, what will be your branch expansion plans in terms of number as w ell as geography that you are focusing on? Is it different from where we are already present, what is our strategy for that?

Shri Rajneesh Karnatak, MD & CEO:

So already we have a board appro ved strategy as far as our branch expansion is concerned, so in FY 25 we opened exactly 211 branches. This year again we have a board approval of around 200 branches. Already 145 plus branches we have opened . The next remaining 50 -55 branches we will be opening in this quarter itself. So, they are in the final pipel ine of opening , going live as far as the opening of those branches are concerned. So, in the next year also , for F Y27, the Board has given approval for 200 more branches. So, 600 branches will be opened in the three years. FY 25 -26-27. So, that is one part . Second part is that we have 13 FGM offices u nder which there are 69 Zones, pan India. So, we are agnostic to any particular geography north, south , east, west or central. So, all these 600 branches are getting opened across Pan India and in each of these states.

Participant:

Sir, last quarter you indicated that the impact of ECL would be around Rs.4 ,700 crore. And you also indicated that you would be deciding on how and when you would be taking the hit on the P&L. So, any update on the same?

Shri Rajneesh Karnatak, MD & CEO:

ECL is a work in progress frankly speaking because the draft guidelines of RBI are already out. We have done the calculation as far as the present numbers which are concerned, so we feel that the ECL impact should be at around 2 % on our CRAR. So, if you see our CRA R is around 17.09 % and1 % of this translates to around Rs. 4 ,600 to Rs.4,700 crores. So, the overall number would be coming the two times of around that Rs.4,700 crores within the Rs. 10,000 crore number. But if I g ive you a sense since it has to be spread across the next five years, so the impact would be at around 0.40% only per annum on the CRAR side and if you see the profitability which the Bank is having around Rs. 7 ,500 crore of net profit in the nine months, which should and with this going run rate, we should be having a profitability of say around Rs.10,000 crore in this financial year itself. So, there should not be any impact on

the CRAR with this kind
of number.

Mr. Jiten Bhatia , Ajmera :

Thank you, S ir. So, what do you see the interest rates trajectory going forward and which sectors like you can further improve the slippages which in the coming quarters?

Shri Rajneesh Karnatak, MD & CEO:

So, interest rate trajectory , presently we don't see any rate cut coming now . Already 125 basis points rate cut has happened in the calendar year 2025 and with the kind of geopolitical situation and the kind of metal prices the way they are going, we feel that in the immediate we don' t see any cut coming immediately. So, but nonetheless in the medium term we cannot say after six months what would happen, but we feel that it should be playing around at that number only and we would be in the reducing our cost of deposit with the fact th at most of our term deposits are getting repriced and at a lower rate of interest because we have cut the deposit rates both in the saving account and also in the fixed deposits. So, there we feel that our cost of deposits overall should be coming down.

Mr. Jiten Bhatia:

Which sector you see the improvement in slippages?

Shri Rajneesh Karnatak, MD & CEO:

Slippages if you see our numbers - the slippage s are mostly into the MSME and Agriculture and some of the slippages which are happening in the Retail. So corporate, we do not see any slippages. This is one off slippage which has happened in this quarter. It was a stress ed road asset which was there in the books of the bank and of other banks also for the last 18 months, so it has slipped. In corpo rate, we do not see any slippages happening, but there will be some routine slippages which happened in Retail, Agriculture and MSME, but I don't think there should be any worry on that.

Moderator :

Thank you, ladies and gentlemen. This was the last ques tion for the session. Thank you for your in -depth questions. Thank you Rajneesh Karnatak Sir and the Bank of India's management team. We will now conclude the Conference. Thank you and have a good day.

Shri Rajneesh Karnatak, MD & CEO:

Thank you so much. Thank you for coming.

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Date:15.05.2026
Sub: Q4 / Year ended 31.03.2026 Earnings Conference Call
with Analysts / Investors - Transcript.
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Regulations, 2015, we herewith enclose the transcript of post results Earnings Conference
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Q4 FY26 Earnings Call Transcript
May 08, 2026

Q4 FY26 Earnings Con-Call
8th May, 2026

Management:

1. Shri Rajneesh Karnatak, MD & CEO.
2. Shri P R Rajagopal, Executive Director
3. Shri Subrat Kumar, Executive Director
4. Shri Rajiv Mishra, Executive Director
5. Shri Pramod Kumar Dwibedi, Executive Director

Smt. Usha Kumar, Anchor:

Good evening Ladies & Gentleman, Good evening once again a very warm welcome for today's analyst meet of Bank of India's Q4 results for FY26 which is being conducted in hybrid mode being attended physically as well as virtually by our analyst from Pan India.

We have with us on dais Shri Rajneesh Karnatak ji our MD & CEO sir, joining him on the dais are our Executive Directors, Shri P R Rajagopal sir, Shri Subrat Kumar sir, Shri Rajiv Mishra sir & Shri Pramod Kumar Dwibedi sir. I request our MD & CEO sir to kindly address this gathering to begin with, over to you sir.

Shri Rajneesh Karnatak, MD & CEO:

Thank you Madam. So good evening, everyone. Thank you for joining us today on the eve of publication of our Bank's Financial Results for FY 2025-26.

This year has been another significant milestone in our Bank's Journey marked by resilient financial performance, strengthened asset quality, robust business growth and continued commitment towards nation building.

Despite global uncertainties, geopolitical tensions, evolving interest rates cycles and changing regulatory expectations, the Indian economy has demonstrated remarkable resilience. In this backdrop, our Bank has continued to play a proactive role in supporting economic growth while maintaining financial stability and prudent risk management.

During the year, the Bank recorded healthy growth across key parameters including deposits, advances, operating profit, and digital transactions. Our focus remained on calibrated credit growth with emphasis on quality underwriting, sectoral diversification and responsible lending practices.

1. Institutional Initiatives:
o The Bank is establishing Zonal Deposit Centres at all Zonal Offices to accelerate CASA accretion and its market share. This initiative is designed to ensure long-term retail stability and foster deeper, more meaningful customer relationships.
o The Bank integrated the UMANG App with its BOI OMNI NEO platform, creating one stop digital solution for a wide range of Central and State Government services. This strategic partnership with the National e-Governance Division allows our customers to conveniently access essential public services through a streamlined redirection model directly within our banking app.
o The Bank has launched the Bharat Connect Biller Operating Services, enabling corporate customers to on board themselves as billers and offer their customers diverse digital payment options. This initiative enhances digital reach and streamlines the collection process, ensuring a more convenient and efficient payment experience for all stakeholders.

o The Bank has established dedicated MSME Desk Helplines to address borrowers' concerns directly. This initiative facilitates structured, regular interaction, ensuring a transparent and responsive grievance redresses mechanism for our MSME partners.

2. Business:
o Global business grew by 14.57% YoY from Rs. 14.83 lakh crore in Mar'25 to Rs. 16.98 lakh crore in Mar'26 with an incremental growth of Rs. 2.16 lakh crore.
o Global Deposits increased by 13.56% YoY from Rs. 8.17 lakh crore in Mar'25 to Rs. 9.27 lakh crore in Mar'26 with incremental growth of Rs. 1.11

lakh crore.
o Domestic Deposits increased by 14.30% YoY from Rs.7.00 lakh crore in Mar’25 to Rs.8.00 lakh crore in Mar’26.

o CASA increased YoY from Rs.2.80 lakh crore in Mar’25 to Rs.3.01 lakh crore with incremental growth of Rs. 20,449 crore in Mar’26 and CASA ratio stood at 37.64%.
o Global Gross Advances increased by 15.82% YoY from Rs. 6.66

lakh crore
in Mar’25 to Rs. 7.71 lakh crore in Mar’26 with an incremental growth of Rs. 1.05 lakh crore.
o Domestic Gross Advances increased by 16.10% YoY from Rs. 5.64 lakh crore in Mar’25 to Rs. 6.54 lakh crore in Mar’26.
o RAM advances increased by 19.11% YoY from Rs.3.23 lakh crore to Rs.3.84 lakh crore in Mar’26 constituting 58.74% of Advances in Mar’26.

3. Profitability & Asset Quality:
o Operating Profit improved by 4% YoY and stood at Rs. 17,049 crore for FY26 against Rs. 16,412 crores in FY25 and for Q4FY26 stood at Rs. 5,026 crore witnessing a YoY growth of 3%.

o Net Profit increased by 14% YoY and stood at Rs. 10,527 crore for FY26 against Rs. 9,219 crore in FY25 and for Q4FY26 stood at Rs. 3,016 crore witnessing a YoY growth of 15%.

o NII increased by 3% YoY and stood at Rs. 25,172 crore for FY26 against Rs. 24,394 crore in FY25 and for Q4FY26 stood at Rs. 6,730 crore against Rs. 6,063 crore for Q4FY25.

o Non-Interest Income increased by 10% YoY and stood at Rs.9,874 crore for FY26 against Rs.8,994 crore in FY25.

o Global NIM stood at 2.52% in FY26 against 2.82% in FY25.
o Slippage ratio stood at 0.83% in FY26 against 1.36% in FY25.
o Credit Cost improved to 0.48% in FY26 against 0.76% in FY25.

o There has been improvement in asset quality with reduction in both Gross NPA ratio and Net NPA ratio. Gross NPA ratio improved by 129 bps YOY to 1.98% for FY26. Net NPA ratio improved by 26 bps YoY to 0.56% for FY26.

o Provision Coverage Ratio (PCR) improved to 93.57% in Mar26 against 92.39% in Mar25.

o As on 31.03.2026, Bank’s CRAR has improved to 18.01% from 17.77% as on 31.03.2025.

In alignment with prevailing global economic conditions, the guidance for global advances growth will be around 15-16%, and global deposit growth around 13-14% for FY27.

The Bank’s primary focus will be on strengthening its deposit franchise with a higher share of low-cost funds, while driving growth in high yielding advances to support margins. Additionally, focused efforts on maintaining a balanced Credit-Deposit (CD) ratio, and enhancing Return on Assets (ROA) will drive stronger financial performance. Investment in digital Infrastructure and cybersecurity will continue to enhance efficiency and resilience. Together, these actions will enable measured expansion of the business and reinforce long term value creation for all stakeholders.

The detailed Annual report being released will provide comprehensive insight into the Banks financial performance, strategic direction, governance practices and future outlook of the bank

I would like to thank you all for your continued support. The floor is now open for discussion and Q & A.Thank you all for coming here and Namashkar.

Smt. Usha Kumar:

Thank you very much sir. Before we proceed, please raise your hands. If you would like to ask a question, a little improvisation here that if you could stand a little, it will be easier for our volunteers can see you so that the mics can be passed on in an orderly fashion. Again, repeating with it's an earnest request that kindly put only two questions at a time so that maximum people can raise their questions, because there are already a lot of questions coming online. We'll come back to you for additional questions for sure.

Thank you for your cooperation. And for those who have joined us virtually, you will notice a small icon on your screen, a hand sign. Once you press this, it'll alert us that you would like to ask a question. We'll go around one by one. The analyst asking the question will be unmuted. You will get a notification on your screen to unmute yourself, kindly click on unmute and identify yourself and your organization before asking the question. For I have already

shared the WhatsApp number earlier, so I'm sure questions are already on the way. So let us begin, yes. Who's going to be the 1st one? Nobody from here.

So let us take from Mr. Ajmera, he is online because I got a text. Can you put him through? Mr. Ajmiraji.

Mr. Ashok Ajmera:

Good evening and thanks for taking me. I don't have the question. I have major observations and some compliments. So my compliments to the entire team of Bank of India for yet another good quarter of very good results, even good business growth, good profitability, very good control on the asset quality, good control on the slippages and overall fantastic quarter and a year. Compliments for the same. I have just a main basic question which is coming to the mind. Is that the ECL guidelines are already announced now the final guidelines. So how our Bank is prepared to meet the provisioning for the same starting from 1st April 2027? Are we equipped fully?

My second question is on the ECLG 5.0, which has been announced by the government of India two days back only. I think with that, a lot of I mean the more room will open for the credit growth. So how much growth are you expecting? I mean, have you done the analysis of the customer who are eligible for this emergency credit line and how much of that are you expecting to materialize the credit growth sir?

Shri Rajneesh Karnatak, MD & CEO:

Thank you for joining and also for this call. So as far the RBI ECL guidelines which have come out which are effective from 1st April 2027. We have already done a lot of homework and preparation since the draft guidelines have come. We have already on boarded one of the big fours for the transitioning towards the ECL regime and also the teams have been made in our head office from the risk department side for the calculation of the various ratios and other things.

So as far as the impact is concerned, we do not expect much impact on us and I can assure you that with the kind of asset quality and the SMA numbers that we are having and the declining trend in the SMA numbers, the transition for Bank of India to the ECL guidelines of RBI will be smooth. As you rightly said, it is for five years, starting from 1st April 27 to 31st March 2032 & the impact will be spread across the next five years. As per our calculation that we have done, the impact will be only 0.50 % p.a aggregating to total 2.50 % over the next five years. So to just to give you a sense on that, we have a net profit presently Rs. 10,000 crore which is improving the CRAR and CET -1 of the Bank and even if we remove the net dividend also of around Rs.1800 to 2000 crores that we have to pay, still there accretion to Bank's net worth and CRAR remains substantial Rs 8,000 crores. So there will not be much of impact on the CRAR and the overall impact per annum will be only 0.5 %, which we have sufficient cushion in our net worth, the CRAR and the CET-1 one to absorb the same. Presently as I told you that our CRAR is 18.01 % as against the RBI's mandated 11.5 %.

So as regard the ECLGS is concerned 5.0 announced by the government for a total outlay of around 2.55 lakh crores. As you are aware, it is for both MSME and non MSME borrowers. MSME borrowers are having a credit guarantee of 100% and non MSME borrowers are having guarantee of 90 %. The pay-out is five years for the MSME and seven years for the airline sector. So, our teams have already started doing the calculations and identifying the list of MSME borrowers. We have 19 Emerging Corporate branches and the large corporate team have als

o already started identifying
the accounts which will be eligible for the working capital. So, as you are aware, borrowers are eligible for ECLGS funding upto 20% of their peak of Q4. So, we have done calculation in that and we expect to fund around 10-12 thousand crores under the ECLGS scheme.

Mr. Ashok Ajmera:

Okay

Shri Rajneesh Karnatak, MD & CEO:

So the next process will be going to our Board for approval of this scheme for our Bank and after which it will immediately get rolled out in the branches & we expect that lot of MSME borrowers and also allied sector in agriculture and some of the corporates and mid corporates will be immediately coming and availing this facility in this financial year. Thank you.

Mr. Nishit Shah:

Sir, First of all congratulations on a good set of numbers. Nishit Shah over here from ViSolitech Investment advisors. My question is regarding your retail deposits. Is that reliance on Bank deposit has increased? No doubt there has been a very tight competition when it comes to Retail deposits. RBI also said that Bank's need to innovate and I think you are the 1st one to start with No minimum balance scheme, right? I think it has to be more pronounced because every other bank is doing and we are having a product which is innovative. That is one suggestion and what is the comfortable CD ratio because I think your asset growth is much higher than your liabilities growth. That would be my first question.

Shri Rajneesh Karnatak, MD & CEO:

Yeah. So thank you. So as far as our retail franchise is concerned, so if you see in our presentation also, our CASA percentage is 37 % and retail deposits at around 44%. Thus, our retail franchise of the domestic resources side is around 81-82%. So the remaining is the bulk term deposits, as you rightly said that there has been a structural change which has happened as far as the deposit is concerned and lot of funds are flowing out of the banking system into other asset class like equity, like mutual fund, like gold, like real estate and others. So there has been a lot of competition among the Banks how to fund this credit growth which is coming.

However, if you see from our presentation, you will see that in spite of all these headwinds which are there, we have been able to grow our CASA in absolute terms by more than Rs. 20,000 crores from Rs. 2,80,000 crores to 3,00,000 crores. Similarly, on the retail term deposit side, which is 44.14% of total deposits and in absolute numbers, this has now touched Rs. 3,29,000 crores.

So we have taken a lot of initiatives and made the strategies to improve our retail term deposits and particularly the CASA numbers. We have already launched our project "UDAAN", under which we are closely monitoring branch-level targets relating to Savings Accounts, Current Accounts, and retail term deposits. The Head Office Resource department, along with zonal offices and FGM offices, is actively engaged in monitoring and conducting regular reviews. That is number one.

Second is that we have 69 zonal offices and 13 FGM offices, so there we have posted, one Resource Manager, who will take care of the resources side in the Bank, so 82 RMs have been posted for this kind of work. Apart from that, the new initiative as I said in my speech is that we have also started the Zonal Deposit Centre, which we call the ZDC. The one officer along with this team will be posted and they will be monitoring the branches and also calling out to the customers and moving out in the market to garner new CASA and the retail term deposit. That is another initiative we have taken. We have also identified nearly 1,000 HNI branches across the country. We have 5,500 branches across country.

What are HNI bra

nches and CD ratio you propose to maintain?

These HNI branches are which have majority of the accounts being saving accounts which have average quarterly balance of more than Rs.5,00,000. Then we have our subsidiary which we call the BOI Service Ltd, where we have started Campaign "Feet on street" for sale of products of asset side. Now, we have already started this campaign for liability side also, these are the feet on the street who will be going in the market for opening of saving account, current account and retail term deposit. Apart from that, we will be building a new sales vertical in the Bank which will be headed by a General Manager from Head Office. A General Manager will be sitting only for sales and marketing from bottom at the branch level. So it will not only be for resources, the salesperson, they will also be selling the asset products and also the wealth management product. So basically we are creating vertical for the sales vertical in the Bank for the 1st time where the General Manager will be in charge for sales and marketing in the Bank for retail products, liability products, asset products, and the wealth management products which are there.

And then apart from that, we have already opened 200 new branches in FY 25, 200 branches were opened in this financial Year FY26 and another 200 plus branches will be opening in FY 27. So these 600 branches, the idea is to garner resources like CASA resources and retail term deposit on one side, Loan products like retail products on the other side and thirdly the wealth management products. So all these things taken together, all these strategies will help us in improving our franchise, our strong franchise that we have on CASA and retail term deposits so that we are able to reduce our cost of

deposit. In that way, we are able to improve our margins in the long term. As far as your other question is concerned with respect to the CD ratio, so if you see the RBI guidelines which are there as far as the CD ratio is concerned, we have to put money in SLR and CRR. So, 78-79 % can be the ideal CD ratio which is there. If you see our CD ratio it is around 82-83 %, which is high because obviously there is a crunch of resources. We are having a higher CD ratio in order to optimize our resources and helping us in improving the overall business of the Bank and if you see our numbers more granularly on this slide, you will see that the more than 2 lac crore delta, which we have created on the deposits, total business side, the deposits have grown more than the advances on the YoY basis also. And if you see sequentially, the QoQ basis , there also we have grown more deposits than the advances. So we are very cognizant of the fact that whatever the acquisition of the advances which we do like we are giving a guidance of around 15 to 16 % of raising of advances. So we are very cognizant that majority of that advances raising will be happening through the raising of deposits, which is through our 5,500 branches.

Mr. Nishit Shah:

Thank you.

Mr. Namit Arora:

Yes, thank you for the opportunity. Good evening sir, this is Namit Arora from IND Growth Capital. So I would like your assessment on any likely impact on credit quality given the recent geopolitical developments, because there may be some effect of let's say crude price or input costs or logistic disruptions, since you are a very large institution, would like your thoughts on any potential impact on credit quality?

Shri Rajneesh Karnatak, MD & CEO:

Yeah, so the global headwinds which are there presently, so definitely it has some impact. See, we already are seeing that there has been a rise in crude prices say at $102 per barrel.
Number two, the interest rates are also rising. Ano

ther thing is that with the interest rate
rising and crude hardening, there may be a chance that the inflation may also go up. And there are certain rating agencies which are saying that the growth in the country, the GDP may also come down. So from a 7 % it has been said that it will now come down to 6.9%, RBI has also said that. With all these things happening, there are certain headwinds which are there and the supply chain is also disrupted both for the importers and the exporters and there has been a significant increase in the Baltic index which has happened by nearly 2x, 2.5x to 3x. So, but what we see from the media and other kind of things we feel that a solution will come out very shortly maybe by the end of this quarter and we'll be able to stabilized with this crisis. But if it does not and if it continues definitely there will be some headwinds. But one thing I can assure you is that this ECLGS scheme 5.0 which the government has announced, it has come in the right time and whatever the stress which may come into the MSME & Non MSME accounts, particularly in terms of working capital requirements because of the increase in supply

chain, increasing the cost of their operations and other kinds of things that will be mitigated through this 20 % immediate relief which we are giving by way of the ECLGS. So, whatever stress which may come that will get eased out through this ECLGS, but there are certain sectors definitely which is particularly exporters and the importers and also certain segments within the industry like you can say ceramics, pharmaceuticals, chemicals, which maybe feeling the heat of this geopolitical situation in the immediate term.

Mr. Namit Arora:

Thank you very much for your detailed thoughts and all the best to entire team.

Smt. Usha Kumar:

Thank you very much sir. Choksey ji You would like to ask something, kindly pass on the mic.

Mr. Choksey:

Congratulations to team Bank of India for excellent performance. So I heard some of your initial comments about growth on deposits and advances. Can you elaborate some numbers on ROE, ROA, NIM, and your CD ratio? You've already indicated how to balance corporate & RAM Advances & the new initiative which you've taken for deposit mobilization through new zonal officers? How are these touch points looking? What kind of growth aspirations are being looked at? Because if that number moves from 37 to 41,42 in two years, the Bank may have a sizable impact on positivity. So this is the 1st question.

Shri Rajneesh Karnatak, MD & CEO:

Thank you so much. As far as ROA is concerned, we have now touched in Q4 ROA of 1.01 %. So, we are above 1 % as far as the Q4 is concerned. However, our overall ROA for the year is 0.93 % and it is above the ROA of 0.90 % in March' 25. Because of the net interest income issue, the ROA we could not improve to the desired number which you could have been, but definitely we have touched the ROA of 1.01 % in the Q4. As far as the guidance on the ROA is concerned for the whole year FY 27, we are giving a guidance that we'll be touching a number of 1 % for March 27. As far as the NIM is concerned, again, as I said in my opening speech that our global NIM is at 2.58 %, which has come down by nearly 30 basis point from 2.82 % in March 25. Having said that, I would like to clarify that as you are aware, we have a very strong international franchise & 14 % of our book is an international book where the NIM's are quite compressed and it is in the range of 1.10 % to 1.30 %.

But our domestic NIM as on Ma

rch'26, it is at a very healthy 2.78 % & with the kind of strategies which I already said that we are very confident that we'll be able to protect our NIM in FY 27 and certain strategies which I can elaborate is that we want to increase our MCLR advances, that is one part. Second part is that we want to increase more of our RAM advances because there the margins are much better. Third point is that we also want to increase our Mid Corporate advances through our Emerging Corporate Credit Branches because again the NIM's are much better and we are able to get better rate of interest and we are also able to get the non-interest income in terms of better fee from LC/BG commission and other kinds of things.

Apart from that, we are strategizing in this year that we increase our CASA deposits through our project UDAAN where we have on-boarded one of the consultants to increase our retail term deposits so that we reduce our cost of deposits and through the MCLR and other kinds of initiative on the asset side, it will increase & improve our yield on advances so that we improve our net interest income. So, these are some of the things which we are planning to do.

Apart from that, we also wanted to reduce our fresh slippages. We have already reduced them to 5,500 crores if you see our presentation in the entire year and we want to further reduce it to 4,000 crores in this financial year. If we are able to do that, there will be more earning assets for the Bank which will help us increasing the net interest income and finally the net interest margins and overall profitability of the Bank will also increase. So these are the brief thoughts that I just wanted to share as far as the margins are concerned.

Mr. Choksey:

In current environment, how are you seeing growth specifically the visibility on pipeline led by, as India is transforming a lot of new sectors are emerging, whether it's renewable, data centre, warehouses, new roads, maybe a few more states are now being added after election for a lot of infrastructure expansion. At the same time, how do you see about a Balance between Corporate book and RAM. I understand that I'm sure you're targeting 60 and above on RAM, but what would be a visible number if we look one or two years beyond?

Shri Rajneesh Karnatak, MD & CEO:

Yes, so as far as the RAM book is concerned, we are targeting a number of say around 62 %, the RAM book and 38 % the Corporate book. So that is for the strategy for the next three years for March 29. But having said that, let me clarify that it does not mean that we will not be growing our Corporate book so when we say that 62 % will be RAM book in FY 29 & 38% will be Corporate book, our advances will also be increasing and we are targeting advance of somewhere around 11 lacs crores as on March' 29. This is the number through which the corporate advances will also be increasing simultaneously along with the RAM advances, that is one point. Second point is that we have drafted strong strategy in the emerging corporate credit branches that we have opened 19 branches through which we want to increase our corporate advances which are between

the ticket size of 50 crores to 52 crores that is another thought that we have and we want to increase that base which is there between 50 to 250 crores. As far as the sectors and segment are concerned in the corporate, we have a lot of good pipeline which is approximately 65,000 to 70,000 crores in total pipeline, out of that around 15000 crores is in the RAM book and remaining the pipeline is with the corporate book, which is around 50,000 crores. In corporate pipeline, we have infra pipeline which is roads, power sector and data centres are also there. Apart from that, there is the

pipeline for EV vehicles,
Battery, Solar panels are there, Manufacturing of solar panels is also there. Apart from that, some LRD transactions loan, lease rental discounting transactions are also there with us. Biogas is also there with us and Rare Earth metal mining is also there with us. So such kinds of proposals are also there with us which are already in the pipeline, which are New-Gen proposals. We are seeing a lot of uptick which are happening even in the gas pipelines which are there some of the transmission pipelines are coming and some of the new road projects which are coming in some of these states. So all these put together, we are very confident that the guidance that we have given for this financial year 15 to 16 % of credit growth, we'll be able to achieve.

Mr. Choksey:

Can we see domestic NIM of 3 %?

Shri Rajneesh Karnatak, MD & CEO:

Yes, So we are saying that yes, we will have our NIM of somewhere around from present 2.52 % to somewhere around 2.70 to 2.75 % that we are guiding for March 27. Domestic NIM we are definitely targeting to get as close to 3 % as possible.

Smt. Usha Kumar:

Thank you very much sir. So there's one online question which has come up from Mr. Vansh Solanki from RSPN ventures. He says that, we have seen in many other PSU and private Banks result that due to G Sec Yield rising, they have increased their discount rate for actuarial valuation of employee liabilities, and thus there was a major decrease in employee expenses in Q4 in many PSU Banks, so have we also done the same, are we expecting any positive on this in Q1 results?

Shri Rajneesh Karnatak, MD & CEO:

Yeah, so can we share any number presently? Do we have any number on that? Kumar do you have any number with you or we can answer it later, whatever you feel.

Mr. B Kumar:

In Q4 we have not taken anything, but as far as Q1 is concerned, presently we don't have any number, we'll update later.

Smt. Usha Kumar:

Okay Mr. Vansh the updates will be given to you. Thank you. So there's one online person has raised his hand it is Mr. Niteen from Aurum Capital.

Mr. Niteen S Dharmawat:

Yeah am I audible? Yeah. Thank you so much ma'am for the opportunity! 1st of all congratulations on good set of numbers considering the prevailing conditions and results from other PSU Banks. Now, the Bank really did a commendable job over here and especially on the provisioning and NPA front, also the ROA has gone past 1 % range that you mentioned, which was promised earlier also. Also the growth remained broad base, which is very healthy, so this is super overall. I have just two questions and I'll ask both together, otherwise ma'am will cut me short and may not give opportunity. The first one is we have an elevated provisioning versus Q3 from 605 crores provisioning to now 1,211 crore provisioning, so what has happened there? My second question is again related with the NPA only. So what is the status of recovery in state PSU and central PSU defaults that we reported earlier? Thank you.

Shri Rajneesh Karnatak, MD & CEO:

So as far as the provisions are concerned, I can just share the numbers with you. Yeah, so as far as the quarter on quarter provisions are concerned, if you see our presentation, so for bad and doubtful debts, the provisions in fact from December quarter 605, they have gone up to 1,200 crores and for the standard assets they were minus at 29, it's a minus 221 because of the reversal of those provisions and provisions before tax, total 576, they have gone up to 990 crores. So, that is the provisions as far as the provisions is concerned. So, overall provisions, if you see for the year on year basis, for the bad and doubtful debts which is the NPA from 4,500 crores,

it has come down to 3,300
crores, and as far as the non performing investment is concerned, so minus 282 was there in the last year and this year there is no impact, no provision on that account. And for the standard assets it is from 330 crores minus it has further got reduced by 290 crores. So not much of impact as far as the provision is concerned.

The next question is concerned with respect to the state and central PSUs impact is concerned. So there was only one central PSU which got NPA in the last financial year for which we have fully provisioned also, so there will be no impact on the profitability or provisioning as far as that central PSU is concerned. As far as some other PSUs are concerned, which are coming, if you see our slide on the SMA in the corporate book, in SMA zero, SMA one and two, there are three state PSUs are coming under the SMA category, they continue to move roll forward and roll backward during the quarter, but one thing we are confident that they are having cash flows with them and they will not be slipping into the NPA category and we are confident that we'll be able to protect the asset. They will continue to remain in the SMA category with respect to some challenges on the cash flow side.

Smt. Usha Kumar:

Thank you very much sir, Mr. Ajmera is still there? He wants to ask one more question. Yes Mr. Ajmera ji, are you able to hear us?

Mr. Ashok Ajmera:

Hello, Sir, I mean most of the questions have already been answered, I have just a couple of questions and some observations. Sir, the non interest income, every Bank is trying to increase because of this pressure on the NIM mean & because of the high cost of the deposit and fund raise. So going forward, what plans do we have to increase our non-interest income and a recovery from the written off account, which is a major source of a non interest income, the other income? What is our total written off book and how much are we expecting in the FY 27 to recover from that?

Shri Rajneesh Karnatak, MD & CEO:

Yeah, Thank you. As far as the net interest income is concerned, if you see the annual P&L of the Bank, so we are having an interest income of around 75,000 crores and our interest expenses around 50,000 crores which leaves us a net interest income of around 25,000 crores. So, we have a clear strategy as far as the improvement of this net interest income is concerned and we are very cognizant of the fact that we have to increase this net interest income in order to improve our overall operating profit in the Bank.

So that the net interest margins also improve. So we have made a strategy as far as the interest income side is concerned, as I earlier said also that we want to increase our MCLR advances number one.

Number two, we want to increase our advances towards the Mid Corporate through our emerging corporate credit branches. We also want to increase our advances in the RAM book, retail, agriculture & MSME, where we feel the margins are much better. That is on the asset side. On the liability side, definitely we want to increase our CASA balances and also our retail term deposit balances out standings, where we feel that we'll be able to reduce our cost of deposits and on the asset side, we want to increase our retail advances. So both these strategies together, we are very confident that if we are able to increase our net interest income, in fact, we want to increase our interest income to such a level that the overall operating profit for the Bank improves. So that is one part & second part is with respect to the write off accounts. Yes, we are having a number as far as the write off book is concerned, we have done a recovery of nearly 2,500 crores in this year and this is a heal

thy number & in the financial year FY 26 & FY 27 also we will be trying to achieve the similar run rate of around 2,500 to 3,000 crores of recovery from these written off accounts.

Smt. Usha Kumar:

Kindly introduce yourself.

Mr. Ashok Shah:

Yeah sir, my name is Ashok shah I'm from Eklavya Invesco Family Office Sir, this is regarding page number 42 of our presentation sir. We have some of the subsidiary to create other income source. So if I see that what we started DMAT services in the year 1996 with NSDL and 1999 with CDSL, but we have never taken. It is a serious business, so again as a broking, we have not started our broking business like the other PSUs and everything. So similarly in the insurance sector we just hold 27 %. So, we being a 120-year-old Bank, why we are lacking in this build because our PSU's brothers has done very well and also private sector has taken a very aggressive lead in this matter and also doing a secured & creating other income portfolio which is very large. So what is the going forward over next five years, what is the plan in this set?

Shri Rajneesh Karnatak, MD & CEO:

So as far as our subsidiaries and this wealth management income is concerned where we have a very clear strategy for the next five years and if you see the last three years also, as far as the income which is coming from the wealth management products of the Bank, every year the non-interest income has been growing for the Bank. So, I can assure you, if you see this slide only that you have mentioned that BOI merchant bankers, the merchant banking activity we are doing & there also we are scaling up the trading account opening with regard to DMAT account is concerned.

We already have two tie-ups with our partners, where we are offering three service in one accounts, which is a trading account, a saving account and also the DMAT account. That is already we have started. Another important thing is with respect to our subsidiary

BOI Shareholding Limited which we have now renamed it BOI Services Ltd , wherein we have started the feet on the street and they are now on boarding DSA's which are coming from best of the private Banks and other public sector and we are selling our products through them. We have already started selling our loan products through that subsidiary and we have sold a loan book or the RAM book of nearly 7,500 crores through that subsidiary. This quarter we are starting the liability product under the project UDAAN, so feet on the street, they will be selling the liability's product, which is particularly CASA and retail term deposits, and also in the next quarter they will start selling the wealth management products. So that subsidiary also has been totally made active and live as far as we are concerned and we have a very strong and a very clear five-year plan for subsidiaries. Apart from that, as you rightly said that even though we are having only 26-27% in our life insurance subsidiary, but we are one of the key players for on boarding of the insurance, life insurance products through our branches and good growth is happening in the SUD life subsidiary as far as the sale of insurance is concerned.

Mutual fund subsidiary again let me just tell you and share with you the numbers. Three years ago the mutual fund AUM was somewhere around 3-4 thousand crores. Today, it is at around 14 to 15 thousand crores. That is the kind of growth the mutual fund AUM has taken place and it is already in public domain that we have already taken one of the consultants as for a process advisor and we want to have a partner over there,

international partner or a domestic partner, good sales AUM partner for our mutual fund, and once that on boarding happens, so you will be seeing much more incremental growth happening as far as the mutual fund also is concerned. So, we have very clear strategy for the next five years as far as these wealth management products are concerned because we are very clear that apart from the net interest income, we have to have a very good growth as far as the non interest is concerned, only then we'll be able to show better operating profit and finally better net profit for the Bank.

Smt. Usha Kumar:

Thank you very much sir. Can I take one online question and then I'll come to you? Sure, this gentleman is waiting since long. Mr. Siddharth R from Systematics.

Mr. Siddhart R:

Thank you for the opportunity. First congratulations to the whole team for a very fantastic quarter and also congratulations to Mr. Karnatak for an extension in this term. So first a clarity on the NIM when you say 2.75 and 3 % for domestic, is it the exit NIM that you have guiding?
And also what will it be driven by? Will it be driven by yield or non-advances or more by cost of deposits? This is first! Second is on your other income, what has driven the higher technically written off recoveries in this quarter sequentially we have got 1,600 crores and also what has driven the third party sales?

Third is on the credit cost, so this quarter we have taken higher provision. I understand we have utilized maybe the higher recoveries that we have got but how will our credit cost be in the ECL period? The impact you have given, but what will be the one time impact we have, but what will be the incremental credit cost due to the ECL transition, and the question is also because there is sharp movement of between the SMAs for us because of the PSUs, but we have to take that credit cost because now in the ECL it's required in stage two. So how will the credit cost move for us in the ECL period?
These are my three questions. Yeah, thank you.

Shri Rajneesh Karnatak, MD & CEO:

Yeah, Thank you so as far as the NIM is concerned, see I have as I already said that we are at 2.52 on the annualized basis and for the quarter it is 2.58. So we have given a guidance that it will be somewhere around 2.70 % for the entire year as far as the domestic NIM is concerned, presently we are at 2.78 %. and as I said for the year ended

March 27, we will be trying to be as close as 2.80% as possible, so as far as the strategy for improving that is concerned, that is both sides strategy as I explained earlier also we want to increase our yield on advances is number one. Number two we also want to reduce our cost of deposit so that the overall net interest income improves and the net interest margins for the Bank improve. As far as the other income is concerned, so yes, other income, if you see in the other income we have improved our other income by

nearly 10 % from 8,900 crores to 9,800 crores & the delta is say around 900 to 1,000 crores. In that, as you rightly say the recovery from written off accounts it has improved from 2,300 crores to 2,600 crores, and as I explained earlier in my question that these 2,600 crores run rate we want to continue & this year we are expecting that we should be somewhere between 2500 to 3000 crores as far as recovery in the written off accounts are concerned. So, as far as the SMA is concerned, see SMAs if you see our slide, we have been improving our SMA numbers continuously over the last three years through our zonal collection centres that we have opened, and if you see in our slide also that the SMA numbers has now come down significantly & I'll just show yo

u the
numbers, Yeah, so it is now at 4,700 crore the overall SMA is there and it is only 0.62 % of our total asset book, which was earlier in March 25 at 0.92 %, So that has been the slide as far as the SME number is concerned, and if you see further granularly over there SMA one and two constitute nearly 66 % and 34 % is SMA zero. And it is well distributed between agriculture, retail and MSME and not much figure is there as far as the corporate book is concerned & in the SMA it is 3,600 which is there apart from the overall 4,700. In relation to the ECL, there is stage one, stage two and stage three in the ECL framework wherein stage one is the standard book and the SMA zero. There you see that we have been able to reduce our overall SMA zero numbers. That is one point.

Second point is with respect to the stage two wherein SMA one and two will be sitting there also if you see the overall SMA number is coming down. So this under the ECL guidelines also, the provisions numbers will be coming down and with the kind of agility and robustness that our zonal collection centres are performing. We are very sure that we'll be able to further reduce the SMA number so that the overall impact of the ECL guidelines is reduced through the provisioning which are there. So as far as the credit costs is concerned and the impact of the ECL guidelines on the credit costs, yes, there will be some impact on the credit cost side because of the ECL guidelines, but we feel that it should not be more than ten basis point on an annualized basis.

Smt. Usha Kumar:

Thank you sir. So this is the last question coming up from this gentleman who has been waiting. Yeah.

Mr. Divansh:

Hello sir. I'm Divansh from Motilal Oswal sir, First of all congratulations for your fabulous numbers. Sir, I have two questions. So one is your CASA percentage which has been at 37.64 % which is by reduced by like from 40-41 % in FY 25. So the question is sir, are we with all your initiatives which you mentioned, are we able to achieve the numbers of 40-41 %? In coming quarters and by when are we going to achieve that?

Second question is, as you said, you are more focused on increasing our RAM book, right? So you have a very significant agriculture book of around one leg 15,000 crores sir, with the monsoon forecast being lesser than expected, what impact will that have on the agriculture book and how are we going to provision for it? Yeah, thank you.

Shri Rajneesh Karnatak, MD & CEO:

Yeah. So as far as CASA is concerned, you rightly said that as in percentage terms it is coming down and we have now come down to 37.5 % in the CASA percentage terms is concerned. But however, if you see the absolute numbers, the delta that we have created is more than 20,000 crores. So CASA number we have increased by from 2,80,000 crores to more than 3,00,000 crores in March' 26. So, as I said that under our project UDAAN our clear strategies is to increase our CASA in absolute terms. As I said that there has been a structural change in the deposits in the entire banking system wherein more of the colour of the deposit has changed and more of the resources are coming through the term deposits rather than from the CASA franchise, which is coming. Nonetheless, we are still very much confident that the delta that we will be creating in this financial year also as far as the CASA is concerned, we have set targets for ourselves that we should be closing our CASA at somewhere around 3.30 lakh crores, which is a increase of around 10 % in FY 27. So with that thing in mind, definitely we feel that will be able to bring down the cost of deposits. However, having said that, because there will be increase in credit and increase in advances and we said tha

t we
have given a guidance of 15 to 16 % in growth in advances. So we'll have to meet those resources through deposits only. This will be the basic through which we will fund our credit growth which will be there and definitely if the CASA growth will be not up to the mark to match the increase in credit which is there definitely will be raising both retail term deposit and the bulk deposits which are there.

As far as the RAM, agriculture is concerned, as you rightly said, there are news that the monsoon will be at somewhere around 92 % kind of thing, the reports which are coming. But if you see the pattern within the country now, not much of droughts are happening in India. There has been a very good canal network which is there across all these states. Earlier we used to see that when the rain used to go down, there used to be a drought like situation in some of these states but if you see in the last four or five years, there has been some concern as far as the growth of plantation and other kinds of things is concerned on the agriculture side, but drought like situations are not prevalent in the last four or five years because of the good canal system which has been developed across all the states in the country. So we are very much confident that the agricultural growth will be 17 %.

This financial year we are also confident that we'll be able to show the growth in the agriculture, a lot of it also is contributed by the Gold Loan factor which is there. So gold loan also we are giving there the yield is around 9 % where hardly any NPA is come there. There is no asset quality issue with regard to gold loan. So that is one segment which is there with us through which we are able to increase our Agriculture book. With a good yield on advances and also with protecting the asset quality and which will finally not impact the overall situation where in the drought or agriculture rainfall situation is there. So this is just one thing I would like to share.

Apart from that in agriculture, we are focusing not much on core agriculture now. We are targeting allied agriculture, which is a clear target that we have given to our zones and

FGMs that we want to increase allied agriculture rather than the core agriculture which used to be there, the KCC's and the term loans which we used to do to the farmers the delta that we want to create is through the allied agriculture. So, but with the kind of thing which is there, we are very confident that we'll be able to increase our agriculture book and also protect the asset quality.

Yeah, gold loan advances are somewhere around 50,000 crores in total. So the entire gold loan book is not classified in agriculture some of that is also classified under MSME because wherever the borrower is having UDYOG AADHAR with them, they are classified under the MSME category also. So that is another thing which is there. So, there as I said that the yield is more than 9 % and hardly any asset delinquencies is there and the NPA is hardly 60 crores something in the entire agriculture book and as per the SOP we have in case of NPA within 90 days it has to be sold & unless and until it is spurious gold, the entire recovery happens in such accounts.

Mr. Divansh:

So, what percentage of gold loan within agriculture?

Shri Rajneesh Karnatak, MD & CEO:

So gold alone within the agriculture you are asking, so around 35-40 %it should be there. Thank you.

Smt. Usha Kumar:

Thank you gentlemen. Let us wrap up now. It's been a long time. Thank you very much MD sir, and all the executive directors present on the dias and thank you very much for all the analysts who are present here and also those who have joined online.

I also want to thank the Concept PR team, who h

as taken care of the analyst meet
Ganesh and Gaurav for putting up a good show and special thanks to Bank's team from Traveling Hospitality, finance, IT, and of course publicity and PR.

Thank you all. Good night.